Sobha Ltd. (SOBHA)

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Call: Aug 2022

Date: August 16, 2022
To
The Deputy Manager
Department of Corporate Services,
BSE Limited
Floor 25, P.J Towers,
Dalal Street, Mumbai -400 001
Scrip Code: 532784 ...
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SOBHA
PASSION AT WORK
To
The Manager
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra Kurla Complex, Bandra East,
Mumbai -400 051
Scrip Code: SOBHA
Dear Sir / Madam,
Stib: Transcript of the conference call held on August 11, 2022
In continuation
of our letter dated August 11, 2022, please find enclosed herewith the
transcript of the conference call held on August 11, 2022 with the Investors/ Analysts to
brief the operational and financial performance of the Company for the quarter ended
June 30, 2022.
We request you to take the aforesaid information on record in terms of Regulation 30 of
SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and the same
is available on the website of the Company.
Yours sincerely,
FOR SOBHA LIMITED U■/.A
■
VIGHNESHWA RG BHAT
COMPANY SECRETARY AND COMPLIANCE OFFICER
SOBHA LIMITED
REGO & CORPORATE OFFICE : 'SOSHA', SARJAPUR - MARATHAHALLI OUTER RING ROAD, BELLANDUR POST,
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“Sobha Limited
Q1 FY2023 Earnings Conference Call ”

August 11, 2022

ANALYST : M R. ADHIDEV CHATTOPADHYAY - ICICI SECURITIES

MANAGEMENT : MR. JAGADISH NANGINENI - MANAGING DIRECTOR –
SOBHA LIMITED
MR. YOGESH BANSAL - CHIEF FINANCIAL OFFICER –
SOBHA LIMITED
MR. RAMESH BABU - SENIOR VP FINANCE – SOBHA
LIMITED
MR. VIGHNESHWAR BHAT - COMPANY SECRETARY AND
COMPLIANCE OFFICER – SOBHA LIMITED
MR. SOUMYADEEP SAHA - HEAD OF IR – SOBHA
LIMITED
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SOBIIA
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Sobha Limited

August 11, 2022

Page 2 of 14 Moderator : Ladies and gentlemen, good day and welcome to t he Sobha Limited Q1 FY2023 Results Conference Call hosted by ICICI Securities Limited . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Adhidev Chattopadhyay. Thank you and over t o you Sir!

Adhidev Chattopadhyay : Good evening everyone. On behalf of ICICI Securities, I would like to welcome everyone today to the Q1 FY2023 Results Call of Sobha Limited . From the management, we have with us today Mr. Jagadish Nangineni , Managing Direct or, Mr. Yogesh Bansal, the Chief Financial Officer, Mr. Ramesh Babu, Senior VP Finance, Mr. Vig hneshwar Bhat, the Company Se cretary and Compliance Officer and Mr. Soumyadeep Saha, the Head of IR. Now I would like to hand over the call to the management for their opening remarks. Over to you!

Jagadish Nangineni : Thank you Adhidev for your kind introduction . Thank you ICICI Securities team for organizing this call . Good evening everyone and wish you all a happy Raksha Bandhan and advance wishes on our 7 6th Independ ence Day a momentous and proud occasion for all Indians and completing 75 years of Independence . My team and I are happy to interact with you post our first quarterly results of the financial year 2 022-2023. We have already shared the operational upda te of the company in early July 2022 and the investor presentation based on the audited financial results adopted by the board can be downloaded from sobha.com . The three months of April to June 2022 quarter was an exciting one for Sobha on all fronts. Our team s have been working hard to hit all the operational goals of residential real estate, sales , new launches , collections , billing , project completion , hando

vers , design for new projects and on contractual and manufacturing front to o we have been steady in all activities . This quarter as you would have noticed we sold more at better prices enabling higher performance in both volume and value . This showcases strong consumer confidence , higher affordability aspiration for high quality homes it also showcase s strong brand acceptance in a competitive market . Customers seemed to have taken inflation in housing ownership costs in their stride. All the factors contributing to higher home sales like increasing population , concentration in large cities , disposable incom es, nuclearization of families , speedier access to finance has accelerated and sustained this demand . The beginning of this quarter has started with two new project launches Sobha Sentosa in southeast Bangalore and Sobha Victoria Park in north Bangalore, c ouple of months later we launched Sobha Royal Crest in South Bangalore with help of these new SOIHIA

 launches for the first time we have achieved 1 million square feet of sales in Bangalore a single city in a single quarter . Additionally we added higher area into our existing project in Pune Sobha Nesara taking advantage of the change FA I regulations in Pune.

On the operational front we have completed Sobha Blossom a plotted development colony Chennai . We received OC for the first three towers in the apartmen t pro ject in Gurgaon Sobha City and we completed row houses in Prestige and we completed one tower in Dream Acres in Bangalore . I am also happy to share that we have completed the landfill transaction in this quarter by receiving the pending amount of about Rs.165 Crores of the sale of which has taken place in Q2 FY 2022. Proceeds from this has helped us further in debt reduction . Our relentless focus on operational excellence has resulted in superior cash flows resulting in reducing our debt by Rs. 940 Crore s in the past seven quarters without any aid of external equity capital. We are further enhancing our capabilities operationally by investing in technology across functions to better integrate optimize our cost into our customer experience simultaneously as we scale.

With this brief commentary I would like to hand it over to Yogesh our chief financial officer to give his comments on the quarterly performance .

Yogesh Bansal : Thank you Sir. Good evening all . We are happy to share that in this quarter Sobha ha s gon e steady improvement in sales reduced debt even further with cash flow and successfully launched three new project s in Bangalore. I would like to take through our sales highlight, during the quarter we have achieved total sales volumes of 1.36 million square feet of super built- up area venue at Rs.11.45 billion which is highest ever since inception . We were able to achieve best ever price realization of Rs. 8431 per sq feet which is up by 11% year -on-year and 4% Q -on-Q. Bangalore has seen highest ever q uarter sales volume, we have crossed 1 million square feet mark in Bangalore as mentioned by our MD , in total Bangalore has contributed Rs. 8.58 billion with 1.06 million square feet of sales . Pune Gift

City and NPR region also continue to work well in Gift City we saw 43% Q-on -Q volume increase with the realization also moving up close to by 10% Q-on-Q sale volume and quarterly highest for that region . Debt reduction and cash flow highlight , as on June 30, 2022 our net debt at Rs. 21.1 billion, during the quarter we have reduced that 2.27 billion. Our debt equity ratio also come down to 0.84 as compared to last quarter it was 0 .93, we have reduced our finance cost by 30% year -on-year , in this quarter our finance cost was 58.1 Crore s, our borrowing costs also in this quarter is one of the industry lower at 8.45%. Our MD told that in last seven quarter we have managed to reduce our net debt by 9.4 billion , our total o

perational cash flow in this quarter up by 56% year-on-year to Rs. 11.18 billion , real estate cas h flo w up by 62% year -on-year to Rs.8.8 billion. SOIHIA
 Our net operating cash flow also up by 39% year -on-year to Rs.1.87 billion , we have generated free cash flow of Rs. 2.27 billion in this quarter , out of 2.27 billion we have received 1.55 billion from sales moneti zation of land. If I briefly touch this land sale we have done land sale in Q2 FY2022 for 1.72 billion so out of that we received that particular month 115.06 Crores balance we received in this quarter and we are equalized revenue in that particular q uarter Q2 FY20 22.

Moving to our P&L , total income for Q1 FY2023 stands at Rs. 4.8 billion up by 26% year - on-year, real estate contributed Rs. 3.7 billion up by 53 % year-on-year, contractor business at generated Rs. 294 million , manufacturing region close Rs. 786 million, EBITDA for Q1 FY2023 stands at Rs.0.96 billion margin of 20%. PBT for Q1 FY2023 was Rs.0.22 billion up by 71% with a m argin of 4% . Net profit for Q1 FY2023 stands at Rs.0. 14 billion up by 27% with a margin of 3%. I thank you all that participat ion a nd now we can open the floor for the question and answer session.

Moderator: Thank you very much. We will now begin with the question and answer session. We take the first question from the line of Mr . Puneet Gulati from HSBC . Please go ahead .

Puneet Gulat i: T hank you so much and congratulations on good numbers and solid debt reduction. M y first question is actually on the land side you are quite regularly selling land and raising cash can you give some color on what is the quality of this land that you are selling it who is it that you are selling to and what are your plans for future in similar area?

Jagadish Nangineni : Good evening Puneet. This particular land sale which was done last financial year , this land was acquired by us way back in 2004 and 2005 and for certain regulatory reasons and multiple ownerships we could not develop this over several years and hence this we had taken a call that it is better off to sell rather than continue to keep it because it did not come in the developable portfol io and it was in the best interest of the company to sell it and that is what it is . The way we are monetizing land made it very clear that we would not like to monetize any land which can contribute to development for us wherever development is possible w e are in fact incrementally investing in those and wherever we clearly we see that there are issues which we cannot resolve or it is going to take extended time and if we get the right value we are deciding to hive it off but going forward I do not see any large major land parcels that we would like to sell unless we get a much better valuation or foresee similar situation where we think it i s not feasible to develop so this is a large amount after quite a bit of time for us we have received this close to 1 65 Crores so which I think it is a one off thing but going forward like I explained it is going to be very strategic and it is not going to be based on any financial pressure on us . SOIHIA
 Puneet Gulati : I a m just speaking from the buyers perspective what kind of use envisaging for this land ?

Jagadish Nangineni : So Buyers in this particular case Puneet, the buyer is an existing developer in Bangalore I think he has certain another land parcels or certain interest in and around so it makes sense for him to develop this as a commercial or a semi commercial and residential . I think largely commercial .

Puneet Gulati : Okay and how are you looking at monetizing your land in Hosur and other areas but still kind of slightly far from the city centre ?

Jagadish Nangineni : So Hosur we have been in fact mentioning this that we are monetizing it through development in

the nature of plotting or wherever possible selling it if that is not contiguous land which cannot be developed so we have identified a large chunk of land which we can develop as plots and currently we are in the permission sta ge which we would like to launch as soon as possible probably in the next couple of quarters we should be able to launch the Hosur project and that is one large chunk of the land that you woul d monetize and there are few other land parcels which are not really contiguous and we are actively seeking buyers for this smaller parcels and wherever we find the right opportunities we would do the monetization of those .

Puneet Gulati : Understood and in terms o f the launch pipeline you launched about 2 million square feet of salable area and your total pipeline plan was about 13 so should we think you are broadly on track launched full 12- 13 million sq feet or do you think the number could be lesser ?

Jagadish Nan gineni : S o we have indicated in our investor presentation there is about 12.11 million square feet of new launches in that these are the launches that we are fairly confident of achieving in this financial year and in the next financial year . Out of this 1 2 I think another 2 to 3 million sq feet can easily be done in this financial year and if we are lucky then we might do far more depending on the timeline that usually takes for the permissions which is little bit uncertain but largely we should be able to do 2 to 3 million this financial year and the next financial year we should be able to do the largely remaining one.

Moderator : Thank you Sir I think this line has got dropped so I am promoting the next question which is from the line of Mr . Girish Chou dhary from Spark Capital Advisors Private Limited. Please go ahead .

Girish Choudhary : Hi thanks for the opportunity. Firstly on the debt we have seen a good reduction in that the last 12 to 15 months so how should we think of further reduction in de bt what w ould be our internal targets for let us say the next one to two years ? SOIHIA

 Jagadish Nangineni : On debt reduction so the way we look at it is now going forward on a yearly basis we should be able to if we sustain the current volumes of sales and in ter ms of collection then we are fairly confident of generating at least about 500 Crores of free cash flow which we have done last year also I think going forward also it is doable before considering any land investment so even if you take consider 50% of it for new bu siness development and 50% for debt reduction that would largely be the way we would like to move in a very long term we would like to keep the debt as low as possible currently the debt to equity is 0 .83 naturally even if it is not , if you maint ain the de bt levels at the same with the increase in equity I think that equity will go down in the next couple of years further but from absolute level also the depending on our ability to invest in the new lands we are fairly confident that we will eithe r maintain the debt level or reduce it incrementally .

Girish Choudhary : Got it Sir since you mentioned on the investment so how you seen business development from recent past we focus more on deleveraging and have not done enough deals s o what can we expect on busin ess development from here on ?

Jagadish Nangineni : S o our business development pipeline has been robust and we have quite a few opportunities lined up it is a continuous process and we have not finalized any specific deal where we will invest larg e amounts but the main capital that we will allocate going forward for land , one is for our existing deals that we have already signed or existing lands that we think that incrementally to invest it will come to project level very soon so these are the fir st priority . Second priority is wherever we find the right opportunity on a joint development ba

sis , third is which we are finding some opportunities where an outright purchase opportunities are also available, those also we are seriously evaluating some of them so I think a combination of these we will continue to invest. Currently we are at about 5 million square feet run rate of sales would like to increase it to 7 to 8 million square feet if you have to do that then you will have to invest a t similar pa ce for busi ness development we recognize that and that is what we would plan for in terms of cash outflow for land.

Girish Choudhary : S ure I got it and then lastly in the contracts and manufacturing business the expenses have seen a sharp jump for Q -o-Q an d Y-on-Y an d we have seen negative cash flow from this business so any reasons why and what can we expect in medium term ?

Jagadish Nangineni : S o we had just completed one of the large contract which is based in Kerala that we have taken recognized all the expenses tow ards it and that is the main cost for the increase in .

Girish Choudhary : Got it. Thank you Sir . SOIHIA

 Moderator : Thank you Sir . We take the next question from the line of Mr . Pritesh Sheth from Motilal Oswal. Please go ahead Sir .

Pritesh Sheth : Hi Sir thanks for taking my question so firstly on strong performance both on the volume side which we have sustained for last three to four quarters and our prices have also jacked up, how do you see this year overall panning out , you earlier guided for around 5 million square feet kind of number surely I think with this performance you can better it and thanks for doing also the fact that we are going to launch more projects so how do you see this year in terms of volume as well as value?

Jagadish Nangineni : Beginning of the financial year Pritesh we told that our one of the goals in this financial year is to improve our margins because last financial year we have seen substantial increase in a cost of construction so given that background and also increasing i nterest rate costs so we were not clear as how the customers would absorb the new pricing and new higher cost of home ownership and it looks like the customers have taken in their side the inflationary aspects in the home ownership and that we can clearly see in the sales volume as well so now the confidence for us to achieve a higher numbers at these prices seems to be much better and we ar e witnessing that on the ground. All the leading indicators also suggest that demand seems to be robust so now going f orward from t his quarter to the end of the year we think that fairly we are able to do at least the similar numbers as what we have done last quarter and given that we have enough inventory and some new launches also coming up so I think we should be able to deliver from a volume perspective about 10 % to 15% more and from a value perspective the pricing from last financial year overall maybe about 5% increase so overall I think from a sales value we should be able to do between 15% to 20% increase.

Pritesh Sheth: Sure great to hear that and second pricing I have seen since we give all the data I have seen at least Rs.500 -Rs.600 per square feet kind of increase across many cities like Bangalore Gift city etc ., so all of that is because of price hike we have t aken or is it something related to mix as well so just you can quantify the amount of price hike that you have taken on like for like basis in this quarter?

Jagadish Nangineni : S o it is a combination of two factors Pritesh actually first it is absolute pri ce hike which we have done during the quarter , actually the price hike really gets reflected over a period of time if you see because the sales mix of the project one can see that the price realization between last Q1 FY 2022 to Q1 FY 2023 there has been an increase of 10 .5% but in the last quarter specifically we have hiked largely in Bangalore the price hike has b

een between 4 % to 6% across some of the projects , the second factor is also that some of the apartments or the villas or the plots that we have so ld earlier , but we could not conclude the transaction so

we have cancelled those and we booked at the new price so that also it is a smaller volume sometimes in the other cities it reflects a higher realization so both these if you look at it then it contributes to high er prices .

Pritesh Sheth : Got it and one last on launches I mean you have had two million square feet of new launches but apart from that any area which we released from the existing projects if you can quantify that and how should we see that going forward in this year like how much of the launches would come from the ongoing projects where area is yet to be released for launch ?

Jagadish Nangineni : So Pritesh we have about 30 million square feet of combination of unreleased inventory so of th at about you ca n say unreleased we typically do not again mention it as a new launch but that is about 6.5 million square feet of that we based on the phase of the sale we will release it during this financial year but I think I do not have the exact number of how much we will be able to release that will entirely depend on the case of sale each of these cities but they are available for us to be launched at any point of time so it is not contingent upon any kind of approval so it entirely depends on the da y we s ell in th e coming months .

Pritesh Sheth : Got it fair enough that is all from my side and all the best .

Moderator : Thank you Sir. We take the next question from the line of Nikhil Kanodia from HDFC Securities . Please go ahead .

Nikhil Kanodia : Good evening Sir , congr atulations on the very good set of numbers . Sir I have two follow up questions on the basis of the questions asked by previous participants so one is you mentioned that in case of Bangalore you have taken 4 % to 6% price hike so what is the price hike that you would have taken across region and at the blended portfolio level ?

Jagadish Nangineni : Good evening Nikhil , like I mentioned earlier the price hike that we have done during this quarter is in Bangalore is between 4 % to 6% in various proj ects but it does not get reflected in the price realization because of the sales mix that happens across various projects , old projects , new projects so hence it looks like the price increase is not as high as what it is .

Nikhil Kanodia : Okay so you mean t o say blended level it is very negligible thing so there is no reporting in that case?

Jagadish Nangineni : I mean if you look at the price hike like for example we have launched a new project right in Bangalore so there is no corresponding price hike for t hem so that is wh y it becomes a little tough to see what exactly the price hike is .

Nikhil Kanodia : Okay Sir fair enough understood and Sir you mentioned about your launch pipe line around

12.1 million square feet so in that case also is it possible to quantify what is the pipeline
region wise like in case of Bangalore, what is the number of projects and the area that is
there for the launch pipeline ?
Jagadish Nangineni : It is already given in investor presentation in slide # 17 but if I have to just re iterate it
Bangalore has about 6.5 million square feet and rest of it distributed across various cities .
Nikhil Kanodia : Okay Sir those are my questions and best of luck. Thank you.
Moderator: Thank you . We take the next question from the line of Mr . Dhruvesh Sa nghvi from
Prosper otree . Please go ahead.
Dhruvesh Sanghvi : Sir hi congratulations for a good set of numbers and I have a couple of questions one is
when we just see it from a slight past let u s say somewhere around pre -COVID times or
when the ex -CFO and ex-MD were there wh enever the questions rel

ated to debt or debt
reductions were asked , there was never comment about absolute level and there is a
welcome change that you are positively commenting about absolute debt levels as well not just ratios so very w elcome on that but what has led to this big mindset changes it just you
versus the old guy or there is a management board level thinking that considering COVID and the kind of disruption we saw we should not get into such sort of situations ever again if you can just give s ome rationale around that .
Jagadish Nangineni : Good question Dhruvesh, this is a combination of several factors but one I would say that
one of the biggest factors was also COVID because when such an event has happened which is very clear ly visible for us t hat any kind of uncertainty of this scale can really put
us in situations which are very tough to handle and ideally we would like to avoid in future
that is one so overall as a management we have taken a call that this is something that needs
to be addres sed and hence we have worked upon it and second is given that this is one of
the goals and strategically it so we have operationally enabled it by through reviews and
also continuous focus on both inflows and outflows and a tight control on all the aspects of
it so that both these combination we have achieved .
Dhruvesh Sanghvi : T hanks a lot so other from a story point of view when I think aloud like this that okay are
we a premium builder the answer is yes , are we building ourselves the a nswer is yes in fac t
we are making doors and bricks also not just building as a contractor additionally we
provide value added services in terms of furniture and other thinking on that area in addition
to that our sales through agents are very low versus the competition and we are repaying debt and our cost of borrowing is much better versus a lot of unorganized players but then SOIHIA
Sobha Limited
August 11, 2022

Page 10 of 14 when we see our margins I mean everything is in our favor but still margins are very poor in
the listed space or the organized mar ket space and I understand that there is the accounting
aspect to it that what we sold just two to three years back if not getting reflected in the next
one to three years but can you give us some sense on how we should look at margins and how they are low and I also underst and the mix between the PC versus the real estate space
so really cutting to the real point that there is a lot of overheads that we have as an
organization, which a lot of other people do not have so is there answer in the form of only
volumes or there is an absolute possibility of saving a large amount by operational
management and there has been a lot of focus after you have come on the word operations
focus processes checklist etc., so am I thinking correct and some guidance on this a rea.
Jagadish Nangin eni: Another good question in order to understand the current margins or past margins and
probably the near term future margin , we will have to look at the environment in which we
operated in the last five to six years where the real estate as a sector whe re facing a lot of
headwinds and in the recent past there has been a lot of cost increase also so specifically this has affected our projects where we have undertaken and in the form of joint
development where as the cost increase for us and the realization is the same then it does impact some of the margins that part whether it will affect in the future also it will be till
such time where we have we will recognize income where the joint development projects
are getting completed but in future it looks to me like we have been able to increase our
pricing probably we are trying to optimize our cost on all aspects and hence there should be
definite change and improvement in the market so the overall backward integration model
that we have seen that will no do ubt will help us in future .
Moderator: We have the ne

xt question from the line of Sameer Baisiwala from Morgan Stanley. Please
go ahead Sir .
Sameer Baisiwala: T hank you so much and good evening Sir my first question is on the contractual business
what is the outlook over here and what is the current pricing that you are quoting?
Jagadish Nangineni : Good evening Sa meer outlook on the contractual and manufacturing business , it continues
to remain the same but we would actively seek opportunities in the space where margins are
well protected and the counterpart is equitable client and we also operate only in

institutional and commercial so given that space we continue to seek opportunities there so there is no shying away from seeking out new opportunities . So second question you had
was what is the pricing so the pricing essentially what we are trying to see is the learning
from the past experiences seeing if we can reduce our risk on some of the commodity prices better than what we have done earlier in the past contract we are trying to see if we can
achieve that but otherwise rest of the day function will continue to remain. SOIHIA
 Sameer Baisiwala: Okay but Sir how does the pipeline look like for this business will you be going back to the same volume that you were doing pre -COVID or it is going to take some time?
Jagadish Nangineni : Pre-COVID Sam eer we had mix of both Infosys and non-Infosys contract right and Infosys
was a reasonably large vertical but for post COVID I think Infosys itself is not developing
new camp uses and hence the capex that provided by then for building out a new building is
become lower and hence from per spective a large part of that business has reduced but
however if you look at we have been steadily building our other clients business and the last
couple of years of course because of COVID we are not able to execute some of the projects
but we have a reasonable pipeline to achieve good topline in terms of contractual business
so if you specifically ask if we have a order book for this we have a reasonably good order book for these we have closed about 500 Crores of order book which we will have to
execute in the next year and year -and-a-half along with this we are aggressively picking out
new opportunities so I think we will be continuing to build that pipeline .
Sameer Baisiwala: Okay and just one the new launches have you launched that project on 26 acre parcel yet
Dream Makers or that is not one of those three launches ?
Jagadish Nangineni : T hat is another launch Sameer which is of about 3.3 m illion square feet that is not part of
the launches that we have done that I think is current we hope to do that launch by first
quarter of next financial year if we are lucky then probably we can get this year too .
Sameer Baisiwala: O kay and just a quick cl arification you mentioned I think 4% to 6% price increase across
projects in Bangalore but this is for the old project right ?
Jagadish Nangineni : T hat is correct .
Moderator” Thank you Sir . We take the next question from the line of A bhinav Sinha from Jeff eries .
Please go ahead Sir .
Abhinav Sinha : Hi thanks for taking my question. One on the various geography is outside Bangalore so I
wanted to check that in Kochi we have seen that sales momentum has come down quite a
bit so what is the reason for that and th e outlook there and secondly in Gurgaon when are
we expecting the next project launch to happen there ?
Jagadish Nangineni : Good evening Abhinav so with regard to the first question Kochi and in some couple of
other the cities in Ker ala that is Calicut this quarter what we have done is we have actually
seen wherever their customers who have not been paying for some time we have cancelled those units and hence it looks like that the performance in Kochi and in fact if you look at SOIHIA
 Calicut it i s negative numbe r

so these looks like you have not done well but new sales have
been in the similar range is what we have been doing earlier but these cancellations affected
a reported sales numbers and coming to the Gurgaon launch we have one proje ct which is
Karma which we have signed up for some time back so I think that we are going ahead in
terms of the next steps in terms of permissions so I think we will get clarity for that in the
next quarter or couple of quarters timing of which i t will be clear so we think that if we are
lucky then we can do it this financial year or it might go to the next financial year .
Abhinav Sinha : Okay so even without Gurgaon down and these cancellations in Kerala, you are still hopeful
of that 15%- 20% Y-o-Y sales gr owth and that is largel y Bangalore is it this year ?
Jagadish Nangineni : Yes Abhinav we are not counting a new launches from Gurgaon but there is existing
inventory in Gurgaon which needs to be released in Sobha city and there is some inventory
in Internati onal City so that I thin k is a reasonable inventory to cater to be projection of
sales that we have for this Gurgaon and for other cities now they have about 300,000 square
feet in Pune and we have enough inventory in city and in Chennai and in Kerala so i f these
perform even similar or slightly better than last financial year then I think we should be able to do the numbers that I have for indicating.
Abhinav Sinha : S ure thanks and all the best .
Moderator: Thank you Sir . We take the next question from the line of Parvez Akhtar Qazi from
Edelweiss Securities . Please go ahead Sir .
Parvez Akhtar Qazi : Good evening and congratulations for a great set of numbers so my question is with regards
to our future launch pipeline what is the status of approvals and you said that you are fairly
confident that you will be able to do another 3 million square this here and then rest

depends on launches so what is the status of approvals on this launch pipeline?
Jagadish Nangineni : Parvez for the launches that we are planning to do this financial yea r so most of the one which I had indicated about 2- 3 million square feet those are in fairly advanced stage and we should be able to do it in the next couple of quarters wherein probably we are couple of steps away from applying to radar but otherwise the re maining ones are at also where we have already designed it we have applied for the building plan approvals or the initial licensing requirements so those also some of them will take a little bit more time because some of the proj ects will require environ ment clearance so and those will come in the subsequent financial year. SOIHIA

 Parvez Akhtar Qazi : But is it fair to assume that this entire 12 million square feet will get launched over FY20 23 and 2024 ?
Jagadish Nangineni : To large exten t yes.
Parvez Akhtar Qazi : Sure thanks that is it from my side and all the b est.
Moderator: Thank you Sir. We take the next question from the line of Mr . Mohit Agarwal from IIFL. Please go ahead Sir .
Mohit Agarwal : Thanks for the opportunity. My first ques tion is on you talked about business development now geographically are you going to expand more into Bangalore or you a re looking at newer markets any specific new market that you are looking at from a business development perspective and the second part of that question is on the entire business development competitive intensity in Bangalore now everyone existing players seem to be getting aggressive we also see newer players coming into Bangalore and they are also talking about aggressive expansion so how have you seen the land pri cing or J V partner expectations moving there ?
Jagadish Nangineni : Good question so I will take the second question first is in Bangalore that is where we have much better advantage because we have it is our pipeline or our land bank comes into a

significa nt advantage, it gives significant advantage to us because our ability to incrementally invest in our existing land bank and launch will give us enough leverage to wait for the right kind of opportunities and investing them that is one . Second is since we have been present for a long 27 years in Bangalore and operating here the kind of opportunities through the existing relationships that we get are always I think better than probably newer players that will come into the city so regional the real estate is a regional play so it will take for any new player to time to settle down and expand that is applicable even for us when we go to a new market . Having said that it is very clear that Bangalore as a market is one of the best mark ets for us both in terms of a great indent with demand and also our own and also the new transactions of the deals that we are looking at so we will continue to invest in Bangalore because as we have seen that this quarter we have done a million square feet in the first one so the m arket size is a large we have good experience here up for last 27 years and we should continue to invest in this market . Now going to the other cities and other markets we think that there are two or five locations which can sustainably but for demand for residential housing that is a Hyderabad , Pune , NCR and Mumbai so apart from Chennai of course so these are the places which are of interest to us we are evaluating opportunities and all our priority will be in the operating locations where we are already p resent so in NCR, Pune and Hyderabad we a re going to launch a new SOIHIA

 project so these will be our first protocol but if there are any good opportunities in Bombay also we will be willing to look at it so we are evaluating all these opportunities simultaneously and picking out the best return for us .
Mohit Agarwal : Sure and my second question is your thoughts on so we have land bank which is not city centric so on that land bank are you open to evaluating doing like a warehousing or a data center wherever you s ee that demand for that is there something that you see as an opportunity there ?
Jagadish Nangineni : A bsolutely that is an opportunity we can evaluate at an appropriate point , the current focus in those land banks has been that y ou like to consolidate those so there are certain prophets which can make the land far mer valuable and also developable so that is our current focus and once that is done probably it might take a year couple of years depending on the kind of opportunities we get to consolidate that b ecause there are all small landholdings sometimes can create longer timelines so we a re addressing those once that is done then at that time then we will post take a call whether to do something like warehousing or we can develo p it as a farm house plottin g or plots , residential whatever is the best views at that point of time .

Mohit Agarwal : Can you quantify or can you give some color on what are these land parcels that you are identified or where there is potential like how big this could be or and what a re the
timelines around that ?
Jagadish Nangineni : As you might ha ve seen in land bank, we have large land parcel in peripheral areas of
Bangalore and Hosur, in Chennai so these are the first one we are addressing so the
timeline s and magnitude we will be ab le to give better clarity as we work on that and I am
not able to divulge the complete details at this point of time .
Mohit Agarwal : Okay sure thanks a lot that is also my side.
Moderator: Thank you . Ladies and gentlemen that was the last question for the da y I would now like to
hand the conference over to the management for closing comments .
Jagadish Nangineni : T hank you all for participating in the call and patien tly hearing. We believe we are
structured far better both financially and operationally

to addre ss the sustained demand in
construction industry. T his enables us to execute the discipline growth in the coming years
with that I wish you all a very happy long weekend. T hank you very much.
Moderator: Thank you. On behalf of ICICI Securities Limited th at concludes this conference call.
Thank you all for joining us and you may now disconnect your lines. SOIHIA

Call: Nov 2022

... Ill SOBHA
PASSION AT WORK
Date: November 19, 2022
To The Deputy Manager
Department of Corporate Services
BSE Limited, PJTowers, Dalal Street
Mumbai -400 001
Scrip Code: 532784
Dear Sir/ Madam, To The Manager
The National Stock Exchange of India
Limited Exchange Plaza, Plot No C/1, G Block
Bandra Kurla Complex
Mumbai -400 051
Scrip Code: SOBHA
Sub: Transcript of Meetings with Analysts/ Institutional Investors
In continuation of our letter dated November 11, 2022 and November 14, 2022, please find enclosed herewith the transcript of the conference call held on Tuesday, the 15th day of November, 2022 with the Investors/ Analysts to brief the operational and financial performance of the Company for the quarter and half year ended September 30, 2022.
We request you to take the aforesaid information on record in terms of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and the same is available on the website of the Company.
Yours sincerely,
FOR SOBHA LIMITED ~
VIGHNESHWAR G BHAT
COMPANY SECRETARY & COMPLIANCE OFFICER
MEMBERSHIP NO.: 16651 SOBHA LIMITED
REGO & CORPORA TE OFFICE : 'SOBHA', SARJAPUR -MARATHAHALLI OUTER RING ROAD, SELLI\NDIJR PCST, BANGALORE -560 ! 03. !NOIA
CIN; L4520-IKAl995PLCOl8475 J TEL: +91-80-49320000 ! FAX: +9180 49320444 J www.scbha.com

"Sobha Limited
Q2 FY 2023 Earnings Conference Call "
November 15, 2022

MANAGEMENT : MR. JAGADISH NANGINENI – MANAGING DIRECTOR , SOBHA LTD.
MR. YOGESH BANSAL –CHIEF FINANCIAL OFFICER , SOBHA LTD.
MR. RAMESH BABU –SNR. VP, FINANCE , SOBHA LTD.
MR. VIGHNESHWAR BHAT –COMPANY SECRETARY AND COMPLIANCE OFFICER , SOBHA LTD.
MR. SOUMYADEEP SAHA – HEAD - INVESTOR RELATIONS , SOBHA LTD.

ANALYST : MR. ADHIDEV CHATTOPADHYAY – ICICI SECURITIES .

Moderator: Ladies and gentlemen, good day. And welcome to the Q2 FY '23 Earnings Conference Call of Sobha Limited, hosted by ICICI Securities. As a reminder, all participant lines will be in the listen only mode, and there will be an opportunity for you to ask questions after t he presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the

conference over to Mr. Adhide v Chattopadhyay from ICICI Securities.
Thank you, and over to you, sir.
Adhidev Chattopadhyay: Good evening. On behalf of ICICI Securities, I'd like to welcome everyone on the call today. Today from the management of Sobha Limited, we have with us Mr. Jaga dish Nangineni, the Managing Director; Mr. Yogesh Bansal, the Chief Financial Officer; Mr. Ramesh Babu, the Senior VP, Finance; Mr. Vighneshwar Bhat, the Company Secretary and Compliance Officer; and Mr. Soumyadeep Saha Head IR I'd now like to hand over the call to the management for their opening remarks. Over to you. Thank you.
Jagadish Nangineni: Good evening, everyone. Thank you, Adhidev, for your kind introduction and for organizing this call. My team and I are happy to interact with you post our second quarter results of this financial year. We have already shared the operational update of the company in early October 2022. The investor presentation for this quarter based on the financial results adopted by the Board can be downloaded from sobha.c om.
The three months of July to September 2022 quarter was excellent for us on several fronts. I'll quickly give some color on our real estate sales, launches, collections, debt, project completions, manufacturing and contracts. Also, I would also like to briefly touch upon some modifications in accounting policy that we have adopted based on recommendation of our new auditors .
As for sales, we have achieved our higher sales value of INR 1,164 crores and highest price realization of INR 8,709 per square feet. This was done even with new launches only done towards end of the quarter, which shows steady demand in an inflationary an d increasing interest rate regime. This quarter, as you have all seen, we saw two more interest hikes by RBI to take the repo rate to 5.9% and hence, the home loans now are north of 8.5%.
Price hikes were done during this quarter in a calibrated manner. An d based on that, we have achieved a 3.3% growth over the previous quarter and that seems to have been successfully absorbed by our customers. Bangalore for the second quarter in a row has done more than 1 million square feet of sales and mainly aided by our presence in multiple micro markets of the city. We have to keep in mind that this was achieved with several impairments in the form of infrastructural breakdowns in cities, due to rain and inauspicious periods, which typically slows the sales process.
So this, we believe, showcases increasing depth of demand, wider brand acceptance of Sobha, sustained customer confidence, higher affordability, aspiration for higher quality homes and

larger ones. In addition to all this, we believe in certain pockets of fe w cities, there is demand/supply mismatch in the favor of far higher demand versus lower supply. Hence, we are able to achieve some of the consistent and good numbers in this quarter. Hence, overall, a good quarter for the sales.
Coming to the rest of the country, Trivandrum, Capital City of Kerala has become our 11th city of our real estate operations with the launch of Sobha Meadows, Whispering Hill. Initial sales also have been very encouraging in the city. During the quarter, we have launched two more projects, Sobha Ins ignia and 3

more towers of Sobha Brookl yn towers at TownPark.
In addition to this, we have made good progress on future launches, which are part of our pipeline in Bangalore, Hyderabad and a new phase launch in Gurgaon, which is part of existing unreleased inventory. With these, we have currently have an inventory of about 23 million square feet, about 12 million of that in ongoing and 11 million in forthcoming projects.
This gives us good visibility of inventory pipeline, while we continue to pursue new business development and bringing existing land bank to inventory stage. Our contracting and manufacturing too is witnessing improved activity for delivery of in-house requirement and external clients. So during the quarter, we received new civil contracts order worth of about INR 140 crores for building a commercial office space in Bangalore.
In real estate, we have partially completed four projects and one quarter development with a total developable area of 1.28 million square feet ready for customer handover. I'm also happy -
- very happy to share that we have achieved highest ever operational collections in the history of our company, 13.35 billion, or this is completely due to our relentless focus on operational excellence and hence res ulted in a net cash flow generation of INR 221 crores to INR 2.21 billion, bringing down our debt in the eighth consecutive quarter to current INR 18.89 billion.
The cost of debt is also under control at 8.57% at the end of the quarter. And coming to the l ast point, which is with this quarter, I'd like to mention that we have new auditors after KPMG completed their term. They have suggested some changes in the accounting procedures, which we thought are more appropriate and hence gone ahead with the same.
The main changes are to do with treatment of interest on customer advances, which was earlier reported both in revenue and cost as interest income and expense, reallocation of borrowing costs between projects and lands, recognition of additional revenue increase of joint

development projects. All of the above have contributed to minor changes in the financial numbers of prior periods purely from an accounting standpoint. In case of any specific queries in this regard, please do reach out to our Investor Rel ations team. We'll be happy to address them.

With this brief commentary, I would like to hand it over to Yogesh, our Chief Financial Officer, to give his comments on the financial quarterly performance.

Yogesh Bansal: Thank you. Good evening, everyone. I would like to summarize our performance of Q2 FY '23 and half year ended 30th September 2022. Sales highlights for Q2 and H1 FY '23 - This quarter, we sold total of 13,36,828 square feet in Pan India. This takes the half yearly total sales volume to 26,95, 548 square feet which is our highest for any half year ended.

Our quarterly sales volume has been holding steady at 1.3 million square feet since Q4 FY '21, except for COVID impacted Q1 FY '22 quarter. Bangalore has achieved 1 million square feet of sales for consecutive quarter aided by new launches and steady demand. For the half year total sale volume was INR 23.10 billion, and Sobha 's share of INR 19.13 billion, both highest ever performance for a half year period.

Total sales volume up by 20%, sale va lue by 35%, Sobha 's share of sale value by 34%, , as compared to H1 FY22 . Cash flow highlights Q2 FY '23 - We achieved highest ever quarterly collection in Q2 FY '23 of INR 13.35 billion, higher by 19% as compared to Q1 FY '23 and 46% compared to Q2 FY '22 last year.

Out of this real estate collection was INR 10.82 billion, higher by 22% Q -on-Q and 49%, year - on-year basis. Contractual and manufacturing contributed INR 2.53 billion, higher by 10% over Q1 FY '23 and 33% over Q2 FY '22. Net operating cash fl

ow was INR 3.6 1 billion, higher by 93% compared to Q1 FY '23 and 104% compared to Q2 FY '22.

During the quarter, construction s pends is INR 4.53 billion which is highe st quarterly allocat ion till date. Net cash flow for the quarter is INR 2.21 billion , note that during the quarter, we have paid dividend also of INR 28.5 crores. It is an increase of 64% from Q2 FY '22. As on 30th September, net -debt stand at INR 18.88 billion. During the quarter, we have reduced debt by INR 2.21 billion. Net debt -to-equity be reduced 0.77%. Our borrowing cost for the quarter, quarter ended 30th September '22 is 8.57%, which has slightly increased from last quarter. Quarterly financial outflow was INR 534 million.

Cash flow highlights for H1 FY '23 - For the first half year operating cash inflow improved to INR 24.53 billion, higher by 50% compared to H1 FY '22. The increase is supported by 55% higher collection from real estate of INR 19.7 billion, 34% higher collection from contract and manufacturing business compared to H1 FY '22.

During the first half of the year, our construction outflow was INR 8.40 billion, an increase of 66% from H1 FY '22. We have generated net operating cash flow of INR 5.47 billion during H1 '23, that same up by 76% as compared to H1 '22. Free cash flow generated in H1 FY '23 is at INR 4.48 billion, up by 499% compared to H1 FY '22. In the last eight quarters, we have generated total INR 11.61 billion of free cash flow.

Financial highlights, Q2 '23 - Total income for Q2 '23 stand at INR 6.77 billion, up by 19% a s compared to Q1 '23. Real estate revenue for Q2 '23 stands at INR 4.44 billion. Contractual and manufacturing vertical revenue for Q2 '23 stands at INR 2.23 billion. EBITDA for Q2 '23 stands at INR 1.02 billion margin at 15%, PBT for Q2 '23 stands at INR 0.34 billion margin at 5% PAT for Q2 '23 stands, INR 0.16 billion, margin at 2%.

Financial highlights for H1 '23 - Total income for H1 '2 3 stands at INR 12.47 billion. Real estate revenue for H1 '2 3 stands at INR 9 billion, contractual and manufacturing vertical revenue for H1 '2 3 stands at INR 3.05 billion. EBITDA for H1 '23 stands at INR 1.80 billion margin at 14%. PBT stands at INR 0.43 billion margin at 3%, PAT that is INR 0.21 billion, margin at 2%. I would like to thank you all the participation for the patient hearing, and now we can open the floor for question-and -answer -session.

Moderator: The first question is from the line of Pritesh Sheth from Motilal Oswal.

Pritesh Sheth: So firstly, if I look at your inventory from both ongoing and completed projects, is right now at around nine months, which is pretty much lowest in industry, so is it now we would be aggressively looking in terms of launches? I mean, last two quarters, obviously, we have had project launches, but those were on an average 1 million, 1.5 million square feet. But do we think that we need to accelerate on these launches from here on to have a further growth on the pre-sales numbers?

Jagadish Nangineni: Good e vening, Pritesh. If you look at our inventory, that's about total inventory that we have is about 23 million square feet, a little over 23 million square feet. So I think with the current run rate of about five, between 5 million to 6 million square feet, we have overall inventory of about four to five -plus years. Of course, we do not show the entire inventory that is still underdeveloped, under various stages , where we are still, where we are confident that it is going to get into inventory.

So we will co ntinue to add to the new inventory, both from our existing land bank and with new business development that we are going to do. So to answer to your question, first, we do believe that we have reasonable inventory visibility. And that's been one of our big gest strengths. And go

ing forward also, we are making incremental progress and but a steady progress in getting new inventories to, for the pipeline. And yes, you are right that the pace of sales has increased, and that's what we have to cater to going for ward.

Pritesh Sheth: Right. So probably in the second half, what is the visible pipeline that we have out of 10 million, 11 million square feet of new projects, what is the visible pipeline we have in terms of launches for second half particularly?

Jagadish Nangineni: Yes. It's a little tentative, but if everything goes right, I think we can bring about 4 million square feet of space in terms of new launches.

Pritesh Sheth: And in terms of margins for last couple of quarters, they are at like 13%, 14% on the EBITDA. Obviously, I can understand contractual business has been impacted. But just in terms, if you can comment on what are the current margins that we have in both residential and contractual? And how do we see over a medium term or near to medium term over the next two, three years, the residential margin should pan out? I understand the complexity of the accounting thing, but just on a steady -state basis, what should be the residential margin that we should look at?

Jagadish Nangineni: Yes, you're right that the margins have come down a bit in the last couple of quarters. I mentioned it in my last, previous quarter call as well. This is largely to do with the contracts, particularly which we have, there were issues in terms of cost escalation and some of the contracts getting terminated during the COVID period, where we started work, but some of the clients could not continue the projects.

So these are the ones which have affected the margins, both in Q1 and this quarter as well. And we believ e that it's largely done, and hopefully, things should get back to normal from next quarter. Specific to real estate, I think we are at an EBITDA margin level, we are north of 25% from here on. And at least for the projects which are getting completed in t he next couple of quarters. And for contractual, now going ahead, still because of the cost inflation, the contractual environment looks still tough. And hence, we don't expect big changes in the margin, but I think we will be able to manage it better from here on.

Pritesh Sheth: And one last, if I may. So cash flow performance for this quarter and last five quarters, six quarters have been really great. We have brought down debt to around INR 1,900 crores. It looks like we should be at around INR 1,500 cr ores by year -end if this performance continues. So by when we would start looking at investing into newer land acquisitions or newer land acquisitions or newer JD As and focus on further growth?

Jagadish Nangineni: Growth is something that naturally we are going to invest in. Hence, I think that the same performance we might not be able to continue in terms of cash flow generation, the pace at which we were generating cash. So extrapolating and making it 1,500 by the end of financial year or two or three quarters, we would also like to do it, but at the same time, we have developed a reasonable business development pipeline. And as things come to fruition, we start investing in those, probably we will not be able to achieve that number so quickly, but our goal is to consistently keep reducing debt.

Moderator: The next question is from the line of Puneet from HSBC.

Puneet J. Gulati: Yes. Good performance on cash flows. And you also mentioned that you will not be able to achieve INR 1, 500 crores in a hurry so i t seems like you're going ahead seriously on business development. Can you talk a bit about what are your plans for monetizing your existing land as well?

Jagadish Nangineni: When I say business development Puneet, for us, it is about getting what -- wheth er it's an

existing land bank or new deals, getting them on to invent. So it's a combination of both. And existing land bank, we are making steady progress. And I do not have exact timelines for each one but the some of the land parcels which are large and which can get where we can get the projects into an inventory stage such as Hoskote and even in Hosur.
The efforts are consistent and constant to make sure that they will come into an inventory stage. So the timeline of that, I think we still have to give a few more years before which we can launch the project. And meanwhile, while that's happening, I think I believe that we have reasonable existing inventory to catch up with the kind of pace of sales that we are doing.
Puneet J. Gulati : Okay. Sorry, did you say a few more years for Hoskote and Hosur?
Jagadish Nangineni: Sorry , for I should not be combining both, but Hosur is in a very good -- a reasonably advanced stage. We have certain small issues at the local level, which we are sorting out and that sho uld come a little bit faster. And Hoskote, the thing is we can get that into an inventory stage quickly -- that's not the only objective that we have. We are trying to achieve two objectives there. One is not only that we need to bring it, but also do it in a manner which is like a larger township and with all integrated facilities inside it. And hence, it might take a little longer.
So based on how things progress in the next few quarters, on the land acquisition front when we'll have to fill in the chees zos there. Based on how we make the progress, we'll take a quick call on whether to start doing start designing and putting up for approvals from the existing one or we continue to do, keep progressing on the land acquisition, so that we bring out a project which is much larger in scale at probably a year -- probably sometime in the future. So it's a trade-off between the timeline and also making sure that it's a large and integrated piece versus it's a quicker inventory stage. So that we will be able to take a call in the next quarter or 2.
Puneet J. Gulati : Okay. My next question is on your entry into Trivandrum . This is another city that you've entered. How does that impact management bandwidth and all other organization issues, of entering multiple cities, while Bangalore still remains quite dominant, followed by NCR and everything else is very, very sporadic in some sense.
Jagadish Nangineni: It appears like that surely. However, if you see the way we are structured, I mean, we are thinking Kerala as a single region. It's not necessarily that each city is separate because largely, the bylaws are the same. The management is the same and even the sales teams are largely similar. And the audience, the customer base is also from a geographic standpoint, it's reasonably well understood. So Trivandrum specifically entering has not really taken any of our significant bandwidth. In fact, the bandwidth of the Kerala management team has been much better utilized.
That's how I would look at it.

Puneet J. Gulati : Understood. That's helpful. My last one is on the cost of borrowing. Now that cost of borrowing has gone up a bit, if there were to be no more hikes, do you still expect your cost of borrowing to go up? Or should it come down on account of some refinancings, et cetera?
Jagadish Nangineni: We are continuously trying to do refinancing, but re financing is not necessarily coming at the similar cost, right? So this cost of borrowing is at the end of the quarter. We have already seen some increases by some of the financial institutions because mo st of the finance cost is linked to the MCLR rate so based on the cy

cle of that, it naturally gets triggered.
So I don't see it coming down, but since we are generating a positive cash flow, our ability to hold on and try to see if we can get better rates is where we have an edge there. So while we try to get better rates, but I don't think we'll be able to do lower than what we are doing. I mean -- if it happens, it might be one -off, but it's not regular tea. So in case there is no increase in the interes t rates going forward. That's great news. We should be able to be in a similar range .
Puneet J. Gulati : Right. So in case there is no interest rate, your borrowing costs will also hold on here. There is no lag effect, which is yet to come in, right? Is tha t the right understanding?
Jagadish Nangineni: Yes, largely, that would be the case. Yes.
Moderator: The next question is from the line of Parikshit Kandpal from H DFC Securities.
Parikshit D. Kandpal: Congratulations on the commendable performance, especially on the debt reduction. So is it right to understand again that this will be the almost the bottom level for the debt ?
Jagadish Nangineni: Good evening, Parikshit. From a debt standpoint, like I mentioned, our long-term goal is to keep reducing the debt . And we have started, thankfully in the last few quarters of good cash flow from the existing operations so like I mentioned earlier, we would like ideally like to use much more of the free cash flow that's available to business development as well. So if that comes to cushion, then probably it's not at the same pace as debt reduction. But at the same time, I will not say it's the bottom most level. I don't know what's the time period that you're looking at, but if it's in the next 2 or 3 years, then proba bly we should be doing better than what we are.
Parikshit D. Kandpal: So my second question is the first to your total of 23 million square feet of upcoming and ongoing unsold areas. It's about, as we said, 4 years of inventory. Roughly about INR 18,000

crores at the current prices in terms of valuation while cross development value. So every year, if you are telling about seeing no growth at INR 4,0 00 or INR 4 ,500 crores so how do we intend to replace it more from a 4 -year perspective, this 18,000 any gets written down . So we need to incur roughly if I take 1:6 or 1:7 conversion on GDB to land.
So we will need us about INR 2,400 crores, INR 2,500 crores on the land if we buy an outright basis. So just wanted pick your brain on this INR 18,000 crores, I NR 19,000 crores every year,

we're running down 4,500 assuming. So how much do we intend to make this development in it from own land and how much on the market?
Jagadish Nangineni : Good question, Parikshit. We have thankfully good land bank to start out with. And hence, if I look at next couple of years, then probably we have to replace or add additional inventory to our current ones, I think fairly about 40% to 50% of that can come from our existing land bank. And the remaining, we'll have to do - we'll probably not necessarily do an outright, but it's a combination of several structures that we need to do.
So we'll have to look at from what's our goal in terms of the overall sales, even if currently, we are at between 5 million to 6 million square feet, if we increase it to - we would like to increase it to gradually towards 7 to 8 and move towards 10, that's the our mid-term goal. If we have to move towards that, probably this is the kind of investment that we will have to do.
So that will come from th at, that will come from all these investments have to come from naturally from existing cash flow that we are generating. Last year, we generated a cash flow of about INR 515 crores. This year, we have already done about INR 450 crores, although about
150 of that has come through a land s

ale. So we are also in a similar run rate of about INR 500
crores to INR 600 crores this year as well. So I think to start with, even if we utilize two thirds of it then we should be able to start filling out the requiremen t for the new pipeline that needs to be created.
Parikshit Kandpal : So basically, you're saying about INR 300 crores, you can invest towards capex on land, and we can give you about 6 to 7x over INR 2,000 or INR 2, 500 crores of gross development value l in addition from the external sources?
Jagadish Nangineni: That's right. That's to start out with, we'll see how opportunities and also what's the kind of pipeline that we can build out. So we have to be , we have to balance between a little bit patient and also we have to make sure that we fill in the pipeline too. So we have reasonably good pipeline in terms of land already in place. So slowly, we are working towards it, and we will start seeing them in t he next couple of quarters.
Moderator: The next question is from the line of Mohit Agrawal from IIFL.
Mohit Agrawal: My first question, just in fourth quarter call, you had mentioned that for fiscal '23, the sales is likely to be flattish on a year -on-year basis. Now if you look at the first half numbers and
assuming that first half numbers are repeated in second half, we easily see a 20% growth in value. So what is the outlook in the second half? And what do you think has changed versus
what you had guide d in the fourth quarter?
Jagadish Nangineni: Good question, Mohit. I was happily wrong on the assumptions that remain in terms of flattish growth. There were several reasons for which we have - we thought that it might be - there can

be potential reason fo r flattish or similar kind of volume what we have done last year, increasing interest rates and probably new supply that's coming in, etcetera. Most of those have not dampen the demand, and that's very heartening to see. And we continue to see reasonable demand even after this , particularly the interest increases and also the price hikes that we have done.
Considering where we are in terms of the first two quarters and what we are witnessing on the ground. I think we should be able to do much better than what we have, what we thought we will do, which is similar to 5 million. I think potential for us to do beyond 5.5 million to close to 6 million is quite there if everything works out for us.
Mohit Agrawal: So a similar run rate in the second half or you could do better than that?
Jagadish Nangineni: I think , if we are optimistic and some of the things work out, both in terms of getting some of the new inventory in in Bangalore. And we are doing a new phase launch in Gurgaon, which is in So bhacity, about one million square feet. And both of them work out, probably we can do much better than what we think. In the first half, we have done roughly about 2.7 million square feet. We should be able to do more than 3 to 3.5 million square feet.
Mohit Agrawal: And m y second question is, when I look at your buyer profile, now more than 50% of your

buyers are coming from the IT/ITES segment. Just trying to understand, is it a Bangalore standard or would you have a higher share or lower share of the IT and does that wor ry you in case for slowdown, we're already seeing something in the global developed market. So what are your thoughts on that?
Jagadish Nangineni: Traditionally, since past more than a decade by er profile largely the Bangalore buyer profile has remained similar. And Bangalore demand seems to be reasonably consistent even today. And if you see the Bangalore, I mean, the tech talent and the opportunities that they have, that's both wide and deep. So I'm really hoping that it does not impact the significant section. You can see that the tech is not just

one space. It's got several sub spaces. So small space is getting affected surely yes, and that's grabbing a lot of headlines. But I think a lot of the other demand side,
which is in other sections of the tech, I think they are fairly stable. And that's where we are seeing the demand still strong.
Moderator: The next question is from the line of Murtuza Arsiwala from Kotak Securities.
Murtuza Arsiwala : Sir, I just wanted a clarification on the change in accounting. And if I may draw the attention to the notes to accounts fourth point where you put in much detail most of those numbers. So if I read that right, essentially, what you're saying is, let's say, for the year 31st March 22, your revenues because of the change are revised downwards by about 1.1 billion. Your expenses have been revised down by about 1.7 billion. And consequently, PAT is revised upwards by about 500 million. Am I reading that right?
Jagadish Nangineni: Largely, that's right.

Murtuza Arsiwala : That's how we want to read that entire Table, this is mostly do with the interest that you used to accrue on advances from customers. It's mostly you around those accounting sort of routes?
Jagadish Nangineni: Yes, that's right. L ike I mentioned, there are three aspects to the big aspects which contributed to this change. First is the reallocation of the borrowing costs between projects and lands and land advances Second one is how we treat the interest on customer advances, which was earlier
we used to have it both in note income, which was reported in revenue and cost and cost as interest income, interest expense, that second.
Third is also a recognition of additional revenue in case of joint development projects. We used to recognize only the revenue, which is our share as the revenue earlier. And now we are part of
it with a small accounting change, we are going to recognize part of the obligation that we have to fulfil for the landowner as we ll. so...
Murtuza Arsiwala : The landowner share would show up as an expense now as opposed to you recognizing net revenues?
Jagadish Nangineni: No. The cost of construction for the landowners, which we provide as a service to him, that will come up as a revenue. And it will come out as a cost as well , on both sides.
Murtuza Arsiwala : Okay. Thank you.
Jagadish Nangineni: So in case you would like to understand it in more detail, and we'll be happy to take it offline.
Murtuza Arsiwala : I think I'll wan t the third part, just get a bit sense or handle on that growth?
Moderator: Next question is from the line of Parvez Qazi from Edelweiss Securities.
Parvez Qazi Congrats questions for a great set of numbers, especially on the cash flow side. So my question is on the pricing front. I mean, you have said that demand remains strong despite the mortgage rate hikes , What is the outlook on the pricing side one for at a systemic level and second especially for your set of projects going ahead?
Jagadish Nangineni: Now price hikes. I think we are largely there in terms of what we should be able to do opportunistic in terms of there is still demand surge that's happening in specific projects, we'll
be able to , we can look at those, but it's going to be a li ttle bit calibrated. And the increments are going to be far smaller in nature.
Sorry, Parvez, just to add to that. Our objective earlier, it's clear that across the industry was to increase the price to cover a sudden increase in the cost. While that has h appened, we have also seen that it's helped that the demand continue to be strong in spite of the pricing increases . Now it's very tricky now we have to see how the price increases and the demand stabilization, where

do we balance it that we'll have to clo sely watch on a project -by-project and location -by-location and sort of balance it.
Parvez Qazi: Second question is on geographical diversification. We are present in almost 12, 13 cities will probably enter Hyderabad soon. So do you have a number in mind that maybe two years, three

years, five years down the line, you would want who have a certain share outside Bangalore.
Jagadish Nangineni: Yes. I mean if we have to go to a larger number in terms of volume, then we will have to be more, get more of this volume from outside Bangalore. Right now, like we have seen that 1 million square feet in Bangalore is a possible scenario if we have the right inventory and the right conditions are present. So even if you take 4 million to 5 million square feet from Bangalore, the stock rate has to come from the rest of the cities that we operate in. So in the medium term, I think it should, the current … I mean there will be about part of it more than maybe 40% coming from outside Bangalore .
Moderator: The next question is from the line of Siddharth Misra from Fidelity International.
Siddharth Misra: This is just a follow -up to the previous answer, which you gave. So you mentioned that you wanted to increase pre-sales gradually and diversify across geographies, and you w anted to go towards 7 million to 8 million square feet and medium term towards 10 million square feet. So just wanted to understand the 7 million to 8 million square feet, do you have the visibility of reaching there in the next two to three years, or it w ill be further out, what is the time frame of this pre -sales based on the visibility which you have right now?
Jagadish Nangineni: Siddharth, there, our goal is to have a consistent pre -sales of about 7 million to 8 million square feet. So I mean, consistency might take a little bit longer, maybe over three years. But maybe if there is a certain, because of certain projects, certain scenarios where there is a, we can achieve a faster sale in a few projects. Then I think we can achieve over 6 million also in this year or next year. So I don't know if that answers your question, which is how fast we can. We can achieve, but the objective is not just to achieve at one time but also achieve consistently. So that might, that is more linked to even the business de velopment that we will do, it should go hand-in-hand with the sales that we are doing, so that I think it will take a little longer, maybe about another three years or so.
Moderator: The next question is from the line of Biplab Debbarma from Antique Stock Broking.
Biplab Debbarma: Sir, one question is on the cash flow. So can we expect this kind of steady cash flow going forward? Is it the new normal in terms of cash flow, operating cash flow and how do you intend to use this cash in or some kind of ballpar k guidance? How do you intend to, are you going to consistently reduced gross debt or we are going to use some part in business development and all, so does give us some guidance on that, cash flows?

Jagadish Nangineni: Yes. Biplab. The cash flows - we hav e been focused on cash flow for the last couple of years. And that's the reason why you can see that there has been a steady reduction in the debt, which is generating free cash flow. I think that's the way we would like to ideally operate going forward as well.
Only thing is the values of it, which is it going to be in the similar range or it's going to be a little higher or lower. That's a function of the other operations, which is how much do you spending on the construction, how much is the pace of sales that will happen and our collection and so on and so forth. But largely, we believe that the quality of sales that we are doing and the collections we are able to do, th

at's it become much better in terms of process and in terms of the daily operat ions. So our ability to manage the cash flow has become surely superior. And we would hope to continue this performance in future too.
Coming to usage of this free cash flow, like we have been saying earlier, we will have to use it to do new business development witho ut which we cannot develop a pipeline in future and this reduction of the debt has also come through not as high spending in terms of land. For the last year / 1.5 years, we have not spent much on new lands. And that's one of the biggest reasons for the reduction of the debt at this space. So if you do start building up the pipeline for new land, I don't think it's going to be there at the same pace.
Biplab Debbarma: And my second and final question is on your geographical footprint. So sir, are we being opportunistic in terms of geography like you started in Kerala, one city to another city, Thrissur, now only in Thiruvananthapuram, and in terms of instead of focusing on the key big markets, like for example, you have a dominance in significant presence in Bangalore and also great presence in Gurgaon now planning to enter in Hyderabad, so in the top or top six, seven cities, that's where every developer wants to be in.
So my question is how you are approaching your increasing new footprint so that you achie ve your target of 7 million to 8 million square feet. Is it like opportunistic where we get, we go there or we have some strategy in mind, like big cities or maybe in cities where there is lack of competition? How we are going approaching this your geographical expansion?
Jagadish Nangineni: Right. So Biplab, the good part for us is we have been present in all these cities, which is 11, now we're going to add Hyderabad also 12 cities in real estate operations is that we have a good understanding of the local markets. And we have been present i n most of the cities for a long

time. So that gives us an edge in terms of understanding of local dynamics both in demand and
supply and our ability to get into a new market and establish a brand and deliver so that gives a healthy, that can potentially gi ve us a healthy mix of both the existing locations that we are
operating in.
And also some of the focused cities that that most of the large developers will naturally be focused on, which is a large cities. NCR, MMR, Pune, Hyderabad, Bangalore, Chennai an d

maybe Ahmedabad. So these are the cities that even we would like to be focused on but there is
some, this diversification in terms of geography will help us even sometimes get the right set of deals and that would help us take a little bit more conservat ive cause on land. Sometimes
aggressive land closures can potentially lead to probably lower returns, but that's something that we would like to avoid i f possible.
Moderator: Thank you. Ladies and gentlemen, due to time constraint, we take that as the last question. I now
hand the conference over to the management for closing remarks.
Jagadish Nangineni: Thank you, Adhidev, and thank you all for participating in the call, your questions and patient
hearing. I hope we have answered your questions satisfactor ily. Our continued focus on
operational excellence, coupled with strong customer confidence in the brand are pillars of our
strength, helping us simultaneously achieve customer satisfaction and business metrics. We are
uniquely positioned through our verti cally integrated operating model and geographical
diversification to capitalize on the opportunities in the residential real estate space high urban
growth economic environment.
Our disciplined growth mindset, investment in technology and people and proce ss improvements
will accelerate growth across all our business segments. With an inventory pipeline of 23

million
square feet and our improved financial structure and high visibility of future cash flows we
definitely aim to deliver consistent long -term performance. And we believe that we are
structured to capture this kind of growth. With this, I would like to thank you for all your participation. Wish you all a very happy week and best of best for the rest of the year. Truly
appreciate your support. Thank you.
Moderator: Thank you. Ladies and gentlemen, on behalf of ICICI Securities, that concludes this conference.
We thank you all for joining us, and you may now disconnect your lines.

Call: Feb 2023

... -SOBHA
PASSION AT WORK
Date: February 15, 2023
To
The Deputy Manager
Department of Corporate Services
BSE Limited, PJ Towers, Dalal Street
Mumbai -400 001
Scrip Code: 532784
Dear Sir / Madam, To
The Manager
The National Stock Exchange of India
Limited
Exchange Plaza, Plot No C/1, G Block
Bandra Kurla Complex
Mumbai-400 051
Scrip Code: SOBHA
Sub: Transcript of Meetings with Analysts/ Institutional Investors
In continuation of our letter dated February 06, 2023, please find enclosed herewith the transcript of the conference call held on Wednesday, the 08th day of February, 2023 with the Investors/ Analysts to brief the operational and financial performance of the Company for the quarter ended December 31, 2022.
We request you to take the aforesaid information on record in terms of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and the same is available on the website of the Company.
Yours sincerely ,
FOR SOBHA LIMITED
VIGHNESHWAR G BHAT
COMPANY SECRETARY & COMPLIANCE OFFICER
MEMBERSHIP NO.: 16651
SOBHA LIMITED
REGO & CORPORA TE OFFICE: "SOBHA". SARJAPUR-MARATHAHALLI OUTER RING ROAD, BELLANDUR POST, BANGALORE- 560103, INDIA
CIN: L45201 KAl995PLCOl8475 j TEL: +91-80-49320000 I FAX: +9180 49320444 j www.sobha.com

“Sobha Limited Q3 FY2023
Earnings Conference Call ”

February 08, 2023

HOSTED BY :

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ANAGEMENT : MR. JAGADISH NANGINENI – MANAGING DIRECTOR – SOBHA LIMITED
MR. YOGESH BANSAL – CHIEF FINANCIAL OFFICER – SOBHA LIMITED
MR. RAMESH BABU - SENIOR VICE PRESIDENT , FINANCE – SOBHA LIMITED
MR. VIGHNESHWAR BHAT - COMPANY SECRETARY AND COMPLIANCE OFFICER – SOBHA LIMITED
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II /CIC/ Securities

 Moderator : Ladies and gentlemen, good day and welcome to the Q3 FY2023 Earning s Confere nce Call of Sobha Limited hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during t he conference call, please signal

an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Adhidev Chattopadhyay from ICICI Securities . Thank you and over to you , sir.
Adhidev Chattopadhyay : Good evening everyone. On beha lf of ICICI Securities, I would like to welcome everyone on the Sobha Limited call today. From the management, we have with us Mr. Jagadish Nangineni, the Managing Director, Mr. Yogesh Bansal, the Chief Financial Officer, Mr. Vighneshwar Bhat, the Company S ecretary and Compliance Officer, and Mr. Ramesh Babu, the Senior VP Finance. I would now like to hand over the call to the management for their opening remarks. Over to you! Thank you.
Jagadis h Nanginen i: Good evening everyone, an d welcome to the quarter three FY 2023 Earnings Call. Apologies for the delay in the start of the call due to last minute connectivity issues. Thank you, Adhidev and your team for organizing this. My team and I are happy to intera ct with you all post our third quarter results of this financial year. We have already shared the operational update of the company in early January 2023. The investor presentation based on the audited financial results adopted by the board can be d ownl oaded f rom sobha.com.
Highlig hts of the quarter – the momentum continues
In Q3, we built on good momentum we had in the first two quarters of this financial year. All regions and businesses have contributed well towards better result in terms of sa les, completion of projects, collections in real estate, co ntracts , manufacturing and retail. This has led to record numbers in this quarter, highest ever sales, collections and also highest handovers in the recent years

post COVID. This I believe is achie ved with high level of focus, coordination and alignment across th e 3,300 plus team members across India. This also showcases stability in demand through sustained consumer confidence, higher affordability, appeal for brand Sobha and aspi ration for higher qua lity homes and larger ones.

 Sales - aided by geographical diversification
Our geographical diversification wi th presence in multiple cities in the past dec ade is slowly coming to cushion , which is witnessed in this quarter. While Bangalore continued to be consistent in contribution to our sales , Gurgaon also has contributed very well in this quarter.
With this q uarter , we have achieved a sale value of about 3 ,700 Crore s in the first nine months with other cities contributing about 30% of it. Contract ing and manufacturing to o is witnessi ng improved activity f or delivery of in- house and external clients. Give n the r un rate, it looks like we will be able to reach closer to 5 ,000 Crore sales in this financial year.
Inventory visibility
We did not launch any new projects during the quarter, but released more t owers from the ongoing projects, which contributed to the quarter sales. We are mak ing g ood progress on future launches, which are part o f our pipeline across locations w ith forthcoming projects included we currently have inventory of about 23 million square feet, about 11 million square f eet of that in ongoing projects. This gives us good visibility of inventory, and we continue to pursue building new inventories as well.
With this brief commentary, I woul d like to hand it over to Yogesh, our Chief Financial Officer to give his quick comments on quarterly performance before we take calls from all of you.
Yogesh Bansal : Thank you. Good evening, everyone.
Sales Performance
I would like to begin with t he sales. During this quarter we have seen good traction in sales and achieved 1.48 million square feet pan India with value of 1, 425 Crores. Sobha share o f sales volume has crossed milestone of 1, 000 Crores for first time in history. Key driver has been consistent performance in Bangalore, K erala and Gift City market s and exceptional good quarter from NCR.
During this quarter , we have launched 4 new tower in Sobha City G urgaon close to 6 lakh square feet, af ter red esigning in line with the post COVID trend of pre ference of larger homes. It was received well by the market resulting in record single day sales in Sobha history. NCR contributed 24% in volume and 35% in va lue terms to overall sales in the

quarter. In Sobha City, we have two more tower with SBA of 350,000 square feet which is
yet to be launch ed. For nine months we have sold total 4.17 million square feet with a value
of Rs. 3,734 Crores.
Cash Flow Performance
Now we will quickly talk a bout some cash flow performance. We have seen steady
improvem ent in sales and collection , we have done 3, 860 Crores in first nine months. We
have generated net cash flow of Rs. 120 Crores in the quarter and 568 Crores in last nine
months. We would like to maint ain a b alance between deleveraging and good growth
oriented capital investment going forward. Our gross debt as on 31st December is Rs. 2,007
Crores and net debt is 1 ,769 Crores. Our net debt equity reduced to 0.72.
P&L Performance
Moving to P&L. Total income generated d uring Q3 FY20 23 was 898 Crores and for nine
month 2, 162 Crores. Real estate revenue for the quarter was Rs. 674 Crores and nine month
1,568 Crores. Our EBITDA for the quarter was 119 Crores with margin of 13%.
We strive to continu ously improve our qual ity, processes and financial management. Now I
would like to thank you all for the participation, and now we can open the floor for the

question and answer session.
Moderator : Thank you very much, sir. We will now begin t he question-and-answer session. Anyone
who wishes to ask a question press *&1 on the attached tone p hone , if you wish to rem ove
yourself from the question que you may press *&2 . Participants are requested to use hand
set wh ile asking a question. Ladies and Gentlemen let's just wait for a moment while your
question que is assembled . We have the f irst question from the line of Punee t from HSBC.
Please go ahead.
Puneet : Thank you so much and congratulations on reporting good sales and firmly maintaining net
debt reduction as well. My first question is with respect to the margins. The margins again
we were seem to be quite lower even compared to the history, and compar ed to the previous
quarter also. Can you comment up on what is really happening ther e and what will drive it
up now. IW&II

 Jagadish Nangineni : Good Evening Puneet, On the margin front, I think we have menti oned in the earlier calls as
well. While the margins of real estate continues to be very stable and on expected lines of
what we desired at the time launches of the projects , the current quarter reduction in the
margins should la rgely be attributed to some of the contractual projects, which we are
completing d uring the course of the quarter, and the higher costs that we bore during the
COVID period, and which we cou ld not pass on to the customers. So hence the increased
expenses t owards that is contributed and I t hink with the closure of the projects in another
quarter or so largely this should be done, and we should be back to much high margins
going forward.
Puneet : So, two more quarters to go for the contractual, because it is visible in cash flows as wel l
your contractual expenses are higher than contractual collections. So you are seeing two
more quarters of this pain is what one should expect.
Jagadish Nangineni : Maybe just one more quarter. Yogesh, you have any other point.
Yogesh Bansal : Cash flow per spectiv e it should be neutral, we will no t see any negative in cash flow, but
P&L might take some hit probably in March quarter.
Puneet : So negative cash flow in this quarter itself and after fourth quarter the P&L impact also
goes away.
Jagadish Nangineni : Yes, right.
Puneet : Secondly on your proj ect expenses also. That seems to have also touched a run rate of
almost 500 Crores a quarter, is that the rate one should be looking at.
Jagadish Nangineni : That is right, Puneet good observation. Yes, the increas ed project spends purely is in line
with the increased project completions and the sales volume also has picked up. So we have
started increased delivery and wherever we have completed sales, we have accelerated our
execution progress as well.
Puneet : Cash flo w also at Rs. 744 million of payment which you received, can you describe what
does it relate to.
Jagadish Nangineni : So that is related to the land payments, you are referring to.
Puneet : Yes. IW&II

 Jagadish Nangineni : So that i s related to the new land i nvestment th at we have kick started again this quarter and
corresponding to that building new inventory pipeline beyond FY 2025 is where we start
investing and also to complete some of the payments, which are pending to bring t he
current inventory pipeline that we hav e into the line.
Puneet : Understood. So now you have kick started this n ew land acquisition. So it relates to new
more and less of old, is that how one should view.
Jagadish Nangineni : Can you please repeat.
Puneet : Does it relat es more to new acquisitions or more to old payments.
Jagadish Nangineni : It is a combination of three things, one is there are certain commitments, which we had for
the old land that we had or partnership

s that we had in order that is completion for that.
Second is for the existing land ban ks wher e we are consolidating and third is for n ew land
acquisition. It is a combination of all three.
Puneet : Possible to break it between the three.
Jagadish Nangineni : Break it, largely it wi ll be about 50% would be fo r the new acquisitions and remainin g
50:50 for the old and consolidation.
Pune et: That i s very helpful. Thank you so much, and my last one is on if there is any positive
development on the ED case and what is the status now, if you can update on that as we ll.
Jagadish Nangineni : During the quarter you have seen that we have informed exchanges regarding the ED
matter. There was a provisional attachment done by them and the matter is now sub judice
and while that has occurred , the provisional attachment we have noted in our information to
the exchang e, it has not impacted any of our existing operations.
Puneet : Any expectation of when it will get sorted out at the judicial level any time frame that you
could potentially guide so.
Jagadish Nangineni : That is a matter of judicial process we hope to con clude it as quickly as possible, but that is
something that i s very uncertain in terms of timeline.
Puneet : Got it. That is very useful. Thank you so much, and all the best.

 Moderator : Thank you. The next question i s from the line of Pritesh Sheth from Motilal Oswal. Please go ahead.
Pritesh Sheth: Thanks for the opportunity and congrats on record performance this quarter. Firstly is on
sales. So we have historically, I mean, in last couple of years you have graduall y increased
your sales run rate. So should we considered 14 billion as a new floor now and probably
you will look to maintain or grow on this number from here on.
Jagadish Nangineni : Thank you Prite sh. We are very happy with this new rec ord sales that we have ach ieved.
Now as we gro w more , the expe ctation for us , also is definitely to do bet ter tha n what we
have already achieved. So while that is an endeavor , but that i s the new benchmark that we
have set, so will surely work towards probably achie ving better than this.
Pritesh Sheth : Obviously to ma intain that you will have to have good chunk of launches as well an d good
amount of steady launches. So what i s the pipeline looking like over the next 6 to 12
months while you have highlighted your pipeline in the prese ntation, but in nea r-term
including the phases that probably you are going to l aunch, what is the launch that we can
see over the next four to five quarters?
Jagadish Nangineni : We have forthcoming inventory of about 12 million square feet as we have indicated in the
present ation. So of that about 1 million square feet should come in this quarter Q4 in fact
we have already launched about 800 ,000 of that by this time and remaining about 2 50,000
should come in the next couple of months. So that is about 1 million square feet an d then
next Q1 we s hould be able to do about 3.5 million squar e feet or so, and towards the end of
next financial year we should be able to do another 3 million square feet or so, and the
remai ning in the subsequent quarters that is roughly the launch schedule that we aim to
achieve.
Pritesh Sheth : Sure that is really helpful. Just lastly on, I can see one project, I mean, one commercial
project you have added in your pipeline that is in Gurgaon, if y ou can share some details on
it, is it t he in sector 10 6 or I guess it is the s econ d parcel that you have that is the l ocation,
but just if you can clarify on that.
Jagadish Nangineni : That i s right. This is part of the exist ing project international city, which in sector 106.
During the quarter we have done a r estructuring of the arrang ement with the existing
partners and hence this has come into the pipeline where this entire asset is o

wned by us
now. So that is an additional asset which we have put in the pi peline after that restructuring.

 Pritesh Sheth: So that is a commercial project meant for leasing or meant for sale.
Jagadish Nangineni : That is something that we are still evaluating and we will take a call in the next month or so during the process of design and new planning for the next f inancial year.
Pritesh Sheth: Got it. I have a couple of more questions, but I will join back the queue and ask later. Thank you and all the best.
Moderator : Thank you. The next question is from the line of Kunal Lakhhan from CLSA. Please go ahead.
Kunal L akhhan: Good even ing, thanks. My first ques tion is on NCR market, I mean, actually the big delta that is on the sales essentially came from the NCR market, and that remains the most luxury product in our portfolio in terms of realization also. So firstly w hat is happening over there in terms of luxury demand and luxury sales, and second part of the question is when I look at your launch pipeline I think only 1.7 / 1.8 million square feet of pipeline in NC R considering that market is really doing well. Do we have any other project s is that all we have now in NCR left. If you can comment on that.
Jagadish Nangineni : I will take your second question first, which is on the remaining inventory that we have in NCR and that 1.75 is the forth coming launches. Other than that the exis ting projects both Sobha City and International City, we have both put to gether close to about another 1.5 million square feet over that and in addition we have adde d this commercial piece as well. So both put together it is about more than 2 million squar e feet and plus this we hav e the forthcoming launch 1.75 millio n. So all of them put together is about 3.75 million square feet at least and we are working towards bu ilding up that pipeline as well. So we think we should be very comfortable given the deman d that has seen an u ptick , we should be able to cater to that. So now coming to the first question, there is no doubt that there has been a big uptick in terms of demand in NCR and Gurgaon where we operate and to cater to that demand , we have in the existing inventory also re designe d our remaining in ventory and launch ed larger homes, and that is where we could attract the customers and do record sales. So that planning or redesigning and getting to the new demands of the customer has really worked well, com bined with it, we ha ve been present there for more than a decade there are projects which we have completed and there are a lot of customers who have experienced our product that has really helped us drive this increased demand for our prod uct. IW&II
 Kunal Lakhh an: Just a follow up on the earlier question. The land investment that we have kick started from Q3 which geographies are we looking at in terms of n ew land purchases.
Jagadish Nangineni : So our overall plan has been to increase our sales run rate sustainably over 6 to 7 million square feet in the medium-term and part of which is about coming to Bangalore about 4 million or so. So the remaining has to come from the other geographies and corresponding to that we have started investing both in Bangalore and i n other locations.
Kunal La khhan: My second question was on the revoking of the occupation certificate for Sobha can you just provide some insights on what has happened here and what is the recent update now in that.
Jagadish Nangineni : That was a very unf ortunate event for u s. Whil e we have complied with all the regu lations we had to correct one of the compliance that we had obtained earlier which we did and correspondingly during the process the subsequent permission that we had to receive from DBMT we had already applied fo r it an d as

part of the process , they had c ancelled the existing OC for which we have already obtained a stay order from Karnataka Appellate Tribunal , however we would like to resolve the issue as quickly as possible and we have been wo rking with the autho rities who have been very cooperative to cl ose out the matter as quickly as possible.
Kunal Lakhhan: Sorry, I do not understand this right. So you said that you have applied for the relevant NOCs and clearances , but these are the occupation certificate which were received like over 2013 and 2016 and so on and so forth right. So should no t we be having these NOCs and clearances.
Jagadish Nangineni : Yes, this is a project which is where the project has been completed about six years ago and over a period of tim e finally we handed over in 2019. We had obtained occupancy certificate during that time. However , one of the complia nces, particularly fire clearances that we have obtained during that time were found t o be defective and those defective fire clearances have been rectified and resubmitted to BBMP. Now BBMP taking the rectified documents are in the process of regularizing the old occupancy certificates. So this rectification procedure is going on and we hope to complete that process ver y soon.

Kunal L akhhan: Essentially actually that is the ro le of contention how did these clearances or NOCs were inappropriate in the first place. So I think that was the question. IW&II

 Jagadish Nangineni : Yes, that i s right and t hat is something that we had to rectify.

Kunal Lakhha n: Thanks and all the best.

Moderato r: Thank you. The next question is from the line of Abhinav Sinha from Jefferies. Please go ahead.

Abhinav Sinha : Congratulations for seeing the strong cash flow perfo rmance for the past few quarter s. So the first questi on is that the gap between cash flow s and P&L whichever way we look at it is very high and refusing to close , for quite some time. So what is the target here, I mean, is it like FY 2024 will still be brin g that between the two and FY 2025 is when it m erges or what are we looking at here.

Jagad ish Nangineni : Sorry we could not hear the last part clearly can you please repeat that.

Abhinav Sinha : Yes, so by when do you expect the gap between that cash flows a nd P&L to reduce in terms of profitability and EBITDA and is it like FY 2024 or FY 2025.

Jagadish Nangineni : I heard most of your question now. So I do acknowledge your concern. Like we just mentioned earlier in the call, the main reason for the increased cost base for the revenue that we have recognized is la rgely to do with the higher spending that we have done in some of our contractual projects which we think that mostly it is done as those projects are coming to an end. So hence in a quarter or so in thi s financial year itself, we should be able to close out most of this increased cost and s ubsequent to it I think we should be back to much better EBITDA margins.

Abhinav Sinha : On EBIT basis what should be the margin from contractual that we should be looking at after the new pipeli ne that you have cr eated over the last couple of last three, f our quarters.

Jagadish Nangineni : On a gross margin level or a PBT level we typically aim about 8% and unfortunately, some of those margins got eroded during the COVID period an increased cost so which we could not pass on to the customers. So going forwar d we will still go by that number while choosing new contracts.

Abhinav Sinha : Second question on the balance sheet. The gearing has come down quite significantly and this quarter we saw you are putting 40% of the cash f lows into debt. Is that the right wa y to look at it, earlier you use d to talk about some debt reduction and some land banking. H ave we reached that stage today? IW&II

 Jagadish Nangineni : Yes, this is in continuation to our commentary for past few quarters where we were saying that our debt reduction goes up primary motive , initially , and now we think that we are reasonably comfortable with the gearing and post once we have a little bit of comfort now during the proc ess we were working on building up the new inv entory pipeline. So which we have started u sing that operational cash flow to build on those new opportunities, and like I said though the land payments corresponding to this quarter is in three buckets one is for the consolidation of the land second is in some o f the pending payments for bringing the existing inventory into fusion and third is for new pipeline.

Abhinav Sinha : This is also wanted to get some market sense from you on pricing here in NCR I think w e are now selling 3 Crores plus apartment priority an d this is 15k market I think our Hyderabad launch is about 15k and the pricing in Bangalore is also tending towards 10k so I mean is this like a sort of environment for even higher volumes from hereon.

Jagadish Nangineni : Fro m a pricing point of vie w I thi nk we have matured quite a bit and i f you consider last one and a half years so we have been continuously improving our price realizations and that is not a whole as such but that looks to be fairly mature now and that we are witnessing even in the new tow er launches or new launches that we are doing we are pricing in the higher cost and we are pricing in the new demand at the latest pricing levels. So and we are still seeing these good demand at this pri ce levels also. So all the leading indicators look like there the demand seems to be fair ly stable.

Abhinav Sinha : 12 months from now you will say sales next year between volume and pricing is even the sales goes or it will still be more pricing led.

Jagad ish Nangineni : I would say it depends on two t hings, one is on the inventory that is avai lable, that I think whenever we have done g ood launches and also catering to the end customers in terms of the new requirement of probably larger homes it has worked w ell and with this new pipeline that we have wh ich is in this quarter and the next quarter we are fairly comfortable

in terms of the volume to be similar or slightly better than what we are doing but pricing I think we should be also is not something that I am aiming for much better higher mix in
terms of pri cing. But if the demand continues to drive it then we would look at those price
hikes.
Abhinav Sinha : But no letup in demand right because there was some media report that Bangalore has seen
some sort of negative reaction to higher prices in one or two cas es or some discounting. For
you it s eems to be good going, but for the rest of the market that is my last question. IW&II

 Jagadish Nangineni : We cannot discount the reaction to the new price on increased prices second increase in mortgage rates. We cannot discount that however what I was mentionin g was it also
depends on the kind of inventory that you have at the locations where we are present, So
given that we seem to be doing okay right now. So we will have to wait and watch and s ee
how we can continue to do the volumes in such a probably slightl y mature market no w.
Moderator : Thank you, sir. The next question is from the line of Mohit Agarwal from IIFL Securities.
Please go ahead.
Mohit Agarwal : Thanks. Sir, my first question is o n a prev ious question on launches. So am I correct in
understanding that between now and end of FY 2024 you will be launching about 4 to 4.5
million square feet.
Jagadish Nangineni : Yes. For this quarter we plan to do about a million squ are feet like I men tioned we have
already done about 800,000 square feet in till now. We have launched our Hyderabad
project which is of about 650, 000 square feet in Janu

ary, and one more project in Bangalore
which is a row house project. So these two have been done and we have one more project i n
the p ipeline for this quarter. Subsequent to that the next quarter we hope to do about another
3.5 million square feet and post that the later part of the FY 2024 we should be able to do
another 2.5 to 3 million square feet.
Mohit A garwal : So sir is that enough to kind of looking at 5, 000 Crore this year and then assuming you
would want to grow double digit would that be sufficient to have decent double digit
growth over 5, 000 Crores.
Jagadish Nangineni : Well we have no t guided for a ny kind of growth yet, but we wo uld lik e to do better than
what we are doing today always. So given the pipeline of launches I think with the current
inventory and these launches I think we are fairly there to capture the demand that we are
already witness ing.
Mohit Agarwal : And my second que stion is in the notes to account the re is a note that there was a
termination notice by one of the contractual client. So could you give some details around
that and if you can share any details on that on the name or w hat happened in this contract.
Jagadi sh Nangineni : Well this is a contrac t, which we signed about in 2012 wherein there is an arrangement
between us and APMC to develop their part of their land and we building commercial
assets. So that par ticular project or agreement that we si gned is what t he note refers to. IW&II

 Mohit Agarwal : Okay understood that is all from my side. Thanks.
Moderator : Thank you. The next question is from the line of Parikshit Kandpal from HDFC Securities.
Please go ahead.
Parikshit Kandpal : Hi, sir, congratulations on t he Q3 q uarter. My first question is on the contractual business.
So given the margins, which we have declared. So is it right as you would have like get
losses of about 180 to 190 Crores in this financial year on contractual. Sir, I was asking how
much wo uld be the loss es attributed to the contractual business in financial y ear and till date
nine months FY2023.
Jagadish Nangineni : In this financial year probably the losses or the reduced marg in that we have the higher cost
that we have taken that should be in the range - for the n ine months it should be around 50
to 60 Crores, but this is the number that we can come back to you again if that is okay.
Parikshit Kandpal : Second question is on the way forward for the contractual bu siness now because this has
been a pain poin t for us i n this financial year. So how do you see the future of this business
within Sobha's entire development portfolio.
Jagadish Nangineni : So we have two legs ther e, which is one is the contractual business and second is the
manufacturing and retail busine ss. So the contract specifically that we have taken in the last
which we are executing in the last couple of years were have been the probably fallen into a
zone of lower margins, much lower margi ns than wha t we are anticipated. Given that we are
of course being very choosy in terms of the new contractor we are signing and that we have
started doing it since the beginning of this financial year after we have understood the cost

escalations and their impact. So considering that we will continue to see how we can shortlist and go after projects which fit into our requi rement of margins and cash flow.

Parikshit Kandpal : Just last question, in this Q4 you had launched Hyderabad and the n again in Bangalore and now RBI has again increased the rate by 25 basis point now we have convincingly crossed 9% on home loan. So just your initial sense on the demand on these new launches and given that the rates across line so how do you think what is your take on the demand.

Jagadis h Nangineni : The Hyderabad launch ha s been fairly good for us till now (a) and corresponding to the increase in

rates home loan rates and the higher prices like the like was mentioning previo usly in the call. The leading indicator still seem to be t hat dem and is fairly stable, but we cannot ignore the fact that the prices are higher now and the cost of acquisition of the IW&II

 home also h as gone up in terms of mortgages. So we will have to wait and watch, but I do not know how it is going to play out in the near -term, but what we believe is we have very strong brand acceptance and we have a strong good pipeline in terms of products that which are aligned with the customer needs today. So given that w e should be able to do fairly well in the overall market h owever it is. If it is good then definitely we should be doing better if it is stable that we are going to ride on that.

Parikshit Kandpal : Just lastly if I may sir. This financial to date what would be the new g ross development value addition, I mean, you h ave incurred some Cap ex about 37 Crores t his quarter which you said was a new land acquisition. But on a per park base in nine months and the third quarter what would be broadly the GDV new GDV addition outside your land bank.

Jagadish Nangineni : So histor ically we have not been mentioning any GDV or any s uch disclosures earlier if that is a requirement or if there i s something that we should do it then we will cons ider it and do it in the future. But the typical land investment that we do, those are one s which cont ribute towards the land bank and come into the inventory pipeline as and when the right milestones are hit.

Parikshit Kandpal : Thank you and all the best to you.

Moderator : Thank you. The next question is from the line of Deval Shah from RBS A Investment Managers. Please go ahead.

Deval Shah : I think most of my questions have been answered, but I just want a slightly more color on the other note two accounts when one of their customers has cancelled and ask for the compensation of 350 Crores. Just wanted mor e insight on that.

Jagadish Nanginen i: So that i s I think we have touched upon that earlier it is a contract that we have signed with APMC in 2012 wherein we had to, they were going to, it is in development agreement wherein we had to build part of their l and and we could build some commerci al assets for ourselves. That's the land in which there is a disagreement between us and hence the matter currently it is in judicial forums.

Deval Shah : And with regards to a project where our OC was cancelled . So what could be the financial implication of that because as you mentioned earlier in the question that was the earlier project which was closing 2019. So is it possible for us to estimate on the financial IW&II

 implications if at all it falls on the com pany and what is the likelihood. So just wanted to understand on that also.

Jagadish Nangineni : Our current focus is to make sure that the compliance is complete level and we think that the financia l implication is something that can be part of the routine expe nses so b ut we are still, we will assess that and it is too soon to come up with the number right now as and when it comes up we will make the right disclosures.

Deval Shah : And nothing more questions on that, but I hope the lapses we had or encounter earl ier as now being fille d with regards to the operation.

Jagadish Nangineni : Absolutely.

Deval Shah : Thank you, all the best.

Moderator : Thank you. The next question is from the line of Dhruvesh from Prospero Tree. Please go ahead.

Dhruvesh : Congratulations on contin uing good set of numbers. I have two questions, so when I see the story Sobha it started with management change, S emi cashes getting settled when there was this ED thing which came acr oss and there is this A PMC Judicial thing then there is OC relate d judic i

al aspects on the other hand contin uous improvements on the operation side is what we keep hearing. The lower margin on the contractual side collectively in the last 18 months a lot of bad news. Can we say that the kind of plumbing issues that we may be facing are 70%-80% done and you as th e new manager or the CEO in far better control of things. So that we can probably look at a better jump in terms of growth and the mindset towards growth.

Jagadish Nangineni : Like you mentioned there has been si gnificant improvement and also building on what we have already done earlier or in terms of operations no doubt about it so some of these issues have be en legacy issues in terms of it is not th at they are entirely new, but unfortunately some of them have n ew ones a lso have cropped up but we have been fairly been able to manage those and if we think that this is diverting our attention are not focusing on growth that is not something that is pr obably the right interpretation. While we are doing this the other part to wards the growth it is completely on that if a mature organization with a deep organizational strength. So hence we should be able to manage these issues and also move forward towards growth trajectory. IW&II

 Dhruvesh : One smaller other question. In terms of consolidation related to the Hoskot e land suppose if, I mean, it may take another one or two years for consolidation as I can imagine from the comments but suppose if this gets completed the consolidation could be in the range of some 200- 300 Crore s of extra land or more it will not be such higher number.

Jagadish Nangineni : You mean to say 200-300 acres or…

Dhruvesh : No we have to spend 200-300 Crores extra on acquiring the remaining Hosk ote l and to consolidate everything or is it a much smaller numb er?

Jagadish Nangineni : So on the Hostk ote land we do not intend to invest as much going forward the current plan is to start building on whatever we have i n terms of development an d in case we should be, we can consolidate in f uture, we will use the cash flow come back to fund the new acquisitions.

Dhruvesh : So no major requirement for at least Hoskote in terms of launching whenever the time comes but it i s not related to spending on future land related to Hoskote.

Jagadi sh Nang ineni : Yes, so it is not going to be a major land payments like you are mentioning the quantum is not as much as what you have mentioned.

Dhruvesh : Thank you. Thanks a lot and best of luck.

Moderator : Thank you. The next question is from the line of Vasude v from Nuvama Wealth Management. Please go ahead.

Vasudev : Thank you for the opportunity, s ir. My first question is on the debt front. You mentioned that we are comfortable with this g earing. So should we assume the net debt to equity remain in this range or do we have any target or net debt to equity.

Jagadish Nangineni : While we are comfortable with the current debt levels our cash flow management which we have been focusing on for the past more than two and a half years will surely continue and would lik e to sort of keep that in co ntrol or reduce it further, but that is going to be balanced with our growth objectives too while that being said. So the absolute levels of debt probably will roughly remain the same or we will aim to contain it and the net deb t to equity would probably r educe as the equity base will increase sure. IW&II

 Vasudev : And my second question is that we had about 75 Crore s of land payments i n this quarter. So how should we see the land Cap ex trajectory going ahead.

Jagadish Nangineni : This is like I said this is for pa yments towards some of the old agreements that we already have and some of the new land acquisitions and some for the land consolidation that we have be en doing

for past several years. So it is a combination of all these three, the 75 number how it might look like in subsequent quarters. is a function of the new business development that we would do and the opportunities that we would probably conclude in the next quarters. But largely the way we look at it management of the cash flow is last financial year we have generated a free cash flow of about 515 Crores this financial year in first nine months we have already done close to 56 8 Crore s, which is fairly significant and this cash flow we think that this is good enough or probab ly good enough to build the future pipeline to aim over growth. So our plan is to f und any of the new acquisitions through the operational cash flow.

Vasudev : Got it, that’s it from my si de. Thank you.

Moderator : Thank you. Ladies and gentlemen that was the l ast question for today. I would not like to hand the conference over to the management for closing comments. Over to you, sir.

Jagadish Nangineni : Thank you everyone for the part icipat ing the call and your questions and patient hearing. I hope you have answered your questions satisfactorily. We believe that our focus on operational excellence coupled with strong consumer confidence in the brand or are the pillars of our strength. So simultaneously helping achieve the customer satisfaction and busines s metri cs. We think that we are uniquely positioned to our vertically integrated operating model and geographical diversification which has paid dividends even in this quarter to capitalise o n the opportunities in the residential real estate space and we continue to witness that the demand seems to be stable, and hence disciplined growth mindset and investment in technology, and people, and process improvements should yield results and in accelerating our grow th across our business segments. With an inven tory pipeline of about 23 million square feet improved financial structure after nine consecutive quarters of debt reduction through internal accruals and with high visibility of future cash flows. We aim to deliver consistent long -term performance. Wish y ou all the best of the remaining quarter and truly appreciate your support. Thank you.

Moderator : Thank you, sir. On behalf of ICICI Securities that concludes this conference. Thank you for joining us and yo u may now disconnect your line s. IW&II

SOtHIA

Call: Jun 2023

... -SOBHA
PASSION AT WORK
Date: June oi, 2023
To
The Deputy Manager
Department of Corporate Services
BSE Limited, PJ Towers, Dalal Street
Mumbai-400 001
Scrip Code: 532784
Dear Sir / Madam, To
The Manager
The National Stock Exchange of India
Limited
Exchange Plaza, Plot No C/1, G Block
Bandra Kurla Complex
Mumbai -400 051
Scrip Code: SOBHA
Sub: Tran~cript of Meeting with Analysts/ Institutional Investors
In continuation of our letter dated May 27, 2023, please find enclosed herewith the transcript of the conference call held on Monday, the 29th day of May, 2023 with the Investors/ Analysts to brief the operational and financial performance of the Company for the quarter and year ended March 31, 2023.
We request you to take the aforesaid information on record in terms of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and the same is available on the website of the Company.
Yours sincerely,
FOR SOBHA LIMITED
~
VIGHNESHWARGBHAT
COMPANY SECRETARY & COMPLIANCE OFFICER
MEMBERSHIP NO.: 16651
SOBHA LIMITED
REGD & CORPORATE OFFICE: 'SOBHA', SARJAPUR-MARATHAHALLI OUTER RING ROAD. BELLANDUR POST. BANGALORE· 560103, INDIA
CIN: L45201KA1995PLC0l8475 \TEL: +91-80-49320000 \FAX: +9180 49320444 \ www.sobha.com

"Sobha Limited
Q4 FY'23 Results Conference Call "
May 29 , 202 3

M
ANAGEMENT : M R. JAGADISH NANGINENI – MANAGING DIRECTOR –
SOBHA LIMITED
MR. YOGESH BANSAL – CHIEF FINANCIAL OFFICER –
SOBHA LIMITED
MR. VIGHNESHWAR BHAT – COMPANY SECRETARY
AND COMPLIANCE OFFICER – SOBHA LIMITED
M
ODERATOR : M R. DARSHIT SHAH – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to Sobha Limited Q4 FY '23 Results Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Darshit Shah from ICICI Securities. Thank you, and over to you, sir.
Darshit Shah : Hi, everyone. Good evening. ICICI Securities welcome you to the Q4 FY '23 Results Conference Call of Sobha Limited. We have with us the management team represented by Mr. Jagadish Nangineni , Managing Director; Mr. Yogesh Bansal, Chief Financial Officer; Mr . Vighneshwar Bhat, Company Secretary and Compliance Officer. I would now hand over the call to the management team for their opening remarks, post which we will open the floor to Q&A. Thank you, and over to you, sir.
Jagadish Nangineni : Thank you, Darshit. Good evening, everyone. Sobha team and I are happy to interact with you post our yearly results of this financial year '22-'23. The investor presentation, as you know, based on the audited financial results adopted by the Board can be accessed from sobha .com.
In this call, we would like to touch upon our last year performance and briefly on the outlook for the coming year and beyond. FY 2023 has been an excellent year for us, particularly in two areas - sales, and cash flows. We achieved record sales every quarter from Q1 all the way to Q4, ending with 34% from growth from financial year '22 at ■ 5,198 crores.
Our cash flow focus has also resulted in highest ever cash flow in collection and net cash flow generat ion, helping us reduce our debt by ■697 crores, highest ever in our history. We started the year, as you would know, cautiously in the backdrop of geopolitical tensions, increasing interest rates, high inflationary environment, and increasing real estate prices. But we are very positively surprised by our customer optimism and that has helped us deliver our stupendous real estate performance.
We have launched nine projects during the year, seven in Bangalore, one in Trivandrum and one in Hyderabad, two new city additions for us. Consistent launches during the year has surely helped us keeping our sales momentum intact throughout the year. During the year, we have seen the highest ever increase in our price realization, too, aided by new launches and also release of new towers in existing projects at higher prices, pricing in the increased cost for us.
Collections from real estate has also been highest this year, aided by the increased sales and improved milestone achievement during the year. This is the first- year post COVID where we could operate without any pandemic -related interruptions, and that has really helped in this improved performance. And surely, this has helped us achieve our highest net debt reduction too.
As you would have seen in the financials , margins is still a matter of concern, which is due to recognition of higher costs in our contractual projects, write -offs in some of our very old receivables in manufacturing divisions. We believe the lower margins in the contractual and

manufacturing business is largely taken care of in this financial year and might last for another quarter or so. We anticipate to grow this business next year too with better margins and better working capital management. While we continue to execute our current order boo k, new projects will also be sought within our financial and operational requirements.
With the overall economic environment being optimistic, particularly in the cities that we operate in, we are very optimistic about our growth in the next year too . The extent of growth, of course, is dependent on two factors: one, ability to launch new projects and the sales velocity, which we can achieve in the new project launches. We plan to launch about 7 million to 8 million square feet in FY '24, starting from Q2 against 4 million that we have done in FY '23. We are gearing to increasing our pipeline of projects in the coming years, too.
With this brief commentary, I would like to hand it over to Yogesh, our Chief Financial Officer, to give his commentary on the fin ancial performance.
Yogesh Bansal : Good evening, everyone. Thank you for joining us. I will just quickly go through some of the financial highlights for the quarter and FY'23. During the quarter, we have handed over 1.36 million square feet with a value of ■956 crores, and for the year, 3.71 million square feet with value of ■2,524 crores to our customers. Revenue for the quarter was ■1,240 crores and for the year ■3,402 crores. So our total revenue was up by 29% as compared to FY '22.

During the year, we have generated highest ever Net cashflows of ■ 697 crores, achieved through
our financial discipline. This has helped us reduce net debt number by 30% in FY'23. We have also managed to keep our borrowing cost under control. Our EBITDA for the year was ■462
crores at 13.6% EBITDA margin. And our PAT for the year was at ■ 100 crores.
During th is year, we have recognized many projects which were sold mostly pre -COVID.
Our major part of the construction cost was incurred in last 2 years. So basically, margin was low because of spike in commodity price. Once we start handing over more recent projects,
margins are expected to improve.
With this, I would like to thank you all for participation. And now we can open the floor for
question -and-answer session.
Moderator : First question is from the line of Puneet from HSBC.
Puneet : Congratulations on good sales performance and meaningful debt reduction. My first question is
with respect to y

our launches. You talked about 7 million square feet to 8 million square feet of
launches for fiscal '24 versus 4 million square feet in '23. Your overall launch pipeline was about
14.5 million square feet if I remember correctly. How should one think of this? I mean, what is
the visibility on these 7 million square feet to 8 million square feet launch, and why not more?
Jagadish Nangineni : Good evening, Puneet. The launch pipeline that we currently have, which is in the forthcoming
projects, like you have seen, it's about 14 mill ion square feet. These are all at various stages of
development. Some are in design stage, some are in approval stage, some are in just initiated stage. So basis the stage of where the projects are, we are confident of at least doing 7 million square feet this year. • SOBHA

And of course, it also depends on some of the approval time lines. But we are reasonably there
in terms of ability to launch this. And going beyond also, the remaining pipeline that we have, I
think we should be able to do that also in the next subsequent year. So overall, whatever we have
in terms of the forthcoming projects, that we should be able to launch it in the next couple of years, starting from next quarter.
Puneet : Is there any risk of approvals or delay in the context of changing poli tical landscape?
Jagadish Nangineni : As such, we don't see any kind of such risk barring few days, weeks, and months here and there,
but there is no as such change in any kind of environment. And here, we are talking about launches across multiple cities. So hence, even if there is some kind of delays or uncertainties that can come in, we think it's largely going to be in timeline rather than anything else.
Puneet : So is it possible to give a breakup of these 7 to 8 million square feet , where should we expe ct,
in what all projects?
Jagadish Nangineni : So we should expect at least about 5 million square feet of this in Bangalore and about 1 million
in NCR and remaining in other cities.
Puneet : My second question is on cash - debt reduction. You've made a mean ingful progress in debt
reduction. Congratulations once again. Really good to see that. Do you still intend to reduce debt further? Or are you happy with the current debt and rather use the cash flows for building for
growth?
Jagadish Nangineni : You are right. The debt reduction what we have done this financial year is also not something which we planned for. But the strong cash flow that we could manage month- on-month has
clearly resulted in this debt reduction. However, we have started using cas h flows for building
up new pipeline of projects, too, which we can see that there is - in Q1 and Q2 of last year, we
have done ■ 200-plus crores in the first couple of quarters in debt reduction. And subsequent Q3,
Q4, it has been about ■100-plus crores. So part of that cash flow is being used for new business
development.
Howev er, the going forward - first, actually, the debt level that we have currently is far more
comfortable to us than what it was about 1 / 1.5 years ago. So that gives a great comfort. And
clearly, the optimistic scenario of the current economic environment and what we had, we ourselves are positively surprised with the kind of demand that is out there. So we would like to
aim for growth and allocate far more capital towards growth than just debt reduction. That's one.
Second is, with the increased sales, even in the next financial year, we will have to spend a little
bit more on the construction outflow. So both put together, I think we might not see similar kind
of debt reduction as what we have seen in this financial year. So from a capital allocation, it's
partly i ncreased spend in construction costs and partly in the capital allocation for growth.
Puneet : But you're still aiming for some sort of debt reduction in fiscal '24?
Jagadish Nangineni : We

will end up reducing debt, the extent of which might not be in the s ame level, but it will
reduce. • SOBHA

Puneet : It will reduce. Okay. That's good. Lastly, any update on the new monetization of land in Hosur, Hoskote etc? Any progress there?
Jagadish Nangineni : Yes. Hosur, like we have been wanting to monetize it through plotted development to start with. And in bits and pieces, we have started selling some of the land parcels wherever we could find the right pricing now that Hosur as a location also has developed. Unfortunately, in the plotted development, we had hit some speed bumps, which I think we should be able to resolve in the coming few months, and we should be ready to reinitiate the approval process and whatever time it takes. We aim to launch the project this financial year unless there is something else that we cannot see right now, but that's one of the things that we have in our pipeline this financial year.
Puneet : So that's included in the 5 million square feet Bangalore launch?
Jagadish Nangineni : No, that we have not taken that yet because that's an additional bonus that comes in.
Moderator : The next question is from the line of Murtuza Arsiwalla from Kotak Securities.
Murtuza Arsiwa lla: Just two questions from my side. One, if I look at the cash flow statement, which is on Slide 8, if I look at full year '23, the contracts and manufacturing division, and if I just look at the inflow and the outflow, the outflow exceeds the inflow. Even if I look at FY '22, while the performance was better than '23, not much to cheer about. How should I think of those cash flows from the contracts and manufacturing division going forward? That's point number one.
And the second is, if I look at the balance sheet, w hich is on Slide 25, I see a large jump in the other noncurrent assets, which is roughly about ■ 3.7 billion going to about ■9.3 billion. Any specifics around that, that we should know of?
Jagadish Nangineni : Good evening, Murtuza. To answer your first ques tion regarding the cash flow on contract. Like I was saying, this year has been a year where from an operations point of view, we have a lot of projects which were coming to completion where we had to spend extra, and corresponding inflow based on old cont racts has been a little lower and second is from working capital management in some of our divisions like G lazing . So it's been a little bit of a challenge because of, again, old milestone payment plans and what we had to execute against it. So we think that we can improve upon it in the future. And that's one of the financial frameworks that we had put in place to make sure that the contractual and manufacturing division that we intend to continue to grow, but on a basis where it is financially far more better for us. And hence, that's the outlook for us in the future.
To answer your second question, which is related to the balance sheet item. Yogesh, you would like to take that.
Yogesh Bansal : Yes, can you repeat your question?
Murtuza Arsiwalla : If I just look at the year -on-year comparison on the balance sheet, the other noncurrent assets have jumped from about ■ 3.7 billion in March '22 to about ■ 9.3 billion. There is an increase in inventories and other current liabilities, which I can understand is norm al course of business.

But if you could explain on the other noncurrent assets, if there is anything specific that we should know.
Yogesh Bansal : This other non-current asset has increased because of land advances. During the year, we have reclassified some of the advances from current to non-current advances.
Moderator : The next question is from the line of Pritesh Sheth from Motilal Oswal.
Pritesh Sheth : Congrats on a great year. First is on some interesting changes in the launch pipeline. So obviously, Hosur, yo

u explained that it has been moved out because of some minor blip. But in NCR, we have - I can see a couple of projects added. Those are fresh acquisitions? And can you share some more detai ls about which sector it is ?.
Jagadish Nan gineni : Good Evening Pritesh. In NCR, we did a new deal in the last quarter, which is reflected in the pipeline for forthcoming projects. In addition, second one is, we had signed up with Karma a few years ago. And that project also would come into pipelin e, and we have clear visibility on launching that.
Pritesh Sheth : In which micro market does this new land is located?
Jagadish Nangineni : The new land that we have taken up, it's also on Dwarka Expressway, very near to our existing projects. And I think with the development and completion of the Dwarka Expressway, we believe that it's a very interesting and high demand market. And we believe that it's a profitable transaction. Hence, we have taken up that project.
Pritesh Sheth : Sure. And the old one is, I suppose, Sector 81 in New Gurgaon. Is it correct?
Jagadish Nangineni : That's right, Sector 81.
Pritesh Sheth : And second question is, any timelines on Hoskote specifically, if you want to highlight, is it

included in our Bangalore launch or should be FY '25?
Jagadish Nangineni : So on Hoskote land, Pritesh, we have been working on consolidating and also started initiating design for the project. So in this financial year, I think during the second half, we should be able
to crystallize on the extent of first phase or a couple of phases of launch. This is a large land
parcel. So we would like to take it in phases. And the master planning and the overall planning,
we will initiate this year as we get clarity on the clear land parcels that we can develop o n. So
once that is crystallized probably by end of this year, calendar year or so, we should have a clear visibility on the launching of that project, too.
Pritesh Sheth : Sure. Got it. And one last on your area not offered for sale, we saw a very sharp dec line from 7
million square feet last quarter to around 2 million square feet now. I guess it's because of launch of further new phases in Dream Garden, and also a Gurgaon project, Sobha City, or are there
any other movements apart from these?
Jagadish Nangineni : Yes. That's a good observation, Pritesh. There are two reasons for that. One, of course, is the
launch of the new towers in the existing project. Second, we also clearly have defined what is
an ongoing project and what is a forthcoming project. So a s a definition, we have said that

ongoing project is the one where we have a RERA registration, and whichever is not satisfying
to that, that we have moved into forthcoming.
Pritesh Sheth : Sure. Got it. I have a couple of more questions, but I'll jump back into the queue. That's it from
my side, all the best.
Moderator : The next question is from the line of Siddhant Dand from Goodwill Warehousing.
Siddhant Dand: Sir, you know, we saw a chain of events. There was a SEBI issue, there was an ED issue, fire compliance issue. More recently, there was an IT raid. And I think promoter has also taken a
nonexecutive role. When do we see these issues getting resolved and how many are left to be
resolved? And what role will the promoter play going ahead, both PNC Menon and Ravi Menon?
Jagadish Nangineni : Yes. I'll take up the second question first. The promoter, of course, as you know, they have
business in UAE, too , and that business also has grown quite a bit in the last couple of years. So
there is a lot of comfort in terms of the scale of the business that has been achieved there. And
Mr. Menon also becoming older and would like to take a step back, and hence, Mr. Ravi Menon
has taken over as a group co -Chairman in Dubai, which requires a certain element of
geographical presence there and hence moved into a nonexecut

ive role.
But at the same time, I would see this very positively because, one, group health always is very helpful for a group company, which is based in India. And second, in the last 2 or 3 year s, as we
expanded the city presence of our company, our ability to manage business through virtual and monitoring on a continuous basis has been very effective. And that, I think, will continue with
the kind of promotor focus and ability to manage it irres pective of the geographical location. So
both would contribute ; I mean, I don't see it as any kind of negative there. In fact, very positive
for us.
Second, on the issues related to the various agencies, apart from the recent IT search that has occurred, the other matters have largely been dealt with or which has been communicated and
no further development there , as such . And hence, I think, majority of the issues are past for us.
Siddhant Dand: Okay. So, the IT issue is the only one that's resolved. What about the ED, where the case is still
going on, the 2007 -2008 one?
Jagadish Nangineni : Yes. That's an ongoing matter. But as we have communicated, in December last year, they had provisionally attached some assets, and we are taking a legal recourse to that. So right now, it's
in a judicial platform, so we wait to see how it turns out. But we are very confident that we will
come out without any damage.
Siddhant Dand: Okay. So you expect to overturn the assets that they have attached ?
Jagadish Nangineni : That's what we've been given, and the timing of that, it's anyone's guess based on how the
progress happens in the division.
Siddhant Dand: Okay. Okay. I'll come back in the queue. Thank you.
Moderator : The next question is from the line of Dhruvesh Sanghvi f rom Prospero Tree.

Dhruvesh Sanghvi: Yes. Congratulations for a good full year on balance sheet management, operational
management, and a lot of things. Just to expand on the previous question. Would you like to say
that when -- I mean, officially, Ravi Menon is now a N on-Executive Chairman. So is there no
executive role, or what kind of decision making will he be involved, if at all. Some more light

on it.
I think I understood the rationale that he's gone there for taking a handover on the global businesse s as well. But I was under the impression he will participate in the Indian operations to
whatever extent he can. So whatever can be said there, it would be great if you can ?
Jagadish Nangineni : Thank you, Dhruvesh. Yes, you are right that he has moved from an executive role to a non-executive role. And since last 1 year, I have clearly overlapped with him in terms of some of the
operations that he was handling as well. So it's been a year , where we could work together. And
going forward also, his involvement would be in a non-executive far more strategic and ability
to contribute from his exposure to the other international markets and bringing in that know -how
into our Indian operations and guide us in that front.
And of course, periodically also review or go through the operations as and when that is required.
So the focus of the promoters in the India business is extremely high given that this is where
they have started the entire real estate business. And we have worked really hard to bring it u p
to this stage. And we have a great platform where I think we can continue to grow from here. So from a growth point of view, from a focus point of view, they're completely on the ball here.
And from a time perspective, I think his ability to add value is far more strategic and that will
be very helpful too.
Dhruvesh Sanghvi: Right. One more part is, I just wanted to understand on - we have discussed about margins
multiple times. But just to understand it from our context of some of the fixed cost or the cost metric perspective, we see employee cost to be in the range of ■300 crores for the year and the

items under the items of other expenses are approximately ■ 500 crores.
So ballpark this ■ 800 crores for a real estate company, is n't it just dramatically too high for us?
Or what can we do? Because what happens here is that let's say, if there's a small builder having
8 or 10 or 15 buildings being managed, a large portion of these overheads are not there. So when will we really see a large margin or a normalized margin coming into play? Because if we are
selling 4 million, 5 million square feet a year, one would really expect that a builder of our nature
should at least make ■1,000 of profit out of ■ 8,000 sale ticket size. And when do we really see
this trans lating into the P&L?
Jagadish Nangineni : Yes, you are looking at these costs, Dhruvesh, but the employee cost is the total cost -- you
know, we are a backward integrated company, so hence the cost of the employees or the whole 3,400 plus employees would be there and part of which gets into the cost of the product. And
hence, I don't think that's a major concern given the operating model that we have, right? But
the other b it, which is on the other costs, right, which is also -- a lot of it is also related to the
project costs …

Dhruvesh Sanghvi: Yes, I mean, I do understand that a partial would be variable from it and partial will be fixed.
But my essential question is that when do we see margins coming on the P&L? I mean, is it like
another 3 years a way where we see dramatic improvements of the visibility of what we saw in
the past. Basically, we have been selling 4 million square feet for nearly 4 /5 years now. When
does the benefit of these 4 million square feet translate to see in the revenue and cost booked leading to at least ■ 600, ■700, ■800 per square feet profitability for us, forget about even ■ 1,000?
Jagadish Nangineni : Sure. Like I mentioned in my opening comments, now the next clear target for us in terms of how we can keep improving our margins. So first, like FY '23, we have worked on our
contractual and manufacturing and tried to see what best we can do for improvement in this financial year. So which we will start seeing that in this financial year.
Second is on the real estate side. We would continue to see some kind of margin pressure in the coming next few quarters. But basis our current estimate, we can see clear turnaround coming from Q4 of this financial year, where, Dhruvesh, we think that current margins, I mean, PAT
margins of about currently it's about 3%, those should clearly improve, in our estimate, at least
double or, in fact, more - 2x to 2.5x at least if we can achieve.
Dhruvesh Sanghvi: Okay. Okay. Yes. That is the direction I was looking at. And last part is, in terms of models,
because now we will be starting some sort of business development activities, either in the form
of land purchase, JVs. Based on the experience, what is our preference?
Should we probably move towards as much as more complete ownership model, because the
troubles that we are facing today are a large part is because of some JV partner or some things which were not correctly managed in the past on that area. Is there a preference or a huge caution
in terms of whom are we partnering with for the land tie -ups or whom are we buying the land
from, etc.?
Jagadish Nangineni : Well, Dhruvesh, I've not placed any kind of wrong calls that we have taken in the past. I mean,
those were taken at that point of time with the right earnest, and it is some sort of a butterfly
effect, which is unforeseen even for any of us. So those points -- I mean, if we have to learn on

that and try to see if we can do anything different. Yes, of course, our process of business development, part of it is one of the criteria is to minimize this kind of issues that might come up in future , but complete ownership versus a joint development model, that will continue to be a

financial deci sion to basis - in the sense that if you find some opportunity which is excellent and which is an ownership- based only, we will go ahead with it. However, since we have reasonable land bank right now, where we can launch projects which is own land, I think focus first is to do projects on those and while we do business development in the form of a joint development model. So while the cash flows from these own land projects improve, our ability to do business development in ownership model will also be enhanced, which I think in the next year, couple of years, that we will be able to see, and that model will also increase its share in our business development.

Moderator : Mr. Sanghvi, may we request that you return to the question queue for the follow -up questions. We'll take the next question from the line of Parvez Qazi from Nuvama Group.

Parvez Qazi: Congrats for a great set of numbers. So my question is on the demand environment. Obviously, numbers have been pretty good. What kind of pricing uptick have we seen in our projects during the last year? And how do we see the outlook going ahead?

Jagadish Nangineni : You would have seen in the presentation and in the operational numbers we have been coming out with, the last year price realization, w e have improved upon by 17%, which is probably one of the highest we have done in a long time. But at the same time, I don't think that's something that similar performance we can continue. We are not really factoring any kind of major price increases goin g forward.

Of course, it will be, again, dependent on the kind of demand scenario, but cost -led price increases clearly sort of softened out, but the demand- led increases and also new pricing that we will do based on the new cost that we have baked in, those will continue. And I think we should roughly be inflationary or similar pricing is what we can achieve this year.

Parvez Qazi: Sure. And in terms of land acquisition capex , do you have a number in mind with regards to what kind of projects do you want to add every year or any particular geography where you want to increase your focus?

Jagadish Nangineni : So we already have, Parvez, in terms of committed land payments for our existing lands and also the new developments that we would like to take up. So our focus geographical areas for us in the immediate future would be Bangalore, Pune, Hyderabad, and NCR. These are our current operating markets where we think that the potential is high. And we can see a secular growth in these locations. So we will pursu e opportunities in these locations. Of course, Bangalore, we already have a good presence, and hence, our ability to launch projects in our own land or in already existing deals will really help us. But we will continue to pursue new transactions there as well.

Second market for us which is exciting is NCR. NCR was the first non -Bangalore city last year which has done ■ 1,000 crores sales. So I think there is a huge potential. We have been there in the market for more than 13 years. And there we have deliver ed projects. So we think that any incremental investments there would be adding to our growth there. So that's second. Pune and Hyderabad also are very exciting markets. And there also, we would pursue growth opportunities.

Parvez Qazi: And in terms of the overall number, how much we have earmarked for this kind of business development?

Jagadish Nangineni : I think if I have to balance out both between cash flow and also the growth that we have to see, I think we should be comfortable in investing about ■200 crores, ■ 300 crores, which can be funded by our internal accruals.

Moderator : The next question is from the line of Parikshit Kandpal from HDFC Securities.

Parikshit Kandpal : My first question is on demand scenario

also. If you can highlight how is the demand right now in the first quarter. Have you seen continuation of the last year trend? Or do you think some softening coming in?

Jagadish Nangineni : Parikshit, on demand front, we are clearly seeing that the demand which we have observed, or we have witnessed in the last year seems to be continuing. It is more what I believe is in some of the markets the inventory is key for us to actually absorb the demand. So higher the inventory, we will be able to hav e, the better is our ability to capture that demand. And in some markets,

it's reasonably stable. B ut if you talk from a macroeconomic point of view and if there is any
impact on the overall demand because of the interest rate hikes or any kind of uncertain economic environment, that we don't see it on t he ground yet.
Parikshit Kandpal : Given this backdrop and confirmation of demand, so what kind of growth do we expect in the pre-sales for FY '24, like on the base of ■ 5,200 of FY '23?
Jagadish Nangineni : The extent of the growth is clearly dependent on our ability to do launches, Parikshit. So if I'm very optimistic in terms of launches, then easily we should look at growth in the range of about maybe 15% to 20%. But if there are any slip-ups in the launches, then we might see a lower growth.
Parikshit Kandpal : Okay. Sir, just the last question on the promoter non-executive role. So typically, we have seen in real estate companies, a very promotor -driven decision-making on any large capital outlays on land, any large major launches. So just wanted to confirm on like will this non -executive role somehow slow down our growth aspirations, acquisition capital allocation. In a time when we are coming out of the debt issue, and where the market looks to be quite promising, so how do we juxtapose all t hese 3 together and position for growth?
Jagadish Nangineni : Right, Parikshit. If you had been following the way our company has been functioning, right, from the inception, Mr. Menon, when he has established the company, it was always a management led company and majority of the decision -making in terms of capital allocation and in terms of driving growth has been fully professional.
And, of course, with the guidance from the promoters. H ence, it's not anything new in the way we are functioning today versus what we were functioning about 25 years ago. So that I don't think there is a big change.
But one of the aspects which is more positive right now is that the promoters as a group in the UAE are also very well recognized right now, and they're doing really well there. So that should, in fact, give a further boost in terms of performance here as well in the future.
Parikshit Kandpal : Okay. Just one more thing on the non-real estate business, the manufacturing, the contractual business. So now that has been a pain point for us for the last many quarters now and you still expect it to linger on for a couple of more quarters. So as a future of this business, you probably see this going out into FY next year, 1 or 2 years?
Jagadish Nangineni : Right. So we hav e a good order book currently. And our current focus is to make sure that the order book that we have is executed with better margins, that's number one. Number two is, for • SOBHA

new business development in these businesses. So we have now, based on the learnings that we had in the last couple of years, so we had put in additional processes wherein we will take up projects which will conform to the new framework that we have evolved.
And also our ability to monitor those projects on a regular basis will also be improved. So the combination of these two , I think we should be able to turn around. Basis that, in a year or so, we will review the whole strategy around.
Parikshit Kandpal : Any update on the Chennai market. You did mention about other markets, Hyderabad, Bangalo

re, Pune. So anything on Chennai.
Jagadish Nangineni : Chennai, as you know, we have completed 6 projects. It's one of good markets for us. However, we have seen not the kind of growth that we have seen in other markets. But at the same time, there are certain asset types or product types like p lotting et c., are doing far better there. Whereas end products are not in the similar growth path. So we are looking at opportunities and evaluating them.
So while we are trying to do business development in other places, we think in the overall bigger five, Chennai right now doesn't look to be having such a large share. But in case things change, since our presence is there for a long time. Our ability to identify those changes and quickly act on it will be the re.
Moderator : The next question is from the line of Niraj Mansingka from White Pine Investment Management.
Niraj Mansingka: Jagadish, I have two questions. One is, how much is the land bank in Hoskote currently?
Jagadish Nangineni : Good evening, Niraj. So we have a land bank of about over 200 acres there. And we are currently identifying the parcel, where we can clearly launch a project in multiple phases. So that's where we are.
Niraj Mansingka: Okay. And the other question is, if you see the real estate business, in the past, we had an EBIT margin in excess of 30% also. And I know the costs have gone up and so the reporting requirement leads you to a lower reporting number right now. On the current projects which we are selling, what can be an EBIT margin from those projects?
Jagadish Nangineni : Good question, Niraj. The current margins are reflective, of course, of the past sales that we have done 3 years ago. And what clearly happened was that, of course, the pricing was far lower at that time. And in addition to it, we have been hit by a very large cost increase. And that's clearly going to reflect in the revenue and corresponding margin that we 'll recognize even in the next

few quarters. While that is said, for the future, where we have sold specifically in the last 1.5 years, we can clearly see EBIT margins of over 15%.
Niraj Mansingka: I thought number would be higher. You think, 15%? The last quarter, you reported an EBIT margin of 18%.
Jagadish Nangineni : EBIT margin?
Niraj Mansingka: Yes. • SOBHA

Jagadish Nangineni : Probably not, but we will recheck on that, Niraj, and...
Niraj Mansingka: Okay, sorry. So let me put this the other way. What would be the stable EBIT margin that you will do because you have been doing in the past, numbers have been quite high in term of EBIT margins. And so...
Jagadish Nangineni : So let me put it this way, that our aim is to, of course, increase our margins. And hence, we have already taken these price hikes and new cost into the factor and our new released inventories also. Those, we should see far better margins and our aim is to move towards overall PAT margins for the real estate business to be in double digits.
Nira j Mansingka : Okay. You are talking about PAT margin. Okay. Got it. Thank you.
Moderator : Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.
Jagadish Nangineni : Thank you, Darshit. I express my sincere gratitude to all participants in the call today and for your patient hearing. I hope we have answered some of your questions satisfactorily. In case of any further questions, please do reach out to us. Your queries and views have always helped us improve. We look forward to a good performance in FY '24, too, with an optimistic outlook towards the economy and the industry.
We believe Sobha is very well -positioned to grow with a disciplined operational and financial model, which we think is being set up for building and scaling in the long-term. We'll continue to pursue our goals with passion. And I wish you

all a very good evening with an exciting IPL final coming up tonight. Truly appreciate your support. Thank you.
Moderator : Thank you. Ladies and gentlemen, on behalf of ICICI Securities, that concludes this conference.
Thank you for joining us, and you may now disconnect your lines. • SOBHA

Call: Aug 2023

Date: August 11, 2023
To,
The Deputy Manager
Department of Corporate Services
BSE Limited
PJ Towers, Dalal Street
Mumbai -400 001
Scrip Code: 532784
Dear Sir / Madam, ::::: :::
UillUIII
SOBHA
PASSION AT WORK
To, The Manager
The National Stock Exchange
of India Limited
Exchange Plaza, Plot No C/1, G Block
Bandra Kurla Complex
Mumbai -400 051
Scrip Code: SOBHA
Sub: Transcript of Meeting with Analysts/ Institutional Investors
In continuation of our letter dated August 04,-2023, please find enclosed herewith the transcript of the conference call held on Tuesday, the 08th day of August, 2023 with the Analysts/ Institutional Investors to brief the Operational and Financial performance of the Company for the quaiter ended June 30, 2023.
We request you to take the aforesaid information on record in terms of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and the same is available on the website of the Company.
Yours sincerely,
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* ~
VIGHNESHW AR G BHAT /\!GA~
COMPANY SECRETARY & COMPLIANCE OFFICER
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SOBHA LIMITED
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CIN: L4520 ! l<A I 995PLCO i 8475 I TEL : +91-80-49320000 I F/l.X : +9 i 80 49320444 I www.sobha.com

Sobha Limited
Q1 FY2024 Earnings Conference Call
August 08, 2023
ANALYST : M R. ADHIDEV CHATTOPADHYAY - ICICI SECURITIES LIMITED
MANAGEMENT : MR. JAGADISH NANGINENI – MANAGING DIRECTOR – SOBHA LIMITED
MR. YOGESH BANSAL – CHIEF FINANCIAL OFFICER – SOBHA LIMITED

 Moderator : Ladies and gentlemen, good day and welcome to the Sobha Limited Q1 FY2024 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing ‘*’ then ‘0’ on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Adhidev Chattopadhyay from ICICI Securities. Thank you and over to you, sir!
Adhidev Chattopadhyay : Good evening everyone. On behalf of ICICI Securities, I would like to welcome everyone to the Sobha Limited Q1 FY2024 results call. Today from the management, we have with us Mr. Jagadish Nangineni, the Managing Director, and Mr. Yogesh Bansal, Chief Financial Officer of the company. I would now like to hand over the call to the management for their opening remarks. Over to you! Thank you.
Jagadish Nangineni : Good evening everyone. Thank you Adhidev and team for your kind introduction and for

organizing this call. Sobha team and I are happy to interact with you post financial results of Q1 this financial year 2024. The investor presentation based on the audited financial results adopted by the board can be accessed from sobha.com. In this call I would like to touch upon our last quarter's performance and briefly on the outlook for the remaining period for this financial year. Q1 of FY24 has been a good quarter for us, both in terms of sales and cash flows. We achieved record sales this quarter again in terms of sales value at 1,464.7 Crores. We sold 907 homes comprising a total area of 1.39 million square feet. We did not have any new launches during the quarter and hence the sales performance is even more remarkable. Due to the shift in the mix of sales and better pricing, the average price realization improved sequentially from previous quarter by 6%. Going forward, the pricing seems to be stable and to a margin increase as we launch new projects and release existing inventory for sale. The geographical diversification has paid off this quarter as well with Kerala contributing about 16%

after the release of new towers in Marina one in Kochi and Sobha Metropolis in Thrissur. NCR has been consistent and contributed 22% of the sale value. Bangalore Gift city and other cities continues to be steady. We have a healthy pipeline of about 15 million square feet expected to be launched in the next two years starting from next quarter. This combined with our existing inventory of about 5 million square feet provides us enough opportunity to capitalize the current demand scenario. In addition to this, we are of course working to bring existing own land banks, current arrangements with the land owners and new opportunities to project level. Our cash flow management focus continued this quarter also and has resulted in a net cash flow of about • SOHIIA
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So bha Limited
August 08, 2023
 70 Crores bringing down our debt. In this quarter, our margins as you would have seen has r
educed, largely due to higher costs in real estate for projects that are being delivered with pre-COVID pricing and post-COVID costs. This would improve as we start completing the projects that are sold post-COVID, most likely from end of this financial year and beginning of next financial year. By the time we would also complete some of the contractual projects which are of lower margin in nature. With this brief commentary, I would like to hand it over to Yogesh our chief financial officer to give his commentary on the financial performance.

Yogesh Bansal : Good evening everyone. Thank you again for joining us. Mr. Jagadish has already briefed us about our business and operational as a whole. I will quickly go through some of our financial highlights and open the floor for questions. In Q1 FY24, we generated good cash flow, total collection was up by 21% compared to Q1 FY2023 and our cash flow from operation was Rs.192.8 Crores. We have increased the pace of contraction this quarter with outflow of 532 Crores on real estate project being highest ever. This will lead to faster completion and better recognition of our current projects. Debt to equity decreased to 0.63 from 0.66 in March 2023. Net debt was at Rs. 1,569 Crores. Corresponding to our revenue recognition during the quarter, we have handed over 1.04 million square feet. Total income for quarter was 939 Crores. Our EBTIDA for the quarter was 96.7 Crores with margin of 10.3% as indicated low margin on account of the combination of project sold earlier than COVID period and constructed majorly post COVID at inflated cost scenario. I would like to thank you for your participation and now we can open the floor for the question and answer session.

Moderator : Thank you very much, sir. We will now begin the question-and-answer session. The first question is from the line of Puneet Gulati from HSBC. Please go ahead.

Puneet Gulati : Thank you so much and congratulations on your good cash flow collection once again. My first question is actually on the cash flow part itself. First is the JD partner payment seems to have gone up this quarter versus the sequential previous quarter. How should one think about it, are those payments also likely to go up or where will those end?

Jagadish Nangineni : Good evening Puneet. Regarding the JD payments, yes, your observation is right, it is one off this quarter because of certain pending payments which were accrued in the previous financial year but paid during this quarter, so hence there has been an increase, and going forward for this particular quarter, it seems to be little higher because we were paying some • SOHIIA
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 of the pending payments otherwise it should be back to normal based on the actual sales m
ix between own projects and the joint development projects.

Puneet Gulati : Okay, that is helpful. Secondly if you can comment a bit more on what launches and how much launches should we see for this year? You indicated th

at we should expect launch
only now in next quarter. So should I presume Q2 will also not see any launches and then
Q3 onwards something will come?
Jagadish Nangineni : The 15 million square feet pipeline, we envisage that it should be launched in the next two financial years and we had expected to launch projects starting from Q2 of this financial year. However, due to the changes in the government in Karnataka and because of the reshuffling of the officers and corresponding changes, there has been a slight delay in the approvals here and hence we think that there can be a little bit of delay. We initially envisaged that we could do launches of about 7 million square feet this financial year and I think with the current scenario I think that might be reduced a bit, but we will still try to achieve as much as possible.
Puneet Gulati : Understood that is helpful and second on the land monetization front if you can give some more colour around what progress have you made and specifically what parcels of land should we see getting monetized or launched next year or this year?
Jagadish Nangineni : Particularly the land that we have in Bangalore and a small part in Hosur, these are the two ones which we are continuously working upon and we are making very good progress on both counts because we have been investing sequentially in terms of improvement, consolidation, and any pending approvals that are required, approvals in terms of land or conversion and so on and so forth. So those should come into the pipeline as and when they satisfy our criteria to be a project and then we start our design and the initial approval process, we will add to that inventory and we should start seeing improvement in that from the next quarter.
Puneet Gulati : Regarding Bangalore if you can give more color. Is it Hoskote that you are talking about eventually that we should see?
Jagadish Nangineni : Yes, there is Hoskote. It is several of our earlier partnerships that we had in land which we are closing out, which are in the due diligence process and certain commitments to be done by the land owners. Once they get completed, those will also be coming into the development stage. Puneet Gulati : Okay and for those partnerships those are not a part of land bank and have you already paid for that or do you still need to pay for those?
Jagadish Nangineni : Those have been part of the land bank earlier, some of them were part of the land bank, however there were certain commitments to be fulfilled by the land owners and also certain activities to be done at the land level so they can come to a project development stage so those activities are rapidly making progress and we should start getting them which are currently not in the launch pipeline.
Puneet Gulati : Understood and lastly your Sobha Dream Acre is pretty much coming to an end of dream run what projects should we expect should replace the momentum of Sobha Dream Acres?
Jagadish Nangineni : Good question. In fact last month we sold the last unit of Sobha Dream Acres. We sold 6,262 units and which are of one bedroom and two-bedroom. There is a small area that is still left out but those are of larger configuration which we will release subsequently. Despite the reduction in the inventory in the Sobha Dream Acres as you have seen in Q1, we have still done 1,464 Cores, which is slightly higher than the last quarter and still did better. So the projects that are filling up that void are Sobha Town Park which we have and also three other projects that we launched last year which is Sobha Victoria Park, Sobha Sentosa and Sobha Royal Crest and we also have certain inventory in Sobha Dream Gardens so all of those have started picking up very well because as we know that the launches in Bangalore also have been little delayed. The inventory is lower than what the demand seems to be and hence

it is helping us push the other projects to a stay, so that is one, that is for the immediate one. For the future, immediate in the vicinity we have new projects coming up. One of the large projects that we are expecting is in Panathur which is of about 3.4 million square feet if that comes in within time in the next quarter then that should take up the increased volume until then.
Puneet Gulati : Oh that’s okay. Thank you so much all the best.
Moderator: Thank you. The next question is from the line of Rushabh Shah from O3 Securities. Please go ahead.
Rushabh Shah: Sir, my first question is our operational performance has improved quite materially in the last three years that has reduced both in value term and also on proportion on equity but our credit rating has not improved. Can you elaborate why we are still at A+ only? Jagadish Nangineni : Good observation Rushabh. The credit rating is a combination of course debt and also margins so given that even though it is the nature of probably real estate being most unique

where the margins are showing up little later, so that is not getting reflected in the current P&L, and that is one of the reasons, and I think as we improve on those fronts it will definitely improve.

Rushabh Shah: My second question is if you still look at value of unsold stock which is 4,251 Crores which is nearly equal to the sales period in last nine months of FY2023 and we have seen that new launches are extremely important to grow. So on forthcoming launches of 15 million square feet, how much can we bring in the next six months and the second part of the question is are we thinking of raising prices more significantly as you have so low levels of inventory to sell for the time being and if not then why not so?

Jagadish Nangineni : Like we had just mentioned the forthcoming launches of about 15 million square feet we are trying to do about 6 to 7 million square feet this financial year starting from next quarter. If you specifically ask for the next six months, hopefully we should be able to do about 4 to 5 million square feet depending on, of course all of this is subject to our ability to get the approvals and most of them are in the advanced stage of approval and second question related to the price increase, pricing would definitely improve with the mix of the new launches and the existing inventory. From the current level, I think it is going to be stable or marginally increase from here.

Rushabh Shah: We are a backward integrated company. How great a challenge can it be to take our real estate business to 8 to 9 million square feet in the next two to three years.

Jagadish Nangineni : This is from a delivery point of view right.

Rushabh Shah: Yes Sir.

Jagadish Nangineni : Backward integrated model is actually why we are very much structured to deliver higher volume as well. There are two things that have happened. One of course we continue to invest in our own people and ability to form more structured teams as the delivery volume picks up. Second is as we are focusing far more on real estate, some of our contractual teams have also started contributing to the delivery of the real estate projects. So both put together, I think we are in a good position to take up the delivery to the next level. Having said that, it is not as easy as what we can say, but our continuous effort is to make sure that we deliver in the same model. • SOHIIA
 Moderator: Thank you. The next question is from the line of Parvez Qazi from Nuvama Group. Please go ahead.

Parvez Qazi : Hi, good evening thanks for taking my question and congratulation on numbers. So two questions from my side, first on the demand bit so clearly the trend which we are observing across the board is pretty good demand for high ticket value items or luxury items, which

is
evident in your numbers also, just wanted to get your views about demand in other segment especially the mid income segment or how will our product mix change in future with regards to this change in the behaviour?

Jagadish Nangineni : Good evening Parvez. Our sales mix for Q1, if we see the split of the ticket size, more than 3 Crores ticket size sales contributed 37% of the sale, versus the same thing about eight quarters ago, which is about two years ago it was contributing to less than 5%. So that's a big change and that has really helped us in increasing our sale value and it is clearly coming from the demand side as well and which we could quickly capitalize on. The demand for larger houses seems to be the trend and hence our future inventory and the current focus is going to be on that. While one side there is a demand for larger houses, the second side the ability to fund that by the customers also seems to be equally strong even at this interest rates. Hopefully, the increase in interest rates are in past, so hence going forward it should be even better as the income continues to grow.

Parvez Qazi : Secondly in terms of cash flows, obviously the debt has risen significantly over the last 10, 11 quarters and we continue to make positive cash flow at the net level, how do we foresee our cash flow generation and debt reduction going ahead, let us say in FY2024 and FY2025?

Jagadish Nangineni : Consciously we have reduced the debt mainly from operations almost two to three years and that conservatism in terms of cash flow would continue. The reason being that we think that the future launches and the corresponding cash flow that we can accrue we can now clearly balance out between both growth and being fiscally prudent. Of course if the market continues to be strong and we start seeing far more opportunities which we can capitalize far more, then we would definitely start allocating more capital to growth as well. However, the trend for the debt should be down.

Parvez Qazi : Thanks that is it from my side and all the best. • SOHIIA

 Moderator : Thank you. The next question is from the line of Pritesh Sheth from Motilal Oswal. Please go ahead.

Pritesh Sheth : Hi Jagadish Sir thanks for taking my question. First is on launches as you alluded earlier so 6-7 million square feet this year and 15 million square feet cumulatively in next couple of years how do we see the trajectory beyond that because every quarter you have been adding projects into the pipeline, last quarter it was 13 million square feet, now we are looking to launch 15 million square feet so what sort of pipeline you are closely working on which can obviously get added to the launch pipeline in coming quarters and boost up our launches beyond just two years that we have guided for.

Jagadish Nangineni : Good evening Pritesh. So like we have mentioned we are continuing to work on bringing the existing land bank and the current arrangement with land owners towards the project development stage, but as and when we make progress there we will continue to add and that also is going very strong. Unfortunately I will not be able to share the details immediately, but as and when we do that we will see that coming in the pipeline.

Pritesh Sheth : Sure, just broader idea would be to obviously increase this 6-7 million square feet to eventually 9-10 million square feet in next 2-3 years, because that is what we are planning for in terms of our sales growth as well, right?

Jagadish Nangineni : Absolutely, you are right. Last year we did about 5.65 million square feet and we are expecting to do better this year and in the medium term we would like to move towards 7-8 million square feet and in the long term if everything works out well, then definitely we should aim for about 10 million square feet and correspondingly the pipeline should reflect that and we are wo

rking towards the same.

Pritesh Sheth : Sure, got it. Secondly on the land investment, so we had a small payment this quarter was it for any new land which was tied up or was it for existing land and what is our target in terms of land investments this year, next year given that debt is much under control now, so your comments on that.

Jagadish Nangineni : This quarter the land payments that we have done are largely for the earlier commitments. Going forward, I think in this financial year, we might end up doing anywhere between 250 to 300 Crores in terms of land investments.

Pritesh Sheth : Got it. That is helpful. That is it from my side. Thank you. All the best. Moderator : Thank you. The next question is from the line of Biplab from Antique Stock Broking. Please go ahead.

Biplab : Good evening everyone. Congratulations on the excellent result and my first question is on the contractual and manufacturing business. Sir, what would be the trajectory of contractual and manufacturing business? I mean what kind of goals and what kind of EBITDA margins shall we expect in the segment going forward.

Jagadish Nangineni : Good evening Biplab the contractual and manufacturing business, we have been mentioning that the growth what we are seeing there is in terms of the overall contribution to gross margin and EBITDA. Our current focus in this financial year is to complete the projects what we have in the pipeline within the budgets that we already have and make sure that our margins are reasonably protected. We are also looking at new opportunities very conservatively in terms of where the cash flow will be positive, net working capital always will be negative and also margins in double digits so those kind of opportunity as and when we are seeing we are thinking to take up those opportunities, but from a significant growth point of view today that visibility is not as high because the current order book we have is, we would be exhausting that in the next couple of years and we are working towards one or two serious bids in terms of civil contract, if those come through then we would be very steady. From a manufacturing point of view, manufacturing has been very steady and some of the manufacturing divisions are doing exceedingly well. One of that is our glazing and metal works division which has had the highest turnover last year. However, there also we had challenges in terms of increased costs so that we are trying to manage and again there also we are trying to see how we can take up new projects and deliver against the cost that we expect from that. There we have gross margins of over 20% but in the overall manufacturing business, we should continue to see incremental growth.

Biplab : On the land banks that you have, Sir, excluding the forthcoming projects could you give us some colour on the key land parcels. I mean you have given some indications how we are trying to bring a few of those land parcels to developments, but can you give us some colour as what kind of land parcels and what on locations and what are you future plans on the monetization of land parcel?

Jagadish Nangineni : I understand the requirement of the question Biplab, but unfortunately right now we are in the process of consolidating, in the process of making whatever is the existing arrangements work and we would like to be little bit more methodical in terms of disclosure also, as and

when they come for project development space that is when we would like to probably • SOHIIA
 disclose and hence given that constraint, I cannot clearly mention what the numbers are but
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ike I had responded to Pritesh our overall goal is to grow from where we are in terms of
sales run rate and corresponding to that there is a requirement for us to increase the
inventory and we are working towards getti

ng that kind of payment and we think that
overall inventory of about 30 million square feet for a run rate of sale of about 10 million
square feet every year should be visible for us and currently that is 20 million and probably
we will have to increase at the right locations to make sure that we achieve that run rate, so,
we have a model and we have certain activities that we have undertaken to get to that level,
but given the current stage where we are we will be able to keep adding to the pipeline as
and when things progress.
Biplab : All the best.
Moderator : The next question is from the line of Mohit Agarwal from IIFL Securities. Please go ahead.
Mohit Agarwal : Hi thanks and congratulations to the team on eleven straight quarters of net debt reduction.
My first question is on the collection so the collection seemed to be between 1,100-1,200
Crores on a quarterly basis, while your gross sales have moved up to the 1,400+ trajectory
in the last three quarters so when should we expect the collections also to move up to that
level? Should it be like next one or two quarters or it could take longer?
Jagadish Nangineni : Mohit as the construction progress in these new sales that we have that have occurred, those
collections also should improve. I think sequentially these cash flows are dependent not just
on new sales but also progress on achievement of the milestone but as we are increasing our
real estate spend then we should surely aim to achieve those collections as well?
Mohit Agarwal : Is there any timeline on those? One or two quarters you could see this moving up?
Jagadish Nangineni : That is very incremental as we progress, so it is not very clear that in another quarter or
couple of quarters it is going to improve. There will always be a little bit lag because most
of the new sales that are happening, a majority of the sales collection would come in, I
mean the initial collections are not as high and so it is always a mix of new sales versus the
old sales construction so given that it is little tough for us to estimate, or directly relating it
to the new sales. Overall collections should improve because we have accelerated the pace
of the construction but the timing of it will surely improve, maybe even next quarter or next
to next quarter but directionally it has to happen. • SOHIIA
 Mohit Agarwal : Sir on your reported P&L last quarter there was a lot of discussion around why the margins
are weak I just wanted to get a sense when could we speed the P&L EBITDA margins
improving and in what time can we see we are reaching that level where the desired level
which reflects the current margins that would be clocking in.
Jagadish Nangineni : So we would start completing the projects which we sold post COVID not just post
COVID, but in FY2022 or so from end of this financial year, starting from next financial
year. That is when the mix would start changing towards those sales so hence slowly that
mix would tilt more towards the post COVID sales. As and when that happens the margins
would improve.
Mohit Agarwal : FY25 onwards right.
Jagadish Nangineni : Ya, FY25 onwards the mix of the projects that we would recognize for revenue would start
coming in and hence the improvement should definitely be seen.
Mohit Agarwal : Sure and Sir just one clarification on the previous question on the Sobha Dream Acres bid
that you have completed the sale of Sobha Dream Acres, this segment, the Dream Series has
been clocking in steady 20-25% sales for you the sub 1 Crores segment. You have
mentioned some projects which will replace that but as a Dream series segment do you
consider this contribution to continue at 20-25% or will the mix change towards more
premium products?
Jagadish Nangineni : Definitely the mix from the sale value, it has changed towards the larger ticket sizes as you
have seen in the overall split of the r

evenue over the quarters. Having said that, the sub 1
Crores or nearer about 1 Crores is a very important segment for us because that has
contributed to the sales for the last several years and that is a segment that we would like to
continue to cater, but at the same time we are not envisaging a single project to have that,
but in each of our current projects that we are designing and we are preparing to launch we
have catered to those ticket sizes also in each of these projects so we might not see it as a

dream series but from a ticket size and market segment point of view we will address those
also. And additionally apart from this Sobha Dream Acres what we have we currently have
one more project which is called Sobha Dream Garden in Bangalore that is also continuing
to do well that caters to the current market segment in that ticket size.
Mohit Agarwal : Understood Sir. Thanks a lot. • SOHIIA
 Moderator :
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Kunal Lakhan: The next question is from the line of Kunal Lakhan from CLSA. Please go ahead.
Yes. Thanks for taking my question. Firstly on the volume side, when I look at your
volumes, overall volumes have been quite steady over the last 4-5 quarters but if I look at
Bangalore in terms of absolute volumes, it kind of dipped steadily in the last 4-5 quarters
anything to read over there are we seeing any type of consolidation with slow down in the
IT corridor or salary hikes that we have seen in the past two years?
Good Evening Kunal. The Bangalore volume, last financial year first quarter was the best in
terms of volume where we did 1 million square feet and that is why I think we should go
back to atleast, and the main reason for the slight reduction or the sales area that we are
doing in Bangalore is directly linked to the launches that we are doing and as the launches
improve the volume there should definitely improve.
So it will normalize back.
Yes at least that. We think that market is larger than that but given what we have today that
at least we should do and as we progress for new launches and across the various locations
in the city it should get even better.
Sure thanks. My second question was more of clarification on allegation that have been
going around. If you look at the social media regarding the land deals. I just wanted to
understand what is our official stand on this matter and secondly have we heard anything
from the regulators, the government bodies post the income tax search which we saw earlier
this year.
That particular article, we had contested that article and we have filed a defamation case,
post which we got a favorable order from the court and the author of the article and
corresponding linking articles have all been taken down. It has got nothing to do with any
official regulatory or government body. It is an article published by independent journalist
and once we came to know about it, we had taken a strict action against it.
Sure great, just want to clarify these land parcels which you have bought along with this
aggregators we would not have any challenges in bringing this land parcels to the market in
terms of new launches correct? • SOHIIA
 Jagadish Nangineni : These land parcels are largely in Kerala and in Tamil Nadu which were bought in the years
between 2006 to 2009. We have been working on these lands to make them developable or
find the right usage for it and as and when we do that we should be able to deliver. Right
now I do not see any challenge in terms of monetizing those lands from a legal title
standpoint.
Kunal Lakhan: Sir just a follow up that same article was saying that land parcels were to the tune of 1,500

acres which seems a little high, but just your comments on that.
Jagadish Nangineni : That seems to be little on the higher for us too, but we have acquired lands in Kerala and
Tamil Nadu both of which are very low cost in nature considering the locations where they
are present both should in the range of about 800 odd acres. We can come back to you with
that exact details.
Kunal Lakhan: Sure thank you so much Jagadish and all the best.
Moderator : Thank you. The next question is from the line of Abhinav Sinha from Jefferies. Please go
ahead.
Abhinav Sinha : Hey Jagadish. I have few questions so given the changed sort view on of new launches,
what is the pre sales guidance we should look for the year. I believe earlier you had said that

if we can do 6-7 million square feet then 15-20% is possible so are we still hoping for
double digit growth?
Jagadish Nangineni : Good evening Abhinav we continue to aim for it despite a little blip in the launches.
Abhinav Sinha : Okay and secondly the margin trajectory I just wanted to check this quarter and even if we
look at last quarter we have started hitting and crossing the 10K per square feet level so
what is roughly the margin we should be expecting in this portfolio today, I mean the 1st
Quarter performance we saw in P&L was pretty week so what should we hope for?
Jagadish Nangineni : The new sales that we are doing at the current pricing Abhinav we should expect gross
margins of 35% plus.
Abhinav Sinha : Okay so 35 versus what we are seeing today is 15 to 20 is that a right number to look at.
Jagadish Nangineni : Yes it is about 20%.

Abhinav Sinha : 20%, and what will be your stake in the pipeline now on average? Is it like 70%, 80% or is
it like much lower?
Jagadish Nangineni : The remaining revenue that is going to be recognized.
Abhinav Sinha : On average what is your ownership of these projects?
Jagadish Nangineni : In the new pipeline the 15 million square feet.
Abhinav Sinha : Yes or even what was sold in 1st Quarter, any number.
Jagadish Nangineni : For the forthcoming project it is about 15 million square feet. Our share, I mean on blended
basis should be about 80% plus.
Abhinav Sinha : 80% okay and thirdly on the net debt reduction so again it has been a great job to see how it
has moved, is there a gearing target that we are hoping to it let us say point 0.5x or
something or we are by and large going by as the quarters are?
Jagadish Nangineni : Abhinav we do not have any specific target in mind, but we believe given the nature of the
business and what we have already invested since inception and we have these large land
banks, right, so I think we should be able to be see our growth from all the pipeline that is
going to come in and hence the debts that we are looking do not have any specific numbers
but like I said the trend is down and ideally for a real estate mature business it can go to
zero too.
Abhinav Sinha : Okay thanks a lot.
Moderator : Thank you. The next question is from the line of Parikshit Kandpal from HDFC Securities.
Please go ahead.
Parikshit Kandpal : Hi Jagadish Sir, my first question is on the launch pipeline or 15 million square feet. I just
wanted to understand how much of this is our own land, captive land and how much is the
third party land.
Jagadish Nangineni : Like I was just saying blended of that would be 80% and 20%.
Parikshit Kandpal : That I understand. Once you have acquired the land so it is your land but I am saying that
was a part of your land parcel so out of this 15 you would have bought some land also right

which would be right on you name but last two years if any activation is that included in the
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and or is it just 15 million of 80% of that is entirely a historical land value.
Jagadish Nangineni : It is largely historical and any ne

w lands that we have acquired not yet part of this pipeline.
Parikshit Kandpal : I think I understand last year you did about 300 Crores capex on land and something would
have happened year before that also. So what could beyond this 20 million - I mean 15 new
and 5 ongoing one, so what could be the potential which would now be residing on the
balance sheet but yet to be brought in terms of the launch potential.
Jagadish Nangineni : As I said Parikshit we are still working on it. Once it comes to project development stage,
we would add into the pipeline.
Parikshit Kandpal : Because I think these new land parcels outside the group should be having a very short term
or within a year kind of time frame for launch, right? So I mean you would be probably
having some sense what will potentially the sales area.
Jagadish Nangineni : For a smaller land parcel that is right, I mean we could quickly get in, but for a slightly
larger land parcel where it has been jointly aggregated or where there is some sort of
requirement we are not yet bringing that into the development stage. Probably in a quarter
or two we will be able to start declaring those.
Parikshit Kandpal : That will also be significant, right? I mean if you are saying these are large parcels so that
can add significantly to the current portfolio of 20 million, right?
Jagadish Nangineni : Yes and exactly, I reiterate is that if we have to get a run rate from current to about 6
million to 7 to 8, correspondingly the pipeline, the inventory also needs to go up
correspondingly.

Parikshit Kandpal : Second question is on if I see the credit rating of the parent company they have last done July 2022 figures of almost 24,000 Crores in rupee term pre sales, and this year I think in five months they have already 14,000 Crores, the annualize itself will cross 30,000 Crores. No one does that kind of sale in India. Given that kind of scale I am seeing the EBITDA margin what they have projected it is an increase of 3,000 Crores of EBITDA so what does it mean for us in India, given that parent is doing superbly or exceedingly well in Dubai, kind of scale they have demonstrated so how can we get touch of that in Indian operations how do we envisage are there any financial sustains or strategy on scaling of the current
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ndia business so how do we learn from them.

Jagadish Nangineni : So the good news is that the Dubai business is doing existing exceeding and that gives enough cash flow for the promoter also to have a choice of investing in India as growth capital and that would happen as and when it is necessary and right opportunities come by. It is still the sales happened there also but I think the cash flow etc. is going to take a couple of years so as and when things improve there definitely we should see a positive repercussion in terms of ability to probably contribute from them in case we go for a capital raise in here.

Parikshit Kandpal : Okay so if anything does happen so capital raising it will happen through the listed entity at all. They cannot obviously at the project level so they will do some kind of maybe if it all things work out some kind of capital raise or something like that from the parent it can happen.

Jagadish Nangineni : That is the current thinking as and when things improve or change we will let you know.

Parikshit Kandpal : Okay thank you Jagadish and wish you all the best.

Moderator : Thank you. The next question is from the line of Dhruvesh from Prospero Tree. Please go ahead.

Dhruvesh : So basically 1.5 million is very easy right in terms of per quarter so 6 million can be a minimum guidance that we can take?

Jagadish Nangineni : Dhruvesh like I have been saying it is a largely a function of the new launches and in the first quarter itself we have seen there has been a little bit slip in the launches but we are still aiming to cover up that

and from a value point of view we should do better than of course last year and that is what we are aiming to do. From an area point of view we are looking at much better improved guidelines from last year as well so if we can better in the area as well, nothing like it.

Dhruvesh : And Sir you said possibly not targeting but if things work out it can even become a zero debt company? Would you rather not say that we will aggressively then bid up for the land or projects or no that is completely dependent upon what kind of markets we are in and what kind of opportunity comes? Jagadish Nangineni : Yes Dhruvesh that is a very I mean far off scenario right now. We can deliberate upon it as
and when things progress in that scale and the kind of opportunities and the markets that we would be in. As far as debt is concerned right now, our thinking is that we are in much better situation hence our ability to decide based on the requirement is very flexible and hence like I said there is a possibility of zero also and there is a possibility of just continuing to maintain the same debt level so both possibilities exist based on the external environment opportunities, how we execute against our plans, all of those.

Dhruvesh : Thank you and Sir best of luck, pleased to hear the kind of performance update that you have shared is lovely, thank you.

Moderator : Thank you. The next question is from the line of Vivek Kumar from Bestpals Research & Advisory. Please go ahead.

Vivek Kumar : Hi Jagadish you have just mentioned half an hour back in the call that in the medium term we will go to 7-8 million and from there we have to go to 10 million long term so if you can put a timeline, I am not asking exact guidance, but what is long term, what is medium term and related question to this is if we have to go to 10 million or like we have to grow 15% whatever is your internal target 15-20% every year. If I am wrong, please correct me. I am assuming that lot of growth has to come from rest of Bangalore because Bangalore cannot keep being large part of if you really need to grow in the long run so which cities do you think you are more positive on where you are increasing your business development activities if you can throw light on 10 million mix and from there, which cities you think are more aggressive in putting your next set of big investment so these two related questions, if

I made myself clear.
Jagadish Nangineni : Thank you Vivek. Bangalore itself we think that the potential is larger than what we are already doing. That said, the other potential markets where we are already present and where we think that the scope for growth is, is NCR, the other two markets where we are present but in a very small manner are Pune and Hyderabad. We will try to see if we can increase our scale there. It is also now becoming increasingly difficult and tough to take calls given that the land costs also have gone up quite a bit. So given that environment, it is from a capital allocation point of view we are choosing to invest where we can get our best returns and given that the mix right now is whatever current mix we have I think that would probably continue, in the sense, in these large locations which are Bangalore and Kerala, Pune, Hyderabad, and NCR. Of course Bangalore being the largest and NCR coming second and third and fourth being Pune and Hyderabad. • SOHIIA
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 Vivek Kumar : And you have said 8 million medium term and long term, so upper limit of the time. I am not asking exact number of years.
Jagadish Nangineni : Well Vivek as we get confident in terms of our inventory and the ability to launch we will definitely share that, but that is our range right now.
Vivek Kumar : Thanks Jagadish. Thanks for the opportunity.
Moderator : Thank you. The next question is from th

e line of Puneet Gulati from HSBC. Please go ahead.
Puneet Gulati : Thank you so much once again. You also eluded that one of the results your margin show up poorly is because of the old sales which were done which were getting reported and last year you also evaluated your accounting changes. What are your thoughts on moving to a percentage completion method from project completion method, some of the other developers have done? What stops you from doing it?
Jagadish Nangineni : I would have Yogesh respond to that.
Yogesh Bansal : Largely people have moved POC in Mumbai, right? One or two developers, we heard that moved to POC.
Puneet Gulati : Correct, but they also have projects across.
Yogesh Bansal : So basically they are following POC and they are entering into more considerable agreement and stamp duty payable at the time of agreement itself. We are recognizing revenue based on risk and reward transferred to the customer. In our case risk and reward is getting transferred once we complete our obligation and receive entire money. As of now, we are continuing with our completion methods.
Jagadish Nangineni : There are two parts to it Puneet, actually one is of course technical, which is what Yogesh had mentioned and we have been following a percentage completion method several years ago before the IND-AS regulation has mandated us to change this. For an ongoing real estate business, I think the COVID and the cost inflation which was dramatic is something which, I believe is like a black swan event. Other than that whether you follow the revenue recognition on POC or the revenue recognition at the completion, both on a run rate basis it should not matter too much. Currently what we are doing is we are just laying out whatever • SOHIIA
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 is the actual right now. If I follow POC probably, I mean some of those things get again a
veraged out. So in the long run I do not think it should matter as much.
Puneet Gulati : Okay I understood thank you so much.
Moderator : Thank you very much. That was the last question in queue. I would now like to hand the conference back to the management team for closing comments.
Jagadish Nangineni : Thank you. I express my sincere gratitude to all the participants in the call today and for your patient hearing. I hope we have answered some of your questions satisfactorily and in case of any further questions, please do reach out to us. Your queries and you have always helped us to improve. We look forward for good operation and financial performance in the remaining quarters of FY24 with an optimistic outlook towards the economy and industry and as I have been mentioning, Sobha is very well positioned to grow with disciplined operational and financial model. While we think it is being set up for building and scaling in the long term, we will continue to pursue our goals with passion and thank you everyone. Wish you all a good evening. Truly appreciate your support.
Moderator : Thank you very much. On behalf of ICICI Securities Limited that concludes this conference. Thank you for joining us ladies and gentlemen you may now disconnect your lines. • SOHIIA
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Call: Nov 2023

Date: November 10, 2023
To,
The Deputy Manager
Department of Corporate Services
BSE Limited
P J Towers, Dalal Street
Mumbai -400 001
Scrip Code: 532784
Dear Sir/ Madam, ... • SOBHA
PASSION AT WORK
To,
The Manager
The National Stock Exchange of India Limited
Exchange Plaza, Plot No C/1, G Block
Bandra Kurla Complex
Mumbai- 400 051
Scrip Code: SOBHA
Sub: Transcript of Meeting with Analysts/ Institutional Investors
In continuation of our letter dated November 02, 2023, please find enclosed herewith the transcript of the conference call held on Tuesday, the 07th day of November, 2023 with the Analysts/ Institutional Investors to brief the Operational and Financial performance of the Company for the quarter and half year ended September 30, 2023.
We request you to take the aforesaid information on record in terms of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations , 2015 and the same is available on the website of the Company.
Yours sincerely,
FOR SOBHA LIMITED
'{<')PA" ~
YOGESH BANSAL
CHIEF FINANCIAL OFFICER
SOBHA LIMITED
REGD & CORPORATE OFFICE: 'SOBHA', SARJAPUR -MARATHAHALLI OUTER RING ROAD, BELLANDUR POST, BANGALORE -560103, INDIA
CIN: L45201KAl995P LC0l8475 I TEL: +91-80-49320000 I FAX: +9180 493204441 www.sobha.com

“Sobha Limited Q2 FY24 Earnings Conference Call”

November 07, 2023

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ANAGEMENT : M R. JAGADISH NANGINENI – MANAGING DIRECTOR ,
SOBHA LIMITED
MR. YOGESH BANSAL , THE CHIEF FINANCIAL
OFFICER , SOBHA LIMITED
MODERATOR : M R. ADHIDEV CHATTOPADHYAY – ICICI SECURITIES
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 Moderator : Ladies and Gentlemen , Good Evening and welcome to Sobha Limited Q2 FY24 Earnings Conference Call hosted by ICICI Securities.

As a rem inder , all participant lines will be in the listen -only mode and t here will be an opportunity for you to ask questions after the presentation concludes. Should you need assis tance during the conference call, please signal the operator by pressing '*' then '0' on your touchtone phone . Please note that th e conference is being recorded.

I now hand the conference over to Mr. Adhidev Chattopadhyay from ICICI Securities Limited. Thank you and over to you, sir.

Adhidev Chattopadhyay : Good evening, everyone. On behalf of ICICI Securities, I'd like to welcome everyone on the call today.

Today from Sobha Limited Management we have with us Mr. Jagadish Nangineni – Managing Director and Mr. Yogesh Bansal, the Chief Financi al Officer. I would now like to hand over the call to the management for their opening remarks. Over to you. Thank you.

Jagadish Nangineni : Thank you Adhidev. Thank you for the kind introduction and organizing this call. Sobha team and I are happy to interact po st financial results of Q2 FY23- 24. As you all know , the investor presentation can be accessed from our website Sobha.com. In this call, we'd like to briefly touch upon our last quarter and the half yearly performance and provide a brief outlook for the remaining 6 months of this financial year.

The first half of the year was the best -ever for us with real estate sale value achievement of about 3,188 crores and 3.08 millio n square feet. In this quarter, we achieved the highest ever quarterly sale value of 1 ,724 crores and 1.69 million square feet. This is the ninth straight quarter where the presales have been better than the previous quarter.

Achievement in this first half is more remarkable, considering that no new project launches have taken place. Bangalore touched quarterly sale of 1. 01 mil lion square feet, crossing the 1 million square feet mark again this quarter and a value of 932 crores. Kerala also has done remarkably well, achieving a higher sale in the first half of this year than what we did in the

entire last financial year.

This was aided by two new tower releases in Marina one and Sobha Metropolis in Thrissur. In GIFT City as well, the demand scenario has been very positive with increased visibility and action on the ground. We have crossed the 100,000 square feet mark in a quarter for the first time with the sale value of about 89.5 crores. Ii

 NCR continued to witness excellent demand contributing to about 20.6% to the sales in this quarter. We have a robust pipeline of about 15 million square feet to be launched in the next two years. From this pipeline, we have already launched Sobha Neopolis , one of our largest projects in Bangalore with 1 ,875 units and 3.44 million square feet in the first week of October.

We expect to launch anywhere between 6 million to 7 million square feet in this financial year, including this Neopolis launch. Aided by the excellent sales and milestone achievements in the projects our operational cash inflow has also been steadily growing. Our focus on cash flow management has been steady and the results of the same are for us to see.

For the 1 2th straight quarter, w e generated positive cash flow and reduced our debt. We expect the demand in the residential sector to be robust in the steady economic environment and an interest rate cycle which is close to its peak.

With this I request our CFO – Mr. Yogesh Bansal, to take you through the financials and open the floor for the questions.

Yogesh Bansal: Good evening, everyone, and thank you for joining us today .

I will quickly take you through some of the quarter ly highlights .

With the highest quarterly sale along with faster achievement of construction linked milestone , has resulted in historic achievements in terms of cash inflows reaching to Rs. 1, 450 crores for the quarter, payoff which, substantial portion of Rs. 1,260 crores has been contributed by real estate business.

In the first half of the fiscal year, our performance remained strong w ith total cash inflow of Rs. 2,805 crores out of which re al estate collection contribution is Rs. 2,388 crores . We maintained a strong commitment to real estate construction, deploying 1 ,068 crores in H1 24 and Rs. 536 crores in Q2 FY'24 which represents a remarkable increase compared to the previous year.

We generated net cash flow of Rs. 129 crores in Q2 FY'24 leading to a continued redu ction in our net debt. Our debt -to-equity ratio is 0 .58. Operationally, it is evident that we had a

remarkable strong quarter. On the P&L side, total income for the quarter reached 774 crores with a cumulative figure of 1 ,713 crores for the first half of FY24.
We have handed over 0.67 million square feet in Q2 and 1.71 million square feet in H1 . In the quarter, our EBITDA amounted to Rs. 108 crores with a mar gin of 13.9% for the first half of the year, EBITDA stood at 204 crores with a margin of 11.9%. Our quarterly PAT recorded a figure of 13 crores. Ii
 As of 30th September, there is an outstanding balance of approximately 11,186 crores in revenue yet to be recognized from all sold units.
We thank you all once again for your participation and now we can open the floor for question - and-answer session.
Moderator: Thank you very much. We will now begin the question -and-answer session. First question is from the line of Puneet Gulati from HSBC. Please go ahead.
Puneet Gulati: Thanks you so much and congratulations on strong cashflow and reduced debt. My fir st question is on the pipeline y ou eluded to the 3.44 million s quare feet Neopolis launch. Can you talk a bit about what kind of response you have received and when you talk about 6 to 7 million square feet potential launch pipeline, is it over and above 3.4 or is it inclusive of 3.4?
Jagadis

h Nangineni: Like I mentioned the launch is about 6 million to 7 million square feet , we launched in the first week of October. We released 825 units as part of the laun ch, and it's been a very positive launch that we did, and we think that we are achieving about 11,500 plus as the realization. In the 8 25 units that we released; we have already sold about close to about 40% of those.
And coming to the remaining launches, like I said, it's 6 to 7 million square feet which includes this. So , we have at least 2.5 to 3.5 million square feet to be launched, which would have part of it which would happen in this quarter and remaining in the last quarter.
Puneet Gulati: And in that context if I think about your collections to sales ratio, which is roughly about 81% and I don't think you have much to sell from your existing area. So, when you launch Neo, would it be fa ir to assume that the collection ratio to s ales can go down substantially or it should not be that material a fall?
Jagadish Nangineni: Puneet sorry can you repeat the question , the last part of the question please?
Puneet Gulati: Yes. So, when you launch , you know , you obviously will be collecting only at best 30% given that only 6 months are remaining from the sales that you y ou're likely to do, will the collection and your existing inventory unsold inventory is very little, so would it be fair to assume that even if you were to maintain the same sales run rate, the collection could actually be lower than what you experienced in the first half?
Jagadish Nangineni: I think there are collections that come from two parts which is one from the old sales and the corresponding milestone that we are achieving in the projects. And second is from the new sales.
So, in the new sales that we have just started we have been pretty aggressive in terms of our execution as well. Ii
 And in this particular instance, we already started our construction for the phase that we already launched. So, we expect to hit new milestones, as well, as quickly as possible. Having said that, the collections from the remaining sold and under construction properties also is going to be robust. So, overall, I think in the second half our collection s hould be similar as what we are doing in fact can be better.
Puneet Gulati: Secondly, in your presentation there is also a mention of commercial portfolio, so is there a change in thought process where you want to own commercial portfolio or is it just temporarily parking in the balance sheet?
Jagadish Nangineni: Our f ocus has always been residential Puneet and currently given the residential demand environment, we think that our focus should continue to remain in residential. The dimension of the commercial portfolio is because w e have these in our projects as incidental and hence those projects we will execute a s per the overall master plans of those projects.
Puneet Gulati: No, for example Sobha City Mall in Thrissur and one Sobha Bangalore would stay in your balance sheet o r would it be sold out eventually?
Jagadish Nangineni: We do not have any plans of selling out those commercials which we have already developed.
Puneet Gulati: And similarly, the Sobha City Athena which is ongoing would also stay with the small one?
Jagadish Nangineni: Yes.
Puneet Gulati: And lastly on some of the pending cases while notes to accounts don’t reveal anything new, there was also a

new update on one of the auditors which came in wherein NFRA has penalized
the auditors for lack of disclosers and some land deals, can you elaborate on what really is the
problem there and what is the response to that?
Jagadish Nangineni: This was the matter related where the previous auditor was fined for about a nominal amount of
5,00,000 which I think the representation based on the representation given by th

e previous
auditor NFRA has taken such a call post that we do not have any further information on that.
Puneet Gulati: And any update on when should one expect you to start disclosing your land bank once again used to disclose
it every quarter, but last few quarters it's been missing?
Jagadish Nangineni: W hat we would like to do Puneet is not just the land bank , but also the productivity of that land
bank which we are in the midst of improving the overall productivity of that a nd once that is
done, w e will surely start disclosing not just this pipeline, but also the future pipeline as well. Ii
 Puneet Gulati: And since the last disclosure has that pipeline materially changed or is it largely similar given
that you're doing quite a bit of claiming up as well?
Jagadish Nangineni: So, our cash flow that we have dedicated for the new business development has largely been for
adding new lands i nto the existing land bank where we have large parcels and also some of the
old payments that are due for making these projects go to a project stage.
So, the overall pipeline roughly remains the same, but as we continue to evaluate new projects
and we are signing up new projects too, but it is not materially very different from what we
earlier have in terms of the large land bank that we have.
Moderator: Thank you. Next question is fr om the line of Parikshit Kandpal from HDFC Securities. Please
proceed.
Parikshit Kandpal: So, my first question is on Neopolis so in Neopolis 40% of the unit is sold, so my understanding
was that about 1,600 units in this project ballpark. So, we have launched something around 500
to 600, so have we release some more inventory here and this 40% which was sold does it include
the channel partners because my understanding was that largely it was initially being done by
you directly and then maybe channel partners will be introduced. So, how do you look at
accelerating this project sales?
Jagadish Nangineni: Parikshit just to recap so we therefore the Neopolis project has a 1,8 75 units. The sales that we
launched has 825 units of which I was saying that 40% have been sold and you're right t hat we
have given for the first time in our history of sales that we have given the opportunity for existing customers and who have
dire ctly have been reaching out to us t o book their units for the first
and hence for a brief period we have sold these without any channel partners and we have once
we achieved our goal of our internal sales goals, we have opened up the sales for the channel
partners as well.
Parikshit Kandpal: But how do you intend to release more inventory do you think what point of time do you think
you will release some more inventory in this project by the financial year end?
Jagadish Nangineni: Based on the pay we have the entire year and subsequently to keep opening the inventory. So,
we have as the sales continue, we will open up the new towers.
Parikshit Kandpal: The other question is in the balance launches. So , what are t he other key launches till FY24 end?
So, what do you look at launching in Bengaluru and then Gurgaon or K ochi can give some sense
on where in terms of RERA or other environmental approvals, where are we this and how
confident are we launching this balance 3 million, 4 million square feet beyond the N eopolis ? Ii
 Jagadish Nangineni: Yes, like I said, we have another about 2.5 to 3.5 million square feet that we can potentially
launch of which about a million to million and a half can come from Bangalore and they're in
advanced stages of approvals. In addition to that we have a launch in GIFT City, which is
possible in Q4 and another launch in Gurgaon whi ch is a commercial development so that also
is possible in Q4.
Parikshit Kandpal: A

ny Resi launch in Gurgaon because this will not add up to, I don't think that will add up to 3 to
4 million b alance for the year because 1 .5 in Bengaluru and maybe the GIFT City won't be a big
launch because commercial also not really launched. So , is there anything which you were
building out of these 15 million square feet almost half this year, is something which is pushing
into FY25?
Jagadish Nangineni: So, the remaining will come in FY25 Parikshit , but this is a little bit c onservative because as the
approvals are always tentative, if you can. We are aiming to do our best in terms of doing at least

half of what like I said o f 15 million at least, even if you can do 7 million, that remaining can come in the next financial year and those also in the next financial year w e have those launches seem to be li ned up for spread evenly across quarters.
Moderator: Thank you. Next question is f rom the line of Dhruvesh Sanghvi from Prospero Tree . Please proceed.
Dhruvesh Sanghvi: Just I was reading some of the articles about the promoters which have come an d some of the global magazines where a broader comment was mentioned about India having a peak capacity for Sobha of approxim ately 1 billion to $1.5 billion. Now how should we read this when we have already 5 Indian real estate players crossin g more than 20,000 crores or 25 crores or 30,000 crores leagues, I mean, I feel that we are aiming too low and why is India only a billion dollar in our in the promoters' mind? I mean what is the assumption g oing while saying something like this, if you can just highlight?
Jagadish Nangineni : See, this is the market sizing is a n ever-changing number as things grow then definitely and as we start achieving our increased goals last year, we were at about 4, 000 crores. I mean sorry, last-to-last year we were about 4 ,000 crores, l ast year we were about 5 ,200. This year in the first half we already achieved 61% of what we did last year, and I think we can do, we'll definitely do far better than what we did.
So, as we are increasing our pace of sales, we continue to see the demand that's growing. The understanding of the whole market and our ability to capture that market size will surely be improving. So, it's not to be taken as that's a fixed number, but that's something that continues to evolve . Ii
 Dhruvesh Sanghvi: And just one thing which I keep asking about margins. So, just to keep the track of things, can we say now have we hit the worst phase of the margin reported margin is over now because I think last two quarters, three quarters I've been asking and you have been indicating that yes it should we are in the near end of the worst phase of the margin profile, so is this correct and supporting question to that is that yes we understand that we hit the lowest point right now, but when do we reach to a 10% to 15% net profit margin after all cost, all taxes, is it now visible in the next four quarters or no that upper cap is still much beyond the four quarter time zone?
Jagadish Nangineni: The revenue like in the CFO note we have seen and in the investor presentation we have seen we have about 11,000 crores of revenue to be recognized of which almost 80% of that is from the sale that we have done from FY22. So , the margins of those are decisively better th an what we had done previously and like I said, it is purely because of pre COVID sales and post COVID cost.
So, that I think as we start recognizing those projects, it should definitely improve and in the beginning of the financial year itself we had indicated that in the first three quarters it wo uld be roughly similar and from last quarter we should start seeing improvement.
Moderator: Thank you. Next question is from the line of Himanshu Upadhyay from O3 PMS. Please go ahead.
Himanshu Up

adhyay: My first question is relating to the margins only we are backward integrated comp any. We do our construction on our own and even manufacturing of some of the things and still our margins are pretty low, s hould not our margins be much higher over a period of time and is there any scope to improve the efficiency and cost and what are you doing to improve your costs or efficiency at the overall level I am not talking about just last four, five quarters, just a longer term thought how do you look at your margins and what can you do to improve it internally?
Jagadish Nangineni: It's a valid question because like you said we are a backward integrated firm and our premium in the market is also good. Considering that it is natural for anyone to expect our margins to be better. However , COVID period and probably a little bit post that which is particularly 1.5 years where the efficiency of our own staff in a backward integrated model which has high fixed costs has definitely taken part of the -- because of that we have seen some kind of erosion in the margin, and we should start seeing better margins in future.
And second is from a long-term perspective w e on a project basis we typically aim to achieve anywhere between about 35% and that I think we have been able to do it in the last two years to three years and those will start showing up in t he P&L as well. Ii
 Sorry last part Himanshu is the cost management and improving our efficiency as the scale of

the organization increases our ability for our core management which is in the construction and the other backward integrated divisions that we have is certainly improving and we can see that quarter -on-quarter n ot showing up in the P&L, but that should come up as the scale increases and our pace of delivery certainly increases.
So, c urrently, it doesn't seem like that because our revenue recognition has been a little low, but the completions have not been in line with what we are doing in terms of sales. As you see this quarte r, we have completed about 700,000 square feet whereas our sale is about 1.7 million square feet. So , as in a mature model, we will have to do, we have to catch up for the delivery with the sale and as we do that, these margins will also definitely start showing it.
Himanshu Upadhyay: Secondly, Ahmadabad has become a n important market for us. We are seeing 4 % to 5% of sales from that market and the realizations are better than what we are doing in Tamil Nadu means the average w hat we see on the 10% higher end. Again, 10% lower than Bangalore, i s it a sustainable market and we would like to grow in a new market like that or do you think it is only a one off and once with 7,77,000 million or 1,000 square feet gets sold it is no longer a market for us?
Jagadish Nangineni: Absolutely we were one of the first to. In fact, we are th e first residential project in GIFT City and the investment that we have done has really paid off, especially in the last two years plus with the visibility of GIFT City and the traction that has developed in the core GIFT City operations.
So, w e think that with the kind of focus that the government has on the GIFT City, there is a incredible interest in participating in the GIFT City story and in fact we are looking to add more area to what we already have there and hopefully we should be able to do it and we should launch a new project this quarter.
Moderator: Thank you. Next question is from the l ine of Parvez Qazi from Nuva ma Group. Please go ahead.
Parvez Qazi: So, two questions from my side. First, I think existing inventory is fairly 3.5 million square feet, whereas our trailing 1 2 months itself are about 6 million square feet. So, clearly, we do need to launch more projects. N ow you have said that the H 2 will probably see 6 million, 7 million

square feet of launches, but on a sustainable basis like 10 FY 25-26, can we go closer to the 8 million, 10 million square feet l aunch which is needed if we want to sustain our sales growth that's the first question and second, we have seen some bit of improvement in a land related CAPEX. So , how do we see that number going ahead and also our thoughts on the debt reduction quantum going ahead? Ii

Jagadish Nangineni: On the part of new launches like I said first our focus is on to do the remaining 15 million which
we have clear visibility on those and that I think we have even if you do about for the remaining 1.5 years to 2 years, we do about 7 million to 8 million s quare feet. I think within value of that about 10,000 plus that we are achieving and probably a little bit more .
I think we have a good pipeline right now and in addition to it like you observed that we are doing certain CAPEX in the sense in land investments to increase that pipeline and from next quarter onwards you can start seeing that the visibility of the pipeline which has been steady at about 15 million f or the last three quarters. We should start adding to those and the pipeline will definitely grow.
Parvez Qazi : Lastly on the debt reduction part?
Jagadish Nangineni: On the debt reduction in terms of the cash flow management like we have seen, we continue to maintain a balance between both debt reduction and also the investment in new lands. Now that we have started launching these new projects, I think we will have a robust cash flow going
forward and we are fairly confident that we will able to achieve both goals simultaneously, both reduce debt and also increase the investment in land.
However, g iven the current debt level which is very comfortable for us. Based on the kind of opportunities that we have o ur preference will start moving towards more towards increasing our allocation towards new business development.
Moderator: Thank you. Next question is from the line of Pritesh Sheth from Motilal Oswal. Please proceed.
Pritesh Sheth: First question is again on growth if I look at ce rtain I mean if I look at the contribution from certain markets like NCR where we are now doing 1 ,500 crores of annual pre sales Bangalore is
also consistently now ramped up, probably next two years you have indicated a pipeline, but beyond that if you want to maintain let's say 15 %, 20% kind of a growth which m arkets are
going to contribute that growth considering the pipeline that we have right now and whether that will come from the existing markets and we'll gain certain market share or newer markets will also start contributing and if you can highlight any specific new markets that we know
particularly you're positive of r amping up in next couple of years?

Jagadish Nangineni: The growth will definitely come from both from our existing markets and any new locations that we are going to be in, but the existing markets where we currently which is contributing the most
to us which is Bangalore NCR and Kerala the growth there one in Bangalore is definitely going
to be better because we have a lot of new land banks which are coming into the project level that should see a good growth. Ii
 NCR, we have in the last few years. We have built a good pipeline of projects and those which
unfortunately could not be launched for several regulatory reasons, but now we are getting them
also on online. So, in NCR also we have a good pipeline of projects. So, both these will drive
part of the growth and the next part of the growth is going to come from c ities where we have
been present for some time like Pune and in Hyderabad, we are actively looking for new
opportunities there. And as and when things fr uctifies, we will add those into our pipeli

ne, and
they should also contribute to our growth.
Pritesh Sheth: So, with this 15 %, 20% kind of growth can be targeted over the next in the three to five years?
Jagadish Nangineni: We would like to be consistent in how we would like to grow, and I think we have a decent
pipeline for achieving that. So, we should be able to target that number.
Pritesh Sheth: And just one last on margins that' s on contractual business di d see an improvement in margins
this quarter I think if I see the EBIT margins were around 14%, 15% odd this is the way how we
should look at this business now and t hen for the scale up in terms of margins will come from
residential and just one more there residential I'm not sure if I heard it correctly, but did you
mention that we can clock 30 % 35% kind of EBITDA margin in res idential business ?
Jagadish Nangineni: Your observation is right Pritesh that our contractual and manufacturing margins have clearly
improved because all the previous projects, majority of the previous projects which we had been undertaking and where the costs have been higher. We completed those and these the new
margins that we are seeing is from the new projects that we have undertaken and in the last couple of pa rticularly in the last quarter we managed to do a better job in terms of margins.
We should be fairly steady from here on and in the real estate, this is what I was mentioning was for any typical residential projects, whether today or in the previous time it was all we always
aim for at least 30% margins and we are seeing a slightly better than that 35% margins in some
of the new projects that we have launched and we'll continue to aim for that and those will get reflected in the future is what I mentioned.
Moderator: Thank you. Next question is from the line of Mohit Agr awal from IIFL Securities. Please
proceed.
Mohit Agrawal: So, staying with the pipeline beyond FY25, could you give a color on what could be the
contribution from new project additions that you plan to do next quarter and onwards and from
your own land bank, so some sort of color as to will be 50 -50 from your existing land bank and
new project? Ii
 Jagadish Nangineni: The pipeline that we have for beyond this 15 million is largely it's from our existing land bank
because as a focus on in terms o f capital allocation, it's makes sense for us to make the current
land bank more productive and that would largely drive the new launches that will happen a nd
the pipeline that we will create and the new business development that we have just started doing
in the last year or so, that will slowly come up, but the majority contribution will be from the
existing land bank.
Mohit Agrawal: So, the CAPEX that you've been reporting quarterly is that because you had earlier mentioned
that you'll also be investing to consolidate your existing land parcels and investing in new
project. So , the CAPEX that you have been doing so far, has it been towards consolidating land
bank or towards new project?
Jagadish Nangineni: Majority is for consolidating land bank and any of t he previous queues that we have for the
existing land bank and a small part of it is for the new deals that we have done.
Mohit Agrawal: My second question is if you could elaborate a bit on the pricing behavior in the Bangalore
market, I was looking at Dream Acres project has been completed. It's a good example this will
double door price since 2015.
So, that's a high single digit kind of price increase, on a like -to-like basis what has been that the
realization number doesn't reflect because there's also a mix change over the last few years. So ,
what is the like -to-like increase in prices that you have been able to take let us say in case of new
launches and you're in subsequent phases?

Jagadish Nangineni: If I may ask, so compared to wh

at in what time period you are mentioning Mohit ?
Mohit Agrawal: So, let us say , within a year let's say if you are launching a subsequent phase of an existing project versus the last phase, what kind of price increase have you been able to take for a like - to-like product let's say it could be a year or I just wanted to understand the CAGR in pricing that we are seeing in Bangalore markets and your projects?
Jagadish Nangineni: The project pricing i n the last one year has largely been nominal for an existing project because there is a historical comparison of the project and hence when we increase the prices, that 's relative to the old pricing, b ut for a new project we are doing it much better pricing. So , from a like-to-like basis in a year probably even if you had taken couple of hikes then it would be in the inflation plus maybe about 2% or 3%.
Mohit Agrawal: And just one clarification, if I may the 7 million square feet launch pipeline that you have for this year, could you share the GDV for that, the gross development value? Ii
 Jagadish Nangineni: That would be at about we can say that at an average of about Rs. 11,000 to Rs. 12,000.
Mohit Agrawal: And similar for FY 25?
Jagadish Nangineni: That should be the case, yes.
Moderator: Thank you. Next question is from the line of Abhinav Sinha from Jefferies India. Please go ahead.
Abhinav Sinha: My question is on A how much ready inventory is left in Gurgaon now?
Jagadish Nangineni: The ready inventory in Gurgaon is in the existing pipeline actually we have just completed the project which is Sobha City sales that also has been completed in the last month. So , we will have to do in terms of inventory, it's all going to be new projects that are going to be launched. So that if I see a visibility of that pipeline, there is a visibility of at least 4 million square feet.
Abhinav Sinha: No, and the international city are we like completely sol d out now or something is left?
Jagadish Nangineni: The international cities are Villa project and wherein we completed phase one and phase two. Phase three and four is a separate phase where we are looking to change the mix from the existing villas, and we are trying to see if we can change the mix. Once if we can do that then probably, we can achieve higher than what we had earlier envisaged and once the clarity comes that we will add it in the pipeline, but the Sobha C ity which is the apartment project which was about 3.3 million squar e feet that's the one which is completely sold out now.
Abhinav Sinha: So, this may not contribute I mean till like say FY 25 when the next phase of in Gurgaon starts, right? So , this will slow down now in second half of the year?
Jagadish Nangineni: Gurgaon y ou are right, we are expecting to launch a commercial project in which we plan to do a sale model for part of the area. If we are able to launch the project in the next quarter, then we will again see some pickup in there.
Abhinav Sinha: Same sector 106?
Jagadish Nangineni: Yes.
Abhinav Sinha: And so, in that context are we on track or ahead of track of the 20% odd growth guidance that we were looking for? Ii
 Jagadish Nangineni: Like I said without any launches in the first half we did about 60% of what we did last year, and with the new launches typically the i nterest and the bookings should definitely be better. So , we have not changed at least in terms of any kind of forecast here, but I think w e are in a strong set here in terms of achieving a much better number than last year.
Abhinav Sinha: So, fair to assume that 20% NCR will be made-up by Bangalore and others broadly?
Jagadish Nangineni: We hope to do so, yes.
Abhinav Sinha: Second question which I had was basically I mean I think o

ne of the previous calls you had mentioned that promoters may look to do a rights issue or include some money in the company now with the pledging done away with basically , are we like closer to that in the next maybe 6 months or something?
Jagadish Nangineni: T he promoter and we are evaluating our capital requirements and also our ability to generate cash for our future growth potential as well. So, it's an ongoing discussion and as things become clear, probably that's at an appropriate time we will be able to convey that.
` But from a promoter interest point of view in India, it still continues to be very high and it's an

active consideration for their capital al location .
Moderator: Thank you. Next question is from th e line of Kunal Lakhan from CLS A. Please proceed.
Kunal Lakhan: My first question is on our approach so if you look at one of our Bangalore peers had launched a very large project and launched all of the projects at once and also sold substantial in it. When I look at our Neopolis launch you said that 1 ,875 total units, but we lau nched about 825 units and of which 40% sold. So, is it a conscious approach to like launch in a phased manner or like is it the like the demand is quite slow .
Just wanted to understand how if you were to launch this entire project together, what kind of demand you could get and also like we should expect the same kind of a calibrated approach in the upco ming launches that you would do?
Jagadish Nangineni: Kunal we have been following the approach of phased wise launch in projects right from the inception and that's how we have been seeing how our projects also have done well while we are capturing some kind of increase in the pricing as well.
So, there are two points here. One is that we are slightly more premium in terms of the pricing and hence the kind of volume that we can generate at a single launch is a little different from several other peers. Ii

 Second, this approach has really helped us both from a project execution and also ability to capture slightly or abil ity to realize slightly better p ricing is in both cases, it's been very helpful to us, and we continue to follow that approach.
Second, while we are doing this, we are not averse to launching ne w phases as the demand picks up. In large projects nowadays all the phases of the project are RERA approved. So, as sales pick up, we are ready to launch the new towers as well. So , it's entirely dependent on the pace of sale that we can generate.
Kunal Lakhan: And also like in terms of like when you said that 2.5 million, 3.5 million square feet to be launched in H2, which also includes some commercial development. I mean again like a follow up on earlier questions only that are we being a little too conservative in terms of bringing in more supply to the market when the demand momentum seems to be pretty strong and where are our peers are capitalizing on it. I understand like your focus is slightly t ilted towards value, but volumes are also equally important to …
Jagadish Nangineni: We are really conscious of demand scenario and our success would entirely depend on our ability to get the launches done as quickly as possible. We acknowledge that and we are absolutely focused o n doing it.
Kunal Lakhan: Secondly, on our cash flow, right, we did highlight that we'll incrementally focus towards growth and that t hat is now manageable. So , if you look at your cash flows like a fter servicing debt, you're generating about 200 crores plus on a quarterly basis. So, 800 crores , 900 crores annually and how much of this would you earmark towards your buying land on an annual basis?
Jagadish Nangineni: These are largely allocating those towards debt reduction earlier. N ow slowly as we got comfortable, we have started doing it too for the new opportunities as well.

So, going forward it is entirely on two things. One is the quality of the opportunities that we get in terms o f business development, both for consolidation and the new opportunities so that we can allocate there.
And second i s if that's entirely not possible, then it will obviously go for the reduction of debt .
But I think our ability to generate positive cash flow will keep getting better as we start launching these projects which are speci fically there, we invested in a long while ago.
Kunal Lakhan: And my last question is on what's the status of occupation certificate on the Sobha City project ?
Jagadish Nangineni: So, the status that has not changed yet because w e have contested what the JVNP has done, and we are yet to see any change in the Legal forum that we have approached has stayed the whole cancellation and that continues to be the case now. Ii

 Moderator: Thank you. Next question is from the line of Dhwanil Desai from Turtle Capita l. Please proceed.
Dhwanil Desai: So, my first question is that for the cities where we do not have land bank like NCR, Pune, Hyderabad considering where we are in cycle, do you think that if you acquire land at current prices our threshold of 35% gross margin can be achieved or will that become a hindrance i n terms of acquiring land bank?
Jagadish Nangineni: T he NCR market we do have a pipeline and a land bank there. It's not that we do not have, but we given the demand environment and also outlook that we have there is definitely scope for adding more to the current portfolio a nd if we are very actively looking at new opportunities.
Dhwanil Desai: Will it meet your 35% gross margin threshold that you are kind of working with?

Jagadish Nangineni: W e are seeing opportunities where we can do that, yes.
Dhwanil Desai: And second so just to understand the project economics for wherever you launch a project on your own land without JV JD, is it safe to assume that most of the land which is coming from your earlier land bank at historical cost. In the P &L, that cost will be less than Rs. 1,000 and your cost of construction would be around Rs. 4 ,500, i s that the right number to work with?
Jagadish Nangineni: Yes, that's a fair assumption.
Moderator: Thank you. Ladies and gentlemen, due to time constraints, we will take this as a last question for the day, I now hand the conference over to the management for the closing comments.
Management: Thank you, Adhidev. I express my sincere gratitude to all the participants in the call today. I hope we have answered some of your questions satisfactorily. In case of any further questions, please do reach out to us. We look forward to a good operational and financial perf ormance in the next half of the financial 24 and particularly within optimistic outlook towards the economy and the residential sector.
We believe S obha is very well positioned to grow with the disciplined operational and financial model that we have built in the last several years and we will continue to pursue your goals with fashion. Wish you and your families advance Diwali wishes and thank you.
Moderator: Thank you. On behalf of ICI CI Securities, that concludes this conference. Thank you all for joining us and you may now disconnect your lines. Ii
SOBHA
l',\SSION AT WORK

Call: Feb 2024

Date: February 14, 2024
To, The Deputy Manager
Department of Corporate Services
BSE Limited
PJ Towers, Dalal Street
Mumbai -400 001
Scrip Code: 532784
Dear Sir / Madam, ... -SOBHA
PASSION AT WORK
To, The Manager
The National Stock Exchange of India Limited
Exchange Plaza, Plot No C/1, G Block
Bandra Kurla Complex
Mumbai -400 051
Scrip Code: SOBHA
Sub: Transcript of Meeting with Analysts/ Institutional Investors
In continuation of our letter dated February 03, 2024, please find enclosed herewith the transcript of the conference call held on Thursday, the 08th day of February 2024 with the Analysts/ Institutional Investors to brief the Operational and Financial performance of the Company for the quarter ended December 31, 2023.
We request you to take the aforesaid information on record in terms of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and the same is available on the website of the Company.
Yours sincerely,
Bij umar Dash
/
FO~S'.O~
Company Secretary & Compliance Officer
Membership No. ACS 17222 SOBHA LIMITED
REGO & CORPORATE OFFICE: 'SOBHA', SARJAPUR -MARATHAHALLI OUTER RING ROAD, BELLANDUR POST, BANGALORE-560103, INDIA
CIN: L 4520 I KA I 99SPLCO 18475 I TEL : +91-80-49320000 I FAX : +9 I 80 49320444 I www.sobha.com

"Sobha Limited
Q3 FY '24 Earnings Conference Call"
February 08, 2024

MANAGEMENT : M R. JAGADISH NANGINENI – MANAGING DIRECTOR – SOBHA LIMITED
M R. YOGESH BANSAL –CHIEF FINANCIAL OFFICER – SOBHA LIMITED

MODERATOR : M R. ADHIDEV CHATTOPADHYAY – ICICI SECURITIES .

Moderator: Ladies and gentlemen, good day, and welcome to Sob ha Limited Q3 FY '24 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an oppor tunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch- tone telephone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Adhidev Chatt opadhyay. Thank you, and over to you, sir.

Adhidev Chattopadhyay: Good evening, everyone. On behalf of ICICI Securiti es, I'd like to welcome everyone to the Sobha Limited call today. From the management, we h ave with us, Mr. Jagadish Nangineni, the Managing Director; and Mr. Yogesh Bansal, the Chief Financial Officer. I'd now like to hand over the call to the management for their opening r emarks. Over to you. Thank you.
Jagadish Nangineni: Thank you, Adhidev. Good evening, everyone. Sobha t eam and I are happy to interact with you for financial results of quarter 3 for this financi al year '23, '24. As most of you would know, the investor presentation can be accessed from our webs ite, sobha.com. In this call, we will briefly touch upon our last quarter and 9-month performance and provide an outlook for the last quarter as well.
Firstly, on real estate sales, the first 9 months of this financial year was the best ever for us in terms of real estate sale value with an achievement of about INR5,140 crores and 4.74 million square feet. In this quarter, we again achieved the highest ever quarterly sale value of INR1,951 crores and 1.66 million square feet. This is the te nth straight quarter where the pre-sales have been better than the previous quarter. Our average price realization has also been the best ever at 11,732 square feet. Thanks to the increasing con tribution of super luxury priced projects across all our operating fees.
About 77% of the sales in this quarter has come fr om Bangalore due to the new launch. Also, 70% of this quarter sales have been contributed by INR2 crores less ticket price due to the mix of the projects that are ongoing. We are optimistic that good sales numbers in this quarter too will contribute in the -- from the ongoing projects and new launches if they come in and will add to the momentum.
Overall, for the year, we expect to go over 20% of the previous financial year value of INR 5,198 crores. Secondly, on the project launches. We launc hed two projects in Q3 of this year. Sobha Neopolis in Bangalore and Sobha Metropolis Phase 3 in Thrissur, both put together about 3.84 million square feet. We have a project pipeline of 3.77 million square feet in residential, we launched, majority of which we are aiming to do by the end of next financial year.
For quarter 4 of this financial year, we hope to d o another 3 million square feet of launches. Since they are back ended towards the end of March, there is high chance of radiation as well. Apart from minor delays, most of the remaining acti vities and timeline towards launches are intact.

Sobha share in these forthcoming projects would be about 80%. In addition to this 16.77 million square feet, we are working on our next 20 million square feet tranches as well, which we will start including in the forthcoming projects during the next financial year.
Thirdly, on our cash flow. With the help of our be st ever sales milestone achievements in projects, collections from long-standing contractua l customers, our operational cash inflow has also been the best in this quarter at INR14.93 cror es. We have generated positive cash flow for the 13th straight quarter and reduced our net debt. We will continue to aim to generate positive cash flow

during the growth phase as well. And dire ctionally, we would like to continue to reduce debt.
However, with more focus towards increasing the sc ale of our real estate operations, going forward, the net cash flow generation might be lowe r due to higher spend towards ongoing and new project opportunities. With this, I request our CFO, Mr. Yogesh Bansal, to take you through the financials and open the floor for questions.
Yogesh Bansal: Good afternoon, everyone. Our strong presale number s with improved realization demonstrate not only the resilience of our brand, but also puts us in a strong position for the business. These robust pre-sales will play a pivotal role in genera ting even higher cash flows, enabling us to allocate resources for a sustained growth. Once the y come for recognition, these sales will boost our EBITDA margin in future. Our constant focus on cash flow management has resulted in 13th consecutive quarter of positive net cash flow. We c ontinue to generate improved operational cash flow quarter on quarter.
During Q3, 2024, focus on collection resulted in o verall in-cash inflow of INR14.93 billion with real-estate contribution amounting to INR12.93 bill ion, the highest ever in Sobha's history. We achieved a positive net cash flow of INR97 crores d uring the quarter. Similarly, for the first nine months of FY24, cash inflow was Rs.42.98 billion wi th real-estate contribution being INR37 billion, again the highest ever nine-month comparat ive period.
To strengthen our future pipeline, we invested INR 1.72 billion in the first nine months in land payment and achieved a positive net cash flow of IN R2.96 billion in the first nine months. I would like to highlight that we have good visibilit y of margin cash flow of INR120.68 billion from our residential portfolio with INR64.70 billio n from ongoing projects and INR [65.98] billion from forthcoming projects.

Realisation of these amounts over coming years sha ll facilitate deploying more capital towards growth opportunities. Our net debt to equity is red uced from peak of INR1.32 to about 2 years back INR2.54 now. On the P&L side, for the quarter we recognised INR5.21 billion of revenue in real-estate with total income of INR7.14 billion . For a period of nine months, total income was INR24.27 billion. For the quarter EBITDA was IN R1.03 billion with margin of 14.4% and for nine months EBITDA was INR3.01 billion with mar gin of 12.7%.
As indicated and explained earlier, margin continu es to be so due to recognition of pre-COVID sales. Going forward margins are expected to expand once more decent sales come for

recognition. As on 31st December 2023 we had about INR127 billion worth of RE revenue to be recognised.
I would like to thank you once again for your part icipation and now we can open the floor for the question and answer session.
Moderator: Thank you very much. We have our first question from the line of Pariksh it Kandpal from HDFC Securities. Please go ahead.
Parikshit Kandpal: Congratulations on a good quarter, especially on th e pre-sales. So my first question is that you on the call said you are readying a pipeline of abo ut 20 million square feet of projects beyond the existing launch pipeline which you have. So I j ust wanted to get some more colour on how much is the pending capex on land payments to be do ne in this. How much will be our share in this? How will it be JDA? So if you can give some l ight on that.
Jagadish Nangineni: Good evening Parikshit. The 20 million square feet, the details of those we would of course declare as we convert them into projects over the c ourse of next financial year. But largely these projects which we are planning to do will be in Ban galore and those will be from our own land banks and a couple of plans that we have done in jo int development several years ago.
So the mix would be roughly

again there the Sobha share should be over 90% and the majority
like I said the majority of the projects are based in Bangalore.
Parikshit Kandpal: Does it include the Hoskote land, the 20 million sq uare feet?
Jagadish Nangineni: Part of the Hoskote land is included in this. Yes.
Parikshit Kandpal: So how much would be that land if you can quantify out of this 20 million?
Jagadish Nangineni: So that would be about -- it was between INR8 milli on to 10 million would be from Hoskote.
Parikshit Kandpal: And sir, in terms of development potential, what wi ll be the value of this $20 million? Is it right to assume that realization would be about 10,000 pl us.
Jagadish Nangineni: Yes. The average realization we are expecting shoul d be similar to what we are currently doing in Bangalore, about roughly between 10,000 to 11,00 0 square feet.
Parikshit Kandpal: This on top of this already 22-odd million which yo u have given in the presentation, take the total to about 42 million square feet, which is INR 40,000 crores so these kind of numbers are we looking -- what kind of numbers on presales are we looking for the next year?
Jagadish Nangineni: The planning for the next financial year has just s tarted, Parikshit, but we will be able to sort of disclose and give a guidance probably in the next c all.
Parikshit Kandpal: Okay. Just the last question is on the 3 million sq uare feet of launches which you said will happen during this quarter, which could be back ended arou nd March. So if you can give a broad breakup in which locations are these launches and what coul d be potentially the sales which will be opened?

Jagadish Nangineni: Sure. I mean, these -- although and we are saying i t's 3 million square feet. We have a possibility of launch of about seven projects, one project in B angalore, two projects in Chennai, one project in Trivandrum and a couple of projects in Gurgaon a nd one project in Gift City. So all of these are possible to be launched very soon. But given th e uncertainty sometimes of pace in the launches even if you can achieve half of these laun ches, then I think we should be able to do 3 million square feet.
Moderator: The next question is from the line of Dhruvesh Sang hvi from Prospero Tree. Please go ahead.
Dhruvesh Sanghvi: Yes. Congratulations to you, the entire team. Sir, any thoughts on why we are doing with the rights issue. Of course, it was suggestion from mul tiple investors like us, but it was the suggestion around then the price was probably INR40 0, INR500 and INR600. It would be one of the few promoters in the history who would have sold at INR500 and probably now buying at much higher rates in the rights. And that is why I just wanted to understand what is the rationale that they think and they want to put the money. If you can give us a broad indication,

that is one? I mean I have a couple of questions af ter that, and I'll try to sum it up in the next one.

Jagadish Nangineni: Sure, Dhruvesh. See there are a couple of things we respect to the rights issue. We likely have been indicating, right? First, with respect to towa rds our fiscal -- I mean, financial management, we want to be lean in terms of debt. At the same ti me, we would like to capture the growth prospects that are available in the Indian resident ial sector and which we think are long term in nature. Two is financial goal, which is less burden some than the debt. So in that context, there are several services.

One of the services, of course, the rights issue w herein the promoters also can contribute towards this fund. And the visibility of this fund from the promoters has come in, in the last few months. And hence, their outlook is also very positive in t he long term. And hence, they've given their long-term nature in terms of continuing commit capi tal deployment point of view. So price is not the biggest matter, but the abi

lity to deploy t he capital is far more important.

Dhruvesh Sanghvi: And a small related to this is by when we will have the context of the rights issue available? Any sense? I mean, is it going to be a couple of weeks or it will take 2, 3 months?

Jagadish Nangineni: We are working the details out, and I think it shou ld take another month or so to finalize those.

Dhruvesh Sanghvi: Sure. So -- and one last question about the overall growth because this is the first time we are hearing such big project lineup, including the Hosk ote. Is it now safe that the bottom range for us should be 8 million, 9 million square feet and t hat too within the grasp of 1 to 2 years for the year, the presales, 8 million to 9 million square f eet. Is that a fair estimate now?

Jagadish Nangineni: So we will not be able to clearly say how much is t he sales in future. But we clearly have seen in the last few years, we have consistently grown. They have done consistently about 4.9 FY '23, we hit 5.65 and FY '24, we are already about 2.7 mi llion square feet. So these numbers have been steady and we can increase price realization a s well. So our focus has been for a steady growth.

Now the -- one of the important things that we nee d to remember here is that the tailwinds for the sector has been fairly good in the last 2 years . So I think the long -- I don't know about the short term whether if there's going to be any dips. But in a long term from a real point of view, yes, we should at any for growth numbers that what we mentioned. If it's going to happen in the next couple of financial years, and we work towards it and if there is a macroeconomic environment supports it, then we should be able to aim for those numbers.

Moderator: The next question is from the line of Puneet Gulati from HSBC.

Puneet Gulati: My first question is on the margins. Look, there wa s an expectation that margins will now started turning around by the second half of this fiscal. W hat is the new guidance now? And what's still holding back the margins?

Jagadish Nangineni: On the margin front, Puneet, this particular quarte r, yes, you're right that we have guided that towards the end of the financial year, we will star t looking at slightly better margins than what we did last financial year in the first 2 quarters.

However, the one of the significant reasons for thi s particular quarter is also because of inability to recognize some of the projects where we have com pleted, but we have not achieved the OC because of certain delays in the obtaining those. A nd this is not a tariff -- current characteristic as such in terms of delay, but it so happened that the whole thing got delayed.

And hence, which we could recognize far higher reve nue and margins, we could not. And as you know, as the revenue recognition itself is slightly lower the overheads and the other costs are largely fixed in nature, and hence, the margins see m to be lower. But I think those will still catch up from this quarter onward.

Puneet Gulati: Understood. That's helpful. Secondly, you guide for future projected cash flow. Are those cash flow calculations assume the current price realizat ion? Or are they still based on what you've historically done maybe in previous quarters? Have you revised those numbers up?

Jagadish Nangineni: You're talking about the marginal cash flow that we have showcased in our investor presentation?

Puneet Gulati: Correct, correct. 4.7 billion of potential future n umber.

Jagadish Nangineni: We -- typically, when we do that, then we are a lit tle bit conservative in terms of our pricing and then we take our current pricing. And if there is a nything upside that will come in once the project gets launched.

Puneet Gulati: Just lastly, once again on the rights issue. Your b alance sheet is quite decent at almost 0.5x net debt to equity. You're largely going to launch your

own parcels of land next year. What's the need for equity then?

Jagadish Nangineni: As you know, the majority of our land bank has been -- is concentrated in a few cities, particularly in Bangalore and in Kerala. So Hence, we are aiming growth in multiple other cities as well. And for that, we will need certain upfront capital, and that's what we are planning to use

it for. The city that we would like to focus going forward, apart from, of course, Bangalore, which contributes the most even today are where our NCR is Pune and Hyderabad, like we have been saying, but we could not make -- have good tra ction there because, again, the requirement of capital for growth there is reasonably significa nt.

So balancing growth and investing has certain limi tations. And that limitation we would like to overcome by having an equity capital with us and se ek opportunities in these cities. And also while we are doing this, we would like to also expl ore some new cities as well. So given the nature of our outlook, not just from the existing o perating cities, but also enhancing our presence in our other non-Bangalore cities and new cities, w e think that this equity capital will really enhance our capability to focus on long-term growth .

Puneet Gulati: Okay. And you think NCR, Pune, Hyderabad would not be more JV, will be more land purchase transactions?

Jagadish Nangineni: Well, the nature of the transactions will continue to be mixed. Wherever we think that we can find good opportunities in just an outright purchas e or a joint development, we will continue those. I don't think the outlook of how we pursue t he opportunities will change. But of course, with larger capital base available for us, if somet hing makes sense for us to do outright, we will -- that choice that we currently do not have really will be available to us, and we will exercise it based on the opportunity and the economics around i t.

Moderator: The next question is from the line of Parvez Qazi f rom Nuvama Group. Please go ahead.

Parvez Qazi: Congratulations for the great set of numbers. So a couple of questions from my side. When we look at this 3 million square feet proposed launche s in Q4 or the 16.8 million square feet of projects in the launch pipeline, what would be our share in these projects?

Jagadish Nangineni: Both put together in the launch, for the 16.7 milli on square feet that we have, our share would be roughly about 81%.

Parvez Qazi: Okay. Sure. And including the 16.8 million square f eet and the 20 million square feet projects that we are working on, what is the kind of, let's say, approval costs, etc, which we might need to incur over the next one to two years to bring th ese 36 million, 37 million square feet projects to the launch stage.

Jagadish Nangineni: The details of those, we are still working on, Parv ez. But largely, the land is paid for us. And if I have to clearly -- for incremental investments if I have to do and probably acquire more land in and around where we already have, then it might incur additional outflow. But otherwise, these requirements for approvals or any sort of con solidation or remaining payment that needs to be done for the land and for the partners, those I think we'll be able to cover from our operational cash flow.

Parvez Qazi: Okay. And lastly, you mentioned we are looking at m aybe increasing the land spend and entering new cities or go into cities other than Bangalore. Do you have any number in mind as to our annual land capex, and maybe it will be about INR25 0-odd crores in FY'24. Are we looking to,

let's say, scale it up to INR500 crores, INR600 cro res on an annual basis going ahead? Is that the number in your mind or it could be even higher?

Jagadish Nangineni: I'll not be able to give clear numbers at this stag e. But if we have to grow in out

side cities, outsid e Bangalore cities and if we have to look at a higher volume of projects -- sorry, higher volume of sales, then clearly we will need more investment in land going forward. And I think we -- it should be about that number what you have mentioned .

Moderator: Thank you. The next question is from the line of Ab hinav Sinha from Jefferies. Please go ahead.

Abhinav Sinha: Hi, Jagadish and congrats to the team. A couple of questions. Firstly, the 3 million launch, I think you mentioned for fourth quarter. So does thi s include Karma Lakelands? And what is the product that we are looking at there now?

Jagadish Nangineni: Like I mentioned just in the previous question, we have about seven projects that we can launch in the next couple of months. So some of them might come in this quarter, some might spill over to the next quarter. So one of them is Karma, and K arma specifically, we are going to launch an apartment project on 31 acres, and it's a golf cour se project and that's about 2 million square feet.

Abhinav Sinha: And this was supposed to be a DM project, right? Wh at is the structure now?

Jagadish Nangineni: The structure of the transaction continues to be th e same, which is the development management.
Abhinav Sinha: Okay. So ex of this, all the other projects would n ow be largely owned, right? Because if this is a 10%, 12%, then the remaining and you are saying 8 0% of your stake in the total pipeline?
Jagadish Nangineni: Yes, that's largely correct, yes.
Abhinav Sinha: Okay. Sir, second question is on the rights issue. So what is the timeline you're looking to deploy the money?
Jagadish Nangineni: Like I said, Abhinav, the specific rights issue mat ter, we are still working on the details in terms of the number of branches in which we can -- we wou ld like to raise the capital and also deployment and requirement specifics. So we will be able to share those details in the next -- over the course of the next month or so.
Moderator: The next question is from the line of Pritesh Sheth from Motilal Oswal. Please go ahead.
Pritesh Sheth: Just firstly, on the forthcoming pipeline, when I s ee not many cities being mentioned there, but we have had a very successful project launch in Thr issur in Sobha Metropolis. But I don't...
Jagadish Nangineni: Hello? Pritesh?
Moderator: The line of Pritesh got disconnected, sir. By then, we will take the next question. The next question is from the line of Mohit Agrawal. Please go ahead.
Mohit Agrawal: Yes, thanks for the opportunity and for many congra tulations to your team for showing consistent growth in pre-sales and also debt reduct ion. My first question is on your pricing. So

if I look at the average realization and over the l ast two years that has moved up from INR8,000 average to almost INR11,500, INR12,000.
Can you give some color on what you mentioned about this premiumization of project, so that is one. And the other is the like-to-like growth th at you would have taken the pricing growth you've taken in projects. So could you kind of bifu rcate broadly what would have been the like-to-like growth annually and the premiumization impa ct?
Jagadish Nangineni: Thank you, Mohit. Like you said, the price -- the v olume growth -- sorry, the pricing growth has been from about INR8,000 about two years ago to abo ut -- I mean, this particular quarter it's about INR10,000 -- that we do but first nine months is about INR10,800. So the main -- the reason for this increase is really change in the mi x of the project. As we are launching new projects, we were able to launch at a price higher than the replacement inventory we make also. And that has yet to be increasing the pricing mix f or us.
So hence, to give a like-to-like comparison, it is very tough because the change in the mix is not from the same project, but from new projects. But i f you have to take it a

specific study of certain
projects. The -- like for example, we started selli ng one of our projects Brooklyn and Manhattan. Both of them, we started around INR6,500 to INR7,00 0 and today, it is about INR9,000.
So that's still an increase of about 30%. So simila r would be the case in -- similar to the price increases we have seen for a similar location proje cts where we launched -- completed the new one. So from a like-to-like -- from a pricing point of view, I said it's similar from INR8,000 to INR10,800. And the volume has been -- volume growth has been roughly about again -- around about 4.9 million, 5 million square feet to this ye ar.
If all goes well, we can probably do another 2 mill ion to about 2.6 million square feet.
Mohit Agrawal: Sir, my second question is on business development. We've been talking about adding more projects. My question is are you comfortable with t he valuations being offered. You mentioned that you want to expand to NCR, Pune, Hyderabad esp ecially markets like Gurgaon, Hyderabad. Any thoughts on if you're going for outright or JDA , what has been the landowner expectations? We keep on hearing about land prices going up. So a ny thoughts on valuation? And do you think on these prices, you'll be able to make healthy IRR s?
Jagadish Nangineni: Good question. When the market is up and very optim istic, the land prices are also -- also have -- there has been a raise in the land prices too. S o that is where, I think, having capital with us and ability to chase the opportunities where we can pursue opportunities which are not -- where the competition is lower, will be where we'll have an advantage.
Whether we will be able to achieve the kind of fina ncial objectives that we have whenever we do a transaction, that is something -- we think tha t we are optimistic, and we for that our -- the daily development process has to be far more robust and we take a lot of conservative estimates.
It's a tougher market for us to do new deals.

And that's why we -- I think we need to be a little bit patient. That is where probably our

advantage comes wherein we already have a good pipe line of projects lined up. And hence, the additional to that having operational cash flow and capital without the rights issue will give us a last test of kind of capital too and patience to pu rsue opportunities which will be profitable.
Mohit Agrawal: Understood. And sir, just a last clarification. In your initial remarks, I heard you mentioning that the spends on construction are likely to increase g oing forward. So does that mean that your operating cash flow margins currently on an average , which is around 20%, could that see a change? Or will higher collections kind of take car e of the higher outflows as well?
Yogesh Bansal: So our focus is going to be a higher cash flow, oka y? So higher cash flow once we get cash flow that only we are going to spend on construction. So our operating cash flow is going to be on a similar range.
Mohit Agrawal: Sorry. Sir…
Yogesh Bansal: Higher construction outflows is going to – also fro m higher cash flow.
Mohit Agrawal: So margins will remain stable, right?
Jagadish Nangineni: Margins will remain similar. What if I could paraph rase it. So, essentially higher outflow in construction will lead to higher inflow because of the milestone achievements and particular in the last couple of not couple – last year what ever we have launched the construction outflow for those will start coming in more in terms of str ucture completion.
Those, we will be -- and some of the other project s where we will start doing finishes. So a combination of that, we think that more outflow wil l lead to higher billing for us for the sales and will lead to higher cash inflows. So it's a pos itive cycle of spend, leading to billing, leading to cash inflows and so higher cash outflow, higher cash in

flow.
Moderator: Mr. Mohit? Sir we will take the next question. The next question is from the line of Pritesh Sheth from Motilal Oswal. Please go ahead.
Pritesh Sheth: So first question is on your forthcoming project pi peline, while we have mentioned quite a few cities. But being at Thrissur where we have had a v ery successful project launch. It's kind of missing from that -- I mean, the -- next project is not mentioned here, while I assume we might have some land in the pipeline in Thrissur as well. So what's your plans in that market?
Jagadish Nangineni: Specifically in Thrissur?
Pritesh Sheth: Yes, specifically Thrissur.
Jagadish Nangineni: No. We have two ongoing projects there. One is Lake Edge and the second -- there are three projects, Lake Edge, Silver Estate and Metropolis. So we have just released -- in the last quarter, we have launched the Phase 3 of the Metropolis. So we have a good set of inventory there. And I think it might take a few quarters for it to be c ontinuing. And while that is happening, we are looking at other opportunities in Thrissur as well.

Pritesh Sheth: Sure. So we do have more land in that market, right ?
Jagadish Nangineni: The current developable land currently we do not ha ve. But there are certain land banks, which we are trying to get approvals upon. If that do not certify, we are looking at other opportunities in Thrissur. Thrissur has been our home market for a long time, and we have developed one of the most iconic projects SOBHA City there. which ha s both retail apartments, villas and one of our retail portfolio in that project.
So we have a great brand name and recognition. So w e will look forward -- we will continue to look for opportunities in having a presence there.
Pritesh Sheth: And this 20 million square feet of upcoming pipelin e, you mentioned there is Hoskote, which is included there. Is there Hosur project also include d in that pipeline? And if yes, how much would be the size in the first phase?
Jagadish Nangineni: Good question. Hosur, we are in the last leg of obt aining the permissions there or resolving one of the issues which has been long pending. If we ar e able to resolve that, then we should be able to launch plotted development in Hosur land. Remain ing parts of the Hosur land holdings, we don't think that they are in the development stage.
So as and when we find the opportunity we will mone tize that. But otherwise, the remaining land that we have, which is a small core, which is about 60-plus acres that we will do it as a plotted development.
Pritesh Sheth: Sure. Got it. And one lastly, on the contractual ma rgins in this quarter. So last quarter, we had seen that improvement blocking 14% EBIT margins, 14 %, 15%. It's come down to 03% now.
How should we look at that going forward? This quar ter was just an aberration or there might be some quarters where we still might go through th e same sort of subdued margins.
Jagadish Nangineni: It's more of an accounting treatment that has under gone this quarter. So therein some of the revenue that we have recognized earlier had to be r eversed because of short closing of the [PORC] not continuing the project because of the am biguity in the scope of the project. So that, I think, has led to the reduction in the margin.

But the Overall, in the contractual and manufacturi ng business, the manufacturing business continues to look very good in terms of opportuniti es and in terms of the margins that we can achieve through these opportunities. In contractual projects, the ones which we were -- which we had got in 2021 or so, those are still under lit tle bit of stress but otherwise, which we have started in the last financial year and this financi al year.
Those we look to have a good margin. So as you reco gnize the revenue and close out the older projects, there will be a little bit of stress, but I think

largely it's over.
Pritesh Sheth: Sure. Got it. So, sustainable new margin should be somewhere between 10%, 15% for this segment?
Jagadish Nangineni: It should be.

Moderator: The next question is from the line of Himanshu Upad hyay from Buglerock PMS. Please go ahead.
Himanshu Upadhyay: I have this question on capital allocation strategy for us, okay? And again, the capital is what we want to do. I have three points and a question foll owing it. Our network is around INR2,500 crores, okay, which is the total capital on which t his company has been built. And we want to raise something like INR2,000 crores of incremental capital, which is a quite large based on what historically we had used capital, Okay. The fi rst point.
Second is, in the last cycle also, we invested hug e capital in land bank which led to high debt, low profitability also means. Okay, we need not use high debt but the profitability in IRR may be low. And we have not used that land also complet ely what we built in the last cycle that was point two. And third, how do you ensure that capita l, which we'll be raising now will it get used to the, more cautiously than in past?
And what will you not do with this capital? And fin ally, the timing of this capital raise because what we understand of where is that prices of land have gone up significantly in the last three, four years. Can you give you complete idea on these four points? And how are you looking at the things? And how should I understand it then out side investors in your company. In the last cycle also, we invested huge capital in the land ba nk.
And that capital land bank is also not fully utili zed is what we understand, okay? And it also led to poor profitability in bad years. So the question is, how do you ensure that the capital which you'll be raising will get used more cautiously tha n in the past. And what will you not do with that capital, okay?
And finally, on the timing of this capital raise, what we understand here is that prices of land have gone up significantly in the last 3, 4 years. So how do you be confident that this large chunk of capital will be able to be deployed in let's say , in the next 2 years, where we can get high IRRs or decent IRRs. So this is the question.
Jagadish Nangineni: Okay, thank you. So Himanshu, to answer your questi on, we got the gist of the question. So coming to each point, you are right that the -- our equity is about INR2,500 crores, and we are raising the capital of about INR2,000 crores, which is more than double of what we had raised from all the capital raises that we have done in th e past.
That -- in fact, that shows the our -- the ability to scale the company from where we are today. So I think that's a very positive kind of developme nt wherein with that kind of equity base where we have reached and from this new capital base, the growth opportunities that are present for us seem to be far more, and considering that the curre nt sustainable positive economic environment, we should be able to put this capital for the best use in terms of opportunities.
Second is -- yes, we did raise capital in the last cycle. It's not -- I'll not say last cycle, but la st to last cycle. As a company, we have been operating fo r the last 50 years. And collectively, we have gone through at least 3 real estate cycles.

And therein, there have been multiple lessons that we have done. And one of the biggest things that we have done, particularly in the cycle where in '8-'9, was that we stopped -- we were earlier allocating capital for land banking. And that's som ething that we have said we will not undertake in future. And when you ask one of the questions, w hich is what we're not going to do, and this is what we have not been doing in the past 10-odd y ears.
And in the last 10 odd years

, our ability to alloc ate capital and actually gain or convert the
investments in the projects and in a profitable inv estment has been really good. And fortunately, in some of the -- in the last cycle, which was the '2014 to '2018 it was stagnant.
And after the post COVID, the cost increase also h ad played a big role in terms of margins. But otherwise, we have been deploying our capital judic iously. And going forward also, we'll follow the same principles of prudence and make sure that the capital investment is done to achieve multiple objectives, both organizational and of cou rse, financial.
Himanshu Upadhyay: And one thing, would you like to build your commerc ial portfolio significantly over the years?
Jagadish Nangineni: That's also a good question. We have -- our focus h as been largely residential, and that's what we are good at. And we would like to maintain that focus in the medium term. The reason being we think that there are enough opportunities for us to continue to pursue in residential.
And at this juncture, where there is a clear visib ility of good opportunities, I would rather focus on that rather than moving to another asset class w hich we are not as good. But at the same time, we will start experimenting a bit if the right oppo rtunity comes by in a small scale. And if it makes sense, then we will look at it once we see th rough this residential opportunity set.
Himanshu Upadhyay: Okay, thank you so much.
Jagadish Nangineni: Thank you, Himanshu.
Moderator: Thank you. The next question is from the line of Sa byasachi Mukerji from Bajaj Finserv AMC. Please go ahead.
Sabyasachi Mukerji: Yes hi. Thanks for the opportunity. First question is on the -- in your initial comments that you said that will do a 20% growth on -- in FY '24 on t he FY '23 number of INR5,198 crores. 9-month FY '24, we are already up by 38%. Do you expe ct a very soft Q4 in terms of bookings?
Jagadish Nangineni: Good evening Sabyasachi. This quarter sales is larg ely, again, like I said, is dependent on the -- our ability to do new launches and considering that the new launches are a little bit back ended.
So I think that they can -- there is a possibility for us to not repeat the same sales numbers. But like I said that it's completely dependent on our a bility to launch.
And that's where we would like to guide or we would like to keep all the investors informed. So that's something which is -- which can cause varian ce. Not that it is going to impact the medium term or short-term sort of objectives of the compan y. But when it comes to quarter-on-quarter, these are things which can come in or not. So that' s a data that is too be the cognizant of.

Sabyasachi Mukerji: Got it. Just a follow-up here. So does it mean that probably launches will get spilled over to next quarter Q1? And is it a fair assumption that '25 al so, FY '25, we'll see a decent growth in terms of sales, 15%, 20%? Do you have guidance over that?
Jagadish Nangineni: Sorry, Sabyasachi but currently for the next financ ial year, we don't have -- neither have a guidance nor we have planned it out in detail. As a nd when that -- we do that, then we'll be able to discuss that.
Sabyasachi Mukerji: Okay. Last one from my side is in our last quarter earnings call, you said that probably in the next 6, 7 or 8 quarters, we have a launch pipeline of 15 million square feet around. So does this remain intact? I mean, how are we planned in terms of launch pipeline, let's say, for the next 1.5 years, let's say?
Jagadish Nangineni: Yes. I mean the last quarter's pipeline was about 1 5.3 million square feet. And this quarter, that has increased to 16.77 million despite launch of ab out 3.88 million square feet. So I think that's what I was mentioning in the initial remarks, we sh ould -- we are aiming to launch majority of pipeline in the -- by the end of next financial ye

a r.
Sabyasachi Mukerji: Majority of the pipeline by end of, let's say, FY ' 25 that you are mentioning?
Jagadish Nangineni: That's right.
Sabyasachi Mukerji: Okay, that's all from my side and all the best.
Jagadish Nangineni: Thank you.
Moderator: Thank you. That was the last question for today. I would now like to hand the conference over to the management for closing comments. Thank you, and over to you, sir.
Jagadish Nangineni: Thank you, Adhidev. I express my gratitude to all t he participants in the call today. All the factors contributing to residential demand, which i s high growth economy, job creation urban centers, migration to cities, higher income levels, optimism for the future, need for living in larger communities, steady interest rates would con tinue to play out in the long term.
And we, as a company, has very strong foundation bu ilt by a dedicated team, which pursues the organization goals with passion. And hence, this -- both those, coupled with our brand, operational and financial model, we are positioned to experience a steady growth. And I hope that we will work towards it. and we are pretty opt imistic about our future.
While we continue to pursue our short-term goals, we have a very clear view of the long term as well. So with that, I thank you. Thank you, everyon e, who have participated in the call. I hope we have answered some of your questions satisfactor ily. In case you have any further questions,

please do reach out to us. Thank you.
Adhidev Chattopadhyay: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2024

SOBHA LIMITED
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Date: May 22, 2024

To, The Deputy Manager Department of Co rporate Services
BSE Limited PJ Towers, Dalal Street Mumbai – 400 001 Scrip Code: 532784 To, The Manager The National Stock Exchange of India Limited Exchange Plaza, Plot No C/1, G Block Bandra Kurla Complex Mumbai – 400 051 Scrip Code: SOBHA
Dear Sir / Madam, Sub: Transcript of Meeting with Analysts/ Institutional Investors

In continuation of our letter date d May 14, 2024 and May 17, 2024 please find enclosed herewith the transcript of the conference call held on Friday, the 17th day of May 2024 with the Analysts/ Institutional Investors to brief the Operational and Financial performance of the Company for the quarter ended March 31, 2024. We request you to take the aforesaid information on record in terms of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and the same is available on the website of the Company.

Yours sincerely, FOR SOBHA LIMITED Bijan Kumar Dash Company Secretary & Compliance Officer Membership No. ACS 17222 II
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"Sobha Limited Q4 FY 2024 Earnings Conference
Call"
May 17, 2024

MANAGEMENT : M R. JAGADISH NANGINENI – MANAGING DIRECTOR ,
SOBHA LIMITED
MR. YOGESH BANSAL –CHIEF FINANCIAL OFFICER ,
SOBHA LIMITED
MODERATOR : M R. ADHIDEV CHATTOPADHYAY – ICICI SECURITIES
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Sobha Limited
May 17, 2024

 Moderator: Ladies and gentlemen, good day and welcome to Sobha Limited Q4 FY '24 Results Conference Call, hosted by ICICI Securities. As a reminder, all participant lines will be in a listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Adhidev Chattopadhyay from ICICI Securities. Thank you and over to you sir.

Adhidev Chattopadhyay: Good evening, everyone. On behalf of ICICI Securities, I would like to welcome everyone to the Sobha Limited call today. From the management, we have with us Mr. Jagadish Nangineni – the Managing Director, and Mr. Yogesh Bansal – the Chief Financial Officer.

I now like to hand over the call to the Management for their opening remarks. Over to you, thank you.

Jagadish Nangineni: Good evening, everyone. Thank you, Adhidev, and the team for your introduction and organizing this call. Sobha team and I are happy to interact with you to post the Financial Results of Quarter 4 of the financial year FY '23-'24. In this call, we will very briefly touch upon our last quarter and 12-months performance and provide an outlook for the next year.

Firstly, on real estate sales:

FY '24 was the best year for us on all fronts. Sale value of Rs. 6,644 crores, an increase of about 28%, area of 6.08 million square feet, and a highest ever average price realization of Rs. 10,922. In Q4, after 10 quarters of higher sales than the previous quarter, we took a breather and we landed at about Rs. 1,500 crores of sale with 1.34 million square feet area. Overall, for the year, about 66% of the sales are from Bangalore and 58% of this quarter sales have been contributed by Rs. 2 crores plus ticket size.

Secondly, on the project launches:

We launched a total of seven six projects in the last year with 7.03 million square feet, all of them in Q3 and Q4. In the last quarter alone we launched four projects, Sobha Crystal Meadows, Sobha Elysia in GIFT City, Sobha Ridge in Trivandrum, an

d Sobha Atlantis Phase-II in Kochi. Last year, our contracting and manufacturing have also steady at Rs. 683 crores with a small degrowth in some of the sub-verticals.

At the end of this quarter, we have potential new launches of 16.85 million square feet and an existing inventory of 7.55 million square feet, making a robust inventory visibility of 24.4 million II

square feet. Of the remaining unlaunched inventory of 16.85 million, we plan to launch about 9 million square feet in FY '25 and the remaining subsequently, that would be an increase of about 30% from the previous year of 7 million square feet launches. In addition to this, we are working rapidly to bring the remaining land bank also into the project stages, which we estimate to have a potential of between 25 million to 30 million square feet. We will keep adding to the future launches as the work progresses in this year and the next.

Positive cash flow generation has been our focus and it continued last year as well. Details of the cash flow and other financials will be taken up by our CFO. I request Mr. Yogesh Bansal to take you through the same before we open for questions.

Yogesh Bansal: Good evening, everyone, and thank you for joining us today. We would like to share our financial performance of FY '24.

We achieved a highest ever operational cash flow of Rs. 5,797 crores. In this, about Rs. 5,034 crores was contributed by our real estate business, making it the highest ever collection year in Sobha's operating history. This was possible due to increased sales and also hitting more construction linked milestone across our ongoing projects, leading to higher billing and collections. This enabled us to increase our spend across businesses and function to help our growing scale and expedite construction activity in the projects.

We have generated the highest-ever net operating cash flow of Rs. 1,089 crores. Higher inflow has also helped us reduce our dependence on short-term financial instrument , thereby there is r

eduction in our interest cost. In line with our commitment to balance growth and financial discipline, we have spent a net amount of Rs. 383 crores towards land and new opportunities.

Q4 '24 was the 14th consecutive quarter of debt reduction. We reduced our net debt by Rs. 81 crores in the quarter and Rs. 377.5 crores in the entire year. Our net debt to equity is now at a comfortable level of 0.5 , compared to 0.66, which was as on 31 March, 2023. These achievements are a clear reflection of our commitment to maintain a financial discipline and balancing a sustainable growth at the same time.

Looking ahead from our residential real estate business, we have an estimated marginal cash flow of Rs. 14,934 crores to be realized. Of these, Rs. 8,393 crores is expected to be contributed from our ongoing projects. Additionally, we have had a robust pipeline of 16.85 million square feet expected to be launched over the coming six quarters. These forthcoming projects are expected to generate Rs. 6,541 crores of Marginal net cash flow. Our present approach to capital management coupled with cash flow visibility puts us on solid financial foundation to see new growth opportunities in future.

On the P&L side, during the financial year, our total income is Rs. 3,218 crores with an EBITDA

margin of 12.4%. Out of this, about Rs. 1,953 crores were contributed from property development. This year, revenue largely comprised pre-sales made four years back. In the quarter ended 31 March, 2024, our income was Rs. 791 crores, of which, Rs. 491 crores was from our residential business.
We have a balanced revenue of Rs. 13,515 crores from the whole residential unit which will be recognized in the next three to four years. We expect the margin to be improved significantly from whene

ver it is recognized, the balance revenue. For our Q4 24, we recorded a PAT of Rs. 7 crores, and for the year PAT of Rs. 49 crores.
Would like to thank you all once again for your participation. And now, we can open the floor for a question-and-answer session.
Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.
Parikshit Kandpal: So, my first question is on the launches. So, you did some launches in Q4, GIFT City launch, the Meadows launch, and I think that followed up with launch in Gurgaon with Karma Lakelands. So, if you can help us how has been the response to these launches? That's my first question.
Jagadish Nangineni: Good evening, Parikshit. Yes, we did these launches, and the response has been quite good. And the sales of this response will be reflected in Q1, because the launch of the GIFT City and Crystal Meadows has been at towards the end of the previous quarter, Q4, so majority of the sales will flow in Q1. And the response has been quite good according to our expectations.
Parikshit Kandpal: Sir, between the three projects, Meadows, GIFT City and Karma Lakeland, so how much is the total value of what type of inventory released, like Rs. 1,000 crores or if you can help us, 1 million square feet? So, that will be helpful. How much of the inventory you have released for the market?
Jagadish Nangineni: So, the total inventory for this would be about Rs. 7,500 odd or so, and we have released about 20% of it for the market.
Parikshit Kandpal: So, the 20% has been released?
Jagadish Nangineni: Yes.
Parikshit Kandpal: And what are the balance for this quarter, so what are the other projects which are looking to launch in Q1? SOBHA
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May 17, 2024

Page 5 of 14 Jagadish Nangineni: In Q1, like you said, we have already launched this Aranya, which is the Karma Lakelands project.
And we have one plotted development in Chennai, and we have one more project ahead to be done in Gurgaon. Apart from that, we have one more plotted development in Coimbatore. These are the ones which we think that we can do in this quarter.
Parikshit Kandpal: So, just one more question on that. When you are seeing Gurgaon, I think large part of Karma Lakelands, the value of inventory will be high there, so why you have only released 20%? So, just wanted to understand from you, when other developers are launching the entire projects, why we are holding back and only releasing one-fifth of the inventory?
Jagadish Nangineni: Well, we have several towers there, so we are doing tower-wise launches, Parikshit. And we believe that it's one of the most elite projects in the entire country, which is a golf-course project, and we think that there is a good value to be realized. And currently what we have launched is, the overall launch is about 1.9 million square feet. So, of which we believe that over a period of time as we launch, we sell and we develop, it would be more prudent than launching all and probably selling everything and having a majority of the cash flows coming in, but there is significant time for us to actually do the construction. So, we would like to pace the sales also in line with the construction activity.
Parikshit Kandpal: Just one last question sir on this, Pune now, we are seeing that Pune launch, one project has been added in Pune. Also, we see that the Gurgaon overall launch pipeline has increased from almost 5 million to 8 million square feet, so that means we have done some new business development. So, if you can help us understand what has been the new business development quarter-on-quarter, how much area you have added, so that would be helpful.
Jagadish Nangineni: So, in Pune we have added one project which we think that the overall potential for the project is about 5 million square feet, at least. However, in that we

are doing it in phases and the first 1 million square feet is what we have put it in the pipeline, and which we plan to launch it next FY '25 if it comes through. If it comes through, it adds to our overall what I have guided as 9 million square feet, we can do probably more than that.
Parikshit Kandpal: This year you are planning to do 9 million square feet of sales, pre-sales?
Jagadish Nangineni: Of launches, yes. And Gurgaon also we have added two more projects in Sector 99 and Sector 63. Both these projects also will come up for launches in the next 12 months or so.
Parikshit Kandpal: What is the sales guidance for the full year then, just on the guidance bit sir on pre-sales this year,

so are we in line to cross Rs. 10,000 crores of sales this year?
Jagadish Nangineni: Parikshit, that would be a great aim for us. Right now, in a very high base, last couple of years we have achieved about 30% plus increase in the sales. If we continue on the path of at least 20% plus, we should be at least doing Rs. 8,500 crores. And if we can achieve anything more than that, based on the new launches that we are seeing and based on how the release of inventory, if it continues to do well, then definitely we should be aiming towards it. But on a base case, I think we should be able to do Rs. 8,500 at least.
Moderator: Thank you. Our next question is from the line of Pritesh Sheth from Motilal Oswal. Please go ahead.
Pritesh Sheth: Firstly, again on launches, you elaborated on launches that you are planning for Q1. But in these 9 million square feet, how would it be split across cities, if you can help on that?
Jagadish Nangineni: Pritesh, largely about 60% would be from I think Bangalore, these launches, and about 2.8 million to 3 million square feet will be from Gurgaon, and the rest of it will be from Chennai and Kerala.
Pritesh Sheth: Secondly, on the land spend, now that we have seen an increase in the land spend in this quarter, what is your estimate on land spend in next year? And what are the projects, and what are the markets you are targeting in terms of land acquisition?
Jagadish Nangineni: In the long term our focus is going to be in the large markets, our largest markets are Bangalore, currently where we are present; Bangalore, NCR, Pune and Hyderabad. These are the four cities. In addition to that, of course, we have Kerala market, which has been doing well, and we have small projects in Chennai and Coimbatore, too. In all these markets, we would like to continue to increase our scope of operations. And what we have done this financial year, similar spend is what we envisage to do next year also with the kind of cash flow that we would be generating. And I think that would suffice for taking care of the next couple of years of requirement considering where we are in terms of pipeline of both existing inventory and the new launches.
Pritesh Sheth: Roughly Rs. 400 crores of land spend next year as well?
Jagadish Nangineni: Yes.
Pritesh Sheth: Okay. And one last one on margins, so just 135 --
Jagadish Nangineni: Just to add there, Pritesh, I mean, this is with the current plan. And like you know; we have started the process of rights issue last quarter. And if that comes through, which we are working upon it in the last two, three months, and we would like to take it forward as quickly in the coming weeks. Once that comes in and the capital that would be available for us through the rights issue, and what purpose we will be using it and additional cash flows that we will be available for us, the actual spend on the land will significantly change from that. This Rs. 400 crores what I was mentioning is from the cash flows that we generate from an operational level. Pritesh Sheth: And one last one on margins, so Rs. 135 billion of sales yet to be recogni

zed, what kind of margins we should expect from that? And when do you see the improvement coming in, is it from 1Q onwards or a little later in the year?
Jagadish Nangineni: Yes. Yogesh, would you like to take it?
Yogesh Bansal: Yes. So, Pritesh, currently, if you see, we are incurring sales and marketing, on pre-sale of last year we have incurred Rs. 6,644 crores, which is higher by 28%. And correspondingly, we incurred quarter overhead. That's why our EBITDA margin was low. Going forward, we are targeting sales with a higher EBITDA margin close to 30%, plus we are speeding up our delivery, both combination, once it will start fortifying we will see higher EBITDA margins.
Moderator: Thank you. The next question is from the line of Dhruvesh Sanghvi from Prospero Tree. Please go ahead.
Dhruvesh Sanghvi: Yes. I wanted to ask about the overall rights issue, but before that I wanted to applaud you that finally the shareholders have got rewarded, but still we would like the final P&L to come in. And of course we are waiting for the margins to catch up, so thank you for the overall efforts and the direction that the company has taken under you, Jagadish. So, on the rights issue, why is it taking time? I understand that probably in the coming few weeks you will do it, but is it that the cash flow of the promoters are tied up to a certain timeline, and that is the reason for it? Or some other internal planning leads to the delay?
Jagadish Nangineni: Thank you, Dhruvesh. The rights issue, we had started our work on this in February itself. The time lag of what we expected and where we are today is more technical in nature. We wanted to do the entire financials and due diligence based on past financials. But as you know, we had got a new auditor in FY '23, and we wanted to complete two financial years with the existing auditor and come up with the financials of that. That made some of the overall diligence part much simpler.

And hence we have waited to come up with the results for this last quarter as well. And hence, now that everything else, this quarter has ended and the financial results are out, we will go to the best possible extent in terms of speed to move ahead with the rights issue. So, this has got nothing to do with any other factors like you mentioned, but more to do with technicality.
Dhruvesh Sanghvi: And one broad question, because you used the word saying that the land purchases after the rights issue will be much more or significantly higher than the Rs. 400 crores otherwise planned out of your existing cash flows. On the broader sense of things, how will we take care that we are probably mid of the cycle already, we are definitely not at the low now. The land prices have readjusted across the country, and in fact, at many places and cities, the jumps have been very significant. With such a large kitty now coming in and let's say if we think about Rs. 2,000 crores of land purchase in the next two years out of the new cash flows, how do we shield for the future problems which came similar to the past ones after 2008, '09? I mean, are there enough such opportunities that are easily monetizable, or this will be like long-dated land purchase plans again where we will not be able to monetize them for another five or 10 years?
Jagadish Nangineni: No, it's a very valid question, Dhruvesh. In fact, if you look at our journey in the past few years and where we are today, and with the rights issue what's happening, we are probably in one of the best possible situation in terms of availability and visibility of cash flow. That gives us a lot of leverage in terms of the ability to evaluate and seek opportunities which make sense for us. We are not in the land banking business, and that's not what we would like to do with the availability of the cash flow.
Like you would have seen our marginal cash flow from the ex

isting and the new launches is about
Rs. 15,000 crores, and add to that, we are raising this particular rights also which advances our plan. But that gives us enough firepower to deploy wherever it can be done, and we are very mindful of the cycle were we are in. We are mindful of the opportunities where the margin of safety might be low. We are mindful of what the issues that we faced in the past even in the existing cities and the new locations.
So, considering that, it is not that we would be in a super hurry to deploy and start launching. That's not the aim here. The aim here is to make the company financially extremely strong, and with this coming in, I believe that we are one of the few players who will be reasonably well balanced in terms of financial, and hence the ability for us to create a longer runway has just begun.
Dhruvesh Sanghvi: If I can squeeze in one small l one, in terms of the pre-sales, I mean, though you would not guide, you have indicated something like let us say Rs. 8,000 crores, Rs. 8,500 crores. But Jagdish ji, the kind of growth a lot of our peer sets are now facing, and now they are like it is like animal spirits are coming out where there were not even five players touching, Rs. 8,000 crores before a couple of years. And now there are more than five players touching Rs. 20,000 crores of pre-sales. Should we not ramp-up much faster than probably what you are conservatively guiding? Or we are still not ready with the launches in the near sense, like why can't we go to Rs. 12,000 crores, Rs. 13,000 crores now?
Jagadish Nangineni: You are absolutely right that the market and the scale of some of the players in the market has been significant, and it reflects the mood in the residential real estate. But you have seen our company, how we have been operating. One, we have increased the pace of launches. We would continue to increase the pace of launches, there is no doubt about it. Although we have 16.85 million square feet, we would like to do it as quickly as possible. If we can do better than what we are planning for, nothing like it. Not that we are trying to deliberately slow it down. That said, you know that we are a premium player in the market, and the uptake of the inventory that's there, while it is true for most of the other players, for us it might be a little bit more balanced in terms of the premium that we charge and the kind of scale of launches that we can do. Based on that, I think we think that we can do at least what I have guided as Rs. 8,500 crores or what we assume can be done. But there is absolutely no effort that we are going to leave to make sure that what we launch and what we sell will be as per the market conditions. So, I do believe that there is an optimistic scenario than what we are planning. But we will take it as we go during the financial year.
Moderator: Thank you. The next question is from the line of Kunal Lakhan from CLSA. Please go ahead.
Kunal Lakhan: Just want to understand how much of pre-sales of, say, Rs. 66 million this year are from say projects on existing land bank versus newer land that we acquired?
Jagadish Nangineni: During the last financial year, Kunal?
Kunal Lakhan: Yes.

Jagadish Nangineni: Last financial year, all of our launches have been based on the existing land bank, which we have done in the past. No new launches have been done on acquisition during the year. So, 100% of the launches would be in the bulk, except for small sales that were done, small sales that would have come from the GIFT City where we incrementally acquired some land.
Kunal Lakhan: Sure. So, just a follow-up on that is, so I am just trying to understand what is it say a pro forma EBITDA margin on these sales which are simply from the existing land? And the reason why I am asking is because if you look at your OCF margins, right, even after excluding say con

tractual and manufacturing business, are roughly in the range of say 20% odd. You would expect a lot more considering like this is legacy land which you are launching on. So, just trying to get my head around it, if you can help.
Jagadish Nangineni: That is right. For land that we have, we are launching on legacy land, the embedded EBITDA margin should be far higher, should be (+30%). And whereas for the others it would be slightly lower. But if you look at the launches that we have done, just let's say, for example, last year in Neopolis which is on our own land, it should be anything more than 40% to 45%. But for some of the others, in joint development projects, it might be a little lower.
Having said that, overall, like Yogesh has mentioned previously, we have this Rs. 13,500 crores of revenue to be recognized. And in that, on average it comes to about 30%. But if you break it down again and see the sales that we have done in the last couple of years, that would be about 70% of the Rs. 13,500 crores. And that should be about a gross margin of more than close to 33% to 34%. So, as we recognize these revenues of the older projects, the remaining portion of the SOBHA
 projects that need to be recognized, their contribution increases and hence the remaining EBITDA margins should improve.
So, we have another two to four quarters of this slightly lower margin scenario. And it also depends on the higher revenue recognition that we can do. So, increased pace of completions is a key thing that we are working towards. Once we achieve that pace of completions as well, then we should be in a far better position in terms of P&L.
Kunal Lakhan: Actually, my question was not on P&L margins, actually it was on OCF margin which is based on what are the sales that you are booking today. The OCF margin provided by, say, collections from real estate only, that is at about 20% odd. So, this number should be a lot higher than 20%, I believe.
Jagadish Nangineni: Operating cash flow margin for the projects that we launched?
Kunal Lakhan: Operating cash flow margin for say FY '24? I am saying that operating cash flow is divided by the cash inflows from real estate. If you exclude the contractual and the manufacturing business, that's around 20%. That's what I was trying to get.
Jagadish Nangineni: Okay. On the overall real estate business?
Kunal Lakhan: Correct. So, that is at 20%, which should be technically around 30% plus, considering these are all legacy projects and there is no land cost associated to these.
Jagadish Nangineni: Kunal, we do not have a ready answer for that. Can we just quickly work on this and we can take it up?
Kunal Lakhan: No worries. Yes, sure. Thank you so much.
Moderator: Thank you. The next question is from the line of Yash from Stallion Asset. Please go ahead.
Yash: Sir, so my question is that I understand that you would like to launch 9 million square feet in FY '25, right, like in terms of the area?
Jagadish Nangineni: Yes, that's right.
Yash: So, if I just do this simple math that, if I multiply this by average realization of Rs. 10,000 per square feet, then you get the pre-sales to about Rs. 9,000 crores. So, I am just trying to understand that, are we trying to be a bit more conservative here on our guidance for pre-sales for FY '25? Or maybe I have not got the math right, or if you can just maybe explain, that would be very helpful. Jagadish Nangineni: So, this new launch, Yash, of FY '25 of 9 million, probably the average price for that might be slightly higher than Rs. 10,000. And that's number one. Number two is, this is the launches that we are planning to do, and not necessarily the pre-sales. Pre-sales would of course depend on the ability for us to launch these new projects and the pace of sale of the existing inv

entory of about Rs. 7.5 million that we have.
Yash: Right. So, you are saying that out of this 9 million, maybe like 70% or 80% would already be

converted to pre-sales, if I understand right, like broadly?
Jagadish Nangineni: Yes, I mean, 9 million plus what we have already is about 7.5 million, that's 16.5 million. So, this 9 million will come over a period of during the financial year. So, on average we will probably convert about 50% of it.
Moderator: Thank you. The next question is from the line of Parvez Qazi from Nuvama Group. Please go ahead.
Parvez Akhtar Qazi: My first question is, I mean, in the various markets that you operate, where do you believe the demand environment currently is the strongest? And the second question is, in FY '24 what could have been, let's say, the price increase in the various geographies that you operate in?
Jagadish Nangineni: Good evening, Parvez. Your audio is not very clear, if you can just kindly repeat the last couple of sentences, that will be helpful.
Parvez Akhtar Qazi: Sir the second question was on like-to-like price increase in FY '24 across various geographies.
Jagadish Nangineni: The increase in for FY '25 versus FY '24, because we are launching several projects in Gurgaon and also some of the current inventory which we launched in Bangalore also is at a slightly higher pace. I think there we should see an increase of at least about 15% to 20% in the average price. And coming to the launches itself, like I said, part of the launches, about 60% of the launches would be in Bangalore and remaining in Gurgaon and Chennai and Kerala.
Parvez Akhtar Qazi: So, actually my question was about the demand environment. In the various markets that you operate, where do you see the demand environment currently being the strongest?
Jagadish Nangineni: Right now, on a steady state basis, we are operating in Bangalore, NCR, GIFT City and in Kerala. Each market is slightly different. The Bangalore market has been very steady, and we continue to see very good demand for projects across ticket sizes. In Gurgaon, particularly, there is an elevated demand for residential projects. And in Kerala it has been very steady in terms of the demand, mainly driven by the NRI clients. In GIFT City also, as the progress of the GIFT City itself is seeing good traction, the demand for residential real estate there also seems to be very good, considering that last year we have sold out the entire remaining inventory that we had in GIFT SOBHA

 City. So, all these seem to be very high. And apart from these, there are other two locations which we would like to be a keen player that is in Hyderabad and in Pune. Hyderabad continues to see a very good demand environment, similarly in Pune. However, we would like to see some more new investments there, then only we can have a real good number out there for you in terms of demand for our products.
Moderator: Thank you. Ladies and gentlemen, the next question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.
Parikshit Kandpal: My first question is on, we are ramping up our launches and we are totally backward integrated. So, just wanted to understand, are we open as we are expanding to newer geographies? So, will you look at engaging external third-party contractors to do construction for you? So, if you can give some color on capacity building there. Given that, and also we can get some color on how your parent has been doing in Dubai, because their scale is Rs. 40,000 crores. So, I mean, do they hire external construction companies? And whether in India also you are open to hire external contractors?
Jagadish Nangineni: Good question, Parikshit. Our uniqueness of the operations is on the backward integration model, and that is something that we will hold on to. You brought up a good point wherein the scale, how would we scale up the co

nstruction activities also. But as you know, in the past several years we have been doing a lot of contractual work for Infosys and several other clients. And as we have been scaling up the real estate vertical, and there has been a descaling of the operations in those verticals, so we have a lot of talent and capability in those so we have moved to the real estate vertical. And hence, we have been able to manage the capacity that's coming in now. Having said that, there is no doubt that we have to continue to build on this capacity that we have already built in. So, that's an ongoing exercise. But for the time being, for the volume that we have sold and volume where we have achieved rights till now, we are comfortable. And understanding the requirements of the future, we are ramping up our recruitment, training and also some of the capacity buildings on our manufacturing verticals as well.
Parikshit Kandpal: Even in Dubai, the parent is like doing it like backward integrations or they outsource the entire construction.
Jagadish Nangineni: I believe Dubai also follows the same model.
Parikshit Kandpal: My second question is on business development. So, you did touch upon that last year, you acquired 5 million in Pune, so I assume that it should be about close to Rs. 5,000 crores across development value. And Gurgaon, I think 2 million, the increase in the launches, that should be about Rs. 3,000 crores. So, is it right that you have added Rs. 8,000 crores of new business development last year? And if you can also help us understand whether in Bangalore and other SOBHA

 geographies, how much you would have added in terms of gross development value? And what is your target for FY '25?

Jagadish Nangineni: We can assume that, Parikshit, based on the basic math that you just gave. But as a company, on an ongoing basis we keep doing new deals and we did not start any practice of adding the specific deals and showcasing how much we are adding every quarter or a year. But roughly what you have mentioned, that's right. And you will keep seeing that in the newer pipeline of launches quarter-on-quarter. For FY '25 also, if our land spends are going to continue in a similar fashion like what we did, we should add every year at least anywhere between Rs. 8,000 crores to Rs. 10,000 crores value of projects, which essentially replenishes the current ongoing case of sales.

Parikshit Kandpal: Just lastly in Mumbai, sir, any plans there? I mean, you are now reviving the Pune piece, getting into Hyderabad, seeing some traction there. So, any plans for Mumbai? How are the engagements here? So, how are you seeing Mumbai planning out for you?

Jagadish Nangineni: We have started understanding Mumbai as a market at a very high level. The local dynamics of the market is very different from any of the other cities, so there is a little bit of research and a little bit of understanding going on in the company. While we are doing that in parallel, we are also evaluating some opportunities. As and when they come to a fruitification level, we will definitely share.

Moderator: Thank you. The next question is from the line of Dhruvesh Sanghvi from Prospero Tree. Please go ahead.

Dhruvesh Sanghvi: In terms of price brands rise, I think someone asked that if you can compare Bangalore's like-to-like prize rise over the last one year, what would it be? I mean, of course, it's very difficult, it is project-to-project. But is it fair to say that Bangalore would have risen for you by 5% to 10%, or more, in the price rise?

Jagadish Nangineni: No, there are certain projects, Dhruvesh, where we can see a comparison of the projects where there has been inventory sale in the same project or during the whole course of the year. If you compare only in those projects, because it is tough to compare one project to another project, to do that, then for us it's definite

ly been over 12%.

Dhruvesh Sanghvi: Over 12%?

Jagadish Nangineni: Yes.

Dhruvesh Sanghvi: And what would be your outlook on that aspect be, again same, Bangalore like-to-like for the next finite period of, let's say, one to two years? Or now we are, it looks that we are now saturating on the upper side.

 Jagadish Nangineni: It looks that the price increases in the last two and a half to three years has been pretty good. And at least we do not have plans where the outlook is far higher than what it is. Inflationary is what we would expect. But it again depends on project-to-project. Some of the projects, once they get successful, then we do see price increases.

Dhruvesh Sanghvi: And one question was on Karma, I believe it's a JV, I mean, there's a partner involved, and the land was purchased, or the tie-up of the land had happened much back into the history, I think pre-COVID. So, how did the dynamic work? Because the pricing in that area has dramatically shot up, so do we get a chunkier pie of the incremental that would have happened in that area from the time of the lock-in till date? Or is it a complete pass-through where, I mean, it's not much favorable to us?

Jagadish Nangineni: The specific to Karma project, Dhruvesh, that is a DM project, so the overall dynamic, there has been an increase in the pricing, there is an increase in the cost, too. So, in a DM project our margins are largely stable, irrespective of the market.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Jagadish Nangineni: Thank you. Financial year '24 has been an exceptional year for Sobha, and it underscores our team's focus and commitment to growth, and Sobha's strong brand value in the consumer mind and deep stakeholder trust. In this year, not only we delivered good operational performance, but we made significant progress to strengthen our foundation for future growth. We are now very well positioned, financially and operationally, to capture the growth opportunities that India presents in this upbeat economic environment. I hope in this call we have answered some of your questions satisfactorily. In case of any further questions, please do reach out to us. Thank you. Have a good weekend.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Aug 2024

SOBHA LIMITED
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Date: August 14, 2024
The Deputy Manager
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Scrip Code: 532784 & 890205 The Manager
The National Stock Exchange of India Limited
Exchange Plaza, Plot No C/1, G Block Bandra Kurla Complex
Mumbai – 400 051
Scrip Code: SOBHA & SOBHAPP

Dear Sir / Madam,
Sub: Transcript of Meeting with Analysts/ Institutional Investors
In continuation of our letter dated August 05, 2024, and August 09, 2024, please find enclosed herewith the transcript of the conference call held on Friday, August 09, 2024 with the Analysts/ Institutional Investors to brief the Operational and Financial performance of the Company for the quarter ended June 30, 2024.
We request you to take the aforesaid information on record in terms of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and the same is available on the website of the Company. Yours sincerely,
FOR SOBHA LIMITED

Bijan Kumar Dash
Company Secretary & Compliance Officer
Membership No. ACS 17222

"SOBHA Limited Q1 FY 2025 Earnings Conference Call"
August 09, 2024

MANAGEMENT : MR. JAGADISH NANGINENI – MANAGING DIRECTOR , SOBHA LIMITED
MR. YOGESH BANSAL –CHIEF FINANCIAL OFFICER , SOBHA LIMITED
MODERATOR : MR. ADHIDEV CHATTOPADHYAY – ICICI SECURITIES

 Moderator: Ladies and gentlemen, good day and welcome to SOBHA Limited Q1 FY25 Results ' Conference Call hosted by ICICI Securities.
As a reminder, all participant lines will be in the listen -only mode and there will be an

opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing " *" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Adhidev Chattopadhyay. Thank you and over to you, sir.
A Chattopadhyay: Yes. Good evening, everyone. On behalf of ICICI Securities, I would like to welcome everyone to the Q1FY 25 Results Call of SOBHA Limited.
As always, represented from the management by Mr. Jagadish Nangineni – the Managing Director, and Mr. Yogesh Bansal – the Chief Financial Officer .
I would now like to hand over the call to the Management for their Opening Remarks. Over to you. Thank you.
Jagadish Nangineni: Thank you Adhidev and the ICICI Securities team for organizing this Call . Good evening, everyone. Thank you for joining us for the Q1 FY25 Earnings Call.
This Quarter has been quite positive for us and I , along with team SOBHA, are happy to be interacting with you today. You can access the Investor Presentation which is based on the audited financial results adopted by the board from our website.
In today's call, I will briefly touch upon our performance in Q1 and our outlook for the remaining period of FY25.
The 1st Quarter was an eventful one with four new project launches in real estate, two of them in Gurgaon and one p lotted development in Chennai and one in Coimbatore. These projects combine d. measure 3.04 million square feet . The projects are as follows:
• First, SOBHA Aranya, our company 's first Golf Course -based project.
• Second is SOBHA Altus, Company's first mixed-use development project —both in Gurgaon
• SOBHA Conserve in Chennai and SOBHA Mountain Mist in Coimbatore.
In the past nine months, we launched an overall 10 million square feet and currently we have 9.24 million square feet of unsold inventory. This gives us a great visibility for our teams to
 work on sales for the remaining years in addition to the planned launches for the next nine months.
The majority of the recently launched inventory is in high ticket size category of over 5 crores and hence we expect the sales velocity to be moderate for such units.
We have a strong residential launch pipeline of 17.9 million square feet across 16 projects, 7 cities and we expect these projects also to be launched in the next six to eight quarters. In the remaining quarters of this financial year, we expect to do another at least 6 million square feet , taking the yearly launches to about 9 million square feet . This provides us a great impetus to the near- and medium -term performance.
We are also building a robust pipeline for future projects from our existing land bank, largely based in Bangalore, and new transactions in current operating cities and high potential non-operating cities. The high potential non- operating potential cities that we are currently considering are Mumbai and Noida. The current potential of these projects is about 30 million square feet . We will share the details of these projects as we move into forthcoming projects
from time-to -time. The expected timeline to br ing these projects into launch stage is between one and a half to three years.
As you are all aware, we have recently concluded our rights issue and raised the capital of. 2,000 crores. This capital will enable us to propel from here after laying a strong foundation of execution and fiscal and develop deep operational expertise in multiple cities in the country.
This capital raise from public has come after 15 yea

rs after 2009 's QIP and our landmark IPO
in December 2006. The successful rights issue makes 2024 a significant milestone for the company as it is a testament to our commitment to growth and promoter intent to contribute to the same in India. It also shows the incredible show of support we have received from the public investors and from our valued shareholders, from those who have continued to make us who we
are for which I am truly grateful.
Sales in the 1st Quarter of this fiscal have been quite encouraging and we have done the second highest ever sales value. We have sold a total of 562 units this quarter and achieved a quarterly sales of 1,874 crores, registering a YoY growth of 28% and QoQ growth of 24.6%. Thanks to the new launches , for the first time in the history of the company , NCR has contributed to 852 crores, 45.5% of the overall value, overtaking Bangalore sales. GIFT City also had a remarkable quarter with the sale value of 93.2 crores post launch of SOBHA Elysia.
SOBHA's overall price realization in Q1 FY25 was the highest ever. This is because of the significant shift in our product mix aided by the recent launches. The demand outlook in all our operating cities continues to be steady with supply catching up to the dema nd.

Page 4 of 16 During the quarter, we completed 0.92 million square feet in delivery , which is 564 units and we are on track to complete about 5 million square feet versus about 4 million square feet in the previous financial year. In this quarter, although we have completed projects, delays in obtaining OCs have affected our revenue recognition and hence , going forward, the revenue recognition would be in a little lagged manner for the remainder of the financial year.

Our contract revenue is steady for the quarter and going forward we would deemphasize on civil contracts projects owing to the increase in scale of our operations in real estate. This would enable us to channel our resources to our real estate projects and increase the pace of construction continuing with the backward integrated model of delivery which is the hallmark of our company. Similarly, our manufacturing divisions continue to support our delivery model while we service external customers as well.

With this overview, I now invite Yogesh – our Chief Financial Officer, to give his c ommentary on the Financial Performance in Q1 and then we can open the floor for questions . Yogesh, over to you.

Yogesh Bansal: Good evening, everyone, and thank you for joining us today. I am pleased to share our financial performance for the 1st Quarter of Financial Year '2 5 ending 30th June 2024.

Starting with our cash flow :

In line with the previous quarter, this quarter also we monitor ed our cash flow closely. The improvement in cash flow over the last two years is a clear testament to our focus and our constant endeavor to improve financial efficiency. We have achieved the highest ever quarterly inflows and crossed a historic milestone of 1,500 crores.

Total collection from all the business amounted to Rs.1,546 crores in this quarter. Of this, about 1,392 crores were contributed by real estate businesses marking it the highest ever quarterly achievement as well as in our operating history. This was possi ble due to increased sale and also progress in project development in all ongoing projects, leading to higher billing and collection.

We generated a net operating cash flow of Rs.327 crores which was 68% higher than Q1'24.

We have invested in CAPEX close to 44.5 crores while higher due to start of construction of recent ly launch ed project s. During the quarter we have invested 161 crores in line with our growth focus.

These are 15 consecutive quarters of debt reduction. We reduced our net debt by 74 crores in the quarter and now our debt -equity is 0.47.

Page 5 of 16 Looking ahead, for our re

sidential real estate business, we have an estimated margin cash flow of Rs.16,200 crores to be realized for sale s and marketing expense. Of this, Rs.9,994 crores is expected to come from our ongoing project s and balance 6,210 crores from our forthcoming projects.

On the P&L side :

Our total income during the quarter was Rs.670 crores with EBITDA of 85.4 crores with a margin of 12.7%. Real estate income from property development from the handover of residential units was 334.7 crores.

In this quarter, revenue recognition was low on account of fewer handover s due to delay in OC in some of the projects. And during the quarter, we spent a lot of money on sales and marketing on current sale which is also taken into account in our P&L. For the quarter, we have recorded a net profit of Rs.6.4 crores.

Before closing, I will just touch upon the rights issue :

As you are aware, recently we have raised 2,000 crores through the capital market. We have issued 1.21 million shares at the rate Rs.1,651 per share and the rights issue was subscribed 1.39 times. This rights issue will help us in securing new opportunit ies in new market s as well as it will strengthen our existing operations .

Once again. I thank you all for your participation. We can open the call for question-and -answer session.

Moderator: We will now begin the question-and -answer session. The first question is from the line of Puneet from HSBC Mutual Fund. Please go ahead.

Puneet: Thank you so much and congrats on the great numbers. My first question is with respect to the comments that you made that given that you will have high ticket price launches, the sales would be moderate. How should one think about bookings in the light of this comment, should one think that last year 's run rate would be where you would end up this year or you expect a pick up there?

Jagadish Nangineni: Thank you, Puneet. What we expect from a sales point of view is both from the current inventory that we have and also proposed launches that we are planning to do subsequently during the financial year. So, in my earlier call, I had mentioned that in this year we would be targeting a sale of at least about 8,500 crores and that 's what we would continue to aim for. It 's not that the inventory is only with that high ticket size units but also it comprises of the other units. Those would of course be a little bit moderate but the rest of the inventory that we have seems to be having good traction. So, I believe with the current inventory that we have, which is diverse across locations and also with the new strong pipeline that we are seeing, we should be able to achieve what we have set out for.

Puneet: Similarly, your comment on revenue recognition which you said will come in a little lagged manner given that your guidance for almost 5 million square feet of completion, can one assume it will be more towards third and fourth quarter?

Jagadish Nangineni: Yes, Puneet. Ideally it should be coming from Q2 itself and wherein we had received significant number of OCs post Q1. One of the reasons for the delay in Q1 revenue recognition the OC matter is also because of the elections that have happened and wherein a lot of government functions and machinery are focused towards conducting of the elections and hence there have been some delays. And post that we have seen that there is significant improvement in the timeline for getting this. So, if everything works well, we should be able to start seeing those from Q2 itself.

Puneet: And one question is on the accounting side. When I look at your balance sheet, the inventory reported has gone up by almost 1,200 crores, but on the other side, if I look at the spends on land payment and construction cost, etc., that ’s less than 1,200 crores. So, how is that adding up?

Jagadish Nangineni: Well, that is mainly owing to the fact that

whenever we convert any of our land opportunity into a project, particularly in the joint development, right, so we would have to follow the gross accounting method wherein the construction cost pertaining to the landowner gets into both sides of the balance sheet.

Puneet: And lastly, if you can also talk about even the bump in realizations that we ’re seeing on the GIFT City, Hyderabad. Is it more the nature of product or is it that the realizations in those cities have gone up to such range?

Jagadish Nangineni: Well, GIFT City project is in Gandhinagar and there we had three projects, first one being Dream Heights and we started the project in 2017. We had been seeing a steady increase in the realization and probably you would have noticed in some of the recent land auctions also there is a great interest in GIFT City and hence there is significant demand there. In the past four to five years particularly, we have seen an increase in the realization from earlier 6,500 to close to about 10,000. So, the new project that we launched is at about 12,000 and we are seeing decent traction not that, it’s necessarily going to continue at the same pace as Q1 because Q1 has a slight increase because of the new launch. But from here on, it will be a steady progress. But we are seeing a very good demand response for this project too.

 Puneet: So, the project type has not changed, just the realization which used to be Rs.8,800 a square feet has gone up to 12,300. So, that’s how one should read?

Jagadish Nangineni: One is the price per square feet, the realization. Second, even the nature of the project also has slightly differed from the first project. Our first project was in fact only one bedroom and a two - bedroom units. The second one had a mix of both two bedroom and three bedroom. And this one we are catering to the slightly luxury product. And this one is largely a three and a four bedroom. So, the product configuration also changed as the GIFT City progressed from where it was about seven t o eight years ago.

Moderator: The next question is from the line of Dhruvesh Sanghvi from Prospero Tree. Please go ahead.

Dhruvesh Sanghvi: Congrats on the great quarter, JagadishJi and YogeshJi. So, just to understand SOBHA share versus JD share, so if we see the cash flows last year, we paid approximately 1,000 crores to JD partner, but when we see in the million square feet size, I mean it doesn ’t look like there is any meaningful JD partner share. So, like will this come down materially in the future because 95% or maybe 98% of our sales are probably our own and versus the JD area. How should I read this?

Jagadish Nangineni: You look at both little differently. One is the cash flow, cash flow of course last year JD share cash flow was slightly higher owing to payouts for some of our partners which we accelerated and paid them out which are ongoing continuing projects. While t his quarter that has normalized and that ’s where you are seeing slightly lower JD payments now. Coming to the overall inventory if you are referring to the inventory that we have or the sales that you are referring to, then it would be s lightly different and the remaining inventory that we have about 18- odd million square feet that we plan to launch in forthcoming projects, overall SOBHA share would be about in the range of 76% to 80%.

Dhruvesh Sanghvi: So, I mean there is a meaningful JD number there as well is what you are saying. Okay. The second piece is when we see the gross debt, it has remained nearly 2,000 crores for the last five quarters and we are in a very healthy shape. So, is it like we are preparing for the so -called new cities of Mumbai and Noida and once the deal is complete, we have to pay some big numbers out there or the prepayment laws don ’t allow you to pay early out of the existing debt, how does this number is to be seen?

Jagadish

Nangineni: This is completely technical. It 's nothing to do with any linked to any strategic direction that we are taking. The technical thing is we are just following through with what the RERA method of deploying capital. So, we had got good collections from previous two years of sales and also billing that we have done with good progress on our side. While in joint development projects we can probably refer to joint development payments and take some of the cash out from these RERA accounts. But for owned land projects, it 's far lower that we can take out. So, hence what

 number that you are seeing in terms of the cash that 's lying in the books, that will be largely towards in the RERA accounts.

Dhruvesh Sanghvi: I am referring to the magazine article, which generally talk about the slightly longer -term vision of India by the Menons and there Mumbai look to be a predominant number, but the quoted time period was looking very low in terms of in three, five years we will be here or there. If you can just throw some light on what practically we can achieve in Mumbai considering that your first project may start from one and a half or two years hence as you indicated at the start, so some timelines in terms of when will Mumbai presales really start in a proper way?

Jagadish Nangineni: While the intents for the promoter and the senior leadership is to expand and grow to new cities, and like I mentioned in my opening comments, Mumbai being one of them, Noida being one of them, we are still taking baby steps in these cities and it 's very difficult to comment about the timelines immediately, but probably by the next call or so we will be more clear in terms of how we would like to progress from here. So, it 's slightly early right now.

Moderator: The next question is from the line of Parvez from Nuvama Wealth. Please go ahead.

Parvez: So, couple of questions from my side. First, I think in the previous con call you had said that we are targeting about 9 million square feet of launches this year. Does that target remain or is there a chance that we may give it?

Jagadish Nangineni: Yes, you are right. The last quarter call I had mentioned 9 million square feet and even in this opening comments also I have referred to that 3 million square feet that we have already done in the 1st Quarter and remaining three quarters we should be able to do at least 6 million square feet. There is an upside potential to this definitely, but this is the number that we think we can surely do. As time progresses and we get far more confidence on the timing of the remaining launches, we will definitely revise this number.

Parvez: What would be the GDV of these 9 million square feet launches, rough cut basis?

Jagadish Nangineni: At an average of current about Rs.11,000 I think we can take about, total 9 million square feet will be about in the range of Rs.10,000 crores.

Parvez: And second, I mean, we have obviously stepped up our land related tickets. This quarter in fact the trajectory had started going up, last year as well. So, going ahead now do we have a target in mind regarding what is the quantum of policy either in million square feet or GDV terms that we are targeting for adding? I think some news reports say that we have won a couple of auctions in Greater Noida also, JDA in Gurgaon. So, just wanted to get your views what is our let 's say target on the land devel opment side?

 Jagadish Nangineni: Yes, Parvez, we do not have a clear yearly target for adding GDV. The reason is twofold. One, I think we have enough in the pipeline for us fortunately, and which you can see in the inventory itself, we have about 18 million currently and about 9 million already we have as unsold inventory. So, that's 27 million square feet . On top of it, we have an additional pipeline of significa

nt from our existing land bank and also what we have done as deals in the previous couple of years. So, henc e we think that there is enough inventory with us. On top of it, the current market seems to be very on the upper side and with the capital that we have and the cash flow that we are generating we will see opportunities and the capital allocation for us is very strictly in terms of the financial returns too. And we will be deploying based on the opportunities that we would receive. And I am not a big fan of putting targets for GDV on a yearly or a quarterly basis.

Moderator: The next question is from the line of Biplab Debbarma from Antique Stock Broking. Please go ahead.

Biplab Debbarma: Sir, my first question is on the reported EBITDA margin. That has been low for a while. So, sir, what would be the projected margin for FY25 and ' 26 based on the revenue recognition that is estimated and by when do you think we can cross reported EBITDA margin?

Jagadish Nangineni: We do understand the concern of the lower EBITDA margins. Like I have mentioned in the previous financial year it has got to do with the cost overruns in our contractual projects and in real estate projects post -COVID. But going forward, we are very optim istic of the margins, particularly in the sales that we have done in FY23, '24 and 1st Quarter of '25, our EBITDA margins at project level should be more than 30%. So, hence they will recover as we recognize these revenues in the coming years. And while a lot of fixed cost that we are absorbing today are at a slightly higher level in terms of sales. So both, combination of the lower margin recognition of the previous years and higher cost base in terms of fixed cost both contributing to lower EBITDA margins right now. Those will surely recover as we start recognizing more revenue based on the completion of the projects and that we should start seeing the better margins even from next quarter. But I would say that steadily it would improve from next financial year.

Biplab Debbarma: Second question is on your venturing into new development s, Mumbai and Noida. And welcome to Mumbai, sir. I just wanted to know this project what kind of these are JDA projects and from the million square feet , what will be the total price in Mumbai and in Noida?

Jagadish Nangineni:
Thank you for the invite to Mumbai. We are like I said taking very baby steps right now and it 's very difficult for us to give a clear timeline or what we are planning to do. We ourselves are in a significant learning mode. So, as things progress, we will be able to give you clear commentary

 or indication towards what we are planning to do there and that you will definitely find in the subsequent interactions with us.

Moderator: The next question is from the line of Pritesh Sheth from Motilal Oswal. Please go ahead.

Pritesh Sheth: Firstly, just a clarification whether SOBHA Altus has any contribution for the quarter or most of that sales that happened will come in Q2?

Jagadish Nangineni: SOBHA Altus also was launched in Q1 of this year and a small contribution from that also is available, it was launched towards the end of the quarter, so it 's a small contribution, it's not very large.

Pritesh Sheth: Second is on your product strategy since you agree to the fact that all these premium projects with higher ticket size will have a moderate kind of sales. So, firstly trying to understand, why these premium projects whether the location demands that or th e land cost that we have paid or the terms that we have agreed with JDA partners need to have a premium project in that location so as to earn good margins, so just broad comment on that? If you can just quantify the balance 6 million square feet in this year or the 19 million square feet that we have in the forthcoming pipeline, what would the mix of mid-income versus premium projects?

Jagadish Nangineni: Good question, Pritesh. It gives me an opportunity to respond to why we have chosen to do this. Firstly, the positioning of the project and the mix of the configuration of the units is not necessarily driven only by financial sense, but also from the loca tion of the project, the kind of bylaws that we have moving what kind of audience that we would like to expect to cater to. So, we as a company also have a vision to create landmark spaces and phenomenal projects catering to a higher tic ket size customers as well. So, it is a coincidence that all of these projects have come together. We always had some small mix of such projects in our portfolio, but most of these projects have come through in the last couple of quarters, that 's largely a coincidence, but each project has a well thought out plan is why we have done that. And for example the Aranya, which is a golf course project and the size of the unit and the design of the project is completely in sync with the fact that it is one of its kind in NCR and in India, and in the row houses that we have done in Bangalore also it 's in a fantastic location and the kind of the availability of the scale of the land and the kind of product that we wanted to do in terms of row houses has been one of our dreams to develop such a project towards this side of the town. So, considering those we have been designing these projects for a few years and they have all been launched together. That's sort of a coincidence. But the rest of the projects is on a typ ical mix of our two, three and four bedrooms, the remaining close to 18 million square feet .

Pritesh Sheth: Any breakup you can give in terms of whether it will be largely tilted towards mid income or it's balance between both the categories?

 Jagadish Nangineni: So, well, the remaining 18 million square feet are designed again to largely skewed towards a typical product and all of these are apartment projects. So, largely they will be in our bread -and-butter category of average size of 1,800 to 2,000 sf t.

Pritesh Sheth: Second question is on the rights issue that we have had. I just wanted to check, how much did a promoter additionally contributed to rights which were not unsubscribed by the existing investors, if you can quantify that number, I mean over and above their current holding, how much they would have put in that rights issue?

Jagadish Nangineni: Well, like Yogesh has mentioned in his comments, the overall rights issue was oversubscribed by 1.4

times and the promoters ' share has gone up by about 0.5%.
Moderator: The next question is from the line of Abhinav Sinha from Jefferies India Private Limited. Please go ahead.
Abhinav Sinha: Hi, Jagadish. A quick question on rights issue itself. So, when are we expecting the remainder of the money to be drawn in?
Jagadish Nangineni: In the rights issue we had taken a provision for doing it in two additional tranches. As we deploy this capital and start seeing utilization of these funds, we will take a call in another three months to choose the timing of that, whether it 's going to be one tranche or two tranches. We have a time for 18 months to make a choice there.
Abhinav Sinha: But hopefully this year all of it can come?
Jagadish Nangineni: It's quite possible. And like I said, it 's too early. We just finished the first tranche. So, we will be able to take a call in another three to four months.
Abhinav Sinha: I actually had a few questions on the NCR market. So, firstly, Gurgaon, we have heard that there has been some slowdown etcet era. So, just wanted to have a broader take from you also on the overall market? And secondly, again the remaining area that you have in Gurgaon now to be launched, what is the timeline for those launches as well?
Jagadish Nangineni: In Gurgaon market, see, firstly, the projects that we have currently they are c

atering to the upper end of the market. Hence, it 's very difficult for me to comment on the rest of the market. The rest of the market seems to be reasonably strong, and the higher ticket size market also seems to be steady, and we , like you know , cater to the end -user customers and there continues to be interest in our products. So, from that point of view, I don't see a large concern. And the remaining inven tory is that we have a couple of more projects that we would like to launch that we should be doing it in another nine to 12 months.
 Abhinav Sinha: How much of inventory do you have in Bangalore now and in the next one or two quarters, are we looking at some big ticket launch there?
Jagadish Nangineni: Yes, of course. In Bangalore itself, we have about 3.5 million square feet, and we would probably launch out of the 18 million square feet we will have about 11 million square feet from Bangalore itself.
Abhinav Sinha: No, but in the next one or two quarters because sales seem to have sort of slowed there now?
Jagadish Nangineni: Yes, largely the new large launches that will happen in this financial year will be from Bangalore.
Abhinav Sinha: Finally, is it possible to comment on the Greater Noida land auction? We seem to have won something.
Jagadish Nangineni: Yes, that 's a small land that we have participated in and won. It 's about 3.44 acres and we think that we can develop about 0.65 to 0.7 million square feet . So, from an overall potential point of view, Greater Noida seems to be getting better over the years and hence we have been looking at evaluating the market for quite some time and we thought this is a good opportunity where we're getting clean land from the government and wherein the ability for us to get approvals and launch the pr oject are pretty straightforward. So, hence we think that this is a good opportunity for us to experiment in a new market and also I think the economics also works for us.
Moderator: The next question is from the line of Siddhant from Goodwill Industries. Please go ahead.
Siddhant: My first question was regarding the acquisition cost of land. We have been hearing from a lot of other developers that the cost of acquiring lands in hot markets like Bombay and NCR has shot up. So, what kind of IRR are we expecting on these projects and how do we not make the mistake of buying land at the top of the cycle and then being stuck with it for a long time?
Jagadish Nangineni: Good question. Siddhant. You are absolutely right that the product prices have almost gone up in the last couple of years, similarly the land prices also have caught up particularly in the last nine to 12 months. Hence, we need to be far more calculative and cautious in terms of doing ne w deals. And that 's where I think our play comes into strength because we do already have a good pipeline of new launches, and we have a good capital base. So, our ability to choose the transactions where we think that it is financially makes sense and strategically also it helps us. So, we will be able to capture those opportunities without the burden of having any high debt and having a good capital base for us to invest. So, from that perspective, we are far better positioned in this market than what we were before in probably two years ago.
Siddhant: The second question is regarding the rights issue. So, as of date, we would be net debt -free?
 Jagadish Nangineni: Well, we have drawn the first tranche is about 1,000 crores and hence post that we like we have
seen our net debt currently is at about 1,200 crores and post the rights that net debt probably would be about 300 crores.
Siddhant: In this quarter, you did not give the pre -sales number at the start of the quarter. Was it the new regular practice or was it a one off?
Jagadish Nangineni: We were in

the middle of the rights issue and hence we were advised to combine it with our
quarterly results and hence we have taken that approach. We will continue with our operational
updates from the next quarter.
Moderator: The next question is from the line of Pavas Pethia from Aditya Birla Mutual Fund. Please go
ahead.
Pavas Pethia: Just wanted to understand what is the land bank post this forthcoming projects of this 19 million
square feet if you could give some region-specific color on the land bank we have?
Jagadish Nangineni: Like I mentioned, we do expect to have projects beyond this 18 million square feet to the tune
of 25 to 30 million square feet . And that will be largely from our existing land bank and also
some of the recent projects that we signed up.
Pavas Pethia: So, this 25, 30 million square feet , post that we don't have any additional land bank or?
Jagadish Nangineni: We do have and those are still in stages where we cannot clearly say that those can come into
development stage. We do have and we are working towards it. And as and when those also
come in, we will definitely add to the pipeline of projects.
Pavas Pethia: But some color about which are the regions where this is kind of more whether it 's Bangalore
heavy, what else is there?
Jagadish Nangineni: From our current land bank point of view, it 's entirely Bangalore. Although we have lands in
Tamil Nadu and Kerala but majority of them, we do think that we will need to consolidate and
probably do projects like plotted development or we use it for some other purposes, other asset
class or we do mone tize those land parcels. So, that's largely the current view. And if there are
any changes in the location dynamics and as we continue to invest and consolidate those, if there
any other change in dynamics of the particular micro market, we will obviously relook at the
development potential there.
Pavas Pethia: You said the reason for not putting it across, is it not contiguous land or is it some regulatory
issue?
 Jagadish Nangineni: No, it 's not at all a regulatory issue. It 's more to do with continuity, more to do with the current
location and its dynamics where we think that the development potential is not as high as it
should be because our main focus is development of residential spaces which is again built up areas and t hese locations are not yet there for that.
Moderator: The next question is from the line of Himanshu Upadhyay from BugleRock Capital Private
Limited. Please go ahead.
Himanshu Upadhyay: My question was on Bombay. What type of projects we are looking in capital allocation you are
thinking and how are you thinking about differentiation in this particular market versus other
players and some of those broad thoughts you can help us in the ma rket or how you are thinking
for approaching the market?
Jagadish Nangineni: The approach towards Bombay is similar to our approach to any new city that we have gone in
and we have got a lot of learnings from as we enter a new city. Like I mentioned earlier, we are
still in a learning stage right now and our ability to give a full-fledged commentary or outlook
or strategy in terms of what we are going to do is a little bit premature. So, hence I would like
to reserve it for probably a few months later. Having said that, Mumbai being a very large market, probably constituting about 35% to 40% of the overall top nine cities in the country ,
there would be a lot of opportunities, and we think that there would be a small space for players
like us as well. It has to fit in our model of development, model of our financial metrics and the
opportunities that are presented in Mumbai are several types unlike in many other cities and the geography itself is far and widespread, core Mumbai, Thane and Navi Mumbai. So, it's a large
market where our understanding is very prelimina ry. So, hence it 's

very important for us to focus
on specific types of developments and locations currently. We are trying to wrap our head around it. And as we can start focusing on certain opportunities, we will be able to get a far better
understanding and make up our own plans to go about it. That 's one. Second is of course apart
from Mumbai itself, we do find lot of opportunities in our existing operational cities. So, Mumbai is just one market, and we are looking at it from a very long-term view. It 's not that we
are just taking the capital that we have and allocating a large chunk of that to Mumbai. If the
priority is right then we would allocate far more capital to our existing locations than to new
cities in Mumbai for two reasons. One, still we are learning about it, and we would like to enter
it with a lower and capital efficient manner and second like we are witnessing, the market is also
still evolving and we are not very sure if it 's at the top end of the market or there is still room
for us to grow. So, conside ring all that, we would take measured calls on how we go about in
Mumbai.
 H Upadhyay: And we said that there are a lot of land parcels where we need to consolidate. So, on the rights

issue what capital you have raised, do you think a substantial chunk can go for consolidation of those land banks and bringing it them to the market or you think it is a small opportunity only?
Jagadish Nangineni: Well, these land banks are largely located in peripheral locations of cities and hence capital required for us to consolidate is very low. That 's not the primary aim of the capital raise that we have done. And also, it will be for an extended period of time. So, the current land bank which is in Tamil Nadu and Kerala that we will use the capital as and when we can get the right opportunities to consolidate.
Moderator: The next question is from the line of Parikshit Kandpal from HDFC Bank. Please go ahead.
P Kandpal: So, my first question is on Gurgaon. There was some announcement in the media that you have registered some 12 acres of JDA. So, what is this land parcel in Sector 63?
Jagadish Nangineni: Yes, yes, we have done a collaboration with the local land owner, and this is part of our launch plan for future.
P Kandpal: And how big is this opportunity in terms of the million square feet and GDV and whether it is a part of the presentation?
Jagadish Nangineni: Yes, I think we can develop about close to 1.6 million square feet of area here.
P Kandpal: And approximately the rates here will be about Rs.17,000, Rs.18,000 or more than that?
Jagadish Nangineni: Yes, at about Rs.20,000 is what we believe we can do.
P Kandpal: Is this a part of the presentation or is it like it will get added maybe in Q2?
Jagadish Nangineni: No, this transaction we have completed earlier and although it 's reported in media recently, so we have taken it as part of our forthcoming projects, and it 's included in about 18 million square feet of forthcoming projects.
P Kandpal: My second question is on Hoskote land. So, now Godrej has launched a project, and it has done significantly like phenomenal in terms of sales. So, when you speak about that 20 million square feet additional pipeline, so how much, first of all is the Hoskote potential because what I understand it was the 500 to 600 acres of land potentially with 50 million square feet of sellable area. So, how much if at all is included in that 20 million and when do you think you can bring it to the market?
 Jagadish Nangineni: Our first phase that we are planning to do is more than 100 acres and we have started doing our master planning there. I think we should be able to start that process of submitting for approvals, etc., in the next six to 9 months and post that whatever ti me it takes for us to launch.
P Kandpal:

Is it the part of the 18 million square feet which you have like factored or is it part of 20 million square feet which you said is the pipeline beyond that 18 million square feet ?
Jagadish Nangineni: The current forthcoming projects what we have declared as the projects for the next six to eight quarters, it doesn't include Hoskote land.
Moderator: The next question is from the line of Puneet from HSBC Mutual Fund. Please go ahead.
Puneet: My question is first of all on this land bank thing which we have discussed. So, there is Hoskote which you talked about , there is Hosur if you can talk about and there was another 34 -odd acres in Kochi, any progress there and any thoughts of disclosing this in your presentation at some point of time?
Jagadish Nangineni: Definitely we would like to do that, Puneet, and we will endeavor to cover that in the subsequent quarters.
Puneet: And if I look at your finance cost on the payment basis that has fallen QoQ despite gross debt rising. But when I also look at the cost of borrowing that you report that has gone up on QoQ despite the fact that your balance sheet has actually become much superior. If you can comment a bit on what 's driving all this?
Jagadish Nangineni : Finance cost has slightly reduced from last quarter. So, I am not entirely sure what your question was, Puneet, because our overall finance cost has reduced by about 5 -odd crores. But we will understand the question and probably take it offline again.
Moderator: Ladies and gentlemen, due to time constraints, that was the last question. I now hand the conference to the Management for the closing remarks.
Jagadish Nangineni: Thank you. I express my sincere gratitude to all the participants in the call today. I hope we answered your questions satisfactorily. So, if there are any other questions, please reach out to us. Thank you and have a wonderful evening.
Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2024

SOBHA LIMITED
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Email: investors@sobha.com

Date: November 19, 2024
The Deputy Manager
Department of Corporate Services
BSE Limited
PJ Towers, Dalal Street
Mumbai – 400 001
Scrip Code: 532784 & 890205 The Manager
The National Stock Exchange of India Limited
Exchange Plaza, Plot No C/1, G Block
Bandra Kurla Complex
Mumbai – 400 051
Scrip Code: SOBHA & SOBHAPP

Dear Sir / Madam.

Sub: Transcript of Meeting with Analysts/ Institutional Investors

In continuation of our letter dated November 1 2, 2024 and November 15, 2024 please find enclosed herewith the transcript of the conference call held on Friday, November 15, 2024 with the Analysts/ Institutional Investors to brief the Operational and Financial performance of the Company for the quarter and half year ended September 30, 2024.

We request you to take the aforesaid information on record in terms of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and the same is available on the website of the Company.
Yours sincerely,
FOR SOBHA LIMITED

Bijan Kumar Dash
Company Secretary & Compliance Officer
ACS No. 17222

"Sobha Limited Q2 & H1 FY-25 Earnings Conference Call"

November 15, 2024

MANAGEMENT : MR. JAGADISH NANGINENI – MANAGING DIRECTOR ,
MR. YOGESH BANSAL – CHIEF FINANCIAL OFFICER ,
MODERATOR : MR. ADHIDEV CHATTOPADHYAY – ICICI SECURITIES LIMITED

Sobha Limited
November 15, 2024

Moderator : Ladies and gentlemen , good day and welcome to Sobha Limited Q2 FY25 Earnings Conference Call hosted by ICICI Securities Limited.
As a reminder all participant s' lines will be in the liste n-only mode and t here will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Ad hidev Chattopadhyay from ICCI securities Limited. Thank you and over to you sir.
Adhidev Chattopadhyay : Good evening, everyone. Thank you for joining us on the call today . From the Management of Sobha Limited as always, we have with us Mr. Jag adish Nangineni – the Managing Director and Mr. Yogesh Bansal – the Chief Financial Officer.
And now I 'd like to hand over the call to the Management for their "Opening Remarks ". Over to you sir.
Jagadish Nangineni : Thank you , Adhidev . Good evening , everyone and thank you for taking part in this Q2 FY25 Earnings Call .
Our team at Sobha will interact with you today. You can access the results and the quarterly presentation on our website sobha.com . In today 's call , we'll briefly speak about our performance in Q2 and H1 and our perspective for the remainder of the year and beyond.
Firstly, on the sales ; in the first half of the year our sales total real estate sales stand at about 3,052 crores where Bangalore has contributed to about 40% and the rest of India at about 60% and lion 's share of that is by NCR which is about 30% , Kerala about 19% and the remaining from the rest of the locations. And in Q2 FY25 we achieved an overall sale of 1 ,179 crores and in this Kerala has witnessed best ever quarterly sale of 0.3 million square feet with a sale value of 338 crores , recording their be st quarterly performance and half yearly performance. The average price realization has improved by 32% over the last year and 40% compared to the first half of the last year due to the contributions from projects in Gurgaon and also price increases across the projects.
In Q2 FY25 we have launched one project Sobha Infinia in Bangalore with an area of 0.49 million square feet. This launch takes the overall H1 '25 launched area to 3.53 million square feet over 5 projects. We have a very strong pipeline of 19.29 million square feet of residential projects over 18 projects and 8 cities and a commercial pipeline of 1.19 million square feet over 4 projects spread acr oss all our cities and which can be done in the next six to eight quarters. In the second half where we expect to launch an additional 5.5 million square feet taking the yearly launches to about 9 million square feet across 4 projects in Bangalore . Of the 19.29 million square feet in FY26 also we target to launch about 10 million square feet. We are building a

strong pipeline of our future endeavors from our existing land bank and transactions in our current operating cities and high potential non -operating cities.
The revenue yet to be recognized from the sales that have been done till date , stands at about 14,500 crores and the blended margin for th is unrecognized revenue is over 33% and which would be recognized in the next 4 to 5 years. In our contracts and manufacturing segment , in first half we had a revenue of about 317 crores . Margin in the contractual projects and contract - based manufacturing projects continue to be under stress due to the resource mobilization issue and cost escalation issue and hence we exp ect this pressure to continue to reflect in our P &L for the next couple of quarters. With this I hand over to CFO ; Yogesh Bansal to take you through the financial numbers for this quarter and the half. Over to you

Yogesh.
Yogesh Bansal: Good evening, everyone and thank you for joining us today. I am pleased to share our financial performance for the first half and second quarter of financial year '24-25 ending September 30th 2024.
I will start with our right issue. During the quarter we have raised 19.99 billion through right issue and it was oversubscribed by 1.39 X and we have received 50% of the funds as application money and these funds are earmarked for the repayment of certain borrowing , project related expenses , agreement purchases and strategic land acquisitions.
Now thanks to all of you for participating in right issue.
So now coming to Quarter Performance :
Starting with cash flows :
Cash flows for H1 FY2025 , we achieved a total operational cash inflow of Rs. 29.21 billion , reflecting 4% increase from the same period last year. The real estate segment led this growth with collection increasing by 8.6% to Rs. 26.14 billion. Contract and manufacturing business contributed Rs. 3.07 billion. The consistent higher inflows quoted an increase in project related

CAPEX . During the actual 2025 , we have incurred Rs. 848 million which is 54.18% more as compared to same period last year. For the qua rter it reached Rs. 441 million , double of Q2 FY24 enabling us to progress on key projects. Additionally, we have incurred Rs. 3.27 billion in land outflow for H1 compared to Rs. 1.12 billion in H1 FY24 , aligned with our growth and expansion plan. As on September 30th 2024 the projected marginal cash flow from ongoing and forthcoming residential projects stands at 161.22 billion indicating a strong visibility of cash flow. U nsold inventory across loans ongoing project has a sale value of Rs. 125.44 billion . Due to the right s issue proceed , this quarter our net debt reduced by 9.08 billion and as of September 30th it was down to 2.80 billion. Our net to debt equity ratio was 0.08. Average interest rate has remained steady in recent quarters holding at 9.4%. On the P &L side for H1 FY2025 total revenue stood at Rs. 16.35 billion with real estate contributing 12.56 billion and contractual and manufacturing segment generating 3.17 billion. EBITDA for H1 was 1.94 billion

with an EBITDA margin of 11.9%. PAT for the half year has improved by 19% over H1 FY2024. In Q2 FY25 our total revenue rose by 25% year -on-year to 9.65 billion. The real estate segment contributed Rs. 7.81 billion , representing 80.9% of total revenue. The revenue yet to be recognized on sales completed as of 30th September , 2024 stands at Rs. 144.77 billion. This will be recognized over the period upon handover of the units. With this we can now open the call for questions . Once again thank you all for your participation.
Moderator : Thank you very much . We will now begin the question -and-answer session. The first question is from the line of from . The first question is from the line of Parikshit Kan dpal from HDFC Securities Limited.
Parikshit Kandpal : My first question is on the presales for the first half. So, I just wanted to understand what went wrong. I mean we had good launches , we had launches in G IFT City, we had launches in Gurgaon , we had the Crystal Mea dows launch , and these were like sizable launches in excess of floors . I think if I add up the total value would be close to about 8 ,000-9,000 crores. But the contribution coming in from these launches has been disappointing. So, what are you doing? So, what went wrong and how are you correcting it? And I understand these are high value launches but in second half in order to meet your guidance of 8 ,500 crores , what steps have been taken and what is the launch pipeline in second half?
Jagadish Nangineni: As you rightly pointed out we have improved upon our launch timelines and we have been consistently been launching projects across locations in the last year

or so. And that has created
a big pipeline , big inventory for us which is available for sale for all our teams. Now when we launched these projects across mainly Bangalore and Gu rgaon, while inventory got created , 67% of our inventory right now is over 4 crores. And typically, the larger ticket size sales we have seen is the pace of sale is over the period of the project and hence it is an expected thing that we would be able to do the sales of these projects over the course of the project.
And second is in general for Sobha being a premium player , it is unlike several of our other competitors , the pace of sale has always been during the course of the project which is essentially what people call as sustenance sales, is the way we also have been doing all our sales over the last more than a decade. So that phenomena continues and hence there is nothing as such is gone wrong as what the perception is. However, there are one or two projects where we think that we could relook at the project conf iguration which we are actively looking but otherwise rest of the inventory is in place. That 's' one. Second is for the remaining 5 months , 6 months that we have in this financial year , the project that we are launching , they have products which are across the ticket sizes and which are typically our bread -and-butter business which is one -bedroom , two-bedroom , three -bedroom , four-bedroom apartments. So those once they come in, I think the skew which currently we have towards larger ticket size , would go back to the usual split and that should significantly improve our pace of sales. So, these two I think with these we should be in a good st ead going forward.
Parikshit Kandpal: So, on the guidance part , we continue to maintain 8 ,500 crores for the year?

Jagadish Nangineni: On the guidance, which is 8 ,500 crores , it entirely depends on our timing of the launches that we are expecting in the next 5 months. And we are really hopeful that things would gear up and we will be able to still do it. But the clearer picture will emerge in the next 2 months as we launch these products.
Parikshit Kandpal: We have been hearing of it that there has been issu e in approvals in Bangalore and other peers

of yours have also alluded to that there has been issues and delays. So, in light of that how are we placed? What is the launch pipeline in this quarter for which we have already applied RERA ? What is the visibility for November and December in terms of launches?
Jagadish Nangineni: We expect one project to be launched in November for which we have already received RERA and another one which is about 1.1 million square feet and the other projects that we are expecting those also are in advanced stages. So, we are hoping for that we will be able to launch them very soon. The delay or the perception that there is a delay in the approvals , whether it's' in Bangalore or any other location , these issues keep coming up every time . There will be some issue or the other tha t comes up whether it is an election , whether it is a change in regulation , whether it is a change in the government appointments. So, these are I think routine matters. But we are expecting that things would significantly improve over the period. But somehow that 's not the case yet. So, we are in regular business of obtaining approvals and the timelines and the risks associated with it. So probably we 'll have to live with it. But having said that we are trying our best to quicken the whole approval process as much as possible by optimizing internally . Externally something that is entirely sometimes not in our control. And those things are factored in when we are giving timelines to you in terms of launches .
Parikshit Kandpal: What are the launches? I mean 5.5 is the balance for the H2 , so this quarter you said 1.1 million one launch where you

have got RERA approval. So , what is the other launch in this quarter?
Jagadish Nangineni: The other , what we are expecting to do is a Town Park and there is one more project in Bangalore that's in south Bangalore. So, both these would also come in the next 1.5 to 3 months.
Parikshit Kandpal: What is the million square feet of the area? So , 5.5 million which you expect to launch , what's the split in Q3 and Q4?
Jagadish Nangineni: Q3 we should be anywhere between this one which we already approved that is 1.1 . If Town Park which is over 3.5 million square feet that comes in this quarter that would be about over 3.5 million square feet and the project is about 0.7 million square feet.
Parikshit Kandpal: So, if all these approvals come into 3 + 1.1 + 0.7 , so approximately 4.8 million we should be able to launch in this quarter.
Jagadish Nangineni: That's right.
Parikshit Kandpal: And in Q4.

Jagadish Nangineni: So Q4 we have another one more project which is about 1600 crores .
Parikshit Kandpal: And Pune also will come in Q4 ? Pune project will also come in Q4 , the Pune or the Noida. Any chance of these two projects coming in the fourth quarter ?
Jagadish Nangineni: Pune or also , we are working on the approval part. We are expecting to do it by the end of the quarter of Q4 but not completely sure on it because we are yet to reach an advanced stage there.
Parikshit Kandpal: Just one last question on the land banks. You have not disclosed the land banks and total 48 million square feet of area and this 1 ,878 acres of land bank. So, when you say that it 's under consolidation once the sales improve , so how much of this do you think can be out of 1 ,878 brought in as an end product and how much do you think you cannot develop and you will have to sell in the market and what is the book value of this land?
Jagadish Nangineni: We had put up a slide this time in the investor presentation in page #16. So wherein we have clearly marked out what 's the subsequent project land as well which we think that we can develop about 26 million square feet. And beyond that , the remaining land bank that we have , wherever we will be able to consolidate and add to the subsequent projects land , we will do over a period. And as and when we do that, we would put it up in update in this bucket as well.
Parikshit Kandpal: My question was how much of this is developable? Do you thin k the two portion s, grade one is that which you cannot develop , you don 't want to develop because they are very far away from development point of view ? You will not get that 10 ,000 minimum real ization . So how much of that you will apportion to that and how much do you think can be brought back to that table which you have shown of 48 million square feet ?
Jagadish Nangineni: In this majority of the development that we can do for some remaining land bank would be from our Hoskote land which we can probably add another 100 acres. And in addition to that if any of the other lands come in even for plotted development , that we are looking at actively because some of the locations that we have these lands , earlier they were quite in outskirts of the cities , but now some of the locations have improved and hence we can look at plotted developments as well, provided we are able to have a contiguous land. Second , some of the land we are actually going to use p robably close to about 100 acres for our self-use, where we can set up increase our capacity of our manufacturing units as well. So that 's still in the initial stages. So hence as and when those events happen, we will keep updating you.
Parikshit Kandpal: Hoskote land was about 500 acres because my understanding was it is closed to about 500 acres.
Moderator: I request you to come back for a follow up question. T he next question is from the line of Parvez

Kazi from Nuvam

a Group.
Parvez Kazi: I have two questions. First is , we keep hearing about your potential entry in Mumbai by doing the luxury project. So wanted to get your views on our diversification beyond the existing cities , especially in let 's say in Mumbai and Noida. That 's the first question. Second is with regards to

the future our business development , now after the rights issue obviously we have a substantial firepower. So, while our land -related CAPEX has already increased this year but do we have certain targets in mind as to by when we would like to utilize most of these rights issue procedures.
Jagadish Nangineni: To answer your second question first , so the rights issue proceeds once we are calling for the remaining money also in December and once we do that and we have the capital , we have a good visibility in terms of deployment of the capital from the existing opportunities itself because some of the funds would be utilized for the investment in getting the subsequent projects land into a project level. And in addition to that we are actively working on building up the business development pip eline and that I think in the next 2 years we should be able to deploy majority of the capital.
And to answer your second question which is diversification into new cities , you would have seen that Greater Noida we have already won one small parcel of land and mark ed our entry into a new city . That once we get a good sense of the entire cycle of the project , right from land acquisition to the launch of the project and initial sales of the project , then we would have a much better sense and hence actively we are pursuing opportunity , we will act ively pursue opportunities there as well. When it comes to other cities like Mumbai , like I have mentioned in my previous calls as well , the Mumbai opportunity is a big one , strategic one for us. We are evaluating multiple opportunities. We have a lot of opportunities that we have been evaluating and we will surely start doing transactions there too. In addition to these two cities , as of now we are not looking at any other non-operating cities yet. We already are in 12 cities and these two will be , two more. But third city as such if you have to add , that will be Hosur, where we already have a land bank . We are waiting for some conversion approvals. Once that is done that will also be added to our portfolio of projects.
Parvez Kazi: And lastly when we look at FY26 launches , did I get the number correct? You a re talking about a 10 million square feet potential launches in FY2 6.
Jagadish Nangineni: That's right Parvez . The overall like you have seen that it 's about 19 million square feet is what we have as of end of September , we should be able to do at least about another 5.5 this remainder and about another about 10 million square feet in the next financial year.
Moderator: The next question is from the line of Bipla b Debbarma from Anti que S tock Broking L imited.
Biplab Debbarma: My first question is on the Gurugram project. We have been seeing Gurugram , seeing slow absorption. So, to compensate for that because you have a lot of land parce ls in Gurugram , do you intend to do more launches in Gurugram in say in Q4? Because approval is also not an issue , absorption is happening quite fast. And so just wondering whether is there any possibility of new launches in Gurugram?

Jagadish Nangineni: We have good inventory like you mentioned in Gurgaon. In addition to what we have in order to increase the pace of sale and our own presence in Gurgaon , we have three more projects in pipeline and those would be done not in FY25 but in Q2 -Q3 of FY26.
Biplab Debbarma: So, no new launches in this financial year ?
Jagadish Nangineni: No.
Biplab Debbarma: And just to understand so , thanks for giv

ing us that table on land bank. So just trying to understand the terminology of th is land bank. So basically, you are saying in addition to the forthcoming projects of 19.2 million square feet , you have forthcoming project land then subsequent projects l and and there is 1 ,878 acres of land bank. So, these are the additional land s, this 228 plus 207 plus 1 ,878, is that correct? I 'm just trying to understand what does this mean? What is the meaning of forthcoming project land and subsequent project land and 1 ,878 acres of land under various stages of consolidation. Amongst this land parcel how much is Hoskot e?
Jagadish Nangineni: So Biplab this is the pipeline that we typically say that we have forthcoming projects. That 's the 19.29 plus some commercial space. All of that is about 228 acres like the slide shows. And these

are the ones which we are expecting to be launched. And these are the projects where we have already initiated an approval process , design is mostly complete and hence we have taken them as forthcoming projects where we have a clear timeline for launches and those we believe that we should be ab le to do it in the next six to eight quarters. Beyond that , what we also wanted to show was that we have additional about 207 acres which can bring in about 26 million square feet. Those lands are also with us and we have not yet started the approval process but there are a couple of other activities that we are d oing which is any conversion activity or it 's in the initial design phase activity. Once those are completed and we start applying for approvals then we would move them into the bucket of forthcomi ng projects. So, hence what we wanted to show is not just the visibility of about 20 million square feet but we have clear line of sight for about another 26 million square feet. And the third one which we have is the bigger land bank of 1 ,878 acres. Those also they are in a different stage where probably you 'll have to do in some places consolidation or we have clearly marked out saying that they are for monetization. So those are not yet , we are still making progress in terms of getting the right set of l and shape to make sure that we can move into th ese subsequent projects land. So, the objective of this , the developable land bank slide , is to showcase what 's visible today and what 's visible tomorrow and beyond that we will continue to work.
Biplab Debbarma: This provides excellent clarity. Just trying to understand this 1 ,878 acres this is under your control? Yes , you may monetize it, you may use it self-use for some manufacturing or you may acquire a few more land p arcel to consolidate this 1 ,878 acres. But it is under your control , right?
Jagadish Nangineni: That is right.

Biplab Debbarma: And my final question is on the contract and manufacturing , you mentioned about the poor margin . What kind of margin we have made in first half of FY25 and going forward what will be the expected margin in this segment ?
Jagadish Nangineni: Only i n the contract and manufacturing ?
Biplab Debbarma: Yes, contract and manufacture , not real -estate . Basically , non-real-estate part what is the margin that you have done in first half of FY25 and what would be the new normal in terms of EBITDA margin ?
Jagadish Nangineni: For the entire contracts and manufacturing in the first half , we would have done a EBITDA margin of about 6%.
Biplab Debbarma: And this will be the new normal or do you see improvement to 10% or 11 %-12% going forward or there is an uncertainty like kind of thing ?
Jagadish Nangineni: I let Yogesh take this question.
Yogesh Bansal: This year you will see similar margin. But next year you will start improving our margin in contract and manufacturing division .
Jagadish Nangineni: So, in contracts , just to give a small color to that. The contracts and manufac

turing it comprises of various sub manufacturing activities. Which is we have glazing and metal works , interiors , concrete products in manufacturing , and in contract we have civil , elect rical and plumbing. The main reduction in our margins has been in civil and in our glazing which are contract -based. But the other which are electrical , plumbing and even interiors and concrete products , they are performing muc h better. And I think once the emphasis on the civil contracts and once we complete some of the older projects in glazing and metal works, we should start seeing significant improvement in the margin there. And that 's what Yogesh is also alluding to.
Moderator: The next question is from the line of Akshay from Invest ec Capital.
Akshay: So, the first question is related to like , like most of our launches . Recently , launch es have increase d in size I believe. So how do you intend to sustain the sales momentum like amid like potential market fluctuation like in the Bangalore or the Gurugram market going ahead? That is my first question. And second question is like you already answered related to the margin and all. So, what will be the overall guidance on overall EBITDA margin going ahead for like '25 to '26? I know that you 're alread y are focusing on the contractual margin. Contractual and manufacturing margin towards that, any guidance on the overall margin for going a head like FY26? That's my second question.
Jagadish Nangineni: So, Akshay to the first question , the demand side in both Gu rugram seems to be very steady. And we see as such no issues till now if you consider the leading indicator. So, the only thing that we need to be more cognizant of is the product configuration that we have and the mix of

the configuration that we have. So, in a kind of pyramid demand structure where there will be the size of the higher ticket size is smaller and as we go down , the size of the market increases. And I think there is a big market for residential real estate considering the economic growth and the migration that has taken place in the last few years. Even if you look at the commercial offtake in the recent , in this year apparently , it's going to be one of the highest. And that gives a lot of confidence in terms of the job creation that 's happening in the country and which is largely in the metros. And biggest beneficiaries of this is our cities like Bangalore and Gurgaon. Given that macro view and from a supply side , what we are seeing from the ability to launch a project and deliver the project , the supply is also very consistent with the kind of demand that we are seeing. And hence we see it can be a very stable environment in both these locations.
Coming to your second question related to the guidance on the margins , our goal for our EBITDA margins going in the medium to long term , which is probably we will not be able to clearly guide you for the next year or in the next half or next year. But over a period of time our aim is to take our EBITDA margins to over 20%.
Moderator: It seems like our current participant got disconnected. We 'll take our next question from the line of Ankit Gupta from Bamboo Capital .
Ankit Gupta: My question was on the overall market for the luxury real estate , are we seeing some signs of slowdown over the past few months in sales for let 's say houses about 3 -4 crore s for us as well as in overall industry ?
Jagadish Nangineni: I mean luxury in housing demand is a function of again several factors , which is micro market based , ticket size, product type and also the overall macroeconomic environment. But I think given the complex mix of it , it cannot be just given in the same rush for products over a certain ticket size. For example, in Gurgaon even ticket size of 5 crores is considered a good ticket size where the sales velocity can

be good. And whereas in Bangalore any ticket size below 3 crores can be a very good ticket size where the sales can be good. So, considering both these I think there is a steadiness in the market and probably what we can anticipate is not that it 's going to be how we have seen the increase in the sales volumes in the last couple of years. Probably we are reaching a steady state instead of continuous increase in terms of demand.
Ankit Gupta: Because I was coming to this point referring to some indications of slowdown in sales of luxury items like cars as well over the past few months. So that was the point I was making. Like have we also seen some let's say reduction in demand or the growth that which was there over the past few quarters has seen a bit of reduction ?
Jagadish Nangineni: So, a direct correlation from cars to houses , we are yet to establish , but we will be able to sort of get the indicators and also actual how it 's going to play out in the next few months. Once we have that clear , then we would be able to respond to that changing market conditions too.
Jagadish Nangineni: The next question is from the line of Ayush Sab oo from Choice Equity Broking Private Limited.

Ayush Saboo: Can you please guide us on the net debt figure that we expect to realize in the next 1 year?
Jagadish Nangineni: Ayush , you are referring to net debt ?
Ayush Saboo: Yes.
Jagadish Nangineni: So, what 's the question?
Ayush Saboo: Could you just guide over the what range you see the net debt settling at in the next 1 to 2 years ?
Jagadish Nangineni: So, from a debt perspective Ayush , what the way we are thinking is I mean our gross debt is currently about 1,600 crores and largely we are comfortable having a gross debt of about this number. And going forward our objective is to utilize the proceeds of the rights issue and cash flow that we generate from the operations to use as growth capital. And given that objec tive, there would be fluctuations in the net debt in the next few quarters because we would receive these rights issue tranches , this next tranche and there would be definitely a reduction in the whole net debt. In fact, it will become negative. But post that as we utilize it towards land then again the net debt would increase. But at a gross debt level we would probably continue , in the long term we might be at an absolute level of about 1 ,600 crores or so .
Ayush Saboo: Pardon us 1 ,600 crores , that is a gro ss debt that you 're guiding .
Jagadish Nangineni: Gross debt 1,600 crores.
Moderator: The next question is from the line of Parikshit Kan dpal from HDFC Securities L imited.
Parikshit Kandpal: You touched upon that you 'll be calling the right second branch in December next month , right?
Jagadish Nangineni: That's right Parikshit .
Parikshit Kandpal: But if the current price is almost Rs. 100 lower than the rights price. So, you think that last time the promoters came and filled up for the unsubscribe d portion. So , they will continue to do the same thing right , as per the rights of a document ?
Jagadish Nangineni: We could not hear the question properly; can you please repeat that?
Parikshit Kandpal: I was saying that as per the offer document and unsubscribe d portion of the rights will be taken

up by the promoter. And since the current market price is lower than the rights price , do you think that we 'll continue with the same direction? If there 's some unsubscribe d portion the promoters will fill in.
Yogesh Bansal : Parikshit, a lready promoter has subscribed unsubscribed portion. I think now we are calling only for the right money . We have to see what is the guidance.

Parikshit Kandpal: My question was that if the current price is lower , the other investors can buy from the market , so if in cas

e they don 't subscribe to the rights issue , will the ir portion of the rights renunciation will be taken up by the promoters? That was I was asking.
Jagadish Nangineni: The rights once you have subscribed to the right s, the ones who have already subscribed , they need to pay up . In case of any nonpayment , I mean the first tranc he would be forfeited. And if those are available and we will have redistributed the promoter would be willing to take up those.
Parikshit Kandpal: Second question was around the land again , would not get the answer last time. So out of th e 1,800 acres odd which you have shown , how much is the total Hoskote land and how much is the Hosur land in this ?
Jagadish Nangineni: The Hoskote land will be another close to 300 acres , the entire land and H osur is about 150 acres or so.
Parikshit Kandpal: Both of these sort of 1 ,800, about 450 crores , so these are developable , right? A finished product can be done by you on these two landmasses over the next 7 -8 years.
Jagadish Nangineni: On the Hoskote land, yes, they can be developable over longer term. There again they are in various patches and those large patches as we consolidate, we will be able to bring it to development. In Hosur, some of the lands that these 150 acre s of the land that we are alluding to those based on , again they are in multiple locations in H osur itself. And currently given the locations , we do not think that they can be developed as plotted development. Those we will need to if the location develop s, we will be able to convert it. Otherwise, we will monetize.
Parikshit Kandpal: And just this 1 ,817 acres , so, if Yogesh can tell what will the book value of this land this 1,817 acres .
Yogesh Bansal: We do not have the number exactly but we will circle back and provide you that number.
Moderator: The next follow up question is from the line of Biplab Debba rma from Antique Stock Broking Limited.
Biplab Debbarma: You have made foray in Greater Noida and most probably in MMR Mumbai Region too you will be the entering soon. So, I'm just trying to understand what would be your strategy , like how do you want to play in this new market s, especially MMR , because MMR is a bit difficult market ? Just trying to understand how you want to play like which micro market you target or what kind of redevelopment land purchase JDA, what kind of you are targeting ? And then premium luxury what segment you are targetin g? So, because you would have something in mind , I'm certain you have done a lot of research before making foray into MMR and Greater Noida, s o just trying to understand the strategy.
Jagadish Nangineni: Yes, you are right that MMR when we say MMR there are multiple micro -markets or let 's say large markets within MMR itself , South Bombay , suburb Bombay , Thane , Navi Mumbai and

several others. And each market has its own availability of land , its own dynamics in terms of the market itself , including approvals and bylaws. So hence we have been indeed studying the opportunities that we are looking at and one of the things that we have seen is that the upfront investment in terms of approvals and in terms of whether it is TDR or premiums or FSI charges is significantly higher than any of the other markets that we have been operating in. So based on that we would take a route of where the upfront capital is not as high as in some of the other markets. So hence the current plan is to study the opportunities and spread ourselves in multiple locations , so that we can have a presence over multiple geographies within MMR . Once we have clarity on that on specific opportunities , we will be able to disclose those to you , Biplab . But it 's little preliminary for us in terms of clearly spelling out the kind of strategy that we have because it is an ongoing process , and it will take litt

le bit of t ime before which we can close a few opportunities . and we start working towards them . On Greater Noida, i t is a fairly , the land is largely , the supplier is the government or people who have taken it from the government allotment. So, since this is a very straightforwar d in terms of the supply, we will look for new opportunities based on how we are progressing in the first project. Once we get some comfort there, we would definitely like to expand because that 's an interesting geography Noida and Greater Noida. And we believe that there is a good opportunity there for us , considering that we have done well in Gurgaon and we have good presence in Gurgaon. T he brand recognition and the understanding and probably the requirement of quality product is very high there.

Biplab Debbarma: I have two more clarifications I needed. You mentioned EBITDA margin long term and medium term, overall EBITDA margin to be (+20%). Is it for the entire company or it is just for the real estate embedded that you mentioned , 20% ?

Jagadish Nangineni: Biplab, t his is for the entire company.

Biplab Debbarma: And real estate , what would be real estate segment EBITDA margin that you believe would be achievable in the medium to long term ?

Jagadish Nangineni: Real estate would also be slightly higher , it would be closer to above 22 %. It might between 22% to 25%. But even the contracts and manufacturing can be in a much better margin once we choose the right set of contractual projects or we choose to deemphasize on some o f kind of contracts that we are currently undertaking like civil in nature.

Moderator: Thank you. Ladies and gentlemen , we'll take this as the last question. I would now like to hand the conference over to the management for closing comments.

Jagadish Nangineni: Thank you. I express my sincere gratitude to all the participants in the call today. I hope we fielded all your questions and if there are any further questions, please reach out to us through our investors relations . Thank you and have a wonderful evening.

Moderator: Thank you. On behalf of ICICI Securities Limited , that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2025

SOBHA LIMITED
REGD & CORPORATE OFFICE: ‘SOBHA’, SARJAPUR – MARATHALLI OUTER RING ROAD, BELLANDUR
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Date: February 12, 202 5
BSE Limited
Department of Corporate Services
PJ Towers, Dalal Street
Mumbai – 400 001
Scrip Code: 532784 & 890205 The National Stock Exchange of India Limited
Exchange Plaza, Plot No C/1, G Block
Bandra Kurla Complex
Mumbai – 400 051
Scrip Code: SOBHA & SOBHAPP

Dear Sir (s)/Madam(s),

Sub: Transcript of Meeting with Analysts/ Institutional Investors .
In continuation to our letter dated January 31, 2025 and February 07 , 2025 please find enclosed herewith
the transcript of the conference call held on Friday, the 07
th day of February , 2025 with the Analysts/
Institutional Investors to brief the Operational and Financial performance of the Company for the quarter
ended December 31, 2024 .

We request you to take the aforesaid information on record in terms of Regulation 30 of SEBI (Listing
Obligations and Disclosure Requirements) Regulations, 2015 and the same is available on the website of the Company.
Yours sincerely ,

FOR SOBHA LIMITED

Bijan Kumar Dash
Company Secretary & Compliance Officer
Membership No. ACS 17222

“Sobha Limited
Q3 FY ’25 Earnings Conference Call ”
February 07, 202 5

MANAGEMENT : MR. JAGADISH NANGINENI – MANAGING DIRECTOR –
SOBHA LIMITED

MR. YOGESH BANSAL –CHIEF FINANCIAL OFFICER –
SOBHA LIMITED

M
ODERATOR : MR. ADHIDEV CHATTOPADHYAY – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the Sobha Limited Q3 FY ’25 Earnings Conference Call , hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star , then zero on your touchtone phone. Please note that thi s conference is being recorded.

I now hand the conference over to Mr. Adhidev Chattopadhyay from ICICI Securities. Thank you, and over to you, sir.

Adhidev Chattopadhyay: Yes. Good evening, everyone. On behalf of ICICI Securities, I ’d like to welcome everyone to the Sobha Limited Q3 FY ’25 results call today. As always, we have from the management, Mr. Jagadish Nangineni, the Managing Director; and Mr. Yogesh Bansal, the Chief Financial Officer.

I would now like to hand over the call to the management for their opening remarks, after which we’ll move on to the Q&A. Thank you, and over to you, sir.

Jagadish Nangineni: Thank you, Adhidev. Good evening, everyone, and thank you for participating in this Q3 FY ’25 earnings call. Our team at Sobha and I are delighted to be interacting with you today. And as usual, you can access the results and this quarter ’s investor presentation on our website. In today’s call, I ’ll quickly take you through the operational highlights for the year and the quarter. Yogesh Bansal, our CFO, will take you through the financial highlights post that.

In Q3 FY ’25, our total real estate sales value stood at ■1,388 crores. 72.1% of the total value is from Bangalore, 10.3% from Gurgaon, 9.3% from Kerala and other regions contributing to the remaining 8.2%. Sobha share of total sales value stood at about 90%, highest ever for us, thanks to the contributions from our own projects based in Bangalore —Sobha Neopolis and Sobha Ayana. In 9 months of FY ’ 25, our total real estate sales value stood at ■ 4,440 crores. About 50% of that has come from Bangalore, 25% from Gurgaon , about 16% from Kerala and other regions contributing to remaining.

In the last 3 months of this FY, we are hoping to reach close to our last year ’s sale value with the help of new launches and regular sales. In Q3 ’25, we launched one new project, Sobha Ayana in Bangalore with a total salable area of 1.13 million square feet. This launch takes the overall launch area for this FY to 4.66 million square feet over six projects in four cities. We are happy to inform you that we have received RERA for Sobha Townpark, Madison Heights and Hampton, which is about 3.67 million squa re feet with apartments of about 2,104 .

We will be launching this —we will be launching the Townpark during the month and expect one more launch in Bangalore in this quarter that can take the yearly launches to about 9 million

square feet. We have received this RERA post the end of this quarter. Our remaining inventory as of end of the quarter stood at 8.92 million square feet, totaling a sales value of about ■14,000 crores. We have a very strong residential pipeline of 21 million square feet across 19 projects in 10 cities and a commercial pipeline of about 1.19 million square feet or four projects across our operational cities. And this entire pipeline, we envisage to launch in the next four to six quarters.

In addition to this, we are working on our subsequent project land for about 19 million square feet and also actively working on land that can be monetized and generate cash flows from the same. In the next financial year, we aim to add Greater Noida, Hosu r and Mumbai to our operating locations, increasing our real estate presence to 15 cities. As you are aware, we have procured a small land of 3.44 acres in Greater Noida for which the appr

ovals are underway.

For Hosur, after a long wait, we have been able to resolve the on-ground issues, and we are making progress on project design and approvals for the first phase of plotted development in about 38 acres. In Mumbai, it is still very early stages of approval process, which we will get better visibility in the next 3 to 4 months.

On the visibility to our revenue and profitability, the real estate revenue yet to be recognized from already sold units stands at about ■ 15,000 crores. This revenue has profit before tax margin of about 28% at the project level. Our c ontract s and manufacturing segment had a revenue of about ■160 crores in this quarter, and we might stabilize at a cumulative revenue of about ■450 crores to ■ 500 crores on a yearly basis with gross margins of over net 15%.

As I had mentioned in my previous calls, we are reducing our emphasis on the civil contracts and some of the other contracts related to glazing and in fact, descoped some of the projects this quarter. Hence, we had to account for additional expenses toward s the same and that reflects in

our lower margins this quarter.
With that, I hand over the call to Mr. Yogesh Bansal, our Chief Financial Officer, to provide colour on the financial performance, post which we shall open the floor to take questions.
Yogesh Bansal: Good evening, everyone. I ’m pleased to share our financial performance for the 9 months and third quarter of financial year 2024 -’25. Our quarterly results underscore the commitment to consistently improve operational performance and financial management for a sustained and disciplined growth.
Starting with cash flow. For 9 months FY ’ 25, total operation cash inflow was ■ 43.99 billion, reflecting 2% increase from the same period last year. The real estate segment led this growth with collection increasing by 6.3% to ■39.35 billion. Contract s and manufacturing business contributed ■4.64 billion.
We have incurred ■ 1,241 million under capex during 9 months, which is 46.54% more compared to same period last year to support increased area under construction on back of the new

launches. In 9 months, we spent ■ 6.33 billion in net land outflow, which is more than 2x of same period last year, in line with our commitment of deploying growth capital. Our net cash flow generated ■8.06 billion, including rights issue application proceeds. We have called for first tranche of call money towards end of December 2024 and received the proceeds in January. For the unsubscribed portion, which is very minor, the window will be reopened from 18th February to 1st March ’25. As on 31st December, we have unsold inventory of 8.92 million square feet and under forthcoming project s at 21.22 million square feet, the projected margin cash flow from ongoing and forthcoming residential projects stands at ■ 171.13 billion. Q3 FY ’25 net debt was INR 4.56 billion with net debt to equity ratio of 0.13.
Average borrowing cost has remained steady in recent quarters. It stands at 9.44%. On the P&L side, for 9 months, total revenue stood at ■28.92 billion with real estate contributing ■ 23.19 billion or 80.2% of our total revenue and the contractual and manufacturing segment generating ■4.79 billion.
In Q3, real estate segment contributed for 84.6% of total revenue. EBITDA 9 months was ■2.94 billion with a margin of 10.2%. PAT stands at ■ 538 million for 9 months, an improvement of 28% over last period and for Q3 stands at ■ 217 million. In Q3, our total revenue rose by 76% year-on-year to ■12.56 billion. The revenue yet to be recognized from sales completed as of December 31st stands at ■153.61 billion.
With this, we can open the call for questions. Once again, thank you all for your participation.
Now we can open the call for question and answer.
Moderator: We’ll take the f irst question from the line of Puneet from HSBC.
Puneet

: My first question is during the year, you guided for presales target of ■ 8,500 crores. Given the run rate and the fact that you ’er still to launch Townpark, is there a reasonable expectation that you would still be able to meet this guidance by March?
Jagadish Nangineni: Puneet, it ’s true that the first 9 months, we did about ■4,440 crores, and our guidance is about , was much higher. But because of the delay even in the Townpark when we have guided earlier on, and also some of the , and initial last 3 quarters, we have been saying that there are certain , there is some slower pace of sales in some of our projects where the ticket size is large.
And hence, because of that, I think we ’ll be , we are currently aiming at reaching at least what we have done last financial year in terms of presales. And if we can do that, that would be a good outcome for us. And in case we are able to launch a couple of other projects in Bangalore, which we are tr ying during this quarter itself. If that also comes through, then probably we can
do better than that.

Puneet: Got it. My second question is on the margins front, right? I mean the reported margins in this quarter as well is even lower than the previous quarter despite better recognition of revenue.
Why is that happening? And when do we see a turnaround?
Jagadish Nangineni: Yes. That ’s why I had mentioned during my initial remarks itself Puneet, that we have actively descoped a couple of projects of our contractual projects. One was in civil contract and one was in glazing contract . And both these contracts, we had to recognize some of the losses towards the end of , as the end of the project has been completed last quarter , in the last period. And that as a onetime items have reduced the margins.
Otherwise, I think we are largely towards the end of these contractual losses that we have

incurred. And going forward, we don't foresee any such anymore because we, the remaining order book in these contracts are far lower now. And hence, the entire now margin would shift towards real estate as we recognize the revenue in that, which is quite healthy. And on top of it, even the manufacturing and contractual projects remaining ones seem to be running well in terms of financially as well.

So from Q4, we should start looking at slightly better margin. And also from next financial year, it should be far better. That said, like I said, I mentioned in the initial remarks, the , overall, if you look at the larger picture from the remaining revenue to be recognized, it 's close to about ■15,000 crores now, which roughly we should be able to recognize in the next 3, 3.5 to 4 years. That would be roughly about ■ 1,000 crores a quarter.

And if we are able to do that and , which I was mentioning, it's about 28% of PBT at the project level. So over the period, as we keep recognizing those revenues, the margin, on the margin front, the significant improvement can be seen.

Puneet: Okay. So just 28% of PBT you said on those revenues?

Jagadish Nangineni: At the project level.

Puneet: At project level. And how , is it possible to quantify how big were the losses on the contractual business because on a Q3 over Q2 basis, I see ■ 290 crores revenue growth, but no change in EBITDA. So is it as big as ■ 280 crores, ■290 crores of losses on contractual business?

Jagadish Nangineni: Well, it's not just the contractual business, but also a slight reduction in the , some of the JV projects in real estate. And we have accounted for a higher cost that we have, we are incurring even in the real estate projects. Both , unfortunately, in this particular quarter, the combination of both the real estate cost increases and lower margin projects that we have recognized in the joint development projects and combined with even the contractual losses, all of them put together has led to this. And this, I

think, is a onetime scenario. Hopefully, it should improve from here.

Puneet: Okay. That 's helpful. And lastly, on the interest costs, despite a ■ 1,000 crores addition to the cash balances, the interest cost on cash flow side hasn 't gone down. How should one think about that?

Jagadish Nangineni: Well, on that front, it's very clear. We had a clear object of usage of the rights issue. We had, in fact, reduced the debt towards that. And a certain portion of that has gone in reduction of the debt. But our gross debt continues to remain roughly around ■1,500 crores. So that has sort of continued to have the impact on an interest cost basis.

Otherwise, the remaining, if you look at from a net point of view, it is significantly lower in terms of debt. So , the remaining ones are, part of it are in rera accounts and in fixed deposits, though we'll be earning small interest, which we will be using to deploy further business development.

Moderator: We take the next question from the line of Himanshu Upadhyay from BugleRock PMS.

Himanshu Upadhyay: My first question was, if you look at the realization per square feet for stock to sell has increased from ■7,500, what used to be there two years back, to nearly ■14,000 per square feet, the realization. I n the velocity remains slow for such projects, how much does it impact the project level IRR? And can margins be under pressure because of general inflation, which is there in the country and in most expenses? And secondly, what can we do to increase our ve locity for such projects?

Jagadish Nangineni: Good question, Himanshu. The price on an average, if you look at, yes, it's, right from about 5 to 6 years ago, where we were at about ■ 7,500, now we are almost reaching ■ 14,000. It 's a combination of two factors. One, in general, real estate pricing has gone up significantly in our operating locations. And second, even in the mix of the inventory that we are selling today and what the inventory that we have currently, both those the inventory mix has changed from not just from Bangalore , but also from some of our other locations like NCR, Gurgaon and even in some of the prime projects that we have in Kerala and in Hyderabad.

So, it's a combination of both inventory mix and the price increase that has occurred in general in the market. So I think from a pricing point of view, it seems we are at market or slightly premium to the market, which has been the case historically, given our brand and the kind of products that we deliver. However, to answer your other question related to the pace of sale ; the pace of sale, largely what we have seen is continues to be very strong in places like Bangalore and even in NCR. Only cause of a little bit concern for us in some projects has been on the , where the ticket size has been significantly higher. That with the new launches and the changes in the inventory, we should be able to address that concern, and we should start seeing much better velocity in terms of sales.

Himanshu Upadhyay: And secondly, I think historically, we have stated that the premium projects generally tend to have a higher sales near the completion. But if the project or construction phase is faster, let’s say, in 2.5 to 3 years, do you think the sales velocity will also tend to increase for premium projects because if people are able to see the fully constructed project much earlier sales also?

Jagadish Nangineni: Well, if you see the current our inventory of completed projects is very low. And even as we , you would have noticed that even when we launched the projects, we released the inventory on a sales -wise basis, basis that our construction will also progress. So, it’s both the pace of sale and pace of construction go hand in hand. Hence, I don’t see a big risk towards that. If you are alluding to

the fact that because of this, there would be a buildup in terms of working capital, that's not b een the case in at least in the last 2 to 3 years, and we don ’t foresee that in majority of the projects that we have.

Himanshu Upadhyay: So my just question was, if premium projects, the construction happens faster, will it also help in faster sales side for those projects? Does it also happen in that way?

Jagadish Nangineni: Our view is this, Himanshu ; once the project starts, irrespective of the pace of sales, the sooner we deliver, the better it is. If the pace of sale is faster, it is even better for us. We are more incentivized to complete the project faster. And even if there is . the pace of sale is a little slower, faster we construct, we contain our any escalation in terms of cost. And like rightly pointed out, there is generally a higher offtake from projects where there is visibility of completion or in fact, where there is a completed unit. So both ways, it’s best for us once we start the project to complete it within time or ahead of time.

Moderator: We take the next question from the line of Kunal Lakhan from CLSA.

Kunal Lakhan: I am just trying to reconcile the margin guidance that you have given on the ■ 15,000 crores of unrecognized revenue. When I look at your margins in your P&L, like if you look at your 9 months PBT margin is about less than 3%. I understand there is corporate overheads and also if I were to ask you that this 28% PBT margin at project le vel, if you were to apportion, say, corporate overheads over there , what will be the realistic PBT margin considering eventually, you have to look at the business at the consolidated level, right, what kind of margins and cash flows the company makes on a consolidated basis, not just project level. So I’m just trying to understand if you apportion the corporate cost to your project level margins, what will be the realistic PBT margin there?

Jagadish Nangineni: Well, our current estimate of the overheads because of this accounting norm where we recognize revenue on completion, you will appreciate that the all the overheads we take on in the cost irrespective of my revenue recognition. But if you spread over the next this period of revenue recognition over the next, say, period about 3 to 4 years, then I would say about 10% of overall revenue to be recognized would be in the ballpark in terms of the other overheads. I’ll ask Yogesh to throw some more light on it.

Yogesh Bansal: So Kunal, if corporate overhead plus interest plus depreciation, will be removed , so with the PBT level, we should be within range of 15% to 18% steady state going forward.

Kunal Lakhan: Okay. I mean depreciation isn’t very significant anyway. So basically, your interest and corporate overheads, if you remove, it will be roughly about 15% to 18% you are saying?

Yogesh Bansal: Yes.

Moderator: The next question is from the line of Parikshit Kandpal from HDFC Securities.

Parikshit Kandpal: My first question is, so you said you ’re launching 9 million square feet this year. So I want to understand out of the total sales of the 9 months, how much was out of this 9 million was opened for sale? And how much is the contribution of new launches to the overall sales for 9 months?

Jagadish Nangineni: We have opened, we have launched 4.6 million square feet till date. And we have, like I mentioned in the opening remarks, we have obtained RERA for the remaining buffer for Sobha Townpark, Madison and Hampton. So that ’s about 3.67 million. So, plus if we are able to manage 1 or 2 more project launches during this quarter , by end of this quarter, which we are trying hard, but there might be slippage of 1, 2 weeks here and there. So hopefully, we should be able to meet the target of 9 mill ion.

Parikshit Kandpal: Jagadish, my question was out of 4.6 million, that is the tota

l size of the project, how much was opened for sale? And what is the area which is still to be opened?

Jagadish Nangineni: So, from what we have launched this financial year, we would, I mean, I clearly don ’t have the exact number, but roughly, we have launched about 50% of the projects in larger ones. And in smaller ones, the entire

inventory has been opened. So , but we can get back to you with the exact
numbers.
Parikshit Kandpal: And on the Townpark, I think the total size of the Townpark is 3.7 million sellable. So how
much are you planning to open there?
Jagadish Nangineni: In the initial phase itself, we would launch about 1/3 of it. And so that would be the first , in this
month, we will be doing about 4 to 5 towers based on the pace of sales that we can achieve.
Parikshit Kandpal: Jagadish, the issue is that you are launching, the number which you are giving is very high, but actual
launch is only 1/3 or maybe 30%, 40% of that. And so when we look at presales, so we
are building it with thinking that you're launching the entire project and market basis that
assumptions, making assumptions on presales, but the actual launched or opened area is much
lower, and that is getting reflected in much lower sales in presales.
Jagadish Nangineni: Opening of new phases is not an issue for us. It is the reason why we are opening in phases is
only based on how we 're pacing out our sales. Because we have obtained RERA for all the entire
project, so we can choose to launch the phases much faster. Like, for example, the Ayana that

we have just launched in November, we were planning to launch only 1 or 2 towers initially.
But based on pace of sale, we could launch almost close to 70% of the project by now. So hence,
it's entirely dependent on how the project progresses in terms of sales. So it 's absolutely nothing
to do with our release of units or towers versus the actual launches.
Parikshit Kandpal: Okay. And just the last question. So now we had this year guided for ■ 8,500 crores. If we would
have achieved that, then next year, if we had guided 15%, 20% growth on that, we should have
crossed ■10,000 crores of sales. So when I look at FY '26, so how will you base the growth
there? I mean, will ■ 8,500 crores will be the relevant number so we look to cross ■10,000 crores?
And to do that, what kind of launch pipeline on GDV leases would be there on a quarterly basis? Are we targeting ■ 3,000
crores to ■4,000 crores of launches every quarter from next year so that
we can deliver on that number?
Jagadish Nangineni: So we will definitely come to here. And we have good visibility of all the launches in, for the
next financial year, Parikshit. So hence, I believe that the launches will accelerate in the next
year also. And we have enough inventory and experience of some of the projects, which are
launched this financial year also. So with buildup of the i nventory and with new launches, we
should be able to do far better number.
I'll not be able to comment on what that number is right now. But during the course of as we
plan out in the next 2 to 3 months, we should be able to come back to you with a better visibility of that.
Moderator: We take the next question from the line of Biplab Debbarma from Antique Stock Broking .
Biplab Debbarma: So my first question is on the MMR project that you plan to launch in FY ' 26. Can you give us
some insight on the project like in terms of GDP, what is the size of the project? What kind of project it is JDA, SRA or outlet
purchase? And where is the location?
Jagadish Nangineni: Biplab, the project is still in very early stages. We have tied up the land and the project, but we
are in very early stages towards the approval process. Ideally, given the uncertainty of us navigating in a new location like
Mumbai, we would, we'll be able to give out the numbers and
have greater visibility

to you in subsequent quarters.
Biplab Debbarma: Okay. My second question is what would we attribute the slippage in guidance to? Should we say that
because of slow sales velocity in the Gurgaon project or there is a moderation in demand
or it's because of approval challenges? I mean, if we have to pinpoint the reasons for the slippages?
Jagadish Nangineni: You have already listed out all the issues. Having said that, we , I think there is a silver lining to
this aspect, which is now standing where we are, we have a much better , we have the best
inventory that , visibility that we have in years, which we have already launched and also for the

future projects. So hence, our ability to grow from here seems to be far more visible, and we
should be able to achieve what we are showcasing.
Moderator: The next question is from the line of Parvez Qazi from Nuvama Group.
Parvez Qazi: So, of the ■ 633-odd crores of land expenses that we have undertaken this year, would bulk of it
relate to the Greater Noida and the Mumbai project? Or I mean there are other cities also where
we have acquired land ?
Jagadish Nangineni: It's a combination. Greater Noida, yes, it is , a bulk of that payment has gone to Greater Noida
because it's an outright purchase from the authority. And in addition to that, we have, in fact,
spent across various projects. We have recently signed up a project in Chennai for about 1.8
million square feet. And we have entered into new agreements with a couple of o wners in

Bangalore, part of it is in Mumbai, part of it is in Pune. So, it’s spread across. It ’s not focused
or let ’s say, a bulk of it has not gone to one particular city.
But it’s overall spread all over multiple cities. Overall, if you look at from the ■633 crores net
payment that we have done, roughly if you look at from a new land that we have tied up, that
would be roughly about 5 million to 5.5 million square feet where we can develop new and
probably at a value of , even if you take about ■12,000, it ’s about ■6,000 crores what we can
achieve in sales from that.
Parvez Qazi: Sir, if I got the number correctly, you said the GDV of the land that we have tied up is about
■12,000-odd crores. So if that number is correct, what is the pending land payment for this
■12,000 crores GDV project?
Jagadish Nangineni: Yes. I mean there would be additional payments, which is , I mean part of them are like we have
seen it ’s own land and part of them are JV. We’ll be able to give you the remaining payment
details separately, Parvez.
Parvez Qazi: Sure. The second question is with regards to geographical diversification. We are already present
in 10 -plus cities. So on the ground, are you seeing differences in terms of sales velocity across
the cities where you are present? And if yes , and which cities are relatively doing better than ,
and which are the lagga rds?
Jagadish Nangineni: Well, the demand scenario continues to remain very strong in some of the cities that we operate.
Of course, there is an increase in pricing and hence, the ticket sizes have gone up for all of us.
And due to that, wherever there is still a ticket size of ab out ■2-■3 crores, demand still continues
to be good. And wherever there is a much higher ticket, of course, the ticket size sweet spot
differs from city to city. So hence, if you can pick the sweet spot, it ’s very good.

Like, for example, in Bangalore, the sweet spot is between ■ 2-■3 crores , and if it’s in Gurgaon,
it is about ■5 -■6 crores. If we are able to be within that range, probably our sale velocity can be
really good.
Moderator: The next question is from the line of Pritesh Sheth from Axis Capital.
Pritesh Sheth: First question is on Gurgaon, where we have seen the impact since last couple of quarters. Any
course correction we have done there t

o improve the sales velocity and how is the traction now?
And we have three more projects planned in Gurgaon over the next 4 to 6 weeks, I mean,
residential projects. What kind of ticket sizes that we are targeting in those 3 projects,
considering that we have already , I mean, you have already mentioned that anything between
■5-■6 crores is doing good. So will that be our product offering in upcoming 3 projects? That ’s
my first question.
Jagadish Nangineni: Yes, absolutely, Pritesh. That ’s the aim for us in terms of new projects. But even for the existing
inventory, the existing projects, both Sobha Altus and Sobha Aranya, both are fantastic projects we are doing. They have , in
fact, Aranya is a very unique project, and it would have an inherent
demand. And in between, there was , after the initial rush, there has been some stabilization with
the progress on the site and the progress on what we are doing continuously, there is an increased interest in the project, and
I’m very confident that the project will do well.
Similar would be the case of Altus, which is a slightly smaller project, but we have changed the
specs and rationalized the pricing as well, corresponding to that. And it has , based on that, there
has been an increased interest from the customers. So both are on good track, and I think we
should start seeing good results from next few months.
Pritesh Sheth: Got it. Got it. And just a bit of clarification on what you mentioned in the last question. So with
this ■630-odd crores of spending in land, you have acquired 5 million, 5.5 million square feet of
new projects and GDV is ■ 12,000 or ■6,000. I couldn’t hear that correctly.
Jagadish Nangineni: At an average pricing of ■12,000 is what I have taken, that will be about ■ 6,000 crores.
Pritesh Sheth: ■6,000 crores of GDV? Okay. Got it.
Jagadish Nangineni: On a conservative basis, yes.
Moderator: The next question is from the line of Vipul Kumar Anupchand Shah from Sumangal Investment.
Vipul Shah: Sir, my question is, can you break down your inventory into land and finished flats, around
■11,000 crores of inventory. So can you break it down between the land and finished product
flats?
Jagadish Nangineni: Sorry, Vipul, just to clarify, when you say land, it would mean like the plotted development?

Vipul Shah: Sorry?

Jagadish Nangineni: Just to clarify, what's the question? Is it land would mean what plotted development? Or is it completed inventory?
Vipul Shah: So I would like to know what is the completed inventory portion in this a nd what is the land under development portion?
Jagadish Nangineni: Okay. Completed inventory is very minimal for us. Out of this 8.92 million, only we have 210,000 square feet as completed inventory. That 's the, value of that will be about close to ■ 180 crores or so.
Vipul Shah: So rest all is at various stages of development?
Jagadish Nangineni: Yes.
Moderator: The next question is from the line of Puneet from HSBC.
Puneet: If you can also elaborate on where are you going to spend the rights issue money? Is there any plan there? And how much should we expect you to spend over the next 1 year?
Jagadish Nangineni: Okay. I will let Yogesh take that question, Puneet.
Yogesh Bansal: Puneet, our rights issue, we have given for debt, okay? So we are using the money part of it for our debt and general corporate. Our aim is to use for our growth capital so that we can buy, we can invest in business development and we can grow. So basically, a combination of both. One is a reduction of debt and other part of it go to our growth factor , towards growth factor.
Jagadish Nangineni: Just to rephrase also …
Puneet: How much reduction of debt and how much for land?
Yogesh Bansal: In the rights issue...
Jagadish Nangineni: From the proceeds of the rights issue, we are planning to reduce debt of close to ■ 900 crores.
Puneet: And the balance ■ 1,100 crores for the land acquisition and general corporate purposes?
Jagadish Nangineni: The purposes which are clearly demarcated. Our objective is like this, which is we are a cash - generating company. In the last several quarters, I'm sure you have noticed that. So, while we are clearly utilizing some of the proceeds for , in accordance with the objects, we are also generating new cash flow. So , it's sort of replacing that and we'll be utilizing that for the growth capital. So , although we are reducing the debt right now, but we would, as we keep generating cash flow from t he new projects, we would definitely use the same for growth.

Puneet: So what is the internal target for debt to equity now?
Jagadish Nangineni: Well, it's not about debt to equity, Puneet. What we currently in the near , or, let 's say, medium term, what we are comfortable is between ■ 1,200 crores to ■1,500 crores.
Puneet: Okay. Absolute amount of debt?
Jagadish Nangineni: On an absolute amount yes, because I'm sure you have seen it that the marginal cash flow from our existing projects is still very strong. ■ 10,000 crores is coming from already launched projects. And from the new projects, we have about ■ 7,000 crores. So while , since that is very strong, then we can , also the visibility of our subsequent land is also good.
So it puts us in a unique position where we can opportunistically grow in certain cities. And hence, based on that, we can deploy our capital. It's not necessarily that I will need to deploy today the entire amount. So we will take a calibrated approach. But we have the maneuverability to utilize whenever it is feasible now versus about a year ago when we didn't have the right s capital .
Moderator: The next question is from the line of Jeet from Pinpoint.
Jeet: A couple of questions. So firstly, on Altus and Aranya, you mentioned you've reoriented the Altus project a little bit and Aranya has picked up in terms of interest. So incrementally from here, what kind of quarterly sales run rate can you expect from these two projects together? And secondly, on Townpark, you mentioned you will be opening about 1/3 of the area. But if you do sense more demand than that, will you be opening up more area in this quarter itself? Or how will it be phased out?
Jagadish Nangineni: Sure, Jeet. It will be difficult for me to give the exact estimate of how it's going to perform. We have taken these actions, and we are, our teams are really working hard to make it a success. We will have to see over the next couple of quarters how we are picking up. And then we will be able to have a much better sense of how we are getting some sort of run rate here. So , it's very difficult for me to give an answer on the estimate right now.
On the other part, which is about , on the Townpark launch, like I said, we release the inventory based on the pace of sale. And of course, if the pace of sale is good, particularly the ones which we launched has all the sizes of the inventory. And if there is any specific inventory which i s moving faster, we generally do open the towers, which are, which have those inventories. So we will be, of course, opening up new inventories as we progress. And if it happens this quarter, surely, we will do that.
Moderator: The next question is from the line of Manoj from Geometric.

Manoj: Sir, as we go forward to ■ 8,000 crores, ■10,000 crores sale, general cost , corporate cost, how much we can think of increasing per year as a percentage?

Jagadish Nangineni: Manoj, I think from what we are already running at a run rate of about ■ 6,000-odd crores, right? Apart from being inflationary, we don't think that we are , we would be incurring significant increase in the fixed cost. It would be largely the inf

lationary , because majority are currently ,
we are already structured towards aiming at a sale value of about close to ■8,000 crores to ■10,000 crores. So I we don't envisage significant increases in the fixed cost.

Manoj: Okay. That would be a great lever for the margin...

Jagadish Nangineni: Apart from, of course, like I said, inflationary regular salary increases and inflationary increases in other costs.

Manoj: Okay. So this would be a very great lever for the margin increase as well as the premium projects, which would be also coming for revenue recognization. Is my understanding right?

Jagadish Nangineni: Absolutely. That 's correct.

Moderator: The next question is from the line of Rahul Jain from Elara Capital.

Rahul Jain: So I just wanted to understand, given that Sobha as a brand has a significant presence internationally, what percentage of the presales would be coming from NRI demand? Like it would be specifically higher for certain geographies? Or how should we look at it?

Jagadish Nangineni: Yes. Good question, Rahul. There is , like you mentioned, there is a significant visibility of our brand internationally. And that has indeed increased our customer interest in our projects. So, the typical , not only it's, that results in NRI demand, but also results in demand from frequent travelers or travelers who are exposed to international locations. That puts us our brand a little ahead, and that definitely creates higher demand for us, both from local and from NRI.
So, and typically, our NRI demand has been in the range of about 8% to 10%. And largely, that remains unchanged in the last few quarters. So with the greater visibility and if there is the depreciation of the rupee and several other uncertain events, if there is a push from increase in interest from NRI, we would greatly benefit from it.

Rahul Jain: Got it, sir. And sir, on the Mumbai land piece, can you just share the locations where exactly it is in Mumbai?

Jagadish Nangineni: Rahul, we will be able to share it separately with our Investor Relations. That would be ideal for us.

Moderator: The next question is from the line of Himanshu Upadhyay from BugleRock PMS.

Himanshu Upadhyay: My question was, in the upcoming projects, okay, our share is around 79%, okay? And currently, we are having around 90%. Is there an opportunity to increase our share in the forthcoming

projects and , because just these projects will be much nearer in launches. So any thoughts or opportunity for you to allocate capital and increase share in these projects?

Jagadish Nangineni: Himanshu, the share of the projects is a function of our own land projects and the joint development projects. If you look at our current inventory of about 8.9 million square feet, there itself, our share is about 80%. And forthcoming projects is also rou ghly about that. So the 90% that we achieved is specific for this quarter because some of our own projects have done far better. And hence, if you look at an average over the next few years, then we would revert to the average of about 80% because that 's the nature of the inventory.

Moderator: As there are no further questions from the participants, I would now like to hand the conference over to the management for closing comments.

Jagadish Nangineni: Thank you, everyone, for participating in the call. I hope that we have answered your queries to the best possible extent. In case you have more clarifications or questions, please reach out to our Investor Relations. We 'll be happy to provide more information. Thank you, everyone, and have a good evening.

Moderator: Thank you, members of the management. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jun 2025

SOBHA LIMITED
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Date: June 03 , 202 5
BSE Limited
Department of Corporate Services
PJ Towers, Dalal Street
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Scrip Code: 532784 & 890205 The National Stock Exchange of India Limited
Exchange Plaza, Plot No C/1, G Block
Bandra Kurla Complex
Mumbai – 400 051
Scrip Code: SOBHA & SOBHAPP

Dear Sir (s)/Madam(s),

Sub: Transcript of Meeting with Analysts/ Institutional Investors .

In continuation to our letter dated May 26 , 202 5 and May 30, 2025 please find enclosed herewith the transcript of the conference call held on Friday, the 30th day of May, 2025 with the Analysts/ Institutional Investors to brief the Operational and Financial performance of the Company for the quarter and financial year ended March 31, 2025 .

We request you to take the aforesaid information on record in terms of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and the same is available on the website of the Company.

Yours sincerely ,

FOR SOBHA LIMITED

Bijan Kumar Dash
Company Secretary & Compliance Officer
Membership No. ACS 17222

"Sobha Limited Q4 FY '25 Results Conferencce Call"

May 30, 2025

M

ANAGEMENT : MR. JAGADISH NANGINENI - MANAGING DIRECTOR , SOBHA LIMITED
MR. YOGESH BANSAL - CHIEF FINANCIAL OFFICER , SOBHA LIMITED
MODERATOR : MR. ADHIDEV CHATTOPADHYAY – ICICI SECURITIES

Moderator : Ladies and gentlemen, good day and welcome to the Sobha Limited Q4 FY’25 Results C all hosted by ICICI Securities Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation conclude s. Should you need assistance during the conference call, please signal an operator by pressing ‘ *’ then ‘0’ on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Adhidev Chattopadhyay. T hank you and over to you, sir.
Adhidev Chattopadhyay: Good evening, everyone. On behalf of ICICI Securities, I would like to welcome everyone to Sobha Limited call. From the Management we have with us as always, Mr. Jag adish Nangineni – the Managing Director ; Mr. Yogesh Bansal – the Chief Financial Officer.
Now I would like to hand over the call to the Management for their Opening Remarks . Over to you, sir. Thank you.
Jagadish Nangineni: Thank you, Adhidev. Good evening everyone who have joined the call today. We are pleased to connect with you today for our Q4 FY ’25 Financial Results . We have already shared the details of our operational update of the company in the first week of April. The investor presentation based on the financial results also can be downloaded from our website.
In today’ s’ call, I ’ll’ quickly take you through the operational highlights for the year and the quarter. Our CFO – Mr. Yogesh Bansal, will t ake you through the financials.
Some of our key highlights this financial year have been our completion of rights issue of Rs. 2,000 crores, increasing our capital base, expansion

into 2 new markets, which is Mumbai and Greater Noida, completion of our migration to new ERP across businesses. These are in addition to our constant efforts to improve our delivery capability at speed and scale through people and technology. With the new financial strength, clear visibility to the future in terms of new project launches, it is indeed an exciting time for us to move ahead into FY ’26’ and beyond.
The residential demand environment seems to be steady at the moment , despite witnessing certain global political and economic uncertainties that have hit us in the past few months in this year. Our demand, as you all know, is directly correlated to the economic growth of the country and the job creation in the respective c ities. As long as that is in the growth phase, it is up to us to capture the demand in the marketplace.
In FY ’25’, we launched 8.76 million square feet over 8 projects in 4 cities. This is our highest are a of launches till date. In Q4 ’25 alone, we launched 2 projects, S obha Town Park in Bangalore with a total saleable area of 3.67 million square feet and Birdsong, a plotted development project, with a saleable area of 0.44 million square feet.
For the next year, we continue to have a strong residential pipeline of 18.56 million square feet across 18 projects in 9 cities. We aim to launch these projects in the next 6 to 8 quarters. In this financial year alone, which is FY 26, if everything works well, we will be able to launch at least half of this pipeline. In a more optimistic scenario, we can cross the double digit in terms of million square feet launches. We expect to launch our first project in Greater Noida this quarter , which is Q1 of FY’26 and Mumbai in the third quarter. Of course, these timelines are subject to unknown variables that sometimes do come up. Both these launches will take our footprint to 14 cities in the country. These

launches combined with our current inventory give us a good chance to
achieve higher sales in FY ’26.

During FY ’25, our total real estate sales stood at Rs. 6,277 crores with
Bangalore contributing about 5

8%, 20% from Gurgaon, 13% from
Kerala. S obha share of the total sales is roughly about 79% of this at
about Rs. 4,961 crores. The average realization stood at 13,412 per square feet, which is higher by about 23% as compared to FY ’24. During
the quarter, the last quarter, which is Q4, our total real estate sales was at Rs. 1,836 crores. We expect to achieve at least a growth of 30% plus
this year, which is in FY ’26, which we aimed to do in FY ’25 and m ove
towards the goal of reaching the 5- digit sales number by FY ’26.
On the project completion front, we completed 4.54 million square feet, 3008 units in 36 towers during the year. We expect to also increase this by at least 20% next year with 5.5 million square feet in FY ’26. On the
contracts, manufacturing, and retail side, we concluded the year with a revenue of about Rs. 661 crores. And we expect to grow at least 10%
with enhanced profitability next year. We have good visibility of order
book to achieve this and hope to build the order book during the year as
well.
With this brief, I hand over the call to Mr. Yogesh, our Chief Financial
Officer, to provide color on the financial performance, post which we shall open the floor to take questions .
Yogesh Bansal: Good evening everyone, and thank you for joining us today. I am
pleased to share our financial performance for 4th Quarter and Financial
Year ‘25.
In FY ’25, we have completed Rs. 2,000 crore size right issue
successfully and received Rs. 1996 crore and balance Rs. 4 crore was
outstanding as on 31st March. Part of that we have received in April . So
starting with cash flow in FY ’25 total operational cash flow was Rs.
6,184 crore. Real estate collection grew up by 10% as compared to last

year, FY ’24, and contributed 89% to overall operation cash flow. In Q4,
real estate collection crossed Rs. 1,500 crore, which is highest ever. As
on 31st March, from all our completed and ongoing projects, we expect
Rs. 24,120 crore of future inflow from all s old plus unsold units. Against
that, our cost to complete is expected to be Rs. 13,580 crore, thereby
generating marginal cash flow of Rs. 10,500 crore at project level. Along
with this, our forthcoming projects of 19.3 million square feet expected to be launched over n ext 6 to 8 quarters , shall generate another Rs. 7,200
crore of marginal cash flow.
We ended the year with a gross debt of Rs. 1131 crore and a strong cash
balance of Rs. 1761 crore. And first time in history we are right now net
debt negative. Our average borrowing cost ha s also started come down.
It was 9.12% in Q4. On P&L side for the full year , total income was at
Rs. 4,163 crore , 29% growth over last year , EBITDA was Rs. 418 crore.
We generated PAT of Rs. 95 crore with margin of 2.3%. In coming year,
margin s are expected to improve significantly. Our current balance
revenue to recognize from already sold unit as on 31st March is Rs.
15,873 crore which is Sobha share, and we expect project level EBITDA
margin of 33%. And this revenue is dependent on recognition of 17.9
million square feet of saleable area. As we ramp up our construction, this entire recognition will come over the next 3 to 4 years.
With this, we can now open the call for question. Once again, thank you
for your participation.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from line of Parikshit Kandpal from HDFC
Securities. Please go ahead.
Parikshit Kandpal: Yes, hi, Jaga dish. I just wanted to clarify, did I hear it correctly that you
said we will cross Rs. 10,000 crores of sales in FY ’26?

Jagadish Nangineni: Good evening, Parikshit. So what our plan is, what I have guided is at least 30% to 35% what we have done in FY ’25 and move towards the five-digit number in FY ’26. If it ’s possible in FY ’26, nothing like

it, but
at least this is what considering the new launches that we have and some of the inventory that we already have with us. So I think at least we should be able to do 30% to 35% this year. And if we can move towards 10,000 this year itself, nothing like it. It also depends on the ti ming of the new launch es that we planned to do and if that works well , then surely we should aim towards that.
Parikshit Kandpal: The second question was on the launche s. So if you can help us understand at least the near -term launches, which are in the significant stages of approval, at least in Q1 a nd Q2. So that will be helpful.
Jagadish Nangineni: Yes, in Q1 we have launches from first launch in Greater Noida, which is in Sector 36 , and we have Marina One which we have another four towers that is about 920,000 square feet and the Greater Noida launch is about 0.7 million square feet. These two would be large ones and one launch in Bangalore which is of about 0.6 m illion square feet is also possible. We are hoping that it can work, but if there is a mess then it will go into the first few weeks of July. So that is in Q1. Q2 again, we have a small launch in Gurgaon, which is a commercial one where we are launching serviced apartments and a small project in Bangalore again, which is about 0.5 million square feet. And another project in Bangalore , which is about 0.3 million square feet. And if everything works well again, there is one more project in Trivandrum which we can do at 0.25. So both first 2 quarters together, I think we should be looking at about 3- 3.5 million square feet.
Parikshit Kandpal: And this cumulative GDV will be approximately about Rs. 5,000, Rs. 6,000 crores and these will be all single phase launches ?

Jagadish Nangineni: We would launch all of them and again like any other project, we would do the phasing based on the pace of sale, but yes, both put together, it should be around Rs. 5000 crores overall.
Parikshit Kandpal: Just one last question, Jagadish on this business development. So we have spent close to about Rs. 945 crores in FY ’25 versus Rs. 382 crores which was spent in FY ’24. And I also see that Noida now we have the area has increased to 3 million square feet. So if you can help us understand how much has been the new business development, both outright and JDA in FY ’25. And particularly in Noida, why has this land bank increased and wh at has been the addition there?
Jagadish Nangineni: We have in this overall business development that we have done , we have added about close to 10.5 million square feet last year, which would have the overall value should be about Rs. 15000 crores. In that, a mix of JDA and outright, overall again, our share of the whole revenue in that again will be about again 80:20.
Parikshit Kandpal: Okay, so, and Noida, this increase in Noida.
Jagadish Nangineni: Yes, so, apart from the first plot that we have taken in Greater Noida in the authority auction, we have done one more small transaction in Greater Noida, which is a joint development with details of which we will give further details in another month or so.
Parikshit Kandpal: And this 15,000 which you have taken over, so if can give a broad split, I mean, is this including your own land or own land would be over and above this in FY ’25 which you have cleaned up? And also geographical ly, how is this 15,000 divided?
Jagadish Nangineni: Yes, I mean, of course, it is own land consolidation is a small bit in this . In addition, what I have said is which is 10.7 million square feet is actually if it is entirely new developable area that we can target, small

part of it will be coming even from our existing land bank where we have incrementally invested to make a contiguous and also add to the current landmark.
Parikshit Kandpal: Geographical breakup?

Jagadish Nangineni: Geographical breakup again about roughly 50% of that is in NCR, which is in both Gurgaon and Noida and about 40% is in Bangalore and remaining 10% is in Chennai, Pune and Kerala.
Parikshit Kandpal: Okay, Jagadish. Thank you and wish you all the best.
Moderator: Thank you very much. The next question is from the line of Dhruvesh Sanghvi from Prospero Tree Asset Management LLP. Please go ahead.
Dhruvesh Sanghvi: So first, congratulations for the 5 -digit guidance. I mean, very pleasant to hear that you are retained that condition. Secondly, just want to understand, Yogesh, I think you mentioned about 33% margin. If you can expand what you are saying, because maybe I missed out or while you're saying that in the next 8 quarters, we will have our reported margin go towards 30 plus.
Jagadish Nangineni: Dhruvesh, we even in the investor presentation , we have given that we have roughly about Rs. 16,000 crores of revenue to be recognized. So, this revenue that is to be recognized has an embedded project level EBITDA margin of 33%. So that 's what Yogesh has been saying and this revenue we would recognize as the project s complete of course and which I think is going to happen in the next 3 to 4 years . As and when they and it would be an increasing function in terms of the margin getting recognized because ther e is still a small mix of lower margin projects , which need to be recognized which will gradually phase out in the next year or so and higher margin would be in the future. Currently

what we have is 33% is the average of all the entire plot of the unrecognized revenue.
Moderator: The line for the current participant is disconnected. We will move to the next participant. The next question is from the line of Puneet Gul ati from HSBC. Please go ahead.
Puneet Gulati: Yes, thank you so much and good luck for this year. My first question, the continuance of this EBITDA guidance of 33% on project level, how much of overhead should be built in from here? And do you think this is conservative because you also have a lot of backward integration? How should one think about the benefits of backward integration into your margins versus the sales velocity?
Jagadish Nangineni: Yes. Thank you, Puneet. Puneet, the guidance or let 's say estimate of overheads is little tougher to get to because if you include sales and marketing cost as part of the overheads that is a variable year -on-year right because as we do better in sales , in subsequent years , the cost of sales and marketing increases and which needs to be recognized on a P&L in that area itself. So hence the overhead significantly increases. But otherwise if you take that out , then it should be reasonably c onstant that should be about 7% to 8%, but only the other overheads non sales and marketing and there would be a small percentage of interest also that would be embedded. So just deduct these after the project level if you 're asking what are the other parts that need to be taken into account , these three would be the one which is standard corporate overhead, second sales and marketing for that year and the interest that is embedded in the project.
Puneet Gulati: Understood. And a couple of quarters back you talked about m argins improving dramatically. We haven' t seen that in the second half, is that

something one should expect and to expect in ‘26 or is it still some while away?
Jagadish Nangineni: I think the margin should start improving this financial year definitely because it 's fairly clear that whatever the margin loss that we have

encountered in the contractual space that 's largely completed and hence now majority of the revenue and the corresponding margins will be from real estate. And even here, like I was saying that there are a few projects, which are few of

them, mainly non- Bangalore projects, there we had incurred significant increase in cost. There will be some kind of lower margin projects these are which we will be recognizing in the next year or so. Apart from those , the rest of the projects seem to be very well within a good margin on the margin front. Hence, I think FY '26 will have a mix of those and hence it might drag a bit , but otherwise from going forward, that should not be the case anymore.

Puneet Gulati: Understood. And your 33% EBITDA margin is a blend of those low margin project s and the high margin projects?

Jagadish Nangineni: Yes, yes and that 's why I was saying that it is going to be an increasing function. So hopefully it should even become, I mean it might start with little over and end with much higher.

Puneet Gulati: Right. And versus 33, which is more for historical projects, what are the margin expectations you have from your current sales?

Jagadish Nangineni: Current sales, again EBITDA margin should be now in the new one should be closer to 40% is what our sense is, and if it's our own land in some of the places that also will add to those margins, but if it' s in a typical joint development and recent acquisitions, we should be in the range between, again closer towards 40%.

Puneet Gulati: That is helpful. And lastly, if you can talk a bit about your new financial strength with lots of cash, how aggressive should we see you going and getting new business development? Or would you like to keep some cash on the sidelines?

Jagadish Nangineni: Yes, that 's a good question. We have, in fact, in the anticipation of this and we had already started and you have seen some of the investments that we have done in NCR and in some places in Bangalore also. We have done these investments and I think now the focus for us in terms of new business development would be again more concentrated towards Bangalore, NCR, maybe a little bit in Hyderabad and Mumbai and it is going to be highly opportunistic. The kind of opportunity that we can really pursue now is slightly wider. I do not have a clear guidance in terms of how much we could deploy, but the fact is that we are in a good position to capture any good opportunity that can come by and that what we have done in our entry into Greater Noida and a little bit of investments that we are doing and that is the current opportunity that we are pursuing in Mumbai are all based on that. Having said that, we already do have a good pipeline in terms of new launches and you have seen that even from our existing land bank, t here is enough for us to launch and monetize those. And there also, we have some kind of cash outflow to monetize and take it to the project level. So, our usage of cash will be 3 buckets. One is for pursuing opportunities in these focused cities. Second i s to get our existing land bank into monetizable state and third is some of the, if we have to require to invest in any of the our land banks, future land banks where some investment is required to actually monetize them, not necessarily develop into a project, but monetize them , there also we would invest them .

Puneet Gulati: That is helpful. And l astly, if you can talk a bit about your Gur ugram strategy. Last year was a little weak. Any thoughts on how you would want to accelerate that part of the market?

Jagadish Nangineni: Yes, last year although Gurgaon has contributed close to 20% of our sales and we did the highest ever sales there. We expected, definitely expected to do much better. We have been discussing over the calls in the previous quarters as what, how we are going to turn it back again. So this year also we think that we can achieve much better than what we have done almost, hopefully at least 60% -70% higher than what we did this year. So things have been

progressing well since last few months in terms of sales in Gurgaon . So my view is that with the progress of the project and with the understanding of the people, of the customers in terms of value that we create, so there is an increased interest and enhanced sales that we are se eing. And we have a new s et of projects also lined up, 2 to 3 of them , so that will also generate much higher interest and those projects that we have designed, we are quite mindful of the ticket sizes that has been sort of probably one of the issues that we faced in the last year. So considering one , the slight good pickup and consistent interest being seen in the projects, the current projects and the new pipeline that is coming in, both should contribute well for Gurgaon. And we fundamentally believe tha t Gurgaon has very good potential. We have established a good reputation. We have a good operational presence there. So we will continue to invest there. And we are putting our best efforts to make sure that scales up from an overall medium to long- term point of view also.

Puneet Gulati: Just lastly on the plan to monetize Hoskote and Hosur, what should be the timelines for that?

Jagadish Nangineni: Hosur, I think I have mentioned it in my previous call. Hosur, one of the land parcels that we have in which we plan to monetize through a plotted

development, the change of land use has already come. And hence, we are in the design and approval phase right now. That 's about 40 acres. Remaining parcels of the land in Hosur , we have clearly identified that they will be monetized. In addition to that, the Hoskote line, also is in design and approvals phase. We are hopeful, that should be launched for the next 12 months ' time horizon if not early.

Puneet Gulati: That is helpful. Than k you so much and all the best.

Jagadish Nangineni: Thank you, Puneet.

Moderator: Thank you very much. The next question is from the line of Pritesh Sheth from Axis Capital. Please go ahead.

Pritesh Sheth: Thanks for the opportunity. So firstly, if I look at the guidance of 30% - 35% growth, that 's probably similar to where we guided for last year. So how would this year be different versus last year? Is it on the launch timelines, the confidence that we have on launches, but maybe a slight change in demand environment? So what 's going to drive this and this Rs. 10,000 crore number that you' re eyeing for?

Jagadish Nangineni: Yes, Pritesh, the launch timelines visibility for us is slightly better this year, no doubt about it. And second, the launches are also more diversified in the sense they are in much more, many more cities and with varied customer sets and also ticket sizes. So hence the diversity in the kind of new launches we are getti ng in should definitely help us in achieving much better than the one what we have done last year. Last year if you remember, the launches that we did were slightly concentrated in larger ticket sizes, although we launched it early in the year, it did not really help us add to the whole sale value. In fact, the 50% of the last year sale is also from the new launches, but some of those launches have happened little later in the year. So a phased

approach of launches and clear visibility should definitely help, number one. Number two is we are starting out with a reasonable inventory across cities, so that should also help us in achieving our number. So, it is more to do with a steady demand environment and diversified launches that we are doing and hopefully timely launches as well.

Pritesh Sheth: And since you mentioned about ticket size, have we also course corrected there in terms of every market we are presenting, what kind of ticket size and right pricing is needed for those projects? And should we as analysts should be fairly confident about your prici

ng strategy and
product str ategy for launches going ahead?
Jagadish Nangineni: Yes. I mean like I mentioned earlier as well, it is not that we have deliberately aimed for a certain ticket sizes, those launches that we have done last year where all of them came up in a certain timeframe which was coincidental, but otherwise our core bread and butter business has always been a 3 -bedroom, 2, 3 and 4 bedroom apartments and that continues to be the case even in the future and particularly the large projects, we have good mix of products, that is one. Second is from a pricing point of view, also we would continue to adapt the same methodology which we have been doing, which is essentially at least one, protecting margins and also second is making sure that the project sales are done at least , we complete the project sales much ahead in terms from the project lifecycle or completion lifecycle. So both put together, the higher inventory that we have will definitely contribute to the higher sales is what my point is .
Pritesh Sheth: Second, on the launches, so 8 to 9 million square feet is what you are aiming to launch this year. If you can provide a breakup across markets, I mean you in general gave a breakup of first half launches, but broader full year number, how should these launches be across the markets?

Jagadish Nangineni: From a launches point of view, I think roughly about 40% plus will be in NCR, which is in Greater Noida and Gurgaon. And roughly about 15% is in Bangalore and about 10% is in Chennai, 5% in Mumbai and rest of the locations carry the remaining.
Pritesh Sheth: Sure and I mean Noida will launch both the projects, both the projects that we have this year?
Jagadish Nangineni: Yes. We hope to launch project Altus . First one being in this quarter hopefully and the remaining, the other one, w e aim to do it by in this calendar year , if not this calendar year definitely this financial year.
Pritesh Sheth: Got it sir. And just one last, I see Gurgaon, you have added a 10- acre land which wasn' t there last time. I am sure it 's a new acquired land. I just want to know the location of that land, where it 's located within Gurgaon?
Jagadish Nangineni: Sorry Pritesh, we have not done any new land acquisitions, but if there is anything like that we will go through that and come back to you. That might be from our earlier project which is in International City which we are planning to develop as floors that might be the case, but let me have a look at it and then come back to you again.
Pritesh Sheth: Maybe, yes . Thanks. That 's it from my side, and all the best.
Jagadish Nangineni: Thank you, Pritesh.
Moderator: Thank you very much. The next question is from the line of Biplab Debbarma from Antique Stock Broking. Please go ahead.
Biplab Debbarma: Good afternoon, Jagadish and good afternoon, team. My first question is on the Gurugram. So, Gurugram, are we restricting ourselves mostly in Dwarka Expressway ? Or do we have projects that is coming up, say,

in other parts of Gurugram? And also, our strategy seems to be very different from other developers in the last 3, 4 years that we have seen. Whereas all the developers that we track or we have seen are trying to sell everything on launches. At least what they' re saying whereas we seem to use a different strategy, we try to sell our project life cycles. So my first question is this on Gurgaon.
Jagadish Nangineni: Yes, thank you Biplab . So on the project portfolio in Gurgaon, we have currently 3 projects, which is one is Aranya which is in Sector 80. In fact, it is not on Dwarka Expressway, it is on main NH8 . Second one is Altus which is again mixed- use apartment project, it is in Sector 106, that is on Dwarka Expressway. The current ongoing projects, their mix we have changed it from pu

re Dwarka Expressway , which was earlier the case, but now we have these two and adding to those will be two other projects at least coming in Sector 63. So which is on the other side , which is sort of an extension of Golf Course Road. So that will be a new

location for us and in addition to that, we have a couple of other projects
which are again in Dwarka Expressway. So the range of projects that we have, location is reasonably diversified now. That is one. Second is to
your point of the sales strategy or the pace at which people are selling in
Gurgaon, other players versus us , I mean the difference is clearly very
stark but the way we price it and the way we give out our payment plans,
all of it is in the interest of making sure the c ash flow of the project is
intact. We have been present in Gurgaon for last now close to 14 years.
One of the things that we have seen is any short -term investor led
bookings would might, there is a possibility that it might lead to cash flow issues in case of any steadiness or slowdown in the market, that we
would definitely like to avoid and hence due to that nature and second
is our pricing being slightly premium, both these take out a large chunk of the market which is pure investor market. So hence you might see that
the volumes are lower, but largely we have also seen that our sale cycle

and the project cycle are similar which means that we do sell out the
project prior to the completion of the project. So that should not be an
issue from a project cash flow or project profitability point of view, but
yes we do hope that we can increase the pace of sale and we are taking
some learnings from what has been done last year and improving upon
those and if those also work, then we should see pickup in our sales also.
Biplab Debbarma: Okay, that 's good sir. And my second is more of a clarification needed
in the slide #17. You know, the area in ongoing and upcoming for
Gurugram and Noida. I am just trying to decipher it. So are you thinking
Gurugram, in the ongoing portion, you have only 0.02 million square feet of SBA? I mean, I am just trying to interpret this in ongoing and
forthcoming for Gurugram and G reater Noida ?
Jagadish Nangineni: So Greater Noida is a new location for us. So this is..
Biplab Debbarma: So that 's the 3.1 sir?
Jagadish Nangineni: Yes, that's the 3.1 that 's forthcoming so we don' t have anything which
is ongoing or completed. But Gurgaon ongoing which is essentially
ongoing would I think this is a mistake , but we will correct.
Biplab Debbarma: Okay and that 's fine sir and on the forthcoming in the Gurugram that is
4.08 so are we saying that the main projects you just now mentioned that
is coming this quarter and 2 more, 2 projects in S ector 63 and Dwarka,
this together would be 4.08 million square feet forthcoming in Gurgaon?
Jagadish Nangineni: Yes, in Gurgaon, there are 4 projects which are in forthcoming. One is
the 63, S ector 63, second is one mixed development that we are planning
to do in S ector 106 and third is we have a commercial project which we
plan to sell part of it, retain the retail portion of it and the fourth is S ector
99 where we have another project. So there are 4 projects in that and in
addition to that , we have a small portion in, I mean we have our own

land in International City which is a plotted development that we are
debating between doing a plotted development and sell or we can do
floors and do the project. So that is also once we decide and then that
also will come back to you.
Biplab Debbarma: So FY '26-'27 we would see significant supply coming from NCR. Am
I right sir?
Jagadish Nangineni: Yes, in ' 25-'26 itself , we can see like I said to an earlier question about
45% of the new launches that we are going to do are from NCR.
Biplab Debbarma: Okay, sir. Great.

And all the best for FY '26.
Jagadish Nangineni: Thank you. Thank you, Biplab.
Moderator: Thank you very much. The next question is from the line of Parvez Qazi
from Nuvama Group. Please go ahead.
Parvez Qazi: Hi, good afternoon. Thanks for taking my question. So 2 questions from
my side. First, wanted to get your views on the demand scenario would
be great if you could expand on that and especially across various ticket

sizes or segments. Now, I think about 45% of our sales is coming from ticket sizes Rs. 3 crore and above. So what is the demand across these various ticket sizes? And second is on the pricing front, I mean, how do we see the pricing scenario? I think everyone in the industry has seen very sharp price increase partly due to product mix. Of our 23% increase in realizations in F Y'25, what would have been the like -to-like organic price increase? And how do we see a like -to-like price increase in FY'26? Thank you.

Jagadish Nangineni: Good questions , Parvez. To start with from a demand point of view, we have three large markets , of course our launches are in many more cities this time. So Bangalore, NCR and Kerala, all three are slightly different.

Bangalore is largely end -user driven and there the demand seems to be at least steady from the leading indicators which is from enquiries and from the site visits point of view. So however , of course any macro events that do occur which are negative in nature typically impact negatively into the customer sentiment and one of the first things one tends to do is to put a break on the di scretionary spending. So which was temporarily we could see in the first 2 months of this financial year, but otherwise it is back to be steady. So I think from a demand standpoint, Bangalore, it seems to be very much consistent with what we have seen last year. Second in the same market from a pricing point of view, like -to-like pricing probably we might not increase the price as we had done in the last couple of years. S o hence we can see a steady pricing environment. So going forward probably in the next few years, we would probably see an inflation- led price increase s and that is largely in Bangalore. Similar would be the case in NCR as well, although we have seen from a demand point of view, there as well, Gurgaon seems to be reasonably steady. From Kerala which has a different set of customers, the kind of demand is mainly driven from the NRIs and there also there seems to be good, continued to see interest in our projects and the pricing there also has been steady, but new launches what we are doing are slightly higher than what we have done earlier and eve n in those, there seems to be a good interest from the customers.

Parvez Qazi: Sure, Thanks and all the best in the future.

Jagadish Nangineni: Thank you, Parvez.

Moderator: Thank you very much. The next question is from the line of Girish Choudhary from Avendus Spark. Please go ahead.

Girish Choudhary: Hi, Jag adish. Yes, firstly, on operating cash flow, I just wanted to check how do you see the trajectory for fiscal ' 26? This year we saw around

from operating cash flow point of view around Rs. 1174 crores which was some 78% growth. So yes.

Jagadish Nangineni: I think from an operating cash flow also, it should be similar or better. In fact, it should be, we should aim to achieve at least 10% growth on our operating cash flow. We should try to aim because on the back of sales that we have done in the previous year.

Moderator: Okay, sir. The next question is from the line of Kunal Lakhan from CLSA Limited. Please go ahead.

Kunal Lakhan: Hi, thanks for taking my question. Just on an earlier question, just trying to read between the lines here, you said that the Gurgaon demand is reasonably steady. Would you say it 's reasonably steady currently

versus say euphoric last year or how do you like to elaborate that?

Jagadish Nangineni: Last few years, the demand has been euphoric in Gurgaon in other cities as well , Kunal, but actually the characteristics roughly remain the same which is now we are in a n environment where there is pricing increase right , is largely stabilized . Initially , it was a cost -led increase, then there is a demand -led increase and now the pricing seems to be have stabilized and also since the supply a lso has caught up, the price increases I would

say would largely be inflationary going forward at least in the visible year or so. Considering that the demand environment specifically in
cities like Gurgaon , there is a significant chunk that comes from investors as well and that the long term investors and end users demand continue to be will be steady, but a part of short term investors might be impacted with this nature , otherwise which actually what matters to us or to any developer would be a customer who is not leveraging and playing on the price increases but actually would like to keep the investment that one does . So from that sense, the steadiness of the demand should continue.

Kunal Lakhan: Sure, just on that, right. And if some speculative demand may just wean down, but say even the end user demand, right? Let 's say the 20%, 25% growth in prices that we saw annually in the previous years. With that now slowing down and with that, and then obviously the FOMO effect for end users like reducing. Would you see slowdown in the end -user demand also? Are you sensing that in the footfalls or inquiries?

Jagadish Nangineni: Like I said the leading indicators which is our inquiries , visits to our project sites, those seem to be quite steady. So I have not seen any big changes there and hence the confidence that the demand seems to be quite steady right now.

Kunal Lakhan: On the Bangalore market, the approval issues that we had in the last year due to the E -Khata issue, is it fully resolved or there is still some deadlo ck there?

Jagadish Nangineni: E-Khata is an evolving phenomena . As we progress with the time, the adaption to the new system is continuing to take place both for inside the government and for the end users or developers. So unless there are some exceptional cases, cases in the sense, use cases, things seem to be getting resolved much faster. And hence, that part of one small area of Khata- related timelines should get better.

Kunal Lakhan: So on the approval side of the department, is that normalized there or i s it still?

Jagadish Nangineni: Yes, during the approvals, Kunal, Khata is also a part of the process. So that side which there were certain delays experienced by all the developers, those I think would slowly come down. But from the other side, which largely has been unless there are any specific issues or any changes in the people at the helm of the affairs in terms of the

department. Other than that, rest of the procedure and the norms are completely the same and hence I don 't foresee major challenges here.

Kunal Lakhan: And on the Bangalore market, right, you said that the demand remains steady, but considering the uncertainty on the US policy making regarding, say, the H1B visas and even the recent repatriation tax, and a fair bit of demand comes from the workforce abroa d, do you sense any reluctance there in terms of, again, customer behavior in terms of committing to long -term or committing to purchases?

Jagadish Nangineni: Any such macro or issues that come up which impact the sentiment of the customer or there is a , there is kind of uncertainty that gets created would definitely impact , but it 's in cities like Bangalore for us the NRI demand or though is good, but it 's a small percentage. So from that point of view it 's n

ot visible yet for us right now, but if as more clarity comes through and people would make their choice to go ahead with their purchases or how to plan their own life. So as that progresses probably, we will get to see the visibility but as of now I t hink it 's a little early for us to comment on that.

Kunal Lakhan: And lastly, in terms of like say scaling up from say the current scale of say 6,000- 6,500 crores of sales to say Rs. 10,000 crores that we aim for, right? In terms of organization capability, are we ready in terms of say liaising, getting approvals, sales, or even execution for that matter?

Jagadish Nangineni: Yes, very good question, which is very pertinent for us particularly because we are a backward integrated company. So our ability to mobilize resources is very critical for us to scale up. So in that regard, we have done a few changes in our organization from a structure point of view, which will enable both these factors which you have just mentioned, which is one , ability to launch projects in a quicker manner and probably more timely manner , that is one . Secondly, there are huge

challenges with respect to project execution in terms of mobilizing resources and ability for us to scale in multiple cities. So this small organization structure changes and continuous effort to explore both from a technology and people training and peopl e capability point of view. It's a continuous exercise but specifically understanding the kind of scale that we are looking at , we have made conscious restructuring and re designation of key people inside the organization and that I am hoping that we have initiated the changes that are required to address this challenge.

Kunal Lakhan: Understood. One last question. I don' t know whether you gave out this number , what would be the spend on new land purchases in FY'26?

Jagadish Nangineni: Well, we should do similar or it 's not a very clear number because what we are going to do in terms of any new deals that can come up, those calls we will take little later but from a current visibility point of view , there would be certain committed land payouts and those will be similar or slightly higher than what we had, but largely from the operational cash flow that we will generate, we should try to achieve that and even if you have to spend a little bit more than I think we have enough capital with us to take us through them.

Kunal Lakhan: Sure, thanks. Thanks, Jagadish and all the best.

Jagadish Nangineni: Thank you, Kunal.

Moderator: Thank you very much. As there are no further questions from the participants, I now hand the conference over to m anagement for closing comments.

Jagadish Nangineni: Thank you, everyone, for patiently listening to us. And I hope we have answered most of the questions that have been posed. In case of any further clarification, please do reach out to us , we will be happy to

provide far more data and also clarity towards any of the further questions. Overall , we think that we are in a very probably the best phase right now as a company. We are for the first time sitting on a negative debt. For the first time we have clear visibility of large scale of launches that we can pursue. We have for the first time have a big set of inventory that we already have to begin with and for the first time we are clearly seeing the power of the diversification that we had set on long time back and hence we have a lot of launches across these cities. So , this is a very exciting time for the company and also a very challenging one in a good manner. I t shows that we should be able to showcase our strength of our model of backward integration and able to achieve all both our operational and financial objectives going forward. I thank everyone who have been covering us and also listening to our side of

the story for the last few years. Thank you very much and wish you the best.

Moderator: Thank you very much. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jul 2025

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Exchange Plaza, Plot No C/1, G Block
Bandra Kurla Complex
Mumbai – 400 051
Scrip Code: SOBHA

Dear Sir /Madam(s) ,

Sub: Transcript of Meeting with Analysts/ Institutional Investors
In continuation of our letter dated July 22, 2025 and July 26, 2025 please find enclosed herewith the transcript of the conference call held on Saturday , the 26
th day o f July 2025
with the Analysts/ Institutional Investors to brief the Operational and F inancial performance of the Company for the quarter ended June 30, 2025.

We request you to take the aforesaid information on record in terms of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and the same is available on the website of the Company.
Yours sincerely,
FOR SOBHA LIMITED

Bijan Kumar Dash
Company Secretary & Compliance Officer
Membership No. ACS 17222
SOBHA

"Sobha Limited
Q1 FY '26 Earnings Conference Call "
July 26, 2025

MANAGEMENT : M R. JAGADISH NANGINENI – MANAGING DIRECTOR – SOBHA LIMITED
MR. YOGESH BANSAL – CHIEF FINANCIAL OFFICER – SOBHA LIMITED

MODERATOR : M R. ADHIDEV CHATTOPADHYAY – ICICI SECURITIES LIMITED

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Sobha Limited

Moderator: Ladies and gentlemen, good day, and welcome to the Sobha Limited Q1 FY ‘26 Earnings Conference Call , hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone telephone. Please note that this conference has been recorded.
I now hand the conference over to Mr. Adhidev Chattopadhyay. Thank you, and over to you, sir.
Adhidev Chattopadhyay : Good evening, everyone. On behalf of ICICI Securities, I ’d like to welcome everyone on the call today. From the management, as always, we have with us Mr. Jagadish Nangineni, the Managing Director; and Mr. Yogesh Bansal, the Chief Financial Officer.
I’d now like to hand over the call to the management for their opening remarks. Over to you. Thank you.
Jagadish Nangineni : Thank you, Adhidev. Good evening to all the participants of the call. I and our Sobha team are pleased to connect with you today post declaring our Q1 FY ‘26 financial results, which we declared yesterday. This is the first time in the last 15 years that we have declared the quarterly results within a month after the end of the quarter, thanks to our improving processes.
In our first quarter of this financial year, we achieved our highest ever real estate sales, crossing a huge milestone of INR 2,000 crores for the first time with a total sales value of INR 2,078.8 crores. This achievement was driven by a successful launch of Sobha Aurum in Greater Noida, our first project in Greater Noida, a project that has garnered exceptional demand from customers in its launch week towards the end of June. This achievement signifies a major step in deepening our presence in NCR.
Our total sales for the quarter were supported by a sale of 1.44 million square feet across all our operational markets with an average realization of INR 14,395 per square feet. During the quarter, we launched 2 projects measuring 1.62 million square feet , one of them is Sobha

Aurum
and the second one is Marina One, 4 towers, which constituted about 920,000 square feet.
Cumulatively, during past 5 quarters, we launched more than 10 million square feet of area and our inventory at the end of the quarter was about 11.55 million square feet with a potential sales value of about INR17,000 crores. In addition to that, we have a strong residential pipeline of 17.67 million square feet across 17 projects in 9 cities and a commercial pipeline of about 0.7 million square feet across our operational cities. We envisage to launch these fort hcoming projects in the next 4 to 6 quarters. Also, we are working on our subsequent project plans for about 23.53 million square feet.
During the quarter, we completed 1.07 million square feet of delivery, which is 594 homes, and we are on track to complete about 4 million to 4.5 million square feet for the balance 9 months.
While the operational and cash flow performance has been healthy, one of the key concerns for all of you might be on the margin front. SOBHA

We expected significant improvement starting this quarter in this year. However, due to delay in obtaining OCs in 5 Bangalore projects, we could not recognize those project revenues and corresponding margins. This has led to much lower margins with all the operational costs baked in. We expect to see good improvement in the subsequent quarters and years as we recognize these completed projects.
With this, I hand over the call to Mr. Yogesh Bansal, our Chief Financial Officer, to provide color on the financial performance, post which we shall open the floor to take questions.
Yogesh Bansal : Good evening, everyone, and thank you for joining us today. I will update — first update about cash flow, our quarterly performance and future visibility, then I shall briefly touch upon the P&L and open the floor for questions.
During current quarter, our total collections from all businesses was INR 1,778 crores, recording a 15% growth from Q1 2025. Real Estate segment recorded highest ever collection of INR 1,599 crores, supported by strong sales and construction milestone completions. Contracts and manufacturing businesses contributed INR179 crores in Q1. We generated INR 395 crores of net operational cash flow in the quarter. Post finance land and capex -related payment, net cash flow was INR 56.8 crores.
Our gross debt was INR1,019 crores and cash balance of INR 1,706 crores. Our average interest cost for the quarter was 8.86%, which is lower than Q4 2025. We expect it to reduce further in coming quarter. Looking ahead, we have a clear visibility of future cash flow from our ongoing and forthcoming inventories.
From all our completed and ongoing projects, we expect total of INR 24,752 crores of future cash

inflow. The cost to complete this project is estimated at INR 13,661 crores, thereby generating marginal cash flow potential of INR 1,191 crores at project level. We expect to realize this over next 4 to 5 years.
Additionally, we shall generate another INR 7,000 crores of marginal cash flow in next 5 to 6 years from forthcoming project of 18.38 million square feet, which will be launched in the next 6 to 8 quarters. Overall, we are on a very strong financial footing with robust future cash flow visibility, g iving us the confidence to pursue growth opportunities.
Now coming to P&L. For the quarter, we recorded total income of INR 901 crores. Real estate income contributed INR 690 crores. Contracts and manufacturing contributed INR 162 crores. Our EBITDA was INR 73 crores with a margin of 8.1%. We generated PAT of INR 13.6 crores with a margin of 1.5%.
As we start to recognize revenue from new project in upcoming quarters, we expect improvement in margins. Our total balance revenue to be recognized from already sold units as on 30th June 2025 was INR 17,245 crores.
With this, we can now open the floor

for questions. Once again, thank you all for your participation.

Moderator: The first question is from the line of Puneet from HSBC.
Puneet : Congratulations on a good start for the quarter. My first question is on margins, right? I mean if your margins — if you had included those 5 projects, which did not receive OCs, what would your margins have been?
Jagadish Nangineni : Puneet, we have these 5 projects, which we were — which we should have received these OCs. Unfortunately, there have been delays at the authority end due to certain ongoing matter related to the fee that needs to be charged to the projects for the issuance of any approvals. If we had included those, we could recognize additional close — over INR650 crores with regard to these projects. And probably the net that we could have recognized, net in the sense, PBT would be over INR150 crores.
Puneet : Okay. So then PBT adjusting for all this , clean PBT would have been INR400 crores?
Jagadish Nangineni : Yes.
Puneet: Okay. That 's interesting. Secondly , are the loss -making contractual business part of the problems resolved now?
Jagadish Nangineni : Absolutely. All the contractual projects, which we had undertaken in the — previously, all of the projects are completed. See, in contracts, we do projects related to civil, electrical and plumbing. We are continuing to execute and take up new projects in electrical and plumbing.
However, in civil, we have only one project, which is ongoing in Bangalore.
Other than that, all the rest of the projects are completed and corresponding revenue and costs, most of it is already taken. So any concerns related to margins in those — in that division are so far, it 's all accounted for. And hence, we should not see anything more coming, going forward.
Puneet: Okay. That 's good to hear. And also on your central overheads and advertising expenses, both have been higher this quarter. Any particular reason for that?
Jagadish Nangineni : Typically, the Q1 is generally higher and this time particularly because we had to incur expenses related to IT, which is technology expenses, which is license expenses, which come in once — periodically, not necessarily every year, but it comes periodically. So that 's one. And second is some insurance-related expenses also have been higher. So both these have contributed to higher expenses.
And in addition to that, some of the expenses which we were earlier categorizing in projects expenses, which are — which we started treating as overhead expenses and hence, they have also contributed to a slight increase in the overhead expenses. So going forward, I think it would not be as high as what you are seeing in this first quarter, but it will be slightly low er.
And second is related to the sales and marketing expenses. Of course, with higher sale value, there would be higher expenses going forward. And that will — in fact, that will cause a little bit of pressure on the P&L in this financial year.

Puneet: Understood. That 's helpful. And lastly, if you can talk about what are the major projects we should look out for in the coming year?
Jagadish Nangineni : In terms of launches?
Puneet : In terms of launches, yes.
Jagadish Nangineni : Well, in terms of launches, like I was saying, there were — there are 3 small -sized projects in

Bangalore. There is — there are a couple of projects in Gurgaon, which are — which can be large and one in Greater Noida. There is one project in Pune, which we intend to launch during this year. And Chennai, we have a reasonably large -sized project.
In addition, in Kerala, we have a couple of projects, one in Trivandrum and one in Calicut. These largely should — cumulatively, if we do all of this, it should be close to about 7 million to 8 million square feet. We have already done about 1.

62 million square feet.
Puneet: Understood. And if I can just squeeze in the last one here. On the projects which you launched in Noida, how much of it has been sold and what is still to sell, Sobha Aurum?
Jagadish Nangineni : Aurum, as on end of the quarter, we sold close to 80% and the remaining, hopefully, we should be completing in this quarter.
Puneet : And what was the sale value and volume for this, which you can give for this project?
Jagadish Nangineni : The value for Aurum that — which was part of the operational update, it 's INR 833 crores.
Moderator: The next question is from the line of Parikshit Kandpal from HDFC Securities.
Parikshit Kandpal: Jagadish, congratulations on crossing the INR 2,000 crore s mark on presales. So just wanted to understand, is it now the quarterly bottom now for us and things will continue to build around this number and increase from here on in subsequent quarters?
Jagadish Nangineni : Thank you, Parikshit. This — a lot of our performance in future is also dependent on our new launches. And even the sustained sales that we are seeing from existing projects seems to be good and stable as of now. So hence, we do aim to beat this number and be consistent.
However, as you are aware, the external market conditions and the timing of the launches are also very critical. So we are hoping that we will achieve these timelines . And once we do that, I hope that we should be able to do far better than what we did last year and what we have guided for this year.
Parikshit Kandpal: Great. Good to hear that. The other question is on — I just want a clarification. You said you have missed around 5 projects OC of INR 650 crores revenue and INR 450 crores PBT. So is this number correct? Because PBT number...
Jagadish Nangineni : Sorry, Parikshit, it's not INR450 crores, it is INR 150 crores. SOBHA

Parikshit Kandpal: Okay. . So INR 150 crores. Okay. Just lastly, on the business development. So anything in this quarter and especially also on the launches, what are the launches planned for this quarter? So that will be my last question.
Jagadish Nangineni : So this quarter, we did plan to launch 2 projects in Bangalore and 1 project in Gurgaon. However, I think there would be — there might be touch and go. So I 'm hoping that at least 1 project we will be able to launch.
Parikshit Kandpal: And value of that project and also business development done in this quarter?
Jagadish Nangineni : Well, you are aware that we do not disclose business development actively. And we — as and when they come into the pipeline, you will be able to see those. As of the value of the new launch, we are hoping at least one project, which is of about INR950 crores.
Parikshit Kandpal: Is Bannerghatta one ?
Jagadish Nangineni : Yes.
Moderator: The next question is from the line of Pritesh Sheth from Axis Capital.
Pritesh Sheth : Congrats on great numbers. Firstly, just on this response to this Greater Noida project that we got, how do you read this? Was the market, Greater Noida too hot, I mean, too much of demand right now? Or from our side, we strategically did something to get such a kind of response? And how do you expect the response for other launches during the year across the markets that you see, how the other market is behaving versus what you have seen in Greater Noida? That 's my first question.
Jagadish Nangineni : Yes, Pritesh, the first project response has been really good. We are very happy to see that. The — over the years, there is definitely a good pickup in the demand side from — in Noida and Greater Noida. And considering that we could capitalize on it is a good thing. But as in any market, it 's a function of demand and supply.
And right now, it does seem that the supply is a little bit limited in Noida and Greater Noida. And as it opens up, things might be a little different, but we are

happy to be in the current position. And we are hoping to launch our next projec t also in the next few quarters and hope to see good response there as well.
Pritesh Sheth : And your thoughts on other markets like Gurgaon, Bangalore, Kerala, where you had a launch, how are those markets behaving in terms of demand versus your — in general expectations about the current demand situation? Has there been better in line with your expectation or slightly lower, if you can highlight or give any color on each of these markets?

Jagadish Nangineni : The demand environment in all these markets, Pritesh, which is Kerala, Bangalore and Gurgaon, seem to be very stable for us. If I look at all our leading parameters, which is with respect to the opportunities that we get, the site visits that people are doing, it seems to be good interest in terms of the elected buying and there 's good interest in terms of end user buying. So I believe that the situation of good demand continues to stay.

Now as things progress, now it depends on how much is the supply that 's going to come into the market. So that also would play a big role in terms of at least medium to long term, how things will pan out. But overall, from a demand perspective, the basic fundamentals continue to remain the same. And it looks like there is st ability over there.

Pritesh Sheth : Sure. Got it. And just on Greater Noida, we have 2 projects now and one already largely done with. We have another one upcoming. What are the avenues to expand our pipeline in Noida or Greater Noida? Is it that we 'll have to continue to wait with t he government auctions? How is the intensity there? Or are there some kind of private opportunities which are also available like the one we have already done to increase our pipeline there and continue to be present in that market?

Jagadish Nangineni : No, that 's a good question, Pritesh. We are exploring all opportunities. Particularly Noida, Greater Noida, majority of the lands are with the government and/or someone has taken the land to the government. So that is one avenue of — which do have private lands as well. So we are surely looking at other opportunities also. The — like I said, the pricing and the demand environment has definitely improved, and it provides us a good chance to look at these opportunities now.

Moderator: The next question is from the line of Biplab Debbarma from Antique Stock Broking .

Biplab Debbarma : Congratulations on the excellent performance. My first question is on the stated launch pipeline for the remaining of the year. You mentioned around 7 million, 8 million square feet. So just wanted to understand, are we planning to launch the entire 7 mill ion, 8 million square feet or we said launch 7 million, 8 million square feet but open just part of each project. And also in the act, I didn 't hear Mumbai project. So is Mumbai project part of the pipeline? This is my first question.

Jagadish Nangineni : Yes. To clarify on the Mumbai project, yes, it is part of the pipeline project. To the earlier question, there were — I was answering for the major large projects that we can launch. So Mumbai is our first phase is a smaller one. It 's about — should be about 150,000 square feet to start with. So hence, I didn 't add in the pipeline, but it surely is part of that.

Coming to the other 8 million to 9 million square feet, so the definition of our launch of a project is once we obtain RERA that — and we open the sale to the market, irrespective of the size of the project, we say that — when we say launch, the entire inventory that is available where we have obtained RERA is available for — is declared as launches.

But like you know, we do open the sale on a phase -wise manner. And if demand is good, then we open up all phases. But given the nature of the launches this year, majority of them are not very large sizes, an

d hence, we should be able to open up the entire inventory for most of it. So if I have to say that about — if it's about 8 million square feet, I think 70% to 80% of it should be available for sale.

Moderator: Biplab, actually, your voice is not clear.

Moderator: Sorry to interrupt Mr. Biplab. Could you please rejoin to the queue? The next question is from the line of Manoj Dua from Geometric.

Manoj Dua : What is the guidance for presales this year?

Jagadish Nangineni : We had guided for 30% increase over last financial year, Duaji, and with an expectation that we would go towards a INR 10,000 crore s sale in the subsequent year.

Manoj Dua : Okay. Secondly, where I see— since you 've joined as MD, there are some changes we observed like in Greater Noida, the amount of project you sell to the total size is much higher and the projects are being launched very fast when they are being in the business development. Can you give context to what are the major changes that has happened in 3, 4 years in Sobha in terms of your strategy and according to keeping with the pace of the time?

Jagadish Nangineni : Well, it's — Duaji, it's not just about just last 3 to 4 years. We have been at it in terms of the overall operations for the past 3 decades. Incidentally, we are completing 30 years this year. We did focus on a few things, which is, like you mentioned, the new project launches and making sure that the timeline of the launches from the time we obtain the land is very critical, and that 's some area where we need to work in an integrated manner internally. So that 's something we

have clear ly focused upon.
And there is a separate team which is formed to coordinate this, and that has helped us in accelerating some of our project launches. That 's one. And second, even in terms of business development, we are — we have been lucky in a few locations like in Greater Noida, where we had — in fact, we have paid the total value for the land in November last year, and we co uld launch the project in June.
So that 's been a very good turnaround for us. And — so that 's very heartening to see. While this is happening in some other cities, it 's not such a rosy picture, and we still are — mainly due to the external factors. We are continuing to improve in those cities as well.
Manoj Dua : Okay. Hoskote will be launched this year?
Jagadish Nangineni : Hoskote, it 's a fairly large project, and we are — for Phase 1, we are mostly done with our land consolidation and the initial planning and the drawings. So we should start working towards approvals since — we started working on approvals from this month. Depending on the entire timeline of the whole approvals, we should be able to launch it within the next 1 year is what our expectation is. If it can happen earlier, nothing like it.
Manoj Dua : As you told that if the INR650 crores revenue would have recognized this year, we could have got INR150 crores PAT. So can we take going forward, whatever project we have launched in the last 2, 3 years and we're launching now, 20% PBT is given almost in most of the projects on the project level, 20% PBT?
Jagadish Nangineni : Yes, Duaji. This INR 150 crores, what I mentioned was PBT, not PAT. The second is for all the new projects that we have been selling in the past, say, 2 years, we have guided last time that we have at the project level, the EBITDA margin is at 33%.

Manoj Dua : And congratulations on adding Greater Noida and Mumbai to the micro market.
Jagadish Nangineni : Thank you, Duaji.
Moderator: The next question is from the line of Parvez Qazi from Nuvama Group.
Parvez Qazi: Congrats for a great set of numbers. So a couple of questions from my side. First, when we talk about this potential launches of 8 million to 9 million square feet, does this include the l

aunches that we have already done in Q1? Or does it exclude it?
Jagadish Nangineni : So we are hoping that we 'll do another 8 million square feet in the next 9 months.
Parvez Qazi: Sure. And what will be the total, let's say, sales potential of the 8 million square feet over the 3 quarters?
Jagadish Nangineni : Well, the total value of the projects at an average of at least INR 12,000 crores should be about close to INR 10,000 crores. How much of that is going to translate into sales is dependent on the timeline of, timing of the launch of the project. But overall, we expect that we should be doing roughly about 50% of our sales from new launches in this year and 50% from the earlier inventory that we had.
Parvez Qazi: Which is pretty much similar to what we did in Q1, right, about INR 1,000- odd crores from new launches and INR 1,000 crores from sustained sales?
Jagadish Nangineni : Absolutely. You're right.
Parvez Qazi: And lastly, in terms of the ticket size of the projects that we are launching. I mean if one looked at Q1 sales, roughly about 60 -odd percent was from ticket sizes less than INR 3 crores and about 40% above INR 3 crores. So for the upcoming 8 million square feet of launches, will the split be largely same? Or will it be slightly different?
Jagadish Nangineni : Yes. So last year, around this time, we had a much larger sale value through a much higher ticket size because of the launches of high ticket size projects that have come together. And I have been saying this that the — it was no strategic call that we have taken, just that the timing of all of those projects have come together.
But otherwise, all our projects, the , our bread and butter business has been largely between 1,800 to 2,000 square feet and which is roughly about a ticket size between INR 2 crores to INR 3 crores. However, as some of the projects would be, some of the projects and also some of the inventory in each of these projects would be over that ticket sizes as well. So it 's going to be a mix of both, but tilted towards less than INR3 crores.
Moderator: The next question is from the line of Himanshu Upadhyay from BugleRock Asia.
Himanshu Upadhyay : My first question was, can you give your thoughts on business development? And any thoughts on which markets are most attractive markets in terms of difference between sales value and cost

of land currently in the market and which, where you find the least favorable markets in terms

of profitability over next 4 to 5 years? Some of your thoughts will be helpful.
Jagadish Nangineni : Thank you, Himanshu. That 's a strategic question, which probably I 'll not be elaborating much. But what we can see is for us, the priority markets are where we current , in our current operations is Bangalore, of course, second is NCR. In addition to these 2, we would be , in long term, we would look at Mumbai as well. However, we have just started there. So these 3 are, as you know, are very large markets in India.
In addition to this, of course, our presence in Kerala and Hyderabad, Chennai and Pune also there. So these would continue to be our areas where if we find very opportunistic lands, then we would look at investment. From a high return on investment, if you, that's what if you are alluding to, then still Bangalore is a good market. NCR also is a good market. Mumbai, we are still testing out. So we , our understanding is limited. And hence, as we continue to look at opportunities and invest there, we 'll have a much better view.
So from our priority markets, right now, these , both these seem to be good, both in terms of returns and in terms of the demand potential and our own presence. So they make the most strategic sense for us in focusing here. And while we leverage our presence in other locations and see if we get somethin g which is great on return, great on margins, we 'll defin

itely take those up.
Himanshu Upadhyay : And one question on Mumbai, okay. We have launched a very small project or land acquisition, okay? And what is our thought process? So are we exploring various micro markets through small projects and then we finalize a micro market and then we launch your sort of bigger project or it was just , it happened that we have started with a small project. Is it strategically that we are just doing a small project? Some thoughts on that will be helpful . Or how are you approaching that market?
Jagadish Nangineni : Yes. We are, we have been evaluating various types and sizes of the projects. And we had been doing it for the past more than a year. It depends on the cycle at which where we had our capital availability also. So at that point of time, which , where we had done this and some of the others that we are evaluating and in advanced stages, there are 2 factors that we would consider. One is the size of the opportunity and the quality of the opportunity.
And second is our own ability to fund it. So both these matter. Now that we have slightly better capital structure in which we can evaluate opportunities, we should be looking at larger ones.
But more importantly, for us, the first one is very critical because our own understanding of the market and going through the entire process of acquisition to launch and completion is very critical so that we would have significant learnings from it and t ake it forward from there.
So we are in the market for a very long term. And hence , and Mumbai is a very large market.
And hence, we are on a path on exploratory nature right now. And as and when we find good opportunities, we would be willing to take those up.

Himanshu Upadhyay : Just a follow -up on this. See, when we do this 150,000 salable type of project, nearly 150 type of plats, okay, can we show our overall prospects or what we can do in such a small piece of land? And do you think you will be able to create a brand what we have in NCR or Bangalore to these smaller projects? What are your thoughts on this?
Jagadish Nangineni : It's a good question, Himanshu. So first thing is in this particular project, this is Phase 1 of the project. So actually, the total size of the project is over 300,000 square feet. So the second part is regarding the scale of the project. Yes, you would defi nitely , we would like to do projects which are larger in nature.
However, I think considering the nature of land and kind of opportunities that are present in Mumbai and particularly in the core Mumbai areas. So it is very difficult to start with a much larger development potential. So hence, even if this is a, we think that even this is a good start for us, we will be able to showcase our quality even in a project like this.
But that entire construction and experience for the customers would take time. However, since the brand is well recognized, we do think that the understanding of our brand and our processes, there are people who do understand that and should be able to be moving towards us and building a brand. So this is it might be a small step, but at the same time, we are continuously evaluating new opportunities.
Moderator: The next question is from the line of Yohan Batliwala from Motilal Oswal.
Yohan Batliwala: My question is on your earlier comment on the project level EBITDA margin. You said you target 33%. Just a bookkeeping question on that. On PBT basis, what is the margin that you target for the INR 172 billion? And also on an overall perspective, what will be the margin, excluding overheads and interest?
Jagadish Nangineni : Well, Yohan, that 's a slightly tricky question because the timing of the recognition of that revenue plays a significant role in terms of arriving from that project level EBITDA to a PAT level for the company because there are various overheads that come in, w

hich are recog nized
during the quarters and whereas the timing of these unrecognized revenues, when they come in and how , quantum of that coming in matters a lot. And hence, it 's very difficult to just clearly
say that how much woul d that translate into PAT.
But what we can clearly say is that as we go forward, the core EBITDA margins that we are seeing at the project level, which were in the past, has definitely are being seen , are seeing an
increase. And hence, overall, our PAT margins also should significantly see an increase.
Yohan Batliwala: Sure, sure. Okay. And my second question is on the OCs. I think in the last quarter 's call, you
guided a 10% increase for FY '26. Does that still hold true?
Jagadish Nangineni : In terms of operating cash flow?
Yohan Batliwala: Yes, yes. For the full year? SOBHA

Jagadish Nangineni : For the full year, yes, I mean, we would still be on track for that. Overall, with the increase in
our sales value and corresponding milestone achievements in the construction, we should be able to do better, yes.
Moderator: The next question is from the line of Puneet from HSBC.
Puneet: My question is, again, on the , on your net debt, now you have a significant amount of cash and
you're also buying land as I can see in the cash flow statement. What are your thoughts on
deployment of this cash? How soon do you think can you spend the bulk of it? And where is it really going? What areas are you targeting?
Jagadish Nangineni : Puneet, we — from a debt point of view, yes, we are sitting — we have significant cash sitting
on our books. Majority of them are in RERA accounts, which are , which would get available for
deployment as and when we progress on the projects.
Puneet: How much would be RERA cash, sorry?
Yogesh Bansal : INR1,300 crores.
Jagadish Nangineni : About INR1,300 crores of that would be RERA cash. But that gives a big confidence for us to
actually deploy capital. While that is the case. But today, there are 3 aspects to this. One, the, we are far better off in terms of financial structure, yes. Second, the demand environment is good. But on the other side, the cost of land and the kind of opportunities that we are seeing are
fully mature in the sense the margin of error is , margin of safety is much lower than what we
could see a co uple of years ago.
So it 's very , it's in a calibrated manner, we will need to deploy this cash. And while that is the
case, we are in a situation where we have good visibility of inventory from our own projects,
which we have done either consolidated land in the past or we have done business development
in the past.
So hence, we would deploy this capital in a calibrated manner and wherever we find good
opportunities. And we are not in a super hurry to deploy them , deploy it because the , not
necessarily just because we have cash, we need to deploy it.
Puneet: Understood. And what 's the need to buy land here? You had a significant amount of land here,
and you're still spending close to INR280 crores this quarter as well. So where is it...
Jagadish Nangineni : Some of the cash outflow that we are seeing is not necessarily in the new land that we are acquiring.
But part of it is being , majority of that part is being deployed for the earlier land
procurements and to consolidate those lands or whatever deals that we have done in the past. So this quarter, majority of that cash flow has gone towards that.
Last year, tentatively about we have deployed cash where we have increased our overall value,
the sale value we have, or let 's say, on a sal eable area point of view, we have done over 9 million
to 9.5 million square feet. So this year, also, let 's see how we will deploy it based on the SOBHA

opportunities available. However, the , some of the past development that we have done, those
have

flown into, will flow into this year and some of it we have seen in this quarter also.
Puneet: So in simple terms, is it fair to assume that the INR 281 crores is essentially going to the 1,765
acres that you had categorized earlier as under various stages of consolidation ? That's where it
is getting cleaned up.
Jagadish Nangineni : That's right. And some of them would be in some of the forthcoming projects where there would
be some dues either to the landowner or in terms of certain other payments related to the land.
Puneet: Understood. That 's very helpful. And lastly, just again on the taxation side, the income tax has
been quite low for you in the last few couple of quarters. What has really changed there? Like
this quarter was INR 387 crores used to be INR 67 crores earlier , sorry, 38% and INR67 crores.
Jagadish Nangineni : Okay. I would like Yogesh to take that question.

Yogesh Bansal : Puneet, income taxes in current, if you , we are maintaining income tax book separately, where our profit is very high, and we are paying income tax accordingly. That is recorded as a deferred tax for us, okay?
Puneet: I'm just talking about the cash tax, which you put out in the cash flow statement, the INR38.7 crores versus INR 67 crores.
Yogesh Bansal : Cash flow , because that cash flow thing is cash flow, cash flow has , see, income tax has 2 parts. One is TDS deducted by customer, okay, which is already remitted by customer. Here, we are talking about cash flow from our Sobha side. So that will, on an average, we are expecting that INR200 crores will pay income tax, including TDS this year.
Puneet: This year, INR 200 crores. So out of INR38.7 crores which is already paid?
Yogesh Bansal : Including TDS, which is not captured in cash flow.
Puneet: Which is also there, right? You include in the presentation income tax, including TDS.
Yogesh Bansal : I said 2 parts, Puneet. One is income tax. Second is TDS deducted for our vendors.
Puneet: Okay. So INR 38.7 crores is the vendor part of it?
Yogesh Bansal : Vendor plus income tax advances tax we paid, both...
Puneet: And this number should correlate to INR 200 crores for full year?
Yogesh Bansal : This number, yes, you can correlate INR 200 crores.
Moderator: The next question is from the line of Biplab Debbarma from Antique Stock Broking .
Biplab Debbarma : Yes. My question was what is the brokerage structure? Like how much is paid and when is it disbursed? Is it disbursed at the time of booking or 10% received or staggered? And what is the SOBHA

accounting treatment? Do we fully expense in that year or whenever we pay the money? Like I'm just trying to understand the brokerage and accounting policy of brokerage.
Jagadish Nangineni : Good question, Biplab. See, the payment of brokerage is typically after at least 20% of the payment by the customer and signing of the agreement with the customer. That 's one. Second is the accounting treatment of brokerages if it 's an owned land project, then it is the entire brokerage paid, which is , which we can account to specific unit of the , in the project. Those are accounted as the project cost and recognized as a cost whenever the revenue recognition happens for that project, which is typically at the time of completion and handover. Whereas for the joint development projects, whatever is the share of the brokerage for the landowner, that is expensed as part of the quarterly expenses.
Moderator: The next question is from the line of Parikshit Kandpal from HDFC Securities.
Parikshit Kandpal: So Jagadish, my question was on EBITDA margin. So if you had recognized these 5 projects, your EBITDA broadly works to be around 12.5% or 13% in that range, which is almost a 4… 8 quarters high. So directionally now we will keep bettering this every quarter and eventually maybe when do we reach that 33% mark? So how many quarters do

you think this journey will take us from here 12% to 13% going up to 30% plus?
Jagadish Nangineni : Right. Parikshit, yes, you're right. The EBITDA margin should have been far higher this quarter, pending these OCs. Directionally, we are in an upward function. Third is 33% is an EBITDA margin at the project level. And the EBITDA margin that we see in our P&L is post the, all the expenses, which are overheads and other items as well. So EBITDA margin of , post all of that, like I was mentioning earlier, it will again depend upon the timing of the recognition of the revenue.
Parikshit Kandpal: But directionally now in this coming quarter also, I mean, in other quarters, like we are bettering that 12% to 13% now. So we 're moving ahead of that now?
Jagadish Nangineni : Yes. It should become better. The only treatment in P&L, one of the things that we need to be cognizant of is on a higher sale if I 'm spending higher sales and marketing costs, that would, of course, be additional for , coming in as expense versus the revenue that we are recognizing. We are today selling at an average of INR 12,000 to INR 13,000, right? And versus we are recognizing revenue at about INR 7,000, and we are recognizing margin. So corresponding sales and marketing at an increasing function, right, if you look at it, then it will impact the P&L for the current year. In a typical , as you I 'm sure you have seen all the P&Ls of real estate companies, particularly the ones who recognize revenue on completion basis, the , an increase in sale in the presales for the subsequent years are, in fact, detrimental to the P&L. So, but that 's how the accounting works. And that does not mean that it is , we are in a worser situation than earlier. But coming back to your earlier point, which is we should be seeing an increasing project level margins, and that should reflect in an overal l margin improvement of the company. SOBHA

Parikshit Kandpal: Okay. I think a couple of quarters back, you said that quarterly run rate on revenue will now be about INR1,000 crores. And this quarter, with that OCs, if they had come, you would have touched INR1,500 crores. So year as a whole now quarterly averages like how the revenues will move because you did say that 4 million square feet to 4.5 million is delivery, so which would translate to about INR 4,000 crores to INR 5,000 crores of revenue. So how do we look at the quarterly revenues now or t he yearly revenues?

Jagadish Nangineni : Yes. This particular quarter would have been lumpy because this unrecognized revenue of about INR650 crores was pending from a little earlier also and which we surely thought that it would have come in this quarter. While we got it covered from , I mean, actual real estate revenue, it is about close to INR600 crores. And that 's if we had added this, then it would have been INR 1,260 crores, but this would have been slightly higher than a typical quarter because the OCs were pending for a longer duration.

Parikshit Kandpal: But quarterly run rate now, so is it like INR 1,000 crores going much higher now from here on?

Jagadish Nangineni : Sorry, Parikshit, largely like we have in the initial comments, our CFO, has mentioned that we have an unrecognized revenue of INR 17,000 crores, which was about INR 16,000 crores in a couple of quarters earlier. So if you have , if we have to recognize in the next 4 years, these revenues, it would be roughly about INR1,000 crores to INR 1,100 crores.

Parikshit Kandpal: Okay. Just lastly on the Gurgaon. So now...

Moderator: Sir, could you please go back to the queue as there are several participants waiting for their turn. The next question is from the line of Pritesh Sheth from Axis Capital.

Pritesh Sheth : Yes. Just one question as a follow-up. So INR10,000 crores of pending launches for this year, Q2 would be INR1,000 crores because

of some slipovers. The next 2 quarters, should we assume it would be like equally split INR 4,500 crores across both the quarters? And particularly, when are we expecting next launches in Gurgaon Sector 63 and Noida, the other project that we have?

Jagadish Nangineni : Yes, Pritesh. So we should be seeing these launches in the next 2 quarters after Q3 and Q4, but largely, they are skewed towards end of Q3 or beginning of Q4.

Pritesh Sheth : Okay. And Gurgaon and Noida...

Jagadish Nangineni : Gurgaon and Noida also similar end of Q3, beginning of Q4.

Moderator: Ladies and gentlemen, due to time constraints, that was the last question for the day. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Jagadish Nangineni : Thank you. Thank you, everyone, for participating on the call even on a Saturday. We really appreciate that. We hope that we have answered most of your questions. In case we could not, we can connect with you through our Investor Relations subsequently. SOBHA

Like I mentioned in the earlier , in the opening comments, we are looking, we are at a good juncture in terms of a stable demand environment, and we have built a good brand around ourselves, and we have exceptional experience in terms of developing projects across India. And this we think that with the current financial structure and with the kind of brand and experience that we have built, it 's an opportune time for us to have a very long-term growth. And we continue to invest in opportunities, people, processes and technology to enable this long-term growth. Thank you, everyone, for participating, and have a good weekend.

Moderator: On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. SOBHA

Call: Oct 2025

SOBHA LIMITED
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Date: October 22, 2025

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Scrip Code: 532784 The National Stock Exchange of India Limited
Exchange Plaza, Plot No C/1, G Block
Bandra Kurla Complex
Mumbai – 400 051
Scrip Code: SOBHA

Dear Sir /Madam(s) ,

Sub: Transcript of Meeting with Analysts/ Institutional Investors
In continuation of our letter dated October 14, 2025, please find enclosed herewith the transcript of the conference call held on Saturday , the 18
th day o f October 2025 with the
Analysts/ Institutional Investors to brief the Operational and Financial performance of the Company for the quarter ended September 30, 2025.

We request you to take the aforesaid information on record in terms of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and the same is available on the website of the Company.
Yours sincerely,

FOR SOBHA LIMITED

Bijan Kumar Dash
Company Secretary & Compliance Officer
Membership No. ACS 17222

“Sobha Limited
Q2 FY '26 Earnings Conference Call ”
October 18 , 202 5

MANAGEMENT : MR. JAGADISH NANGINENI – MANAGING DIRECTOR – SOBHA LIMITED
MR. YOGESH BANSAL – CHIEF FINANCIAL OFFICER – SOBHA LIMITED

MODERATOR : MR. SAISHWAR RAVEKAR – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Sobha Limited Q2 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar, then zero on your touch-tone telephone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Saishwar Ravekar . Thank you, and over to you, Mr. Ravekar.
Saishwar Ravekar : Good morning, everyone. On behalf of ICICI Securities, I would like to extend a warm welcome to all the participants joining the Sobha Limited Quarter 2 FY '26 Results Conference Call today.
We are pleased to have with us Mr. Jagadish Nangineni, the Managi ng Director; Mr. Yogesh Bansal, the Chief Financial Officer, representing the management of Sobha Limited.
Before we commence with the proceedings, I would like to take this opportunity to wish everyone a very Happy Diwali. With that, I would now like to hand over the call to the management for their opening remarks, following which we will move on to the Q&A. Thank you, and over to you, sir.
Jagadish Nangineni: Good morning, everyone. This is Jagadish from Sobha Limited. Thank you, Saishwar. We are pleased to connect with you today post declaring our Q2 and H1 ’ 26 financial results. We had already shared the details of the operational performance during the – in the first week of October.
In continuation of our pursuit to improve our timing of declaring quarterly results, this quarter as well, we have done well, thanks to our improved processes across f unctions enabling this outcome.
We delivered a strong and stable performance in Q2 this year, building on momentum already created in the previous quarter in terms of real estate sales with highly integrated sales and marketing efforts. It also reflects the steady demand on the luxury real estate in a growth economy with improving macroeconomic parameters and timely government interventions.
During the first half of this year, we achieved a real estate sales value of INR3,981 crores, which is higher by 30% compared to the last year in the same period. Bangalore has contributed 48%; NCR 38%; and 10% from Kerala region of the overall sales.
Our total sales for the year were supported by the sale of 1,576 homes, 2.84 million square feet across all operational markets with an average price realization of INR14,028 per square feet. In Q2 alone, we have achieved sales of INR1,902 crores, consisti ng of 770 homes with Bangalore contributing 70% of the sales despite any new significant project launch.
Coming to new project launches. Cumulatively, in the past 6 quarters, we launched over 10 million square feet in 12 projects. However, the slower first half launches were impacted due to several external and internal issues, and we are making our best effo rts to catch up in the second half and launch at least 8 million to 9 million square feet for the entire financial year across 7 to

8 projects. We are happy to inform that during current week, we will be launching Sobha Magnus in South Bangalore.
Overall, we have a strong residential pipeline of 15.96 million square feet across 13 projects in 9 cities and commercial pipeline of about 0.74 million square feet across all our operation cities.
We envisage to launch these forthcoming projects in the ne xt 4 to 6 quarters.
Also, we are working on our subsequent project plans rapidly for about 24 million square feet.
And in addition to these launches, our existing inventory at the end of the quarter was about 10 million square feet with a potential sales value of INR13,000 cr ores.
Our project delivery teams have also increased the pace of projec

t completions with completions of 2.25 million square feet in the first half of the year. During the quarter, we completed 1.18 million, which is 591 homes. We aim to complete overall at leas t 5.5 million square feet in this financial year.
Improved profitability would reflect as we increase the volume of project completions. In addition to this, our c ontractual and m anufacturing operations are steady with about –
contributing to about INR700 crores in terms of revenue in this financial year.
With this, I hand over the call to Yogesh, our Chief Financial Officer, to provide details on the financials.
Yogesh Bansal: Good morning, everyone, and thank you for joining us today. Wishing everyone warm greetings of the Diwali. I am pleased to share our financial performance for quarter 2 and H1 for the year

'25-' 26. I will begin with cash flow, covering the quarterly and half yearly performance and future visibility, and then briefly touch upon the P&L before opening the floor for the questions.
During the quarter from all businesses, we collected a total of INR 2,046 crores. We crossed the INR2,000 crore s quarterly collection milestone for the first time, thereby recording a highest historic high. For H1, we collected INR 3,824 crores, recording a healthy 30.9% growth over H1 '25. Real e state business contributed 90.2% to overall collection, that is INR 1,846 crores in Q2 and INR3,445 crores during H1 period.
Contracts and m anufacturing businesses contributed INR200 crores in Q2 and INR 380 crores in H1. We generated INR513 crores of net operational cash flow in the quarter for the half year, and it was INR 909 crores, registering a significant growth of 79.1%, allowing us more room for investing in future growth.
We spent INR 632 crores on land- related activity, almost 2x the amount we allocated in H1 '25, in line with our commitment to further strengthen future pipeline for growth. Post financial outflow, capex and dividend payout, we generated net cash flow of INR 63.5 crores during Q2 and INR120 crores in H1 '26. Company closed the quarter – closed the quarter with net cash position of INR 751 crores, underscoring a very healthy and strong financial footing. Weighted average interest rate has come down during the qu arter by 60 basis points.

Looking ahead, we have clear visibility of future cash flow expected from our ongoing and forthcoming inventory. From all completed and ongoing projects, we expect total INR 22,867 crores of future inflow. The cost to complete this project is estimated INR 13,000 crores, thereby generating marginal cash flow potential of close to INR 9,800 crores at project level post sales and marketing spend. We should be able to realize this over next 4 to 5 years.
Additionally, we expect to generate INR 7,100 crores of marginal cash flow from forthcoming projects of 16.69 million square feet, which shall be launched over the next 6 quarters and the cash flow realized over 5 - to 6-year timeframe. Overall, we have strong financial footing with robust future cash flow visibility. We are achieving better operational efficiency every quarter, giving us the confidence to pursue further growth opportunity.
Now coming to P&L. For the quarter, we recorded total income of INR 1,469 crores and INR2,371 crores for H1 FY '26. Real estate income contributed INR 1,200 crores during Q2 and INR1,889 crores for H1 FY ' 26. Contract , manufacturing and retail business contributed INR 209 crores in Q2 and INR 371 crores in H1. We generated EBITDA of INR 157 crores in Q2 with margin of 10.7%.
For H1, EBITDA was INR 231 crores with margin of 9.7%. PAT recorded for Q2 INR 72.5 crores with a margin of 4.9%. In H1, we recorded INR 86 crores with a margin of 3.6%. Our total balance revenue to be recognized from already sold unit as on 30th September was close to INR18,000 crores. This is Sobha share onl

y.
During the quarter, we have received demand for ground rent from Bangalore authority for OC granted in earlier years. So as an accounting principle, we have made provision of INR27 crores in the quarter itself. So once again, thank you all for your participation. With this, we can now open the call for questions.
Moderator: The first question comes from the line of Sucrit D. Patil with Eyesight Fintrade Private Limited.
Sucrit D. Patil: I have 2 questions, one for Mr. Jagadish, and one for Mr. Yogesh. So, to Mr. Jagadish, my question is, as you scale in a market that 's becoming more price sensitive and competitive, what are the biggest execution challenges you foresee, especially in balancing design quality and delivery timelines and customer experience? How are you preparing the organization to sustain this kind of a differentiation?
Jagadish Nangineni: Thank you, Sucrit. I think you had one more question for Yogesh, which we 'll take once I complete this answer. Well, as you are aware, we – Sobha has a unique execution model, which is backward integrated, where the entire design, execution and some parts of the manufacturing are done in -house. This gives us a unique advantage in terms of speed of delivery and also managing the cost of delive ry.
While that has not been very helpful during the very high inflationary period like – which we have seen between 2021 to 2024, the – going forward, if the inflationary pressures continue to be stable like we have seen in the past year or so, then we should have a unique advantage in terms of managing the cost and delivering within time.

And as you know, the reliability and the quality of the delivery will clearly put us ahead of the competition in one when it comes to customer satisfaction and that we are continuously focused on. And we are building our teams across functions and mainly t he execution teams to make sure that we enable the organization to deliver for the scale that we are preparing for.

Sucrit D. Patil: Okay. And my second question to Mr. Yogesh is, with the rising input cost and compliance burdens, how are you planning to protect the margins going forward, especially in terms of procurement, pricing and project phasing, what financial levers are you emph asizing to maintain profitability without compromising quality?

Yogesh Bansal: Thank you, Sucrit. So, as you are aware, we are backward integrated company, wherein most of the things we are doing in- house. With this, we have a hand on all the cost and procurement. We real time monitor all the cost that if we have to take price escalation because of increase in raw material, we take immediately so that we can protect our margins. That 's why we keep track estimation, our cost regular basis so that financially, we should be able to keep our margin intact.

Moderator: Mr. Patil, please rejoin the queue for more questions. Next question comes from the line of Pritesh Sheth with Axis Capital.

Pritesh Sheth: First, on the sales performance of this quarter, we saw a good surge in sustenance demand. Just wanted to know what actually worked, especially, I guess, in the projects like Town park, what went right for us this quarter to have a healthy contribution? And then how do you see the Gurgaon projects, which were launched last year? Any sort of action you think you need to take there to have a good velocity on those projects? Yes, that 's my first question.

Jagadish Nangineni: Thank you, Pritesh. The Q2 sales, like you have observed, the majority of the contribution has been from Town park for 70%, right? And all of them are sustained sales. This shows good on-ground demand for the end user -based products. And particularly within the ticket sizes of INR 2 crores to INR 3 crores. And Townpark, one of the projects, which is – which has that kind of inventory has done really well. So, ticket size definit

ely helps in terms of the sales.

And of course, our sustained sales and marketing efforts also has helped. And specifically, when it comes to projects like Townpark, where the scale of the project is large, the customers are far more gravitating towards larger projects where the communities are larger. And hence, this is a distinct advantage in certain projects like Townpark and that has created that positive or virtuous cycle of good sales. That 's on Bangalore sustained sales.

And coming to your question related to Gurgaon sales, the Gurgaon sales, we have – like I mentioned earlier, we have made certain changes, and we are seeing reasonable end user demand for our products now, and we have made changes in our organization as well in terms of how – in terms of people and in terms of how we approach the channels that do provide impetus to the sales. And both these are seem to be working positively, and we hope to see good results in the second half.

Pritesh Sheth: Sure. Got it. Just on Townpark, we launched this project, I think, in March or February this year. And after 6 months, we are seeing this good set of demand. That 's usually kind of timelines that

people are taking now to decide on purchasing a home. Just trying to understand because at launch, we didn't see such good response that we are seeing now. So just trying to understand that this is more of a decision -making time that these – the customers are taking right now or something else which has worked .

Jagadish Nangineni: Well, I would not say that at the launch, the response was lower. We did really well even in March when we launched the project. In first half of – sorry, in the first quarter of this year, financial year, that 's where we saw a little bit of hesitation in terms of customer purchase decision -making.

But since we have multiple ticket size products and there is timing of ability to time their cash flows in terms of purchase in these large projects, those have really helped them help us push the – and accelerate the sales in this specific project.

But otherwise, the project was started – did start out really well, and it's a very large project. And as we continue to progress during the last 6 months, we continue to release new towers, which has been very, very helpful in making – customers making – taking choices from multiple products that are available.

And one other aspect which we have seen is also in Townpark itself, we had earlier a few years ago, we had launched Manhattan and Brooklyn, which are parked in the same location. And we have started delivery of our first tower in Manhattan. So, delivery confidence also has – is seen by the customers and the kind of infrastructure that 's getting developed around the whole location also gives a lot of confidence to customers.

Moderator: Mr. Sheth, please rejoin the queue for more questions. Next question comes from the line of Biplab Debbarma with Antique Stock Broking .

Biplab Debbarma: Wish you all a very Happy Diwali. So, my first question is, I mean, you had a very good strong quarter. Congratulations on that, although you didn't have any major launches. And in the second half, I understand that you have a significant number of large launches lined up. So, if all these launches materialize as planned, looking at the strong absorption in Bangalore and Noida, you have a few launches in Noida. Is it possible we cross INR 10,000 crores of presales this year?

Jagadish Nangineni: Thank you for the wishes, Biplab. The launches in the second half seems to be on track. And if the overall momentum continues and some parts of it, if we are able to achieve similar momentum in all the project launches because these project launches are sp read across some of the other cities where launch is not necessarily the – gives the biggest impetus to sales. There are steady launches in locati

ons like Kerala, in Chennai. So given that, I mean, we would stick to still our earlier gu idance of about INR8,500 crores of what we are doing. If we can do – I mean, we aim to do much better than that. If we are able to do it, definitely, it will be a positive surprise for all of us.

Biplab Debbarma: Okay, sir. I think – yes, that 's good. Sir, second question is your one project got delayed, I mean launches. Good to hear the project Magnus is getting launched in third quarter, but it was supposed to get launched in second quarter, but delayed due to approval -related issues. So, all

these approvals things are progressing? Do you see any risk of delays that could push some of these launches in this financial – current financial – to the next financial year? I mean, how is this – how do you see the approval things? Is there any risk uncertainty regarding that?

Jagadish Nangineni: Good question, Biplab. Related to specifically the Magnus launch and around some of the aspects of OC that we have faced in the past quarter. The main reason for this was the restructuring of the BBMP, which is now Greater Bangalore A uthority . And that restructuring had taken a little bit of time for the actual – coming into effect and which has thankfully has come into effect.

And now once all the systems are in place for all the 5 corporations to be in operation, then we don't foresee any major reasons for delay. Other than that, we have the rest of the approvals in Bangalore and in rest of the country, they seem to be on track as such, there should be no issues.

Moderator: Mr. Debbarma, please rejoin the queue for more questions. Next question comes from the line of Girish Choudhary with Avendus Spark.

Girish Choudhary: Good performance despite no launches and also, I mean, encouraging to see the cash flow – overall cash flows. A couple of questions. Firstly, on the reported margins, again, we are seeing these to remain low. So how do you think about these numbers and especially the current project level margins? If you can just give some view on the margins first.

Jagadish Nangineni: Right. Thank you, Girish. On the reported margins, unfortunately, the – this quarter specifically, although we could recognize good revenue, there were – like Yogesh has mentioned in his initial comments, we had to take provision for certain charges, which are related to BBMP ground rent, which were not earlier recorded because of – we had a favorable outcome in the previous – whenever we completed projects.

However, since because of new demands that have come in from the authority, we had taken that provision. Otherwise, it could have been slightly better than what we have done. And there are a couple of other small transactions, which we have done, which have led to slightly lower costs – sorry, higher costs and which are reflective in the numbers.

But otherwise, if you look at the overall big picture in terms of how we are going forward, which is where we have about INR 18,000 crores of revenue to be recognized from sold units, those margins are extremely protected. And we are – like I have been mentioning in my previous calls, the EBITDA margins in those projects are between 30% to 35% or – I mean, we estimate it to be closer to 33% to 34%. And those will start getting reflected in the – as we complete those projects.

That said, in the near term, in the next quarter, also, we have several projects – project completions, like we are increasing the scale of completions. And as those completions come through and some of those good margin projects come through, we should be able to do decent margins in this financial year. From next financial year, as we complete some of the own projects, like Neopolis, wherein we have good margins embedded in those projects. So, our margins should significantly improve starting from next fi nancial year.

Girish Choudhary: Got it. Got it. Very clear. Secondly, if you can give us some update on the Hoskote launch? I mean, where are we in terms of the overall approvals? And any thoughts on the Phase 1 JDV? So, if you can just throw some light on this project.

Jagadish Nangineni: Yes. There has been a very good progress on the first phase of Hoskote, which we are aiming to do more than 5 million square feet, which we have included in the forthcoming projects this time in our quarterly presentation. And we are making good progress t owards the approvals, the design is completed, and we have applied for the initial plans. So, in the next, we – our current aim is to launch the project in the first quarter of the next financial year.

Moderator: Mr. Choudhary, please rejoin the queue for more questions. Next question comes from the line of Dhruvesh Sanghvi , an individual investor .

Dhruvesh Sanghvi : At the industry level, across major parts of India, we see that the almost all large real estate developers are in very good shape in terms of balance sheet. And all are now competing for the larger -sized complexes because that 's the clear trend. In this context, when we look at new business development that we probably at Sobha have engaged, how would you rate Sobha 's BD in the last 1 year?

And why I 'm asking this more specifically is to understand from a competitive landscape perspective that is the cost of acquisition increasing in a market where the sale prices are probably at hitting the roof now? And if you can give some sort of an understanding so that today land acquisitions will lead to margins 3 or 4 years later, how profitable and – how profitable will the growth be in the future? Because growth is coming, but I 'm just worried about the three years' hence profits because that will be coming fro m today 's decision -making.

Jagadish Nangineni: Right, Dhruvesh. No, good question, which is essentially surrounding BD for these projects. In fact, if the margins or results of those new projects that we are going to do business development today would actually result in some kind of P&L impact probabl y after 5 years because you would do BD today and then probably launch the projects in a year or so, and those projects would start getting completed 3 to 4 years hence. So, I mean, the impact for that from a P&L point of view would com e much later.

But that said, the basic question from your side is whether the – since BD has become competitive, would we be able to maintain margins? If that 's one of the questions, then it 's no doubt that the competition has increased for land. And it would – it is – it has significantly made both challenges and also in terms of cost for new land acquisition, which is – in which we think that we are uniquely positioned. Because one, we have a clear pipeline of already done BD in the last few years. And hence, you can s ee in our pipeline itself, it 's close to about 25 million plus 15 million, close to 40 million square feet, which is clearly out there.

And hence, the ability to do BD now is more of actually 2 to 3 things. First is on our ability to be patient and actually do deals, which are – which fall in alignment with what we set out to in terms of financial objectives. That 's number one. Number two is our own capital structure has become better and hence, some of the land parcels that we can really pursue have – would reduce the – I mean, we would do it in a reduced competitive environment, second.

Third is, we are being a little bit strategic in terms of the locations as well as you have seen in the last 1, 1.5 years when you were asking if – how do we reflect on the – on our BD. So certain locations, we have chosen where there has been a demand -supply gap. And though like Greater Noida, what we have seen, where

we could quickly turn around, although invested there is an outright and direct investment, we could convert it into a pr oject and launch it and actually enable the monetization of the asset in the quickest possible manner.

So similarly, we are doing some of the other transactions wherein speed is very helpful. If not, we are getting much higher margins. So it 's a combination of many – and second, sorry, one, in addition to what we are doing – pursuing in new geographies, in existing geographies like Bangalore, what we have been doing is, again, we are pursuing opportunities of much more in consolidation and in locations where we are already comfortable with and where we get opportunities based on our track record, our presenc e and our relationships. And that has really helped us in procuring new opportunities in existing geographies.

Dhruvesh Sanghvi: And just one more part on pricing. How do you see pricing overall in Bangalore, particularly? And second, what about the entry in Mumbai? I mean, is the Mumbai launch a part of the second half that you are talking?

Jagadish Nangineni: Yes, absolutely. The Mumbai launch is indeed in the plans for second half. We have – there also, we have made significant progress in terms of approvals. So, we are hoping to do the first phase of the launch very soon. And secondly, when it comes to the pricing, specifically in Bangalore, I think we have seen good price increases in Bangalore for the last couple of years – 3 years there has been a continuous rise, mainly due to the demand -supply again and end user demand is really has pushed up the prices, whereas the supply has been reasonably stable. So, we are entering into a phase of steady demand and supply in Bangalore. And probably in some aspects, the supply might increase. And if that does, then from a pricing point of view, we should see a stable or an inflationary increase in the pricing than the kind of price rises we have seen in the last 4 years.

Moderator: Mr. Sanghvi, please rejoin the queue for more questions. Next question comes from the line of Abhinav Sinha with Jefferies.

Abhinav Sinha: Jagadish, good to see the uptick in numbers. Just 2 questions. So firstly, on the pipeline for the next 6 months, is there any NCR project that you are launching? Or this is skewed in favor of Bangalore?

Jagadish Nangineni: There are 3 projects that we envisage to launch in NCR, one small service apartment kind of project in Gurgaon and one phase of a residential project in Gurgaon. And third is there is a project that we plan to launch in Greater Noida. These 3 projects are also part of this. All these 3 put together, it would be about 3.5 – roughly about 3.5 million square feet.

Abhinav Sinha: Okay. And this is all coming in the second half of the year, right?

Jagadish Nangineni: Yes.

Abhinav Sinha: Okay. Great. Jagadish, second question is a little more on the industry and what I see in the last 4 years in your own numbers as well. So basically, we hear a lot of data from the industry that volumes are now flat for a couple of years. And I think in So bha also, we have been selling the same 5.5 million, 6 million square feet range, and this should be the fourth year of that. So do you think – I mean, both the industry and your own volumes have picked out. So it might be that value sales are higher, but volumes is as good as it gets?

Jagadish Nangineni: Well, it's directly a function of new launches, Abhinav. And as we increase those and increase the diversity or geographical diversity of those, then it should – the number should become much better. That said, the majority value increase has come even for us specifically through price increase because of the change in the mix of the new launches and sales of new projects, where the pricing is better than the earl ier ones, right? So, it's done. So, for the next leg of the

growth
for us, it will be more led to more by having new project launches and probably lesser by the further increase in pricing.

Moderator: Mr. Sinha, please rejoin the queue for more questions. Next question comes from the line of Gaurav Khandelwal with JPMorgan.

Gaurav Khandelwal: Happy Diwali. I have a question which is more generic on the industry norms rather than Sobha 's operations in itself . Because you are pioneers of the business that you do, which are some of the micro markets that you operate in where you're seeing concerns around growth? And is that growth concern a function of purely price increases in the housing sector? Or is it something else which is driving that concerns around growth? So, any color on this would be really appreciated.

Jagadish Nangineni: Thank you, Gaurav. Well, as you know, we are operating in 14 cities and as of now and our prime growth driver markets, specifically in the past 2 to 3 years, have been our mothership, which is Bangalore. And Bangalore itself has several micro markets. And even in the micro markets that we are operating in, we have predominant presence in Southeast and East that continues to do well.

While these are doing well in Bangalore, the North Bangalore is also picking up really well because of the capacity constraints that we are seeing in the rest of the micro markets. So hence, there is a – from a micro market perspective in Bangalore itself, these are – I mean, broadly, this is how we look at it, and we are looking at opportunities, and we look to launch – look forward to launching projects in all of these to capture the sustained demand in Bangalore.

And in addition to Bangalore, we have a good presence in NCR. NCR, while there is Gurgaon, which is good infrastructure or at least from an accessibility point of view in the last few years and there, we have diversified our own presence in terms of micro markets. Earlier, we were present only in Dwarka Expressway.

Now we are present in several other sectors in Gurgaon. So that has helped us sort of derisk our scale there. And third, in addition to that, we have also moved to Greater Noida, which is also a very good growth market. Specifically in the last 2 years, we have seen good demand from –

good demand due to the fundamental drivers there. And hence, – that is also a geography that we would like to continue to focus upon.

While these are 2 big growth drivers, we have been very steady in Kerala, and we have in Kerala, 4 cities are doing well. And they are largely NRI demand, which is quite steady even in the last few years. And hence, the – however, there are challenges in Kerala in terms of both execution and the cost related to it. And hence, we would like to keep it as a steady market rather than a huge growth market. While these are the main 3 geographies that concentrated geographies we are – we have operated in , There are a couple of other – one geography which we would like to – which we have just started, which is what I have mentioned previously is Mumbai. We are hopefully going to start our first launch – do first launch in this next half. And we – and that 's a very large geography. And we – for a luxury housing demand perspective, it has one of the biggest shares in India. And by being present there, and it 's a long -term focus for us, which is – we are currently taking small steps.

And as we progress there based on how the demand is panning out, we would definitely continue to invest in that region also. And we have other cities like Chennai, Hyderabad, Pune and GIFT City. These are smaller markets, and these are – this is where we would do get opportunities, and we would invest in opportunistic manner and not necessarily with any strategic focus.

Moderator: Next question comes from the line of Himanshu with Steadfort LLP.

Himanshu: My question was on the margins itse

lf. If you look at the first half, the revenues on the real estate have increased by more than 50%, okay. And if I remove the other income from EBITDA, we are very nearly flattish.

So, what happened in that ’22, ’23 phase, the projects what we sold that the margins went so low because that was one of the periods where everybody was increasing their prices on the projects what they were selling. And what gives us the confidence that those problems will not reoccur, or things will not go that wrong in the future, just from the learning perspective in the organization? Slightly , some thoughts of yours will be helpful.

Jagadish Nangineni: Sure, Himanshu. No, good relevant question because margins is indeed a concern even for us. And it 's been our focus right from the beginning. And we , this was , like I was mentioning before, this was a one -off period where we were operating in very high inflationary environment. That said, that is one.

Second is while , and majority of these revenues that we are recognizing now, while the prices was rising in ’21, ’22, the cost also significantly increased, and that 's reflective of what we are seeing in terms of margins. And I don’t think that issue would recur if we are able to increase our scale of our construction and timely delivery. While there was , since unlike several of the other real estate players, as you know, we are backward integrated.

And during that time, one of the biggest challenges is not only of cost increases, but also supply chain disruptions. And due to that, there have been certain delays in the project. And because of that, there is , our fixed costs also have come into our overall project cost. And hence, that 's really dampened our margins.

And going forward, if we do not encounter any such black swan kind of events, then there should be no reason for us to continue to deliver the kind of margins that we are – we have envisaged because timely delivery and ability to manage the cost in terms of – if these 2 are done well, then we are fairly confident of delivering the projects. So most important for us is to focus on the timely completions of the projects, and that 's where our current extreme focus is.

Himanshu: Okay. And one small thing. On the commercial side, we have 3 -4 projects. One is ongoing and rest are forthcoming, but the forthcoming has been there for quite some time, okay? And for nearly 2 years, they have been in the forthcoming list . So, what is the thought process? Are we back to the drawing board rethinking of those projects we want to do or not, or there is some, let’s say, approvals which are pending, what is the – because now we have cash, if you are really interested, we can do with th ose projects, the forthcoming on the commercial side remains forthcoming for quite some time now.

Jagadish Nangineni: Right. One of the biggest forthcoming project is a commercial in Gurgaon. The reason for us to sort of take time for us to launch the project has been change in – I mean, our approach because earlier – I mean, this is a land which we own entirely. And we wanted to take advantage – although initially, we plan to launch it with the current FAR that’s available.

Considering the cost of the land price increases in Gurgaon, we have changed our approach and tried – now we are – we have loaded TDR onto the same land. And hence, we had to do both purchase of TDR, redesign. And hence, now we are nearly complete in terms of both those activities. And hence, we can launch. But otherwise, apart from this, I have not seen any major delay in the commercial projects.

Moderator: Mr. Himanshu, please rejoin the queue for more questions. Next question comes from the line of Parvez Qazi with Nuvama Group.

Parvez Qazi: Two questions from my side. First, I mean, over the last 4, 5 years, the industry clearly has seen the benefits of premiumiza

tion. Our own – I mean, sales in terms of ticket size, the data that we see has clearly seen a move towards higher ticket items till FY ' 25. Now in the first half of FY '26 and especially in Q2, we again saw very good contribution from the up – to INR2 crores or INR2 crores to INR3 crore s ticket sizes.

Now I know one should not really focus too much on 1 quarter or half. But do you think now probably we have reached a point where the mid -income segment will probably claw back some of the share that it has lost? Or do you think the premiumization trend is inevitable largely because the prices have increased so much over the last couple of years? That 's the first question.

And second, it would be great to hear your thoughts on demand in some of the major markets that we operate, especially with regards to t he upcoming festive season.

Jagadish Nangineni: Thank you for the wishes, Parvez. Coming to premiumization and the impact, actually, we have to look at probably 2 different aspects. One is the pricing premiumization and second is the actual ticket size, right? Indeed, there was a big demand for larger h omes as we saw it in COVID and immediately after COVID. And the affordability for – at that particular time for the pricing and for the – for that ticket size was very good. So, it's not only that it was – there was a requirement for a larger home, but the ability to afford that larger home given that at that point of time, pricing was – both were in line. And hence, we could see a good surge in the demand towards that.

But as the pricing has continued to increase, then certainly the budget and the ticket size will – the aspect of these 2 will start kicking in. And that's very clear that now, again, the ticket size constraint is a big factor in how we mix our projects and also, that 's one in terms of when it comes to certain geographies or certain micro markets. And it is entirely dependent also on the micro markets, where we launch the projects, right? So – but from a large volume point of view, you are right that it is largely – again, we are going back to drawing board and rethinking about some of the aspects, which is with focus on ticket sizes. And affordability clearly matters.

But that doesn't mean that premiumization is going to vanish because customers are preferring higher quality products and not necessarily going for a – I mean, not – I would not term it as affordable housing yet. And our own ability and the cost, irrespective whether it is a luxury project or an affordable project, largely remain the same because the cost of land is roughly similar and our cost of delivery is – there is very little difference between a high -end luxury project versus an affordable housing, given our quality emphasis on every product that we deliver. So hence, we would continue to focus on luxury products probably, but maintaining within the ticke t size that 's where the demand funnel is the largest. That 's one.

Second is with respect to the overall pricing and the trend that we are seeing. See, again, the pricing is – if I compare like-to -like in terms of the same project, what we have seen in the 6 months or 6 to 12 months, the pricing, we have taken small price increases. However, that seems to be – the increase in the pricing is not at the same pace as what we have seen in the past. That 's very clear in the market, not just with us, but across several players. So hence, my view is that given the demand and supply, again, depending on the extreme micro market dynamics is largely – there is steadiness on both sides. And hence, there should be again – from a pricing point of view, the increases in the pricing would be far more inflationary rather than because of demand-supply mismatches.

Moderator: Next question comes from the line of Parikshit Kandpal with HDFC.

Parikshit Kandpal: Jagadish, Congratulations

on a decent quarter. So, I have 2 questions. One is that the total business development done across the city. So, you are going to a launch heavy season. So just wanted to understand how are you replenishing land in NCR, Gurgaon, Noida, Bombay, so – and Bangalore?

And second question is when you spoke about margins, and you said that next year could be seeing a substantial jump in margins. So in light of that, I think which quarter – I'm not asking you which margins will improve from which quarter, but decisively in this year, I mean, is it

third or fourth quarter where you will see the new launches contribution into revenues substantially increasing and older projects getting phased out? And in light of that, also, if you can quantify what was the ground rent, which was taken – you have taken hit in this quarter?

Jagadish Nangineni: Yes. Thank you, Parikshit. The , from a business development point of view, we are active in growth markets, both in Mumbai and in NCR. And in Bangalore, we are continuing to do our – under the radar consolidation and also any specific opportunities that we get due to our existing whether relationships or presence within certain micro markets.

So, replenishing the current inventory that we have is a continuous process. In Bangalore, we are quite confident of – since there is enough pipeline of new launches, which is spread for the next few quarters, we are quite – and there is enough visibility in terms of future through the land banks.

So, we are quite confident of maintaining that inventory levels in Bangalore. However, in the NCR market, it 's a very – it's a very dynamic market, and we are very active trying to look for new opportunities. And we are – we have been successful in the past 6 to 9 months. And I think going forward also, we – our engine is quite active.

And coming to Mumbai, we are actively looking at various opportunities. It 's a continuous process. So, from a business development point of view also, we are quite active overall. And as we make progress and our cash flow becomes even better and our own success in some of the markets become more clear, we would be far more active in some of these locations .

Parikshit Kandpal: Jagadish, I was looking more for a number – more for a number like in this financial year -to-date, how much business development you would have done because you don't disclose those numbers separately like other companies. So just wanted to get a sense on those numbers, how much GDV addition has happened and across the markets, if you can give us split?

Jagadish Nangineni: Yes. We do not – as you know, as a choice, we have not been disclosing the new business development numbers. Once we get comfortable to disclose those, we would do that subsequently, Parikshit. And coming to the ground rent matter, which we have, we have taken a provision of INR27 crores in this quarter.

Moderator: Mr. Kandpal, please rejoin the queue for more questions. Next question comes from the line of Vipulkumar Anopchand Shah with Sumangal Investments.

Vipulkumar Shah: My question relates to margin. So, one of your Bombay- based peers just released their numbers and their operating margin is 60%. And so, when I compare your margin, so your margins are very low. And since we are backward integrated, I fail to understand why there is – why our margins are so low.

Jagadish Nangineni: Thank you, Mr. Vipul. Like we have been mentioning in our earlier calls and even this call, the majority of the revenue that we are recognizing in this quarter and probably future , past quarters have been largely joint development projects where the cost increases have impacted in both

ways, both for our construction cost and also land cost because land cost is part of the joint development cost. And , that's one.

Second

is also our method of accounting is a little different from some of the Bombay-based developers ' accounting. Ours is on completion , whereas some of the other years that we see in geographies like Bombay, it is more to do with percentage completion. So, there is an accounting difference also. Both these would , I think, would reflect the difference in the numbers.

Vipulkumar Shah: So, sir, you mean to say you recognize when the project is fully completed?

Jagadish Nangineni: Absolutely. We recognize revenue once the project is completed and once we hand over the units to the customers. And hence, this is reflective of the sales and embedded margins that we have done in probably in 2020, 2021 and 2022 and not of the sales that we have done and the embedded margins that we are reflecting today.

Moderator: Mr. Shah, please rejoin the queue for more questions. Next question comes from the line of Pritesh Sheth with Axis Capital.

Pritesh Sheth: Again, a continuation on business development. So , I think we have already spent INR 1,700 crores worth of capital raised through rights issue, yet we have a positive cash balance sheet – net cash balance sheet, I would say. Does it make sense for us to be a little more aggressive on business development versus what we have been doing since last 3- 4 quarters?

And what would be our target markets specifically? I mean, Bangalore, we do have pipeline. Does it make more sense to then focus on NCR, Mumbai, which is our new markets where we are looking to strategically scale up our business? Yes, that 's my question.

Jagadish Nangineni: Absolutely, Pritesh, that 's one of the reasons for us to raise capital, and that gives us enough leverage for us to do increased business development in future. But that said, as you already also know that the new business development is coming at a much higher cost, and we would li ke to look at margin of safety as well. And given that we need to balance both, we are building a healthy pipeline of new BD.

And from a geographic standpoint, it is both in NCR, Mumbai, Bangalore, all these 3 and a little bit of Hyderabad. All these 4 geographic markets are – we are continuing to build up a pipeline,

and we are making significant progress in all these, so which you would – one would start seeing it in the coming future.
Pritesh Sheth: Sure. And just a second , last one, on the forthcoming pipeline, I see some changes in Gurgaon pipeline, we had earlier 3 projects, now it shows only one. I think some of them have slipped over to subsequent launches. Is it just a rethinking of the product, and we 'll probably launch in 2 years from now? Or how , like why these changes have come?
Jagadish Nangineni: The main reason is we have looked at the product mix, and we wanted to make some changes in the product mix. And that 's why some of them we have moved to subsequent projects. And as we again put back with the complete design and we start the approval process, we will put them back in the forthcoming.

Moderator: Mr. Sheth, please rejoin the queue for more questions. Next question comes from the line of Pankaj Bobade with Affluent Assets.
Pankaj Bobade: Happy Diwali to all. Sir, I have , well, I would like to ask , I have a couple of questions. First is you have , in your 4 October press release, you have mentioned that our quarterly sales value was INR19.03 billion, that is INR 1,903 crores, out of which Sobha share was INR 1,537 crores. Whereas in this quarter, when we reported, the number is INR 1,407 crores. So just wanted to understand what is the discrepancy? What is the reason for this difference?
Secondly, in your quarter 1 con call, you had mentioned that you would be growing at around 30% this year, that is in FY ' 26 and over FY '25, that is around INR 4,000- odd crores of top line. And in FY '27, you will be reaching around sales in the region

of INR 10,000-odd crores. But in answer to your previous participant, you mentioned that you will be reaching around INR 8,000-plus crores in this year itself. So, I wanted to understand what is the , which of this should we consider? And yes, it will be better if you answer these questions first.
Jagadish Nangineni: Thank you, Pankaj. First, I 'll take the second question first, which is the – I mean, last year, we did about a little over INR 6,000 crores and INR8,000 crores is roughly about 33% over that. And that 's what we are aiming at. So largely, it 's consistent with what we have been doing earlier, which is essentially growth over the last year and the previous year, which is roughly about INR6,400 crores. So hence, largely, we are – the numbers that we are talking about is in terms of percentage growth are similar. And second, coming to your specific question related to the Sobha shares, not very clear on the , your question related to the Sobha share. But if our Investor Relations can reach out to you and clear that number, that would be better.
Pankaj Bobade: Sure. And sir, my final question is, is the worst behind us as far as legacy project is concerned, given the margins which have been tapering, which have cropped out now? And do we see going forward, our margins reaching our previous highs?
Jagadish Nangineni: Yes, absolutely. We are very confident of that. And that – and as you know, it 's a reflection of – because in real estate, we already know what 's the revenue that's going to be recognized. And we do have INR18,000 crores of unrecognized revenue from the sales that we have already done. And we know what the costs associated with those are. And we are reasonably confident of delivering within those c osts. And once those cost parameters are met and once we start delivering these projects, w e should start hitting much higher margins subsequently.
See, the timing of the project level margins are dependent on the project completions. And as we gather pace in terms of project completions this year and specifically from next year, some of the higher margin projects completions come in, the mix would de finitely move towards the higher project margins. And hence, that will be reflected in the overall P&L.
Pankaj Bobade: So, what can be the tentative margin for FY '26 and '27 on operating level, EBITDA margins?
Jagadish Nangineni: I mean I would not like to get into exact number at this stage...

Pankaj Bobade: It would be fine if you give a range, 20s, 30s?
Jagadish Nangineni: I mean our project level currently, we are at about over 20% on the gross margins and that we should be able to increase or move towards 30% subsequently, which is probably next year, we should start – I mean, move towards that. We have not yet estimated what exactly would be that. We can do that, and we'll be able to clearly state it out or have a view of that towards the end of this year.
Moderator: On behalf of Sobha Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jan 2026

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Date: January 21, 2026

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Scrip Code: 532784 The National Stock Exchange of India Limited
Exchange Plaza, Plot No C/1, G Block
Bandra Kurla Complex
Mumbai – 400 051
Scrip Code: SOBHA

Dear Sir /Madam(s) ,

Sub: Transcript of Meeting with Analysts/ Institutional Investors
In continuation of our letter dated January 13, 2026, please find enclosed herewith the transcript of the conference call held on Saturday , the 17
th day o f January 2026 with the
Analysts/ Institutional Investors to brief the Operational and Financial performance of the Company for the quarter ended December 31, 2025.

We request you to take the aforesaid information on record in terms of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and the same is available on the website of the Company.
Yours sincerely,
FOR SOBHA LIMITED

Bijan Kumar Dash
Company Secretary & Compliance Officer
Membership No. ACS 17222
SOBHA

"Sobha Limited
Q3 FY '26 Earnings Conference Call "
January 16, 202 6

MANAGEMENT : M R. JAGADISH NANGINENI – MANAGING DIRECTOR – SOBHA LIMITED
MR. YOGESH BANSAL – CHIEF FINANCIAL OFFICER – SOBHA LIMITED

MODERATOR : M R. ADHIDEV CHATTOPADHYAY – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Sobha Limited Q3 FY ' 26 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Adhidev Chattopadhyay from ICICI Securities. Thank you, and over to you, sir.

Adhidev Chattopadhyay: Yes. Good evening, everyone. Thank you for joining us on the Sobha Limited call today. From the management, as always, we have with us Mr. Jagadish Nangineni, the Managing Director; and Mr. Yogesh Bansal, the Chief Financial Officer. I would now like to ha nd over the call to the management for their opening remarks. Sir, over to you. Thank you.

Jagadish Nangineni: Good evening, everyone and wishing everyone a very happy and prosperous New Year . Thank you for joining us on this quarter 3 FY '25 -'26 call. Thank you, Adhidev, for organizing this. I will briefly touch upon our performance in Q3 and our outlook for the remaining period for FY '26 and beyond. Firstly, on real estate sales and new project launches.

The first 9 months of FY '26 have been truly exceptional for Sobha with our real estate sales reaching an all -time high of INR6,097 crores in a 9-month period. In Q3, we have surpassed our earlier highest sales with INR2,115 crores. We have achieved an average price realization of about INR14,500 in the first 9 months versus last year 's of about INR13,400, an increase of about 8%.

This quarter, Bangalore achieved our highest ever quarterly sales of over INR1,500 crores, thanks to the launch of SOBHA Magnus on Bannerghatta Road, which did fantastically well, selling about 80% of the project in the launch quarter itself.

NCR also has done well this quarter with the launch of SOBHA Strada in Gurgaon. It is our first service apartment project. We also launched SOBHA Inizio, our

first project in Mumbai in December, expanding our real estate presence to 13 cities across India. In this month, January '26, we already received RERA for 2 projects, Sobha Altair in Bangalore and Sobha Woods in Trivandrum.

Overall, we have launched 2.58 million square feet in the first 9 months of this year. Some of the planned launches in this year got delayed due to a combination of factors. We are working towards launching 3 to 4 projects in Q4, one in Gurgaon, which is about 800,000 square feet, one in Greater Noida, which is about 2.4 million square feet, one in Chennai, which is about 1.5 million square feet and one in Calicut at about 800,000 square feet.

All of them are in various stages of approvals. If all of them come through, then we will cumulatively be launching about 8.5 million square feet for this financial year. The Q4 sales SOBHA

performance is partly dependent on these launches. And if they come through in time, we should be able to surpass our annual plan of 35% increase over last year at about INR8,500 crores.

Coming to our non -real estate businesses. Our manufacturing, contracting and retail businesses continue to perform steadily, further strengthening our unique backward integrated execution model that ensures world-class quality. The revenue contribution from the non-real estate businesses have been steady quarter -on-quarter, and we achieved about INR575 crores in the first 9 months and hope to do about INR750 crores for the year.

Since we are not undertaking any new projects in civil contracts, there would be a degrowth in this segment to the extent of about INR150 crores to INR175 crores from next financial year.

Coming to project completions in real estate. We have completed 915 homes, taking cumulative deliveries in the first 9 months to 2,100 homes, which is about 3.65 million square feet.

We plan to complete another 1.5 million to 1.7 million this quarter and take it to a total of 5.2 million to 5.3 million square feet, a growth of about 15% to 17% over last year completions of 4.54 million square feet. Coming to revenue recognition and margins. Our revenue recognition in residential real estate has been low this quarter, affecting the overall profitability.

We could recognize lower due to non-receipt of OCs in 3 projects. This is not due to any structural issue or any ongoing issue, but specific to this time period, which we can classify as normal procedural delays. Due to this lag, we couldn't recognize close to INR500 crores, which

would be reflected in the next quarter. As you would have seen in various Investor Presentations ,
we have a total unrecognized real estate revenue of about INR18,600 crores.
The blended net margin at project level after accounting for project interest is about 30% for this unrecognized revenue.
Projects that we have recognized revenue in this financial year and in the
first 9 months is about 12% when compared to that 30% numbe r. Projects that we have
completed and we are going to recognize in the next few quarters and going to complete in the
next 12 to 15 months, the margin of the same would be in the range of about 18% to 19%, a 50%
increase.
For the projects that we would complete beyond 15 months, it would be about 34%, again, an
increase of about 90%. Hence, the margin expansion is definitely going to happen in a manner
as we increase our pace of completions and recognize those revenues.
With this, I hand over the call to Mr. Yogesh, our Chief Financial Officer, to provide details on the financials.
Yogesh Bansal: Good evening, everyone. I wish you all happy New Year. I am pleased to share our financial
performance for our quarter 3 and first 9 months of financial year 2025-' 26. I will begin with
our cash flow covering both quarterly and year -to-date trends and then move to P&L before
opening the floor for questions.
Q3 was

another strong quarter with total operational cash inflow of INR1,985 crores,
representing a 34% year -on-year growth. This was driven by real estate collection of INR1,816

crores, up 37.5% over the same period last year. For the first 9 months, total operational inflow
stood at INR5,809 crores, recording a healthy 32% growth over last year.
Real estate collection for the period grew 33.7% year -on-year, reflecting strong sales momentum
and disciplined execution. As anticipated, construction costs and sales and marketing outflows were higher year -on-year, in line with our sales momentum. Our net operational cash flow
remained robust.
We generated INR362 crores in Q3, an improvement of 78% year -on-year, supported by strong
customer collection and project progress. For the first 9 months, net operational cash flow stood at INR1,270 crores, already surpassing the full year FY ' 25. During the 9 months, net land
payments were INR872 crores, up nearly by 38%, reflecting a strengthening of our growth
pipeline.
We generated net cash flow of INR41.6 crores in Q3 and INR161.9 crores in 9 months of FY
'26. We closed the quarter with a gross debt of INR997 crores and cash balance of INR1,790
crores, underscoring high solvency and strong financial footing. Looking ahead, we have clear
visibility of future cash flow expected from our ongoing and forthcoming inventory.
From all ongoing projects, we expect to generate marginal cash flow of close to INR9,000 crores
at project level post sales and marketing spend. We should be able to realize this over the next 4
to 5 years.
Additionally, we expect to generate INR7,300 crores of marginal cash flow from forthcoming projects of 16.51 million square feet, which shall be launched over next 6 to 8 quarters. With a strong foundation, we aim to further scale operation cash inflow in coming quarters, supported
by new launches, sales, construction progress and sustained collections.
Now coming to P&L. Total income for Q3 was INR983 crores and for 9 months, it stood at
INR3,354 crores. Revenue recognition during the quarter was lower than anticipated primarily
due to delay in obtaining OC for certain projects. EBITDA for Q3 was INR78 c rores and for
first 9 months, INR309 crores. PAT was INR15.4 crores for Q3 and INR102 crores for 9 months.
We have unrecognized revenue from sold units of approximately INR18,600 crores as on date. As we ramp up our project completion and recognize more revenue, we expect the profitability
margin to improve.
I would like to thank you all for your participation. With this, we can now open the call for questions.
Moderator: The first question is from the line of Puneet Gulati from HSBC.
Puneet Gulati: Congrats on great performance. My first question is, if you can give some color on what you're seeing on the ground in terms of demand environment. Some of your peers at least in Gurugram seem to be talking about a bit of softness. If you can share your experience across geographies,
that will be very helpful ?

Jagadish Nangineni: Thank you, Puneet. The overall demand scenario in the operating markets that we are present,
Bangalore seems to be steady in nature. And Gur gaon , while there are pockets of concern, but
like I was always mentioning in the previous calls, the sweet spot of about — between INR4
crores to INR5 crores is still — l a good market for Gur gaon .

And in such cases where the demand from the short -term investors has reduced, the opportunity lies with projects and companies where there is end user or long -term investor demand. That seems to be on a continued path. From a leading indicators point of vi ew, our site visits and opportunities that we generate for these projects, they seem to be continuously be on a similar number month- on-month. And hence, we have seen t

hat this end user demand continues to be robust in Gur gaon. In Kerala, the demand seems to be steady. It 's an NRI market largely and projects in Trivandrum, it is a combination of both NRI and end user. So they seem to be quite steady in terms of demand.

Puneet Gulati: Okay. And also Noida and some color on how you foresee pricing?

Jagadish Nangineni: See, NCR as an overall market is -- for us, it is a very long-term play. And immediate and in the next few quarters or a year, a couple of years, the demand side seems to be still very robust the — for the whole of NCR, whole of NCR and in fact, North India, the only job creating locations are Gurgaon and Noida. And they would produce end customer or, let 's say, end user demand. And I think that would continue. And we have been — for a long time, have attracted long -term investors and end users as our customers.

So hence, for projects like us — for projects and locations like ours, that play doesn't seem to reduce or change. But the only thing is probably due to some of these absence of some very short -term or, let 's say, medium-term investors, the volume might not be as expected as what we have seen a couple of years ago where we were seeing fully sold out project launches. But other than that, from structurally, I don't think it is a big issue.

Puneet Gulati: Okay. That 's very helpful. And secondly, on the cash flow side, just 3 questions. We 've seen cash tax go up, advertising spend go up. Should that be the new number? And secondly, if you can comment on the nature of spend on the land payment side, INR240 crores this year — this quarter as well?

Jagadish Nangineni : Yes, sure. The marketing — sales and marketing spend, of course, it 's an accrual of all the sales that we have done that we pay brokerages, we pay incentives. We are doing advertisements for new project launches. So it is bound to increase in accordance with the pace of sales.

Second is with respect to the tax, I think it's advanced tax that we have paid for this — in this quarter, and hence, that 's a higher number there. Third, in terms of the land payments that we have done. So for projects that we have to launch some of the pending payments that needed to be done and those reflect majority of the outflows for that.

Puneet Gulati: Okay. So it 's not the new land parcel, it 's just preparing for the launch for some approval -related spends?

Jagadish Nangineni: No. The approval -related spends, we don't take it in as part of land, Puneet, all the land spends that we take are — the approval -related spends go towards the construction spend.

Puneet Gulati: So this is what new land that you' ve got for INR240 crores or?

Jagadish Nangineni: It's a — in this particular quarter, majority is towards settlement of old dues for some of the existing lands, which we are planning to launch in the next financial year and very little component towards any new projects.

Puneet Gulati: Great. That 's very helpful. And lastly, on Hoskote, when should we expect that launch?

Jagadish Nangineni: We are in advanced stages of approval process. It 's about 48 acres of land. First phase, we are planning to launch it — launch about 5.4 million square feet. That should happen in the first quarter of next financial year.

Puneet Gulati: Okay. That 's very helpful. All the best.

Jagadish Nangineni: Thank you, Puneet.

Moderator: The next question is from the line of Parikshit Kandpal from HDFC Securities.

Parikshit Kandpal: Yes, Jagadish, congratulations on a good quarter, sir. So my first question is on the launches in this quarter. So if you can help us with the timeline of NCR launches for both Greater Noida and Gurugram. So what stages of approval have we filed for RERA? So if you can just update us on that.

Jagadish Nangineni: Thank you, Parikshit. The — both of them are in advanced stages.

I think we should be able to apply for RERA early — late this month or early next month. So we are looking at the launches, like I mentioned in the initial comments, apart from these 2, a couple of others, we should be able to do those towards the end of the quarter. March , mid-March is what I 'm expecting to launch first.

Parikshit Kandpal: Yes. So when the sales we recorded in this quarter, so from that angle, I wanted to understand whether the pieces will get captured in this quarter or it will move to next quarter?

Jagadish Nangineni: Yes. , if RERA comes in time, definitely, we plan to launch it in this quarter. And part of the sales, which will come for the project will be logged in, in this quarter.

Parikshit Kandpal: Okay. And between the 2, I mean, will Noida be a full -fledged launch? As you've said that 0.8 million you 're looking to launch in Gurgaon, which looks like half of the project, but Noida is

full 2.4 million. So are you more confident on the Greater Noida project if you are going for a
full-fledged launch and not that confident on Gurugram? Just wanted to pick your brain on that.
Jagadish Nangineni: Yes, good question. Actually, it ’s not related to any demand side scenario but it is more towards technical. In Gurgaon, we are launching part of the project because the remaining set of the project needs TDR. And we have phased the project in such a manner that we launched first, the
base FAR and the remaining we will launch in , subsequently in the next financial year. And
that’s the main reason. Otherwise, we could have launched both, the entire project.

Parikshit Kandpal: Okay. And just the last question, Jagadish, on the pricing bit. So do you think that maybe 3
months back, the pricing you were thinking on both these projects and now where it actually
goes to the launch, do you think that in your mind that number will be slightly lower given that
what we ’ve been hearing from the peers on the demand slowing down. So do you think that
there is a case you are presenting to the management , senior management that you should
rationalize the pricing, which was thought earlier?
Jagadish Nangineni: No. I think the pricing is largely stabilized in both these locations. We have not come across or
not seen any rationalization of pricing. So hence, I , and our , the projects are of long -term in
nature. We are not chasing only the short -term sales or growth , are, from a , we are here changing
both the growth and also I would not like to sacrifice our margins as well. So hence, we are quite confident that we will be able to achieve both.
Parikshit Kandpal: Okay. Because on margins, still we are weak, and you said that 19% for next 12 to 15 months.
So from next quarter onwards, we see the margins improving or , and by the year -end, we ’ll be
at 30%, , then for the next year after 15%, we are at 34%. So how will be the journey from every quarter from here from right now 8% EBITDA margin?
Jagadish Nangineni: Right. For Q4, specifically, it should be much better because there ’s a lot of pending revenue
that we can recognize. Going forward, the, it also , the net margin , for the company-wide margin
also depends on the quantum of the completions that we will do and the kind of projects that we
will do.
So what I can see is in the first couple of quarters next year would still be a little tight, mainly
because of increased sales and marketing expenditure that we would do , we would incur and the
completions are slated towards the second half, which we have started about 3 years ago, all those projects will start coming in.
So I think from Q3, it should be significantly better. But first 2 quarters also should be okay,
mainly apart from the fact that it is the, there would be an impact on higher sales and marketing.
That’s about it.
Parikshit Kandpal: Okay, sir.
Jagadish Nangineni: Thank you.

Moderator: The next question is from the line of Sucrit Patil from Eyesight Fintrade Private Limited.
Sucrit Patil: Team, am I audible?
Jagadish Nangineni: Yes, Sucrit, perfectly audible.
Sucrit Patil: Yes. So I have two questions. My first question is to Mr. Nangineni. As demand for premium
housing continues to grow, how do you see Sobha balancing expansion into new cities with
maintaining its reputation for quality and luxury? Over the next 2 years, what kind of role do
you see Sobha playing in shaping the customer experience and brand positioning, especially as

competition in the real estate sector intensifies? This is my first question, and I ’ll ask my second
question after this.
Jagadish Nangineni: Yes. Thank you, Sucrit. See, currently, we are present in 13 cities. And as luxury housing is
increasing, in fact, we would , we have, our aim is to focus far more on cities, which have a
continuous growth. And hence , and also to make sure that the delivery of our product remains
consistent to what we have been doing till now and, in fact, improve upon that.
So as we grow in scale, the same good what we anticipate would be coming from lesser number
of cities, not, and on higher scale in each of those cities rather than spread out across multiple
cities. And those , largely, those cities would be again, what we are operating in Bangalore, NCR,
Mumbai and partly from Pune and Hyderabad.
Rest of the cities also would contribute, but for , the main focus would be on these cities. Second
is, from a role what we would play, our , the whole , our company has been now founded and we
have continuously operated on the most unique backward integrated model where we can continuously upgrade ourselves and always see how we can improve on our design and our
ability to deliver both on time and of the best quality. And that would continue to remain our

focus. And in fact, we are making significant strides towards that while attending to the matter of delivering towards scale.

Sucrit Patil: My second question is to Mr. Bansal. With multiple projects underway, how are you thinking about balancing profit margins with the need to fund growth? As new developments come into play, what steps are you taking to keep the costs under control and ensure financial discipline while still supporting Sobha 's long -term expansion plan?

Yogesh Bansal: So Sucrit, basically, we are keeping check on our capital, how to allocate capital and how we are, where we have to allocate so that we can get expected return from the project and our team is fully focused on execution and controlling the cost. So we have full check on, our control on cost and as well as capital allocation so that we can grow in disciplined manner.

Jagadish Nangineni: Also adding to what Yogesh has mentioned, Sucrit, that as you would have seen, we are one of the few real estate companies which has a net negative debt, which would mean that there is our ability to fund growth and also to ride over any real estate cyclic ality, both we can achieve simultaneously.

Sucrit Patil: Just an extension to this. You just mentioned the ability to fund growth. So this funding will be internal or it will be by raising any funds from external things?

Jagadish Nangineni: As you are aware, we have actually raised INR2,000 crores as part of rights issue last financial year. So hence, we have already addressed that question of funding growth. In addition to that, we have series of new launches that we plan to do in the next 1 5 to 18 months. And those also majority of them are fully paid for in terms of land. And hence, incremental cash flow should be significant for us to fund the , any growth possibilities that we will get.

Yogesh Bansal: And we are expecting INR16,000 crores, too, from our ongoing projects plus forthcoming projects, cash flow in near future, 5 to 6 years. SOB

Sucrit Patil: The last part was very important. So I wish the entire team best of luck for the next quarter.

Jagadish Nangineni: Okay, thank you, Sucrit.

Moderator: The next question is from the line of Akash Gupta from Nomura.

Akash Gupta: Congratulations on great performance. So my first question is regarding the strategy in Mumbai. I think the project Inizio was launched in the third quarter. So could you please explain like what 's the pricing strategy there? And like how has been the reception for that project? That 's my first question.

Jagadish Nangineni: Thank you, Akash. Our plans for Mumbai, Mumbai as a market is very strategic. It 's one of the largest real estate markets in India. So it 's a measured approach in which we have started our projects in Mumbai. I think any location that we have entered into, it has been a steady growth for us. Like I mean, there are several examples in that because we are present in 13 cities.

So it does take some time to understand the local market across various aspects of real estate development. And to that extent, so it 's a fantastic opportunity that we have started out in Mumbai. And we would continue to invest in Mumbai as we find new projects.

For the first project — Inizio — the pricing, I mean, we have a similar method of pricing our projects, which , and I think for the kind of quality that we deliver, it 's quite , it's a little premium to the market, but that 's the premium that we do see in any of the locations that we operate in.

Akash Gupta: Got it. And sir, second question is on next year 's demand outlook. There 's so much macro uncertainty and even the stock market is not doing very well. What 's your thought on the real estate demand in the cities that you 're operating in, in FY ‘27? I wanted to know your thoughts, particularly for Gurgaon and Bangalore. How are you thinking there?

Jagadish Nangineni: Frankly, Akash, I wish I know the accurate answer for that. But what I can clearly see is that there is uncertainty, not in just FY ‘27. So when we launch projects or when we have outlook for the business, we cannot operate in just 1- year time horizon.

We'll have to take a slightly longer -term outlook. And in that context, we see that the real estate demand is directly , I mean, the real estate demand is completely an outcome of the economic growth that we experience. And as the economy grows, the discretionary spends increase, there would be continuous demand and , in an asset class like real estate.

There might be , in the last few years, , there has been a significant increase in pricing and hence, there has , it has attracted a lot of short-term or medium -term investors but probably that might not be the case in the near term. But otherwise, from a long -term structural , structure point of view, that the demand should remain robust if the core assumption is that the economic growth is intact.

Akash Gupta: Sir. And sir, my third and final question is with respect to your FY ‘26 guidance. I think it 's close to INR85 billion, and we are thinking that the Gurgaon and the NCR project will be launched towards mid-March. In the event that happens, do you think there 's risk to that INR85 SOBHA

billion number? And second is that in addition to Hoskote in FY ' 27, do we have any other big project to drive our growth in FY '27?
Jagadish Nangineni: A good question. So in FY , I'll take the second question first. So FY '27, as you have seen, there is a pipeline of about 16.5 million square feet to be launched for us. And in that, if all the launches that we have spoken in this quarter do occur, then it will , that's about 6 million square feet.
The remaining about 10.5 million square feet is in the next financial year. So apart from just Hoskote, which is about 5.5 million, there are several

other projects, both in Bangalore and rest of the country, one in Pune, one in… a few more in Gurgaon and then a couple of more in Bangalore as well.
So we have a reasonably good visibility towards that pipeline. In addition to that, in fact, there are several other projects which are at design stage. And as we make progress towards the approval stage, we would add to this pipeline.
Coming to your question on this specific quarter. Of course, like I said, the quarter 4 performance would be partly dependent on the launches. But I think if we are managing to launch some of -- at least some of these projects, which I have mentioned, then we should be able to achieve what we have set out for.
Akash Gupta: Got it, sir. Perfect. Sir, best of luck.
Jagadish Nangineni: Thank you, Akash.
Moderator: The next question is from the line of Fenil from Choice Institutional Equities.
Fenil: Congratulations for the good quarter. So you entered into the Mumbai market first time in the last quarter. So how was the response to the SOBHA Inizio? I want to understand. And what would be the expected average price realization or completion period? If you can share some detail on that project?
Jagadish Nangineni: Thank you, Fenil. The fact that, as a group, we are present in , we have been a listed company for the last almost 19 years. And also the fact that our presence in Dubai has been significant as a group, the recognition towards our brand is very high. There has been a lot of inquiries and the pricing that we have launched it at is about a little lower INR50,000.
And I think there is a good understanding of the customers of the brand and the location, and we seem to be on good stead on that particular project. And also, we are looking at a few additional projects that we would explore in the next year or so.
Fenil: Okay. Okay. And could you repeat the launch schedule for 4Q '26, which you have mentioned during this call at the start like with the square feet like one project in Gurgaon and then Noida and Bangalore. So could you repeat that thing once again?
Jagadish Nangineni: Yes, sure. We have, I said we can launch about 3 to 4 projects, one in Gurgaon at about 800,000 square feet, Greater Noida is about 2.4 million square feet, Chennai is about 1.5 million square feet and Calicut one is at about 800,000 square feet. SOBHA

Fenil: Okay. Okay. Talking about the margin, is there any material impact or support from the recent GST reform or what the management view from that changes on the margins? Like Sobha is getting any support or it 's impacted due to those reforms? Like what 's the view?
Yogesh Bansal: So Fenil, if you see GST reform, okay, basically, it is benefiting B2C customer more than B2B.
We are consumers of like cement, they have reduced, okay? But we are a consumer of RMC, okay? So for us, it 's a very limited impact on our margins. Basically, it should be reduced prices.
But since we are in B2B segment, so we are not getting any benefit of GST reduction. So hence, there is no impact on margins.
Fenil: Okay. Okay. And if you can see the same thing from the , this primary labor court, which is change on a , means which come into effect on 21st November. So some labor laws change, right? So what we are expecting out of that? Like because in general, markets are expecting impact from this around 8% to 12% overall. So what 's your view on this?
Yogesh Bansal: So we are expecting labor court rules, okay, which yet to be notified by the state okay? We have to see impact. But gratuity and leave encashment perspective, we are already fully compliant.
So we don't have any impact from that perspective.
Fenil: Okay. Got it.
Yogesh Bansal: Okay?
Fenil: Yes. Yes. Okay. Okay. Got it. Yes. So that 's all from my side. All the best.
Jagadish Nangineni: Thank you, Fenil.
Yogesh Bansal: Thank you.
Moderator:

The next question is from the line of Biplab Debbarma from Antique Stock Broking.
Biplab Debbarma: Wish you all a very happy New Year. Sir, my first question is on Greater Noida. I , my understanding is that the project was at advanced stage, I mean, last quarter itself. And now we are saying that it could be launched mid -March. So what is happening there? What is the issue there? It is some regulatory or some market -related decision? Could you elaborate because another developer also postponed its launch. So is there any issue something that should be aware?
Jagadish Nangineni: Thank you, Biplab. I am not aware of any other player, Biplab. But for us, it is simple a very specific issue or, let 's say, which is part of any new project launch or design. So we have been going back and forth. I mean, we have made some small minor changes in our design and hence, it led to a little extension of time. And only due to that is the main reason for some of the timeline extension. But otherwise, I have not seen any systemic issue, Biplab.
Biplab Debbarma: Okay. Okay. That 's good. And sir, congratulations on Inizio launch. That is the first ever , actually the project is nearby where I stay. Inizio, now after Inizio and this Greater Noida projects, what is the , can you give us some insight on the business development pipeline? What next in, say, in Greater Noida or MMR? We also read some news where you have bid for a SOBHA

project, railway project also. So can you give us some insight on business development pipeline in NCR and MMR? Yes, sir.
Jagadish Nangineni: Yes, Biplab. Sure. I mean like I was mentioning previously, our focus locations are Bangalore, NCR, Mumbai and some of the other cities like Hyderabad and Pune. So the , firstly, the good news is that we already have a good pipeline of projects in NCR and Bangalore, and we continue to have good business development pipeline as well. So that 's an ongoing process.
And since we are located in both these locations for more than, I mean, of course, in Bangalore for 3 decades and NCR for almost 1.5 decades. So the opportunity pipeline is quite good. In fact, it has increased quite a bit in the last 6 months or so. So we are seeing a lot of interesting opportunities, and we will continue to deploy our capital in both these locations. However, our inventory that we can actually launch in Bangalore is much larger.
But considering the various sub- micro markets in Bangalore, we are selective in some of the micro markets where our presence is lower. Other than that, we are quite good in the existing land bank that we already have. Coming to our new cities like Mumbai. So we , this launch has been an effort that we had undertaken about 1.5 years or so.
Now during , that's also now that we have a full -fledged presence in Mumbai, and we have gone through a cycle of , from land towards , to launch of a project, our understanding of the market and our understanding of the local bylaws, etcetera, are fairly , are much better.
And hence, we are looking at opportunities, and we are , wherever we find that it is an opportunistic or a good opportunity, we are expressing our interest and participating in those, like you have seen that one of the railway land we have participated in.
Biplab Debbarma: Okay. Okay. And how much inventory you have sold in terms of percentage in Inizio?
Jagadish Nangineni: Still initial days, Biplab, we would definitely like to disclose that, which we would do. But since we have launched towards the end of the quarter, still numbers are trickling in. And as we progress, we will , by the next quarter, hopefully, we should be able to give you a clear picture for that.
Biplab Debbarma: Okay, sir. Thank you, and a ll the best, sir.
Jagadish Nangineni: Thank you, Biplab.
Moderator: The next question is from the line of Pritesh Sheth from Axis Capital.

Pritesh Sheth: Just one question on the growth visibility side. So I think this year have been good so far and probably will end well and probably we 'll surpass the aberration that we had last year. Can , for how long we can continue this 15%- 20% kind of a growth that we would have had in last 2 years? And in terms of city -wise, probably Bangalore, we would be already doing INR4,500 crores, INR5,000 crores of presales. Is there more growth possible? And apart from that, which all cities do we think we can scale up further to target that 15 %-20% growth over next couple of years? Yes. SOBHA

Jagadish Nangineni: Thank you, Pritesh. The , on the overall growth point of view, I think if the demand scenario continues, which is quite stable and the end user demand continues and the economic growth is intact, the basic fundamentals, if they remain the same, then the growth for us is partly led by new supply and new supply from our side.
And we are seeing that if we are able to launch projects, our , this financial year, we have seen that the response to new launches has been much better. And hence, we are able to achieve these better numbers despite fewer launches during the year. So hence, it gives a lot of optimism for us.

And from a growth point of view, so the , our main goal would be to make sure that the current pipeline of launches are actually executed and we bring those , that inventory into the market. If we continue to do that, then I think that the ability for us to grow is definitely there, and there is a visibility for the next at least 2 to 3 years.

Pritesh Sheth: Sure, sure. And just while you have elaborated city-wise pipeline quite well in terms of forthcoming projects and the subsequent land, but just in which city or markets you think you would continuously need some business development to be done over the next 6, 12 months, so that your growth targets are aligned in as , for the company as a whole?

Jagadish Nangineni: Right. So like I said, the , if I look at my current inventory and future inventory that 's going to come in, roughly about 50% of that is still in Bangalore and about roughly 30% is in NCR and remaining , about 10% in Kerala and remaining in the other cities.

And if we have to grow in cities like , new cities like Mumbai and also increase the growth in cities like Hyderabad and Pune, then we would, we are looking at new investments there. In fact, in, we are looking at opportunities in all these places. That said, I think there is slightly more opportunities even in NCR, even though we have a little bit of inventory there because in, like you would have seen, NCR is not just 1 city, it 's three different states.

And hence, we will look at opportunities specific to each of the state and the corresponding inventory that we have. So it 's an ongoing process. And thanks to our visibility of our cash flow and our capital structure that we have, there seems to be good , better opportunities now than what we had seen in some of these locations.

So of course, the challenge is to make sure that there is a balance between what we are launching, generating cash flow and also deploy capital where the opportunities provide some kind of margin of safety.

Pritesh Sheth: Sure. And just assuming in Noida, we had two projects, we have launched , we would have launched both of those this year itself. Are there more opportunities emerging there as well? Or we'll still have to rely on Gurgaon for achieving the same number or grow on this base in NCR?

Jagadish Nangineni: No, absolutely. The fact that we have taken a plunge into Noida market, which is UP. So we are seeing opportunities across UP, not all Tier 2, Tier 3 cities but which is Noida, Greater Noida, Ghaziabad and in and around those. So the pool of opportunities has increased for us and we are actively looking, evaluating, in fact, in various stages of discussion as well.

Pritesh Sheth: Sure, sure. Okay. That 's it. That 's very helpful, and all the best.

Jagadish Nangineni: Thank you, Pritesh.

Moderator: The next question is from the line of Manoj from Geometric.

Manoj: Happy New Year Sir and Best of luck for the coming year. My most of the questions have been answered. I just want to know how much the launch size of Hoskote in the , which is coming in the next financial year, in the beginning?

Jagadish Nangineni: Yes. Like I had mentioned in , this earlier in the call, it is the , we have about 5.4 million square feet project, and we are planning to launch it in the first quarter of next year.

Manoj: And will you launch how much in the beginning, it won't be launched in the 5.4 in the starting or we have not decided as on that?

Jagadish Nangineni: Yes. Typically, the one , the project , RERA, we would take it for the entire project, but we would launch based with the demand that we would see. And it 's, typically, for this size of the project, we generally , at the time of launch, it 's about 30% of the inventory.

But if things are really good, then we would subsequently open up the entire inventory. For example, in , we had launched a large project last year around this time, Sobha Townpark – Madison and Hamptons. So that was about 3.3 million square feet.

Initially, we did launch about a million square feet of it. And as we speak, we have opened , , couple of towers remaining , all the other towers have been released. So close to more than 80% to 85% of the inventory has been released. So it 's a function of the demand and , our ability to open up that inventory is there since we have all the permissions for that.

Manoj: Okay. So you can have .. in some places, how do you feel Noida and Greater Noida as a market for coming time?

Jagadish Nangineni: No, I think it's, we have just launched our first project. We are going to start our second one very soon. So these are still early days for us, and we , there's a great recognition for the brand. And there is bound to, and in the last 3 to 4 years, especially, there has been a significant growth in UP and specifically in Noida, Greater Noida and there are a lot of positives in the development of the location.

It was already known for good infrastructure. But in addition to good infrastructure, now job creation also has significantly increased. And the prospects are also looking very good with events like opening of Jewar Airport and some of the other manufactur ing giants coming and setting up their units there. So overall, there seems to be very positive indications towards the economic growth in, specifically in these locations, and that should be positive for us. And in the long run, if end user demand continues to grow there, then there is no doubt that we can also grow.

Manoj: Thank you and Best of luck. SOBHA

Jagadish Nangineni: Thank you, Manoj.

Moderator: The next question is from the line of Dhruvesh from Prospero Tree.

Dhruvesh: Yes. Jagadish ji, congratulations. A couple of questions related to 3, 5 years of overall growth from here. So we are basically at INR8,500 crores probably hitting in FY ' 26. And if we target , I mean, you have not communicated, but any , the direction is towards INR15,000-INR17,000 crores over next 5-6 years or 4- 5 years, how much contribution from Bangalore will be if we ever achieved those lines? I mean , and it is coming from angle that can Bangalore give you the same growth as the total company because of already having such high maturity there?

Jagadish Nangineni: Good question, Dhruvesh. First, from a growth point of view, we, of course, are , we have plans of how we can grow from this FY '26. And partly, part of it is dependent on our new project launches, and we have cle

ar visibility for that.

And if I look at the , from a supply point of view, not necessarily from a demand point of view, we do have visibility for , even in a number like INR15,000 crores, INR16,000 crores. So we do think that Bangalore can contribute towards anywhere between 40% to 50%. We are already at 5,000, or close to INR4,500 crores to INR5,000 crores. And that is largely concentrated in a few locations.

And if the diversity of the locations improve, then definitely, there should be an increase in the overall , I mean, we would be addressing a larger market size within Bangalore itself. And hopefully, we should be able to grow within that, that 's number one. Number two is, of course, for overall growth of the company, we will need to penetrate a little bit more or have a higher market share in other locations. And those are definitely coming from NCR. And if not near term, then definitely in the longer term from places like Mumbai, but other locations like Hyderabad, Pune also can contribute. So if you really ask from overall growth point of view, we are quite positive in terms of this growth.

And going for a number of INR15,000 crores, INR16,000 crores, I would not like to comment immediately, but these are the numbers that we already have in the horizon.

Dhruvesh: Okay. Great. And in terms of the volumes, so because everywhere in the country, the prices in the last 4 -5 years have really gone up quite a bit, especially in the key metro cities. And I don 't think anybody is now imagining big price increases. In fact, there can be a situation where there is a 5% -7% decreases in some areas.

So in light of that, how much will , I mean, we, as a company are not at all focusing on high volumes in terms of square feet in , because we are so premium, so higher ticket sizes, will it not come to bite us if we don 't really ramp up our supply towards the slightly lower categories also, which we already are servicing, but not in a big way.

Jagadish Nangineni: No, you're right. So in fact, the , it's dependent on our ability to size our product and not that we are addressing only one segment. Our pricing might be premium, but not , I mean, but within that itself, we should be able to address ticket sizes across from INR2 crores, INR3 crores to , till INR5 crores. SOBHA

If you look at our investor presentation, you can see that our sweet spot has been between INR2 crores to INR5 crores, which delivers close to 80% of our sales. So within that, I think there is enough demand. And even less than INR2 crores for a 2 -bedroom kind of product also in some projects, particularly in larger projects, we are bringing out those in higher number to address that kind of segment.

So it might not be possible in every city that we are able to do. But definitely in cities where , cities and in locations where we can do, we are actively mindful of the market size based on ticket sizes. So hence, we are designing our products also in that manner.

Dhruvesh: And just last comment more than a question. So I, as a shareholder, really like the company, the product, et cetera. But just that I as a shareholder also feel that we are missing out on the growth that we can achieve in the country like India. So just as a feedback, do push the pedal wherever you think there is a possibility.

Jagadish Nangineni: Absolutely, Dhruvesh, we are highly focused on growth as well. And there are quite a few things that we had done in the last past few years which have set up a good foundation for us. One, acceleration of launches, creating the right kind of process and structure within the company. Second, building the capital base without risking the cyclicality of the residential cycle. And definitely, there is a high emphasis on growth and we would be focusing on that, absolutely.

Dhruvesh: If I may, just one bookkeeping. What would be the total corp

orate overheads with this new established structure? I remember asking this question a couple of years back, but , because a lot
of things have changed internally so if we don't go at the project level, what will be our corporate
total yearly cost?
Jagadish Nangineni: That's roughly about , for this financial year, it would be about INR320 crores to INR330 crores.
Dhruvesh: Sorry, INR322 crores?
Jagadish Nangineni: INR320 crores to INR330 crores.
Dhruvesh: Okay, fine, sir.
Jagadish Nangineni: Thank you.
Moderator: The next question is from the line of Himanshu Upadhyay from Stedfor t
Himanshu Upadhyay : Yes. Yes. So my question was, in last 9 months, we have spent significantly on land, okay? And land-related payment and JD a nd partner payment. Can you give some idea of what would be
the money we have spent for historical land consolidation and approval related costs and versus completely new project acquisitions which we have done in 9 months? Just the numbers, if you can giv e some thoughts, it will be helpful.
Jagadish Nangineni: Yes. I mean, we, it's a combination of both. I do not have the number right away for that, Himanshu. I 'll, we'll be able to provide subsequently. We 'll, our Investor Relations will reach
out and give you that number. I do not have that number handy immediately.

Himanshu Upadhyay : Okay. And any , not the exact amount, but let 's say, the number of new land acquisitions we would have done. Can you, any thoughts on that? Means, business development wise, new land?
Jagadish Nangineni: Yes, it 's an ongoing process. And actively, we have not been declaring new business development or let 's say, as a metric in any , previously. And we probably… we don 't even
intend to do that because that 's a very strategic opportunistic goal that we pursue. And hence,
we have not been disclosing it in the past. So right now, for this breakup, what you would like
to have, then our team will , can reach out to you and provide you the same.
Himanshu Upadhyay : And one more thing. We have this forthcoming and subsequent projects launched, the land, okay, some 422 acres, okay? So should we assume that in these 422 acres, we don't have any money to be paid for the JD / JV partner or anything like that? And it would be only approval -related
costs which are pending for this 422 acres.
Yogesh Bansal: In fact, there are certain pending payments to the land , towards land in this. It is not very
significant given the volume of launches that we would be doing in this. So all put together, we
have an estimate of about INR1,000 crores that need to be spent for , or let 's say, invested towards
this, towards both this , forthcoming, very minimal, but a part of it is forthcoming and part of it
is subsequent. But not necessarily the investment is impeding the launch of the project. So it 's,
in some cases, the investments continue post the launches also.
Himanshu Upadhyay : And let 's say, the , another figure, what we give is 1,752 acres, which is various stages of consolidation, monetization and self -use. What type of amount which will be required to
consolidate and just get the , our name on those lands, okay? Any… some thoughts on that?
Jagadish Nangineni: Yes. In fact, majority of those lands, we would ideally like to monetize or bring towards the , and part of them we will bring towards development. And even if we have to bring towards
development, that is not as high as what we have seen in the , for the remaining 422 acres.
Himanshu Upadhyay : Does it mean that it is lesser than that 422 acres, what rough cut figure you gave of INR1,000 crores.
Jagadish Nangineni: Yes, yes.
Himanshu Upadhyay : Okay. Okay.
Jagadish Nangineni: Thank you, Himanshu.
Himanshu Upadhyay : Yes.
Moderator: Ladies and gentlemen, this will be the last question for today, which is from the line of Aayush Saboo fro

m Choice Institutional Equities.
Aayush Saboo: So I just wanted to understand, firstly, congratulations on your Mumbai launch. What could be the prospective pipeline that we could launch possibly in Mumbai in 2 to 3 years. Like is there ,
have we set any target or any guidance regarding that?

Jagadish Nangineni: Aayush, sorry, we don't have any specific timeline or target towards that. Like I mentioned, we are looking at opportunities. In fact, we are working on a few opportunities in Mumbai. But it 's
considering that we are new and also considering that there are multiple opportunities that we are pursuing.
And most of the land acquisition is opportunistic, it has to fit in our framework. So it 's very

difficult for us to give a target at this stage. Once we have certain plans tied up, then surely we can disclose those details.
Aayush Saboo: All the best.
Jagadish Nangineni: Thank you, Aayush.
Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Adhidev Chattopadhyay: for closing comments.
Adhidev Chattopadhyay: Yes. Good evening. Thank you, everyone, for joining us on the call today. Just like to hand it back to the management for any closing comments, if any, yes. Thank you.
Jagadish Nangineni: Thank you, Adhidev, and thank you all for participating in the call, for your questions and patient hearing. I hope we have answered most of your questions satisfactorily. You're most welcome to reach out to our Investor Relations team for any further clarification.
Our continued focus on operational excellence, coupled with strong customer confidence in the brand are pillars of our strength, helping us simultaneously achieve both customer satisfaction and business metrics. Our disciplined growth mindset, investment in technology and people and process improvements will see growth acceleration.
Our robust balance sheet uniquely equips us to capitalize on emerging opportunities while effectively managing the inherent cyclicality of residential real estate. Wish you all a very happy weekend and the best for the rest of the year. Truly appreciate yo ur support. Thank you.
Moderator: Thank you. Members of management, ladies and gentlemen, on behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.
Jagadish Nangineni: Thank you. SOBHA

Call: Jan 2026

SOBHA LIMITED
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Date: January 21, 2026

BSE Limited
Department of Corporate Services
PJ Towers, Dalal Street
Mumbai – 400 001
Scrip Code: 532784 The National Stock Exchange of India Limited
Exchange Plaza, Plot No C/1, G Block
Bandra Kurla Complex
Mumbai – 400 051
Scrip Code: SOBHA

Dear Sir /Madam(s) ,

Sub: Transcript of Meeting with Analysts/ Institutional Investors
In continuation of our letter dated January 13, 2026, please find enclosed herewith the transcript of the conference call held on Saturday , the 17
th day o f January 2026 with the
Analysts/ Institutional Investors to brief the Operational and Financial performance of the Company for the quarter ended December 31, 2025.

We request you to take the aforesaid information on record in terms of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and the same is available on the website of the Company.
Yours sincerely,
FOR SOBHA LIMITED

Bijan Kumar Dash
Company Secretary & Compliance Officer
Membership No. ACS 17222
SOBHA

“Sobha Limited
Q3 FY ‘26 Earnings Conference Call ”
January 16, 202 6

MANAGEMENT : M R. JAGADISH NANGINENI – MANAGING DIRECTOR – SOBHA LIMITED
MR. YOGESH BANSAL – CHIEF FINANCIAL OFFICER – SOBHA LIMITED

MODERATOR : M R. ADHIDEV CHATTOPADHYAY – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Sobha Limited Q3 FY ‘ 26 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Adhidev Chattopadhyay from ICICI Securities. Thank you, and over to you, sir.

Adhidev Chattopadhyay: Yes. Good evening, everyone. Thank you for joining us on the Sobha Limited call today. From the management, as always, we have with us Mr. Jagadish Nangineni, the Managing Director; and Mr. Yogesh Bansal, the Chief Financial Officer. I would now like to ha nd over the call to the management for their opening remarks. Sir, over to you. Thank you.

Jagadish Nangineni: Good evening, everyone and wishing everyone a very happy and prosperous New Year . Thank you for joining us on this quarter 3 FY ‘25 -’26 call. Thank you, Adhidev, for organizing this. I will briefly touch upon our performance in Q3 and our outlook for the remaining period for FY ‘26 and beyond. Firstly, on real estate sales and new project launches.

The first 9 months of FY ‘26 have been truly exceptional for Sobha with our real estate sales reaching an all -time high of INR6,097 crores in a 9-month period. In Q3, we have surpassed our earlier highest sales with INR2,115 crores. We have achieved an average price realization of about INR14,500 in the first 9 months versus last year ’s of about INR13,400, an increase of about 8%.

This quarter, Bangalore achieved our highest ever quarterly sales of over INR1,500 crores, thanks to the launch of SOBHA Magnus on Bannerghatta Road, which did fantastically well, selling about 80% of the project in the launch quarter itself.

NCR also has done well this quarter with the launch of SOBHA Strada in Gurgaon. It is our first service apartment project. We also launched SOBHA Inizio, our

first project in Mumbai in December, expanding our real estate presence to 13 cities across India. In this month, January ‘26, we already received RERA for 2 projects, Sobha Altair in Bangalore and Sobha Woods in Trivandrum.

Overall, we have launched 2.58 million square feet in the first 9 months of this year. Some of the planned launches in this year got delayed due to a combination of factors. We are working towards launching 3 to 4 projects in Q4, one in Gurgaon, which is about 800,000 square feet, one in Greater Noida, which is about 2.4 million square feet, one in Chennai, which is about 1.5 million square feet and one in Calicut at about 800,000 square feet.

All of them are in various stages of approvals. If all of them come through, then we will cumulatively be launching about 8.5 million square feet for this financial year. The Q4 sales

performance is partly dependent on these launches. And if they come through in time, we should be able to surpass our annual plan of 35% increase over last year at about INR8,500 crores.

Coming to our non -real estate businesses. Our manufacturing, contracting and retail businesses continue to perform steadily, further strengthening our unique backward integrated execution model that ensures world-class quality. The revenue contribution from the non-real estate businesses have been steady quarter -on-quarter, and we achieved about INR575 crores in the first 9 months and hope to do about INR750 crores for the year.

Since we are not undertaking any new projects in civil contracts, there would be a degrowth in this segment to the extent of about INR150 crores to INR175 crores from next financial year.

Coming to project completions in real estate. We have completed 915 homes, taking cumulative deliveries in the first 9 months to 2,100 homes, which is about 3.65 million square feet.

We plan to complete another 1.5 million to 1.7 million this quarter and take it to a total of 5.2 million to 5.3 million square feet, a growth of about 15% to 17% over last year completions of 4.54 million square feet. Coming to revenue recognition and margins. Our revenue recognition in residential real estate has been low this quarter, affecting the overall profitability.

We could recognize lower due to non-receipt of OCs in 3 projects. This is not due to any structural issue or any ongoing issue, but specific to this time period, which we can classify as normal procedural delays. Due to this lag, we couldn’t recognize close to INR500 crores, which

would be reflected in the next quarter. As you would have seen in various Investor Presentations , we have a total unrecognized real estate revenue of about INR18,600 crores.
The blended net margin at project level after accounting for project interest is about 30% for this unrecognized revenue. Projects that we have recognized revenue in this financial year and in the first 9 months is about 12% when compared to that 30% numbe r. Projects that we have completed and we are going to recognize in the next few quarters and going to complete in the next 12 to 15 months, the margin of the same would be in the range of about 18% to 19%, a 50% increase.
For the projects that we would complete beyond 15 months, it would be about 34%, again, an increase of about 90%. Hence, the margin expansion is definitely going to happen in a manner as we increase our pace of completions and recognize those revenues.
With this, I hand over the call to Mr. Yogesh, our Chief Financial Officer, to provide details on the financials.
Yogesh Bansal: Good evening, everyone. I wish you all happy New Year. I am pleased to share our financial performance for our quarter 3 and first 9 months of financial year 2025-’ 26. I will begin with our cash flow covering both quarterly and year -to-date trends and then move to P&L before opening the floor for questions.
Q3 was

another strong quarter with total operational cash inflow of INR1,985 crores, representing a 34% year -on-year growth. This was driven by real estate collection of INR1,816 SOBHA

crores, up 37.5% over the same period last year. For the first 9 months, total operational inflow stood at INR5,809 crores, recording a healthy 32% growth over last year.
Real estate collection for the period grew 33.7% year -on-year, reflecting strong sales momentum and disciplined execution. As anticipated, construction costs and sales and marketing outflows were higher year -on-year, in line with our sales momentum. Our net operational cash flow remained robust.
We generated INR362 crores in Q3, an improvement of 78% year -on-year, supported by strong customer collection and project progress. For the first 9 months, net operational cash flow stood at INR1,270 crores, already surpassing the full year FY ‘ 25. During the 9 months, net land payments were INR872 crores, up nearly by 38%, reflecting a strengthening of our growth pipeline.
We generated net cash flow of INR41.6 crores in Q3 and INR161.9 crores in 9 months of FY ‘26. We closed the quarter with a gross debt of INR997 crores and cash balance of INR1,790 crores, underscoring high solvency and strong financial footing. Looking ahead, we have clear visibility of future cash flow expected from our ongoing and forthcoming inventory.
From all ongoing projects, we expect to generate marginal cash flow of close to INR9,000 crores at project level post sales and marketing spend. We should be able to realize this over the next 4 to 5 years.
Additionally, we expect to generate INR7,300 crores of marginal cash flow from forthcoming projects of 16.51 million square feet, which shall be launched over next 6 to 8 quarters. With a strong foundation, we aim to further scale operation cash inflow in coming quarters, supported by new launches, sales, construction progress and sustained collections.
Now coming to P&L. Total income for Q3 was INR983 crores and for 9 months, it stood at INR3,354 crores. Revenue recognition during the quarter was lower than anticipated primarily due to delay in obtaining OC for certain projects. EBITDA for Q3 was INR78 c rores and for first 9 months, INR309 crores. PAT was INR15.4 crores for Q3 and INR102 crores for 9 months.
We have unrecognized revenue from sold units of approximately INR18,600 crores as on date. As we ramp up our project completion and recognize more revenue, we expect the profitability margin to improve.
I would like to thank you all for your participation. With this, we can now open the call for questions.
Moderator: The first question is from the line of Puneet Gulati from HSBC.
Puneet Gulati: Congrats on great performance. My first question is, if you can give some color on what you’re seeing on the ground in terms of demand environment. Some of your peers at least in Gurugram seem to be talking about a bit of softness. If you can share your experience across geographies, that will be very helpful ? SOBHA

Jagadish Nangineni: Thank you, Puneet. The overall demand scenario in the operating markets that we are present, Bangalore seems to be steady in nature. And Gur gaon , while there are pockets of concern, but like I was always mentioning in the previous calls, the sweet spot of about — between INR4 crores to INR5 crores is still — I a good market for Gur gaon .

And in such cases where the demand from the short -term investors has reduced, the opportunity lies with projects and companies where there is end user or long -term investor demand. That seems to be on a continued path. From a leading indicators point of vi ew, our site visits and opportunities that we generate for these projects, they seem to be continuously be on a similar number month- on-month. And hence, we have seen t

hat this end user demand continues to be robust in Gur gaon. In Kerala, the demand seems to be steady. It 's an NRI market largely and projects in Trivandrum, it is a combination of both NRI and end user. So they seem to be quite steady in terms of demand.

Puneet Gulati: Okay. And also Noida and some color on how you foresee pricing?

Jagadish Nangineni: See, NCR as an overall market is -- for us, it is a very long-term play. And immediate and in the next few quarters or a year, a couple of years, the demand side seems to be still very robust the — for the whole of NCR, whole of NCR and in fact, North India, the only job creating locations are Gurgaon and Noida. And they would produce end customer or, let 's say, end user demand. And I think that would continue. And we have been — for a long time, have attracted long -term investors and end users as our customers.

So hence, for projects like us — for projects and locations like ours, that play doesn't seem to reduce or change. But the only thing is probably due to some of these absence of some very short -term or, let 's say, medium-term investors, the volume might not be as expected as what we have seen a couple of years ago where we were seeing fully sold out project launches. But other than that, from structurally, I don't think it is a big issue.

Puneet Gulati: Okay. That 's very helpful. And secondly, on the cash flow side, just 3 questions. We 've seen cash tax go up, advertising spend go up. Should that be the new number? And secondly, if you can comment on the nature of spend on the land payment side, INR240 crores this year — this quarter as well?

Jagadish Nangineni : Yes, sure. The marketing — sales and marketing spend, of course, it 's an accrual of all the sales that we have done that we pay brokerages, we pay incentives. We are doing advertisements for new project launches. So it is bound to increase in accordance with the pace of sales.

Second is with respect to the tax, I think it's advanced tax that we have paid for this — in this quarter, and hence, that 's a higher number there. Third, in terms of the land payments that we have done. So for projects that we have to launch some of the pending payments that needed to be done and those reflect majority of the outflows for that.

Puneet Gulati: Okay. So it 's not the new land parcel, it 's just preparing for the launch for some approval -related spends?

Jagadish Nangineni: No. The approval -related spends, we don't take it in as part of land, Puneet, all the land spends that we take are — the approval -related spends go towards the construction spend.

Puneet Gulati: So this is what new land that you' ve got for INR240 crores or?

Jagadish Nangineni: It's a — in this particular quarter, majority is towards settlement of old dues for some of the existing lands, which we are planning to launch in the next financial year and very little component towards any new projects.

Puneet Gulati: Great. That 's very helpful. And lastly, on Hoskote, when should we expect that launch?

Jagadish Nangineni: We are in advanced stages of approval process. It 's about 48 acres of land. First phase, we are planning to launch it — launch about 5.4 million square feet. That should happen in the first quarter of next financial year.

Puneet Gulati: Okay. That 's very helpful. All the best.

Jagadish Nangineni: Thank you, Puneet.

Moderator: The next question is from the line of Parikshit Kandpal from HDFC Securities.

Parikshit Kandpal: Yes, Jagadish, congratulations on a good quarter, sir. So my first question is on the launches in this quarter. So if you can help us with the timeline of NCR launches for both Greater Noida and Gurugram. So what stages of approval have we filed for RERA? So if you can just update us on that.

Jagadish Nangineni: Thank you, Parikshit. The — both of them are in advanced stages.

I think we should be able to apply for RERA early — late this month or early next month. So we are looking at the launches, like I mentioned in the initial comments, apart from these 2, a couple of others, we should be able to do those towards the end of the quarter. March , mid-March is what I 'm expecting to launch first.

Parikshit Kandpal: Yes. So when the sales we recorded in this quarter, so from that angle, I wanted to understand whether the pieces will get captured in this quarter or it will move to next quarter?

Jagadish Nangineni: Yes. , if RERA comes in time, definitely, we plan to launch it in this quarter. And part of the sales, which will come for the project will be logged in, in this quarter.

Parikshit Kandpal: Okay. And between the 2, I mean, will Noida be a full -fledged launch? As you've said that 0.8 million you 're looking to launch in Gurgaon, which looks like half of the project, but Noida is

full 2.4 million. So are you more confident on the Greater Noida project if you are going for a
full-fledged launch and not that confident on Gurugram? Just wanted to pick your brain on that.
Jagadish Nangineni: Yes, good question. Actually, it 's not related to any demand side scenario but it is more towards technical. In Gurgaon, we are launching part of the project because the remaining set of the project needs TDR. And we have phased the project in such a manner that we launched first, the
base FAR and the remaining we will launch in , subsequently in the next financial year. And
that's the main reason. Otherwise, we could have launched both, the entire project.

Parikshit Kandpal: Okay. And just the last question, Jagadish, on the pricing bit. So do you think that maybe 3
months back, the pricing you were thinking on both these projects and now where it actually
goes to the launch, do you think that in your mind that number will be slightly lower given that
what we 've been hearing from the peers on the demand slowing down. So do you think that
there is a case you are presenting to the management , senior management that you should
rationalize the pricing, which was thought earlier?
Jagadish Nangineni: No. I think the pricing is largely stabilized in both these locations. We have not come across or
not seen any rationalization of pricing. So hence, I , and our , the projects are of long -term in
nature. We are not chasing only the short -term sales or growth , are, from a , we are here changing
both the growth and also I would not like to sacrifice our margins as well. So hence, we are quite confident that we will be able to achieve both.
Parikshit Kandpal: Okay. Because on margins, still we are weak, and you said that 19% for next 12 to 15 months.
So from next quarter onwards, we see the margins improving or , and by the year -end, we 'll be
at 30%, , then for the next year after 15%, we are at 34%. So how will be the journey from every quarter from here from right now 8% EBITDA margin?
Jagadish Nangineni: Right. For Q4, specifically, it should be much better because there 's a lot of pending revenue
that we can recognize. Going forward, the, it also , the net margin , for the company-wide margin
also depends on the quantum of the completions that we will do and the kind of projects that we
will do.
So what I can see is in the first couple of quarters next year would still be a little tight, mainly
because of increased sales and marketing expenditure that we would do , we would incur and the
completions are slated towards the second half, which we have started about 3 years ago, all those projects will start coming in.
So I think from Q3, it should be significantly better. But first 2 quarters also should be okay,
mainly apart from the fact that it is the, there would be an impact on higher sales and marketing.
That's about it.
Parikshit Kandpal: Okay, sir.
Jagadish Nangineni: Thank you.

Moderator: The next question is from the line of Sucrit Patil from Eyesight Fintrade Private Limited.
Sucrit Patil: Team, am I audible?
Jagadish Nangineni: Yes, Sucrit, perfectly audible.
Sucrit Patil: Yes. So I have two questions. My first question is to Mr. Nangineni. As demand for premium
housing continues to grow, how do you see Sobha balancing expansion into new cities with
maintaining its reputation for quality and luxury? Over the next 2 years, what kind of role do
you see Sobha playing in shaping the customer experience and brand positioning, especially as

competition in the real estate sector intensifies? This is my first question, and I 'll ask my second
question after this.
Jagadish Nangineni: Yes. Thank you, Sucrit. See, currently, we are present in 13 cities. And as luxury housing is
increasing, in fact, we would , we have, our aim is to focus far more on cities, which have a
continuous growth. And hence , and also to make sure that the delivery of our product remains
consistent to what we have been doing till now and, in fact, improve upon that.
So as we grow in scale, the same good what we anticipate would be coming from lesser number
of cities, not, and on higher scale in each of those cities rather than spread out across multiple
cities. And those , largely, those cities would be again, what we are operating in Bangalore, NCR,
Mumbai and partly from Pune and Hyderabad.
Rest of the cities also would contribute, but for , the main focus would be on these cities. Second
is, from a role what we would play, our , the whole , our company has been now founded and we
have continuously operated on the most unique backward integrated model where we can continuously upgrade ourselves and always see how we can improve on our design and our
ability to deliver both on time and of the best quality. And that would continue to remain our

focus. And in fact, we are making significant strides towards that while attending to the matter of delivering towards scale.

Sucrit Patil: My second question is to Mr. Bansal. With multiple projects underway, how are you thinking about balancing profit margins with the need to fund growth? As new developments come into play, what steps are you taking to keep the costs under control and ensure financial discipline while still supporting Sobha 's long -term expansion plan?

Yogesh Bansal: So Sucrit, basically, we are keeping check on our capital, how to allocate capital and how we are, where we have to allocate so that we can get expected return from the project and our team is fully focused on execution and controlling the cost. So we have full check on, our control on cost and as well as capital allocation so that we can grow in disciplined manner.

Jagadish Nangineni: Also adding to what Yogesh has mentioned, Sucrit, that as you would have seen, we are one of the few real estate companies which has a net negative debt, which would mean that there is our ability to fund growth and also to ride over any real estate cyclic ality, both we can achieve simultaneously.

Sucrit Patil: Just an extension to this. You just mentioned the ability to fund growth. So this funding will be internal or it will be by raising any funds from external things?

Jagadish Nangineni: As you are aware, we have actually raised INR2,000 crores as part of rights issue last financial year. So hence, we have already addressed that question of funding growth. In addition to that, we have series of new launches that we plan to do in the next 1 5 to 18 months. And those also majority of them are fully paid for in terms of land. And hence, incremental cash flow should be significant for us to fund the , any growth possibilities that we will get.

Yogesh Bansal: And we are expecting INR16,000 crores, too, from our ongoing projects plus forthcoming projects, cash flow in near future, 5 to 6 years. SOB

Sucrit Patil: The last part was very important. So I wish the entire team best of luck for the next quarter.

Jagadish Nangineni: Okay, thank you, Sucrit.

Moderator: The next question is from the line of Akash Gupta from Nomura.

Akash Gupta: Congratulations on great performance. So my first question is regarding the strategy in Mumbai. I think the project Inizio was launched in the third quarter. So could you please explain like what 's the pricing strategy there? And like how has been the reception for that project? That 's my first question.

Jagadish Nangineni: Thank you, Akash. Our plans for Mumbai, Mumbai as a market is very strategic. It 's one of the largest real estate markets in India. So it 's a measured approach in which we have started our projects in Mumbai. I think any location that we have entered into, it has been a steady growth for us. Like I mean, there are several examples in that because we are present in 13 cities.

So it does take some time to understand the local market across various aspects of real estate development. And to that extent, so it 's a fantastic opportunity that we have started out in Mumbai. And we would continue to invest in Mumbai as we find new projects.

For the first project — Inizio — the pricing, I mean, we have a similar method of pricing our projects, which , and I think for the kind of quality that we deliver, it 's quite , it's a little premium to the market, but that 's the premium that we do see in any of the locations that we operate in.

Akash Gupta: Got it. And sir, second question is on next year 's demand outlook. There 's so much macro uncertainty and even the stock market is not doing very well. What 's your thought on the real estate demand in the cities that you 're operating in, in FY '27? I wanted to know your thoughts, particularly for Gurgaon and Bangalore. How are you thinking there?

Jagadish Nangineni: Frankly, Akash, I wish I know the accurate answer for that. But what I can clearly see is that there is uncertainty, not in just FY '27. So when we launch projects or when we have outlook for the business, we cannot operate in just 1- year time horizon.

We'll have to take a slightly longer -term outlook. And in that context, we see that the real estate demand is directly , I mean, the real estate demand is completely an outcome of the economic growth that we experience. And as the economy grows, the discretionary spends increase, there would be continuous demand and , in an asset class like real estate.

There might be , in the last few years, , there has been a significant increase in pricing and hence, there has , it has attracted a lot of short-term or medium -term investors but probably that might not be the case in the near term. But otherwise, from a long -term structural , structure point of view, that the demand should remain robust if the core assumption is that the economic growth is intact.

Akash Gupta: Sir. And sir, my third and final question is with respect to your FY '26 guidance. I think it 's close to INR85 billion, and we are thinking that the Gurgaon and the NCR project will be launched towards mid-March. In the event that happens, do you think there 's risk to that INR85 SOBHA billion number? And second is that in addition to Hoskote in FY ' 27, do we have any other big project to drive our growth in FY '27?

Jagadish Nangineni: A good question. So in FY , I'll take the second question first. So FY '27, as you have seen, there is a pipeline of about 16.5 million square feet to be launched for us. And in that, if all the launches that we have spoken in this quarter do occur, then it will , that's about 6 million square feet.

The remaining about 10.5 million square feet is in the next financial year. So apart from just Hoskote, which is about 5.5 million, there are several

other projects, both in Bangalore and rest of the country, one in Pune, one in… a few more in Gurgaon and then a couple of more in Bangalore as well.

So we have a reasonably good visibility towards that pipeline. In addition to that, in fact, there are several other projects which are at design stage. And as we make progress towards the approval stage, we would add to this pipeline.

Coming to your question on this specific quarter. Of course, like I said, the quarter 4 performance would be partly dependent on the launches. But I think if we are managing to launch some of -- at least some of these projects, which I have mentioned, then we should be able to achieve what we have set out for.

Akash Gupta: Got it, sir. Perfect. Sir, best of luck.

Jagadish Nangineni: Thank you, Akash.

Moderator: The next question is from the line of Fenil from Choice Institutional Equities.

Fenil: Congratulations for the good quarter. So you entered into the Mumbai market first time in the last quarter. So how was the response to the SOBHA Inizio? I want to understand. And what would be the expected average price realization or completion period? If you can share some detail on that project?

Jagadish Nangineni: Thank you, Fenil. The fact that, as a group, we are present in , we have been a listed company for the last almost 19 years. And also the fact that our presence in Dubai has been significant as a group, the recognition towards our brand is very high. There has been a lot of inquiries and the pricing that we have launched it at is about a little lower INR50,000.

And I think there is a good understanding of the customers of the brand and the location, and we seem to be on good stead on that particular project. And also, we are looking at a few additional projects that we would explore in the next year or so.

Fenil: Okay. Okay. And could you repeat the launch schedule for 4Q '26, which you have mentioned during this call at the start like with the square feet like one project in Gurgaon and then Noida and Bangalore. So could you repeat that thing once again?

Jagadish Nangineni: Yes, sure. We have, I said we can launch about 3 to 4 projects, one in Gurgaon at about 800,000 square feet, Greater Noida is about 2.4 million square feet, Chennai is about 1.5 million square feet and Calicut one is at about 800,000 square feet. SOBHA

Fenil: Okay. Okay. Talking about the margin, is there any material impact or support from the recent GST reform or what the management view from that changes on the margins? Like Sobha is getting any support or it 's impacted due to those reforms? Like what 's the view?

Yogesh Bansal: So Fenil, if you see GST reform, okay, basically, it is benefiting B2C customer more than B2B.

We are consumers of like cement, they have reduced, okay? But we are a consumer of RMC, okay? So for us, it 's a very limited impact on our margins. Basically, it should be reduced prices.

But since we are in B2B segment, so we are not getting any benefit of GST reduction. So hence, there is no impact on margins.

Fenil: Okay. Okay. And if you can see the same thing from the , this primary labor court, which is change on a , means which come into effect on 21st November. So some labor laws change, right? So what we are expecting out of that? Like because in general, markets are expecting impact from this around 8% to 12% overall. So what 's your view on this?

Yogesh Bansal: So we are expecting labor court rules, okay, which yet to be notified by the state okay? We have to see impact. But gratuity and leave encashment perspective, we are already fully compliant.

So we don't have any impact from that perspective.

Fenil: Okay. Got it.

Yogesh Bansal: Okay?

Fenil: Yes. Yes. Okay. Okay. Got it. Yes. So that 's all from my side. All the best.

Jagadish Nangineni: Thank you, Fenil.

Yogesh Bansal: Thank you.

Moderator:

The next question is from the line of Biplab Debbarma from Antique Stock Broking.
Biplab Debbarma: Wish you all a very happy New Year. Sir, my first question is on Greater Noida. I , my understanding is that the project was at advanced stage, I mean, last quarter itself. And now we are saying that it could be launched mid -March. So what is happening there? What is the issue there? It is some regulatory or some market -related decision? Could you elaborate because another developer also postponed its launch. So is there any issue something that should be aware?
Jagadish Nangineni: Thank you, Biplab. I am not aware of any other player, Biplab. But for us, it is simple a very specific issue or, let 's say, which is part of any new project launch or design. So we have been going back and forth. I mean, we have made some small minor changes in our design and hence, it led to a little extension of time. And only due to that is the main reason for some of the timeline extension. But otherwise, I have not seen any systemic issue, Biplab.
Biplab Debbarma: Okay. Okay. That 's good. And sir, congratulations on Inizio launch. That is the first ever , actually the project is nearby where I stay. Inizio, now after Inizio and this Greater Noida projects, what is the , can you give us some insight on the business development pipeline? What next in, say, in Greater Noida or MMR? We also read some news where you have bid for a SOBHA

project, railway project also. So can you give us some insight on business development pipeline in NCR and MMR? Yes, sir.
Jagadish Nangineni: Yes, Biplab. Sure. I mean like I was mentioning previously, our focus locations are Bangalore, NCR, Mumbai and some of the other cities like Hyderabad and Pune. So the , firstly, the good news is that we already have a good pipeline of projects in NCR and Bangalore, and we continue to have good business development pipeline as well. So that 's an ongoing process.
And since we are located in both these locations for more than, I mean, of course, in Bangalore for 3 decades and NCR for almost 1.5 decades. So the opportunity pipeline is quite good. In fact, it has increased quite a bit in the last 6 months or so. So we are seeing a lot of interesting opportunities, and we will continue to deploy our capital in both these locations. However, our inventory that we can actually launch in Bangalore is much larger.
But considering the various sub- micro markets in Bangalore, we are selective in some of the micro markets where our presence is lower. Other than that, we are quite good in the existing land bank that we already have.
Coming to our new cities like Mumbai. So we , this launch has been an effort that we had undertaken about 1.5 years or so.
Now during , that's also now that we have a full -fledged presence in Mumbai, and we have gone through a cycle of , from land towards , to launch of a project, our understanding of the market and our understanding of the local bylaws, etcetera, are fairly , are much better.
And hence, we are looking at opportunities, and we are , wherever we find that it is an opportunistic or a good opportunity, we are expressing our interest and participating in those, like you have seen that one of the railway land we have participated in.
Biplab Debbarma: Okay. Okay. And how much inventory you have sold in terms of percentage in Inizio?
Jagadish Nangineni: Still initial days, Biplab, we would definitely like to disclose that, which we would do. But since we have launched towards the end of the quarter, still numbers are trickling in. And as we progress, we will , by the next quarter, hopefully, we should be able to give you a clear picture for that.
Biplab Debbarma: Okay, sir. Thank you, and a ll the best, sir.
Jagadish Nangineni: Thank you, Biplab.
Moderator: The next question is from the line of Pritesh Sheth from Axis Capital.

Pritesh Sheth: Just one question on the growth visibility side. So I think this year have been good so far and probably will end well and probably we 'll surpass the aberration that we had last year. Can , for how long we can continue this 15%- 20% kind of a growth that we would have had in last 2 years? And in terms of city -wise, probably Bangalore, we would be already doing INR4,500 crores, INR5,000 crores of presales. Is there more growth possible? And apart from that, which all cities do we think we can scale up further to target that 15 %-20% growth over next couple of years? Yes. SOBHA

Jagadish Nangineni: Thank you, Pritesh. The , on the overall growth point of view, I think if the demand scenario continues, which is quite stable and the end user demand continues and the economic growth is intact, the basic fundamentals, if they remain the same, then the growth for us is partly led by new supply and new supply from our side.
And we are seeing that if we are able to launch projects, our , this financial year, we have seen that the response to new launches has been much better. And hence, we are able to achieve these better numbers despite fewer launches during the year. So hence, it gives a lot of optimism for us.

And from a growth point of view, so the , our main goal would be to make sure that the current pipeline of launches are actually executed and we bring those , that inventory into the market. If we continue to do that, then I think that the ability for us to grow is definitely there, and there is a visibility for the next at least 2 to 3 years.
Pritesh Sheth: Sure, sure. And just while you have elaborated city-wise pipeline quite well in terms of forthcoming projects and the subsequent land, but just in which city or markets you think you would continuously need some business development to be done over the next 6, 12 months, so that your growth targets are aligned in as , for the company as a whole?
Jagadish Nangineni: Right. So like I said, the , if I look at my current inventory and future inventory that 's going to come in, roughly about 50% of that is still in Bangalore and about roughly 30% is in NCR and remaining , about 10% in Kerala and remaining in the other cities.
And if we have to grow in cities like , new cities like Mumbai and also increase the growth in cities like Hyderabad and Pune, then we would, we are looking at new investments there. In fact, in, we are looking at opportunities in all these places. That said, I think there is slightly more opportunities even in NCR, even though we have a little bit of inventory there because in, like you would have seen, NCR is not just 1 city, it 's three different states.
And hence, we will look at opportunities specific to each of the state and the corresponding inventory that we have. So it 's an ongoing process. And thanks to our visibility of our cash flow and our capital structure that we have, there seems to be good , better opportunities now than what we had seen in some of these locations.
So of course, the challenge is to make sure that there is a balance between what we are launching, generating cash flow and also deploy capital where the opportunities provide some kind of margin of safety.
Pritesh Sheth: Sure. And just assuming in Noida, we had two projects, we have launched , we would have launched both of those this year itself. Are there more opportunities emerging there as well? Or we'll still have to rely on Gurgaon for achieving the same number or grow on this base in NCR?
Jagadish Nangineni: No, absolutely. The fact that we have taken a plunge into Noida market, which is UP. So we are seeing opportunities across UP, not all Tier 2, Tier 3 cities but which is Noida, Greater Noida, Ghaziabad and in and around those. So the pool of opportunities has increased for us and we are actively looking, evaluating, in fact, in var

ious stages of discussion as well.

Pritesh Sheth: Sure, sure. Okay. That 's it. That 's very helpful, and all the best.
Jagadish Nangineni: Thank you, Pritesh.
Moderator: The next question is from the line of Manoj from Geometric.
Manoj: Happy New Year Sir and Best of luck for the coming year. My most of the questions have been answered. I just want to know how much the launch size of Hoskote in the , which is coming in the next financial year, in the beginning?
Jagadish Nangineni: Yes. Like I had mentioned in , this earlier in the call, it is the , we have about 5.4 million square feet project, and we are planning to launch it in the first quarter of next year.
Manoj: And will you launch how much in the beginning, it won't be launched in the 5.4 in the starting or we have not decided as on that?
Jagadish Nangineni: Yes. Typically, the one , the project , RERA, we would take it for the entire project, but we would launch based with the demand that we would see. And it 's, typically, for this size of the project, we generally , at the time of launch, it 's about 30% of the inventory.
But if things are really good, then we would subsequently open up the entire inventory. For example, in , we had launched a large project last year around this time, Sobha Townpark –
Madison and Hamptons. So that was about 3.3 million square feet.
Initially, we did launch about a million square feet of it. And as we speak, we have opened , , couple of towers remaining , all the other towers have been released. So close to more than 80% to 85% of the inventory has been released. So it 's a function of the demand and , our ability to open up that inventory is there since we have all the permissions for that.
Manoj: Okay. So you can have .. in some places, how do you feel Noida and Greater Noida as a market for coming time?
Jagadish Nangineni: No, I think it's, we have just launched our first project. We are going to start our second one very soon. So these are still early days for us, and we , there's a great recognition for the brand.
And there is bound to, and in the last 3 to 4 years, especially, there has been a significant growth in UP and specifically in Noida, Greater Noida and there are a lot of positives in the development of the location.
It was already known for good infrastructure. But in addition to good infrastructure, now job creation also has significantly increased. And the prospects are also looking very good with events like opening of Jewar Airport and some of the other manufactur ing giants coming and setting up their units there. So overall, there seems to be very positive indications towards the

economic growth in, specifically in these locations, and that should be positive for us. And in the long run, if end user demand continues to grow there, then there is no doubt that we can also grow.
Manoj: Thank you and Best of luck.

Jagadish Nangineni: Thank you, Manoj.
Moderator: The next question is from the line of Dhruvesh from Prospero Tree.
Dhruvesh: Yes. Jagadish ji, congratulations. A couple of questions related to 3, 5 years of overall growth from here. So we are basically at INR8,500 crores probably hitting in FY ' 26. And if we target , I mean, you have not communicated, but any , the direction is towards INR15,000-INR17,000 crores over next 5-6 years or 4- 5 years, how much contribution from Bangalore will be if we ever achieved those lines? I mean , and it is coming from angle that can Bangalore give you the same growth as the total company because of already having such high maturity there?
Jagadish Nangineni: Good question, Dhruvesh. First, from a growth point of view, we, of course, are , we have plans of how we can grow from this FY '26. And partly, part of it is dependent on our new project launches, and we have cle

ar visibility for that.
And if I look at the , from a supply point of view, not necessarily from a demand point of view, we do have visibility for , even in a number like INR15,000 crores, INR16,000 crores. So we do think that Bangalore can contribute towards anywhere between 40% to 50%. We are already at 5,000, or close to INR4,500 crores to INR5,000 crores. And that is largely concentrated in a few locations.
And if the diversity of the locations improve, then definitely, there should be an increase in the overall , I mean, we would be addressing a larger market size within Bangalore itself. And hopefully, we should be able to grow within that, that 's number one. Number two is, of course, for overall growth of the company, we will need to penetrate a little bit more or have a higher market share in other locations. And those are definitely coming from NCR. And if not near term, then definitely in the longer term from places like Mumbai, but other locations like Hyderabad, Pune also can contribute. So if you really ask from overall growth point of view, we are quite positive in terms of this growth.
And going for a number of INR15,000 crores, INR16,000 crores, I would not like to comment immediately, but these are the numbers that we already have in the horizon.
Dhruvesh: Okay. Great. And in terms of the volumes, so because everywhere in the country, the prices in the last 4 -5 years have really gone up quite a bit, especially in the key metro cities. And I don 't think anybody is now imagining big price increases. In fact, there can be a situation where there is a 5% -7% decreases in some areas.
So in light of that, how much will , I mean, we, as a company are not at all focusing on high volumes in terms of square feet in , because we are so premium, so higher ticket sizes, will it not come to bite us if we don 't really ramp up our supply towards the slightly lower categories also, which we already are servicing, but not in a big way.
Jagadish Nangineni: No, you're right. So in fact, the , it's dependent on our ability to size our product and not that we are addressing only one segment. Our pricing might be premium, but not , I mean, but within that itself, we should be able to address ticket sizes across from INR2 crores, INR3 crores to , till INR5 crores.

If you look at our investor presentation, you can see that our sweet spot has been between INR2 crores to INR5 crores, which delivers close to 80% of our sales. So within that, I think there is enough demand. And even less than INR2 crores for a 2 -bedroom kind of product also in some projects, particularly in larger projects, we are bringing out those in higher number to address that kind of segment.
So it might not be possible in every city that we are able to do. But definitely in cities where , cities and in locations where we can do, we are actively mindful of the market size based on ticket sizes. So hence, we are designing our products also in that manner.
Dhruvesh: And just last comment more than a question. So I, as a shareholder, really like the company, the product, et cetera. But just that I as a shareholder also feel that we are missing out on the growth that we can achieve in the country like India. So just as a feedback, do push the pedal wherever you think there is a possibility.
Jagadish Nangineni: Absolutely, Dhruvesh, we are highly focused on growth as well. And there are quite a few things that we had done in the last past few years which have set up a good foundation for us. One, acceleration of launches, creating the right kind of process and structure within the company. Second, building the capital base without risking the cyclicality of the residential cycle. And definitely, there is a high emphasis on growth and we would be focusing on that, absolutely.

Dhruvesh: If I may, just one bookkeeping. What would be the total corp

orate overheads with this new established structure? I remember asking this question a couple of years back, but , because a lot
of things have changed internally so if we don't go at the project level, what will be our corporate
total yearly cost?
Jagadish Nangineni: That's roughly about , for this financial year, it would be about INR320 crores to INR330 crores.
Dhruvesh: Sorry, INR322 crores?
Jagadish Nangineni: INR320 crores to INR330 crores.
Dhruvesh: Okay, fine, sir.
Jagadish Nangineni: Thank you.
Moderator: The next question is from the line of Himanshu Upadhyay from Stedfor t
Himanshu Upadhyay : Yes. Yes. So my question was, in last 9 months, we have spent significantly on land, okay? And
land-related payment and JD a nd partner payment. Can you give some idea of what would be
the money we have spent for historical land consolidation and approval related costs and versus completely new project
acquisitions which we have done in 9 months? Just the numbers, if you can giv e some thoughts, it will be helpful.
Jagadish Nangineni: Yes. I mean, we, it's a combination of both. I do not have the number right away for that,
Himanshu. I 'll, we'll be able to provide subsequently. We 'll, our Investor Relations will reach
out and give you that number. I do not have that number handy immediately.

Himanshu Upadhyay : Okay. And any , not the exact amount, but let 's say, the number of new land acquisitions we
would have done. Can you, any thoughts on that? Means, business development wise, new land?
Jagadish Nangineni: Yes, it 's an ongoing process. And actively, we have not been declaring new business
development or let 's say, as a metric in any , previously. And we probably… we don 't even
intend to do that because that 's a very strategic opportunistic goal that we pursue. And hence,
we have not been disclosing it in the past. So right now, for this breakup, what you would like
to have, then our team will , can reach out to you and provide you the same.
Himanshu Upadhyay : And one more thing. We have this forthcoming and subsequent projects launched, the land, okay,
some 422 acres, okay? So should we assume that in these 422 acres, we don't have any money to be paid for the JD / JV
partner or anything like that? And it would be only approval -related
costs which are pending for this 422 acres.
Yogesh Bansal: In fact, there are certain pending payments to the land , towards land in this. It is not very
significant given the volume of launches that we would be doing in this. So all put together, we
have an estimate of about INR1,000 crores that need to be spent for , or let 's say, invested towards
this, towards both this , forthcoming, very minimal, but a part of it is forthcoming and part of it
is subsequent. But not necessarily the investment is impeding the launch of the project. So it 's,
in some cases, the investments continue post the launches also.
Himanshu Upadhyay : And let 's say, the , another figure, what we give is 1,752 acres, which is various stages of
consolidation, monetization and self -use. What type of amount which will be required to
consolidate and just get the , our name on those lands, okay? Any… some thoughts on that?
Jagadish Nangineni: Yes. In fact, majority of those lands, we would ideally like to monetize or bring towards the , and
part of them we will bring towards development. And even if we have to bring towards
development, that is not as high as what we have seen in the , for the remaining 422 acres.
Himanshu Upadhyay : Does it mean that it is lesser than that 422 acres, what rough cut figure you gave of INR1,000
crores.
Jagadish Nangineni: Yes, yes.
Himanshu Upadhyay : Okay. Okay.
Jagadish Nangineni: Thank you, Himanshu.
Himanshu Upadhyay : Yes.
Moderator: Ladies and gentlemen, this will be the last question for today, which is from the line of Aayush
Saboo fro

m Choice Institutional Equities.
Aayush Saboo: So I just wanted to understand, firstly, congratulations on your Mumbai launch. What could be
the prospective pipeline that we could launch possibly in Mumbai in 2 to 3 years. Like is there ,
have we set any target or any guidance regarding that?

Jagadish Nangineni: Aayush, sorry, we don't have any specific timeline or target towards that. Like I mentioned, we
are looking at opportunities. In fact, we are working on a few opportunities in Mumbai. But it 's
considering that we are new and also considering that there are multiple opportunities that we are pursuing.
And most of the land acquisition is opportunistic, it has to fit in our framework. So it 's very

difficult for us to give a target at this stage. Once we have certain plans tied up, then surely we can disclose those details.
Aayush Saboo: All the best.
Jagadish Nangineni: Thank you, Aayush.
Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Adhidev Chattopadhyay: for closing comments.
Adhidev Chattopadhyay: Yes. Good evening. Thank you, everyone, for joining us on the call today. Just like to hand it back to the management for any closing comments, if any, yes. Thank you.
Jagadish Nangineni: Thank you, Adhidev, and thank you all for participating in the call, for your questions and patient hearing. I hope we have answered most of your questions satisfactorily. You’re most welcome to reach out to our Investor Relations team for any further clarification.
Our continued focus on operational excellence, coupled with strong customer confidence in the brand are pillars of our strength, helping us simultaneously achieve both customer satisfaction and business metrics. Our disciplined growth mindset, investment in technology and people and process improvements will see growth acceleration.
Our robust balance sheet uniquely equips us to capitalize on emerging opportunities while effectively managing the inherent cyclicality of residential real estate. Wish you all a very happy weekend and the best for the rest of the year. Truly appreciate yo ur support. Thank you.
Moderator: Thank you. Members of management, ladies and gentlemen, on behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.
Jagadish Nangineni: Thank you. SOBHA

Call: May 2026

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Date: May 09, 2026

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Scrip Code: 532784 The National Stock Exchange of India Limited
Exchange Plaza, Plot No C/1, G Block
Bandra Kurla Complex
Mumbai – 400 051
Scrip Code: SOBHA

Dear Sir /Madam(s) ,

Sub: Transcript of Meeting with Analysts/ Institutional Investors

In continuation to our letter dated April 30 , 2026, please find enclosed herewith the transcript of the conference call held on Tues day, the 05
th day o f May, 2026 with the
Analysts/ Institutional Investors to brief the Operational and Financial performance of the Company for the quarter and financial year ended March 31, 2026 .

We request you to take the aforesaid information on record in terms of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and the same is available on the website of the Company.

Yours sincerely,
FOR SOBHA LIMITED

Bijan Kumar Dash Company Secretary & Compliance Officer
Membership No. ACS 17222

"SOBHA Limited
Q4 FY '26 Earnings Conference Call"
May 05, 202 6

MANAGEMENT : MR. JAGADISH NANGINENI – MANAGING DIRECTOR – SOBHA LIMITED
MR. YOGESH BANSAL – CHIEF FINANCIAL OFFICER – SOBHA LIMITED

MODERATOR : MR. ADHIDEV CHATTOPADHYAY – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to SOBHA Limited Q4 FY '26 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an

operator by pressing star, then zero on your touchtone phone. Please note that this conference is
being recorded. I now hand over the conference to Mr. Adhidev Chattopadhyay from ICICI
Securities. Thank you, and over to you, sir.
Adhidev Chattopadhyay: Yes. Good evening, everyone. On behalf of ICICI Securities, I'd like to welcome everyone on the SOBHA Limited call today. From the management, as always, we have with us Mr. Jagadish Nangineni, the Managing Director; and Mr. Yogesh Bansal, the Chief Financial Officer. I would
now like to hand over the call to the management for their opening remarks. Over to you. Thank
you.
Jagadish Nangineni: Thank you, Adhidev. Good evening, everyone, and thank you for joining us on this call for Q4
FY '26. In today 's call, we 'll briefly go through the operational highlights of the year and a little
bit about the future. FY '26 has been an exceptional year for the company. Our real estate sales
reached an all -time high of INR8,136 crores, with strong and consistent average quarterly run
rate of approximately INR2,000 crores.
We have achieved an average price realization of INR14,675 per square feet compared to
INR13,412 previous year, which is reflecting a growth of around 9.4%. From here, we expect to
grow at a similar rate as last year. Last year, we have done about 30% growth in terms of sales
and similar rate is what we expect this FY '27 as well.
Bangalore recorded its highest ever annual sales of about INR4,500 crores, with both new
launches and sustenance sales also doing well during the year. NCR region delivered the highest
ever annual sales of about INR2,450 crores with our expansion into Grea ter Noida. Both
Bangalore and NCR together contributed about 85% of our sales. Kerala region maintained steady momentum with about INR800 crores and other regions contributing about INR400 crores.
In terms of project launches, we launched about 6.04 million square feet during FY '26. Some
of the planned launches were delayed due to multiple factors, both external and internal. Having
said that, in April '26 itself, we successfully launched our project in Gurgaon, which is SOBHA
Crescent Phase 1. It has received good response.
Looking ahead, we plan to launch in this financial year, at least about, again, more than 50%,
close to about 10 million square feet is what we look to launch across Bangalore, Gurgaon,
Hyderabad, Thrissur, and Pune. That we will be able to do in the next year. Overall, we have a
pipeline of 20.67 million square feet in various stages of design and approval, which we plan to
launch in the next 6 to 8 quarters, of which about 10 million we expect t o launch in this FY '27
itself.
Our non-real estate business, which include manufacturing, contracting and retail have
continued to perform steadily. These businesses also play a critical role in strengthening our

backward integrated model and ensuring consistent delivery of world-class quality. We expect
to maintain a similar run rate with these businesses as well with improved profitability.
On the project completion front , for the real estate, we delivered 1,087 homes during the fourth
quarter and taking the total to 3,188 homes, equivalent to 5.4 million square feet for the year.
This, again, has seen an increase of about 19% compared to previous year. We are accelerating
our delivery, and we hope to achieve at least similar growth in the next year as well. In terms of
revenue recognition and ma

rgins, we witnessed significant improvement in the fourth quarter,
primarily driven by receipt of o ccupancy certificates, which got delayed in the third quarter
earlier.
We currently have an unrecognized real estate revenue of about INR18,600 crores as we have
shown in our investor presentation as well that we expect an EBITDA margin of at least about
30% plus there. The projects that are nearing completion and expected to be recognized in the
next 12 months are likely to deliver higher margins in the r ange of 24% to 26%, signific ant
improvement from this year.
And hence, we expect significant improvement in our P&L even in FY '27 with improving
margins over the quarters and probably a little bit higher towards the end of Q3 and Q4. In
conclusion, the company has built a strong foundation supported by record sales performance,
robust launch pipeline and steady operational executi on and clear visibility of margin expansion.
And we believe we are very well positioned to sustain this growth momentum in FY '27 and
beyond.
With this, I 'd like to hand over the call to our CFO, Mr. Yogesh Bansal, to take you through the
financial details.
Yogesh Bansal: Good evening, everyone. I am pleased to present our financial performance for the fourth quarter
and financial year '25- '26. In FY '26 was characterized by strong operating execution and
disciplined capital allocation. We delivered record sales , while strengthening liquidity and
reducing leverage, ending the year in a net debt negative position.
Our focus remains constant, accelerate collection, fund the construction and land investment

through operating cash flow and improve the quality of earnings through lower finance cost. I will briefly walk you through our cash flow performance, covering bot h the quarter and year trend along with our outlook. And then I will move on P&L. During the quarter from all businesses, we collected INR 1,990 crores and for the full year, total collection was INR 7,798 crores, recording a healthy 26.1% growth over last financial year.
In Q4, real estate collections stand at INR1,807 crores and for financial year ‘26, INR7,067 crores. Contractual and manufacturing contributed INR 183 crores in Q4 and INR 732 crores during full financial year. At net operating cash flow level, we generated INR 366 crores in the quarter and INR1,637 crores in full year, registering growth of 39.4% over FY ‘25. As on 31st March 2026, gross debt stood at INR 1,002 crores, while cash and cash equivalents was INR1,802 crores, maintaining a net cash position.

Coming to P&L. For the quarter, we recorded a total income of INR 2,030 crores, taking the full year FY ‘26 total to INR5,384 crores. Revenue recognition strengthened during the quarter, aided by clearance for completion certificate for multiple projects. EBITDA for Q4 was INR 194 crores, with EBITDA for FY ‘26 is INR503 crores. PAT Q4 was INR 92 crores and FY ‘26 was recorded INR193 crores.
Gross debt reduced to INR 1,002 crores and cash equivalents were INR 1,800 crores, resulting in negative net debt of INR 800 crores. The cash balance provides resilience through cycles and enable us to fund launches, construction movement and land investments. A combination of strong collection, lower cost of funds and a net debt negative position strengthen our ability to execute our development pipeline with a disciplined financial posture.
Looking ahead, company confidence is underpinned by strong operating momentum and high visibility across P&L performance, revenue, cash flow and land availability. Revenue yet to be recognized from sales done till 31st March stands at INR 18,647 crores. For a cash standpoint, projected marginal cash flow from completed and ongoing is estimated INR9,560 crores and forthcoming project add an additional proj ected marginal cash flow of INR8,699 crores.
We are ai

ming in FY ‘27 net cash -- net operating cash flow close to INR2,000 crores. As we scale, our priority remains the same, strengthen our balance sheet, improve cash flow and maintain speedy execution. With this operating framework, we believe SOBHA is well positioned for sustained long- term value creation. Once again, thank you all for your participation. With this , we can now open the call for questions.
Moderator: Thank you very much. The first question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.
Parikshit Kandpal: Congratulations on a decent quarter. So the sales were low expectation. I mean, our expectation was more like INR10,000 crores. I understand one of the launch got postponed in Gurgaon. So just wanted to understand if we have a 10 million square feet [inaudible 0:11:43]
Moderator: I’m sorry to interrupt. Your voice is muffled. Can you use your handset mode, please?
Parikshit Kandpal: Am I audible now? Is it better?
Moderator: Yes. Please proceed. Thank you. Yes, please proceed, sir.
Parikshit Kandpal: So, Jagadish, my question was on the launch of INR 15,000 crores, about 10 million square feet and 15,000 realization. So if you can highlight some of the key launches in Q1, Q2, Q3, Q4, so how will these launches be phased out and some of the key launches if you can highlight for us?
Jagadish Nangineni: Right. Good evening, Parikshit. So, some of our key launches for this financial year would be our Phase 1 of our Hoskote project, which we are expecting to launch in the first quarter. And along with that, we have already -- like I mentioned in the openin g comments, we are -- we have already launched Phase 1 of our Gurgaon project.

Both these put together itself will be about close to 6.1 million, 6.2 million square feet. In addition to that, then in Q2, we have a couple of launches in Kerala, which are in Calicut and in Thrissur. In addition to those, we expect to launch a couple of more projects in Bangalore. Essentially, one of the projects that we earlier launched as a Row House project in Bangalore, we cancelled that project and we are relaunching it with apartments that we plan to launch it towards the end of the year. So, these would be the main launches, taking all of this together to about 10 million square feet.
In addition to that, there are a couple of more, which are tentative, which might come towards the end of the year, which is, one project in Pune and one project in Chennai. So, both these, if they also come through, then we can achieve slightly higher in terms of launches.
Parikshit Kandpal: Okay. Sir, on the project Rivana, so what exactly happened? I mean, this is a large project and you were

expecting very strong sales from this. So what I understand on your presentation, you
have given about INR 600 crores of sales from NCR. So if you can highlight what was the
inventory which was opened and how much since you have clocked and how has been the
momentum in Q1 from this project? So how do you rate the response to this project given that
Q4 end, we h ad this geopolitical issue . So if you can highlight a bit on this.
Jagadish Nangineni: Yes. Like you would have seen, Parikshit, that Rivana is a large project. It ’s about 2.5 million
square feet, 1,384 units. We launched our Phase 1 there, which is 684 units. We , in the first few
weeks of the launch, we did about 25% of t he sales, whatever we launched.
And due to the good location and also the scale of the project, there is continued interest in the project, and we ’ll see a
steady momentum from here. We have all the infrastructure in terms of
sales preparation and the team in place. So hence, we would see a good , continued, sustain ed
sales in the project. We are quite confident of it. And in fact, we have started our execution of the project as well.
Parikshit Kandpal: And the last questio

n, sir...
Moderator: Sorry to interrupt Parikshit, please rejoin the queue for more questions. Thank you. Next
question is from the line of Puneet Gulati from HSBC.
Puneet Gulati: Congrats on good performance. My first question is with respect to the gross margins and
EBITDA. They still seem to be a bit lower than what you’ve been guiding historically. When
should we see expansion of this margin? And any particular reason you would like to highlight for this quarter?
Jagadish Nangineni: Yes. Good evening, Puneet. The gross margin, like I was mentioning, is , will start coming
through with the project completions that we have on the ongoing projects, which are scheduled
to start getting completed in end of Q2 and Q3. And that ’s where , we think that the gross margins
will significantly see , start looking , there will be an uptick on that.
So as we progress during this financial year, FY ‘27, Q3 and Q4 should start looking far better,
and you would start seeing the EBITDA margins that we have been projecting, of course, for the

entire remaining revenue to be recognized. But those bits will start kicking in and then hence,
the higher profitability will be visible.
Puneet Gulati: Okay. My second question is, number one, you had this Row House plan, which you converted
to apartment. How should we think about this in the scheme of what you are viewing in the
market?
Jagadish Nangineni: Well, it’s , I think it’s a strategic call that we have taken given the extent of the land that we had
and the kind of development one can plan there. So hence , and given the kind of ticket sizes that
we will be able to , through which we ’ll be able to achieve higher sales momentum, this seem to
be a much better utilization of the land and hence, we are making that attempt to change, which
would give for the same land probably, will get better both realization and overall margins as
well. So from that perspective, it ’s a very positive change, which will add to the overall sales
numbers, sales value and the margins.
Puneet Gulati: Understood. And lastly, if you can just talk about what should we calculate for...
Moderator: Sorry to interrupt Mr. Gulati. Please rejoin the queue, sir, for more questions. Next question is
from the line of Girish Choudhary from Avendus Spark.
Girish Choudhary: Jagadish, congratulations for a strong year. My first question is on -- again, on the Hoskote
launch, if you can give us some more color on the total size of the project and break it up between
Phase 1, Phase 2, the GDV? And then where are we in terms of the approvals both on the design
and also the RERA time lines?
Yogesh Bansal: Right. Thank you Girish. So this project will be about 5.3 million square feet, only residential
portion. So that ’s, we should be able to receive our RERA in Q1 itself and launch the project.
So we are in very advanced stages of the launch. So -- and the overall GDV for the project should
be about INR7,000 crores. So it ’s a large launch for us. And we expect to see sustained demand
for this kind of project.
Girish Choudhary: Okay. Okay. And second question, in terms of -- just wanted your outlook or how to look at
business development heading into fiscal ‘27? Right? In the PPT, you also mentioned about your key markets will be
Hyderabad and also Mumbai, but what we can see is that there is a minimal
land parcels or projects there in Hyderabad and Mumbai. So firstly, how to look at the business
development i n terms of the key areas? And also from a cash flow point of view, what can -- I
mean, what ’s your budget ed outlook for the land?
Jagadish Nangineni: Right. So from a BD point of view, we are continuously adding, of course, new projects. And
hence, you can keep seeing that our, despite our sales year -on-year, the potential launches that
we can do, they continue to remain roughly around 16 to 20 million square

feet every, at any
point of time. So the business development, like you would have seen that last year, we have spent close to about INR 1,150
crores, INR 1,160 crores on land.
I think with the kind of cash flow that ’s being generated, there are certain , some more pending

land payments for the existing lands. And post that, I think, we should be able to do continuous business development in these locations. So Hyderabad, while we plan to do that, we are just ,

we are hoping to launch our second project this financial year. We are on the approval stage.
And we are continuously looking at new opportunities in Hyderabad as well.
Girish Choudhary: So from a cash flow point of view, can we look at the similar INR1,100 crores, INR 1,200 crores kind of a spend in fiscal ‘27?
Jagadish Nangineni: Yes. That is exactly what I was alluding to. So not only that we are , we have done that and a lot of the payments that are required for, pending payments for the existing lands. Once those bids are also done, which should , we should be able to do it by in the first half, then most of the additional cash flow will be going into new business development.
Moderator: Next question is from the line of Biplab Debbarma from Emkay Global.
Biplab Debbarma: Congratulations on the excellent results. So I just wanted to know how is the performance to the new launches in SOBHA Rivana and Crescent? I mean, how much you have sold till date in these projects?
Jagadish Nangineni: So thank you, Biplab. Rivana, like I mentioned last quarter, which we launched, I mean, towards the last week of the quarter, we did quite decent in terms of considering the uncertainty around that time. And we are seeing positive sustenance sales as well . So whatever we launched, we sold about 25% of that. In Crescent, which we launched in April 1st -- in the month of April, so we did roughly about 50% of the sale there, so which is quite encouraging. So both have started out really wel l. And since we have the inventory in both places, we can continue to see good momentum.
Biplab Debbarma: Sir, in terms of rupees crore, how much in this project?
Jagadish Nangineni: In Crescent, it ’s about INR1,100 crores.
Biplab Debbarma: And Rivana?
Jagadish Nangineni: Rivana, it ’s about INR 500 crores.
Biplab Debbarma: And sir, what is the current deal pipeline visibility in MMR and Noida, Greater Noida?
Jagadish Nangineni: So in MMR, we are pursuing a couple of projects, which we should -- we should be able to conclude during this year, which one is a redevelopment project and one is we are trying to buy a land. Both are small projects, but at the same time, it will give us a good understanding of how we can operate and scale in Mumbai. And our current view, the way we are operating in Mumbai is that we will continue to see how we are performing and also getting to learn the nuances of the market.
While we are doing that, in Noida, we have seen significant demand for our product and which we have done well. We have already launched 2 projects there. So we have additional , 2 to 3 additional clients that we are actively pursuing. And we hope if we can conclude at least one of them, then in this year, in addition to what I have mentioned, if everything works, then probably we can launch that project too.

Moderator: Next question is from the line of Fenil Brahmbhatt from Choice Institutional Equities.
Fenil Brahmbhatt: Congratulations for decent set of numbers. So my first question is on the guidance. Like, do we have any specific guidance for presales and average selling price for FY ‘27, ‘28? If yes, then it would be helpful if you can share.
Jagadish Nangineni: I have mentioned this in my opening remarks. So I think this year, we have achieved about 30% growth in our presales and similar is what we can expect in FY ‘27 as we

ll.
Fenil Brahmbhatt: Okay. And the next question is like can you share the geography-wise or across the market -wise, the demand momentum and the average price or price momentum considering your last quarter performance, specifically in Bangalore and the other new cities which you expanded?
Jagadish Nangineni: Yes. So from a pricing point of view, it ’s quite stable for the last 3 to 4 quarters, and we expect the stability in terms of pricing to continue. And hence, it ’s more -- the increase would come more from volu me rather than price increases.
And both in terms of NCR and in Bangalore, both seem to be on a similar path, which is where the demand also has stabilized and in fact, even the pricing has stabilized. So given both these, there is a lot of certainty in terms of how things will pan out from a pricing point of view for us and for the industry. And hence, we should be able to continue to see the demand momentum continue.
Moderator: Next question is from the line of Pritesh Sheth from Axis Capital.
Pritesh Sheth: First question again on Rivana, just harping a bit on the response that we got versus what we have got in Crescent. And what we had heard is Noida as a market is doing better than what we

see in Gurgaon. On that backdrop, your response of 25% sales at launch, what do you think could have been better in terms of, to get a better response versus what we have seen for other peers? Even we had got some pricing feedback that it start higher than what was expected. So was it intentional in terms of pricing that project higher to get a very sustenance kind of a response , sustenance kind of sales from this project?

Jagadish Nangineni: Yes. So on Rivana, one should understand that it is , it was launched in the last week of the month of March. So typically, we do have a preparation phase after we receive RERA. And this we had launched , I mean, the timing difference between once we get RERA and the launch, it has been quite low because we wanted to laun ch in this , in FY '26 itself.

So hence, the value that we are seeing is not a typical launch, but it 's a launch given the timing difference between the RERA receivable and the actual launch events. So hence, we can see that it's not -- we don 't need to view it only as a launch sale and hence, determine how it 's going. But post that also, our sustenance sa les also seem to be quite good.

And with the current kind of momentum, we should see good sustenance sales and which is , frankly, it 's something that , which is we are quite fine with it. And considering that this is a large project and over the period, we can potentially see certain price increases as well. So we are

quite okay with the kind of sales momentum that we have seen given the time frame between the RER A receival and the launch date.

From a pricing point of view, I think it 's quite consistent with our typical pricing policy. And this sector being slightly better in terms of the existing infrastructure, etc, and what we have done in the previous launch in Greater Noida, which is in SOBHA Aurum, Sector 36, there is a small diff erence in the pricing, but that should be okay, and it 's quite well accepted and it's doing well.

Pritesh Sheth: Sure, sure. Got it. That 's helpful. And just second, on Hoskote, you talked about the residential portion. Are we also planning to build any rental yielding assets in Hoskote considering we have a large 100-acre land parcel is part of first phase and overall 250-300 acres. So your thoughts on building a rent yielding assets in Hoskote?

Jagadish Nangineni: Absolutely, that is one of the plans. But however, with Phase 1, that what we are developing, it's largely residential. We have a small bit of retail and commercial space, but that 's about less than 6-7% of the overall development. But we do intend to have a commercial developments in Phase 2 and 3

. The exact design mix and the actual development, it 's still under design stage.

So once we have that clarity, then we will definitely showcase that that 's part of the future development and how much of it is going to be commercial/retail.

Moderator: Next question is from the line of Parikshit Kandpal from HDFC Securities.

Parikshit Kandpal: Sir, my question is on the demand. So how do you read the demand across markets, NCR and Southern India, especially in Bangalore in light of the AI concerns which people have, which -- and large part of our client used to be IT/ITeS. So how are you seeing -- are you seeing any slowdown in the mix from the IT/ITeS as a whole in your presales? If you can give some color, how do you perceive the demand?

Jagadish Nangineni: Yes. I understand the concern with respect to the both the macro and specifically related to AI and its impact. While that's a concern that 's existing across the industry, on the ground, what we are seeing from a, which are our leading indicators, which is visible for us, there doesn't seem to be a big slowdown or anything of that sort. There seems to be a cont inued interest in the projects.

And like I have been mentioning in the previous calls, from a ticket size point of view, we are within a certain ticket size of about below INR3 crores or so. The demand seems to be quite robust. So hence, there is , from probably the demand side, it might not be on a very high increased path, which we had seen in between '21, '22, '23, but the demand seems to be steady as of now.

With respect to how it actually unfolds in terms of how things are going to happen in the future with respect to AI and any of the other technology or any other macro aspects, that we 'll have to wait and watch. But what I believe is that currently, the demand seems to be quite good. In NCR as well for the right kind of pricing of the product, there seems to be a good demand, which is witnessed in both of our launches. So from actual rea l outcomes perspective, it seems to be

positive. If there are any concern in future because of any other reasons, we 'll have to wait and see, Parikshit.

Parikshit Kandpal: Okay. And sir, just on the business development, INR1,100 crores was spent. So how much was the GDV addition in FY '26? And what kind of GDV addition we are looking for FY '27 in

value terms?
Jagadish Nangineni: Like you know, Parikshit, we don't generally give out a guidance on the business development. Our aim is to at least have a pipeline of at least about 10 million square feet every year, and that's what we would continue to work upon. And currently, like you have seen, we have about 20 million square feet, which is 2 years of new launches. So we are quite good in terms of visibility for the next 2 years.
And we continue to generate good cash flow from operations, and that will be deployed. And I think that 's good enough for us to sort of add to the pipeline of our current projects. So we are quite confident in terms of how we go about it. So that should not be a concern from a business development and visibility of the project launches perspective.
Parikshit Kandpal: Makes sense. And sir, just one last question, if I may. This INR 52 crores of rental, which you currently are talking, so our earlier strategy, I think we tried with the APMC to ramp up the rental, but it did not pick up anyway, I think that shell. So now next 4-5 years, how do we look at this rental trajectory going given in Hoskote, we are evaluating some of the commercial assets on an ownership basis. So any sense, any color on how do you think about the annuity business from here on? A nd potentially 3 -4 years, how big this could be on an annualized basis?
Jagadish Nangineni: Right. It 's a very important decision and discussion that we are having in terms of how to build our rental portfolio. See, as of now, we are n

ot developing any of the rental , any new projects right immediately. And hence, we , although we have opportunities for that in a few areas, like Hoskote and like in Gurgaon, we have a commercial project. So these lands, we can definitely build towards building rental.
And we can , the rental portfolio is going to see a significant increase from this current rental. So as of now, I think we are in a stage where we think that we should be able to build at least about 2 million square feet additionally in the coming few years for whic h land is already available either in Hoskote or in Gurgaon and small other developments tha t we are doing in Gurgaon also.
So hence, clear visibility right now, we have about 2 million to 2.5 million square feet. Going forward, if we decide to have this as a separate vertical and strategy for that, we would start working on it. Our current focus is on building the residential portfolio and getting all these launches on time and achieve a better value from a presales and improving our profitability, while that''s happening. So this one is something that we are looking at it, and we should start getting better traction in the ne xt couple of quarters in terms of visibility, how we go forward.
Moderator: Next question is from the line of Puneet Gulati from HSBC.

Puneet Gulati: Can you also talk about what you are seeing in terms of approval process in Bangalore? And there was also a potential FSI law change which was supposed to come, where is it in the pipeline now?
Jagadish Nangineni: Right. Puneet, from an approvals process, there is no significant change either in positive or negative. So it 's quite stable in terms of approval environment is concerned. From a new additional FSI that might come in Bangalore, that is still -- it's still an ongoing matter that 's in various forums. And we believe that it will come through at some point of time.
And once it comes through, then we 'll have to bake that into our plans in terms of development potential for the lands that we hold or how we develop. So that 's the exact clarity of that is yet to emerge from the last time that we had a conversation. So we 'll wait and watch. And as and when it gets -- the clarity emerges, then we can let you know.
Moderator: Next question is from the line of Akash Gupta from Nomura.
Akash Gupta: Congratulations on great performance. Sir, my question is more again from the demand perspective. Just wanted to know your thoughts on the, number one, footfalls and consequent conversions? And then are you seeing timelines extending due to this war impac t? Second is from a labor standpoint, are you seeing any shortage? And then third is from the inflation standpoint. How much cost increases are you seeing? How much margin impact will that have?
And then, how are you planning to offset that through price increase? These are my 3 questions.
Jagadish Nangineni: Good questions, Akash. So first, on the demand side, see, like I said, from a leading indicators point of view, which is our inquiries and visits, they seem to be quite stable across all our projects, which are in sustenance. And last year and even this year in some of the launches, the , at the time of launch, the kind of momentum that we are seeing is far superior than what we had seen earlier. And hence, we, as of now, things look quite positive in terms of continued demand.
So if , and in the sustenance project also, there seems to be a continued interest. So on both these parameters, things seem to be quite good. And of course, there is a concern related to the macro environment related to how the basis the geopolitical events that are occurring and unfolding.
But when we actually look at the ground reality, it seems to be quite stable. Second, in terms of the labor shortage, what you had discus sed, what you had just asked, So that , it's, of course, the ,

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veryone throughout t he industry has faced a labor shortage or issue because of the elections that has occurred in the four states. So that, I think, it is a brief interruption to the steady flow of the requirement. But I think once this stabilizes, then we are back to normal in terms of the number of people working at the site. Third is with respect to the price increases and how it might impact us.

There is , of course, surely, there is a significant price increases for a short while in some of the commodities and in some of the other materials. So the impact of that immediately over the course of the whole projects is yet to be estimated. It 's a little dynamic situation. And we 'll have to wait and see as how long this , the current issues will continue. And hence, how much of that will be , will actually come and hit us in terms of margins. Because typically, for any of the

projects, we do have a little bit of escalation that we take into account. It doesn't look like we have gone past those escalations.

However, like I said, it 's entirely dependent on the duration of this uncertainty, price increases. Is it like short -term, medium-term or it 's going to be a permanent feature? So once we get a probably much better sense of it in the next 3 to 6 months, then we will be able to get a good handle in terms of the impact of that. While that 's the case, how much we 'll be able to increase prices and hence, there is an offset, that 's always the case.

Again, we had done that earlier in the past when it was COVID, where there was significant pricing , cost increases and hence, correspondingly, we could take price increases in new projects. This time, we will have to see the demand and supply situation also. And hence, we 'll have t o take a call.

So it 's not as simple as last time wherein the demand was quite robust, and it was , there was a pent-up demand as well, which we could capture. But this time, again, this is an event -led inflation and whereas demand seems to be quite stable. So it all depends on, again, demand supply and how we can react to that. So it 's currently wait -and-watch mode for us. We will take a call once things get cleared.

Akash Gupta: Understood, sir. And sir, just one question for particularly for your Gurgaon project. I mean, due to the war in the Middle East, are you seeing any , I mean, better -than-expected demand from the Middle East, particularly for your Gurgaon project, just from an investment perspective? Is there any change that you're picking up?

Jagadish Nangineni: The reasons for investment in Middle East and reasons for investment in local markets might be quite different. So immediately, we have not seen anything, any huge changes. But we do see some changes in our Kerala market where there is , the inquiry flow is slightly better, considering a majority of the demand comes from Middle East. And there, we can see that there can be slightly better opportunities for us to capitalize on the more or renewed interest in India.

Moderator: Next question is from the line of Biplab Debbarma from Emkay Global.

Biplab Debbarma: Sir, what would be the GDV of the Mumbai deal pipeline, the two deals that you mentioned earlier, the redevelopment and outright?

Jagadish Nangineni: Both the new projects both put together should be about INR 2,000 crores, Biplab.

Biplab Debbarma: That's quite big. And second question is, sir, you mentioned SOBHA Rivana till date sold INR500 crores and Crescent INR 1,100 crores in terms of presales till date. So does this indicate that Crescent has received a stronger market response compared to Rivana? I thought it would be the other way around.

Jagadish Nangineni: Right. Like I mentioned, Biplab, it is a function of also the time that we have given from , for us to prepare in terms of launch. So it 's, I don' t see it as too , I mean, linked in terms of re

sponses.

Both are doing pretty well. So, and we had quite a good preparation for both the projects. And frankly, one of the aspects that has actually impacted us is the timing, which is in March versus

April. And as you know, in March, things were quite , I mean, everyone is quite uncertain as how things were going to pan out. So given that, I think it 's a quite , we started out quite positively, and that should continue.

Moderator: Next question is from the line of Parvez Qazi from Nuvama Group.

Parvez Qazi: So my first question is of the 10- odd million square feet that we plan to launch in FY '27, what would be the GDV of these projects?

Jagadish Nangineni : So if you take an average pricing of about what we have done this time, which is about INR 4,700 and similar maybe around INR 15,000, that would be about INR 15,000 crores.

Parvez Qazi: Sure. And we have either released or unreleased inventory of about INR 1,200 crores, INR 1,300-

odd crores in our existing projects. So is that the fair way to look, we'll have maybe close to about INR27,000, INR28,000 crores.
Jagadish Nangineni : That's right. That 's right, Parvez.
Moderator: Next question is from the line of Muralikrishnan from Sundaram Mutual Fund.
Muralikrishnan: Sir, just wanted to understand, in this 30% growth and also continuing with last question, so how much would be coming from the sustenance and how much would be expected from the new launches, specifically because Hoskote will be a significant portion of our new launch. So you did indicate that you will accelerate the launches if requi red. So just to understand the sensitivities to this growth?
Jagadish Nangineni: Right. The ability to generate sales from new launches is also dependent on the timing when we launch the project, right? So the earlier we launch during, in the year, the higher would be the contribution from those new launches during the year. Last year, we did , I mean, this year, FY '27, we expect roughly about 45% to 50% from sustenance and 50% to 55% from new launches.
Moderator: Next question is from the line of Parikshit Kandpal from HDFC Securities.
Parikshit Kandpal: Just one question on Rivana, sir. So you said that you had a very limited window. So out of 2,000, you have sold about 25% until now , until May. So have you seen again like come back in that project? Do you think that you still , I mean, you achieved 50% or more in this project now?
Jagadish Nangineni: We are seeing good sustenance sales more, Parikshit. It 's the launch what we did, like I mentioned, was in an uncertain environment. But we are looking, we are seeing good response from a sustenance sales point of view. It 's not at the same level as a launch one. But at the same time, as you know, generally, the level of interest and the momentum that 's created in launch is not necessarily followed through.
So in this case, we have started , generally, we see a big falloff after the launch. But here, we are seeing good continued interest. So I would not say that it is going to continue in the same momentum, but I see a very good sustained sales. And for this project to do well, the kind of,

given the scale of the project in Greater Noida, a good sustenance sales will really help in t erms of the continued interest.
And frankly, we are quite prepared for that in the , during the year. So based on how things progress during the year, we would launch the Phase 2 or subsequent towers of the project during the year, during the course of the year. And at any point of time, whenever we launch a new tower or another phase, again, we can see a spurt in the demand there.
Parikshit Kandpal: Okay. A question on Hoskote [inaudible 0:53:50]
Moderator: I'm sorry to interrupt. Sir, can you repeat your question? You're not audible.
Parikshit Kandpal: Okay. S

o the Hoskote is about INR 7,000 crores of GDV. So Phase 1 is how big? And typ ically, Jagadish, we have seen [inaudible 0:54:01] response initially. So how do you think, because you have already been collecting EOIs for some time now, I remember from March end of sometime in that period [inaudible 0:54:19] So if you can give some color on this?
Jagadish Nangineni: Yes. I understand, Parikshit. The phases of the launches is also dependent on the kind of demand that comes through. And we have the mix of the product across multiple towers. Basis the demand across these , the unit size mix, we will continue to open new towers, which is typically done in any large project. Here also, we would follow the same.
First is the dependency of the opening of phases and the towers is on, purely on demand and also the construction schedule that we follow. So that we are going to follow. And here to start with at least half of it, we should be releasing. And if the demand is quite good, then we would immediately release the subsequent ones also, because we get RERA for the entire project at once.
Parikshit Kandpal: So about INR 3,500 crores is what will potentially come as a launch depending on the demand, and it can be upsized as the demand , actual demand translates into numbers. Is it right?
Jagadish Nangineni: Yes, absolutely. You 're right.
Parikshit Kandpal: And any initial comment on how has been the EOI here? Because this has been out in the market for some time. So how are you seeing and it 's a large project. So typically township projects see a good traction. So any initial sense on how the footfall and the EOI has been for this project?
Jagadish Nangineni: No, it 's, there is good interest in the project given the scale of the project, right . And large communities are a differentiating factor for a lot of customers in cities like Bangalore. So this would also, I believe, attract good set of customers who are interested in such large developments. So initial interest seems to be good. Our first focus is to get all the approvals right and then start the actual sales process with solid preparation, which is underway. So we 'll get to know the , how things progress and how we , the momentum that' s created. And that 's obviously it's going to flow into our operational update at the end of the quarter.
Parikshit Kandpal: Then this should be at least INR 3,500 crores to INR4,000 crores quarter, which was, Gurgaon

has done INR 1,100 crores, [inaudible 0: 57:07] should add INR1,200 crores to INR1,300 crores

and sustenance of about INR 1,000 crores. So should be at least INR 3,000 crores -plus [inaudible 0:57:12] this quarter, at least?

Jagadish Nangineni: We hope so. I mean, I really hope what you are estimating comes true. So our job is to make sure all the preparation and everything happens. And then whatever result comes, we 'll aim for the best result, Parikshit.

Moderator: That was the last question for today. I would now like to hand the conference over to the management for closing comments.

Jagadish Nangineni: Thank you, everyone, for participating in the call. I hope we were able to answer most of the questions appropriately. In case of anything more, please reach out to us. We, as a company, we have seen a good last year, and we are quite confident of the next couple of years also with great visibility across all parameters.

While we are doing this, our aim is to continue to build on the strong foundation and the brand that we have built. And that is on execution across the team members and our team is doing a fantastic job on all the parameters. We hope to continue our good performance in the coming future as well. Thank you for listening, and I wish you all the very best.

Moderator: Thank you very much. On behalf of ICICI Securities Limited, that concludes this conference. Thank you all for joining us today, and

you may now disconnect your lines.

Jagadish Nangineni: Thank you.

Call: Jul 2026

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Date: July 27, 2026

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Scrip Code: 532784 The National Stock Exchange of India Limited
Exchange Plaza, Plot No C/1, G Block
Bandra Kurla Complex
Mumbai – 400 051
Scrip Code: SOBHA

Dear Sir /Madam(s) ,

Sub: Transcript of Meeting with Analysts/ Institutional Investors

In continuation of our letter dated July 15, 2026, please find enclosed herewith the transcript of the conference call held on Tuesd ay, the 21st day o f July 2026 with the Analysts/ Institutional Investors to brief on the Operational and Financial performance of the Company for the quarter ended June 30, 2026.

We request you to take the aforesaid information on record in terms of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and the same is available on the website of the Company.

Yours sincerely,

FOR SOBHA LIMITED

Bijan Kumar Dash
Company Secretary & Compliance Officer
Membership No. ACS 17222

“SOBHA Limited
Q1 FY ’27 Earnings Conference Call ”
July 21, 202 6

MANAGEMENT : MR. JAGADISH NANGINENI – MANAGING DIRECTOR – SOBHA LIMITED
MR. YOGESH BANSAL : – CHIEF FINANCIAL OFFICER – SOBHA LIMITED

MODERATOR : MR. ADHIDEV CHATTOPADHYAY – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to SOBHA Limited Q1 FY '27 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded.
I would now like to hand over the call to Mr. Adhidev Chattopadhyay from ICICI Securities. Thank you, and over to you, sir.
Adhidev Chattopadhyay: Yes. Good evening, everyone. Thank you for joining us on the SOBHA Limited Q1 FY '27 Results Call today. As always, from the management, we have with us Mr. Jagadish Nangineni , the Managing Director; and Mr. Yogesh Bansal , the Chief Financial Officer.
I would now like to hand over the call to the management for their opening remarks. Over to you. Thank you.
Jagadish Nangineni: Thank you, Adhidev. Good evening, everyone, and thank you for joining us on this Q1 FY '27 earnings call. I thank all the investors, analysts, and stakeholders for taking time to be with us today. Our operational update was earlier shared in the month, and the detailed investor presentation is available on our website. Today, I 'll briefly cover the key business and operational highlights for the quarter. And our CFO, Mr. Yogesh Bansal , will walk you through the financial performance in greater detail.
I'm pleased to share that Q1 FY '27 has been a landmark quarter for SOBHA in terms of sales. We achieved our highest ever quarterly real estate sales, recording sales value of INR3,656 crores, representing 76% increase year -on-year. We sold 2.34 million square feet across 1,432 homes with an average realization of INR15,655 per square feet, reflecting the strength of our product portfolio and brand. Bangalore once again emerged as our strongest market, contributing 57% of the quarterly sales of about INR2,067 crores, driven by good response to our launches of SOBHA One World and Sacred Grove, a plotted development.
The NCR region also delivered its highest ever quarterly sales with a sale value of about INR1,384 crores, mainly driven by a successful launch of SOBHA Crescent in Gurgaon, reaffirming our strategy of expanding in high -growth micro markets. Together, these launches significantly contributed to our record quarterly performance. In SOBHA One World, out of the overall 3,484 homes across 47.4 acres, we released 3.4 million square feet. And out of the released, we could sell about 40% at the launch.

In SOBHA Crescent, we sold about 60% in Q1 FY '27. During the quarter, we launched 3 new projects across Bangalore and Gurgaon with a combined saleable area of 6.89 million square feet and a potential sale value of about INR10,000 crores. These launches further strengthen our development pipeline and provide strong visibility for future growth. Execution continu ed to remain our core strength. During the quarter, we completed 677 homes covering 1.08 million square feet across multiple projects. Consistent project delivery remains central to our business model and enables faster revenue recognition while reinforcing customer confidence in the SOBHA brand. We plan to complete about 6 to 6.5 million square feet for FY '27 as against last year 's completion of about 5.4 million square feet, which can be about 20% higher. Our development portfolio continues to provide strong long -term growth visibility.
We currently have a forthcoming launch pipeline of about 20.77 million square feet across 17 projects. Of this, we are confident of launching 9 projects, aggregating approximately 8.2 million square feet during the remaining period of FY '27. So , the planned laun

ches comprise 4 projects in Bangalore,
about 3 million square feet, 2 projects in NCR, about 2 million square feet, 1 project in Hyderabad, which is about 1.7 million square feet and 2 projects in Kerala, at about 1.5 million square feet. This pipeline provides us with confidence in sustaining the growth momentum over the medium term.
As end of Q1 FY '27, we also have 14.94 million square feet of unsold inventory. Both put together, the forthcoming launch pipeline and our current unsold inventory, we have a strong visibility of inventory to be sold in the coming quarters and the years.
We envisage our net debt to be at about 0 level for this year. Another important strength of our business continues to be our balance sheet. We ended the quarter with a net cash position of about INR659 crores, while maintaining a low leverage, low borrowing cost of about 7.62%. Our operational cash inflow remained quite healthy at INR1,924 crores despite higher investments in land acquisition and project expansion. This financial strength gives us fl exibility to continue investing in future growth while maintaining a prudent capital allocation strategy.
On the financial performance front, we reported a total income of INR1,330 crores, representing a growth of nearly 48% year -on-year. The remaining P&L details will be covered by our CFO. Our future earnings visibility continues to be very strong. As end of this quarter, the company has INR20,553 crores of revenue yet to be recognized from the sales that have already been done. We would see margin expansion as we complete the projects that we have sold from FY '23.

Our backward integrated operating model continues to differentiate SOBHA in the market.
During the quarter, our other businesses generated revenue of about INR170 crores, and we have a good order book visibility for those businesses. Our commercial rental has a total income of about INR23 crores. In the steady -state run rate, we expect, in this financial year also to be similar to last financial year in terms of revenue for the other businesses.
Looking ahead, we remain quite optimistic about the new launch pipeline that we have. And we see a good customer demand for our products, and we believe the company is well positioned to sustain this growth momentum and deliver long -term value.
With that, I would like to hand over our call to our CFO, Mr. Yogesh Bansal , who will take you through the financial performance in greater detail.
Yogesh Bansal: Good evening, everyone. Q1 FY ’27 quarter reflects improved revenue and profitability, healthy operating cash generation, and continued strength in our balance sheet with a net cash position. So , our total operational cash inflow during the quarter increased by 8.2% year -on-year basis to INR1,924 crores. Real estate collections stood at INR1,756 crores compared with INR1,599 crores in Q1 FY ’26. Collections from contractual and manufacturing businesses stood at INR168 crores. Total net operation cash flow we generated INR312 crores.
During the quarter, project -related expenditure increased in line with increase in construction activity. We also incurred higher sales and marketing expenditure in line with increased sales and new project launches. The company generated cash flow of INR290 crores. During the quarter, we invested approximately INR370 crores in land and approximately INR70 crores in capex.
The quarter recorded an overall net cash outflow of INR149 crores. This net cash outflow was primarily attributable to planned investment in land and future development opportunities. These investments were undertaken while retaining a strong liquidity position and a net cash balance sheet.
Coming to P&L front, total income for Q1 FY ’27 stood at INR1,330 crores, representing an increase of approximately 48% year -on-year. Real estate revenue increased by approximately

60% to
INR1,107 crores compared with INR690 crores in Q1 FY ’26. Revenue from the contractual manufacturing and retail business stood at INR171 crores compared with INR162 crores in corresponding quarter of the previous year. Profit after tax stood at INR50.7 crores compared with INR13.5 crores in Q1 FY ’26.

The improvement in profitability was boosted by higher real estate revenue recognition and improved revenue mix and continued financial discipline. During the quarter, our residential real estate contributed revenue of INR63 crores from the delivery of 1.24 million square feet, comprising 819 homes, reflecting our continued focus on timely project execution and delivery. Our balance sheet continued to be a key source of strength. As on 30th June 2026, gross debt stood at INR1,110 crores, while cash and cash equivalents stood at INR1,769 crores.
Our net debt ratio stood at negative 0.14 and our average borrowing cost is 7.62%. Our strong cash position, low leverage and competitive borrowing costs provide us with the flexibility to fund construction, land acquisition and pursue growth opportunity w ithout compromising financial discipline.
We have projected receivable from sale and unsold value approximately INR31,000 crores.
Against this, the estimated remaining cost to be incurred is INR19,000 crores, resulting in projected margin cash flow of INR12,000 crores from completed and ongoing projects. Together, these figures provide substantial visibility for future collection and cash generation and give us additional headroom to invest in future growth.
For FY ’27, our financial priorities remain focused on maintaining a strong and liquid balance sheet, improved collection and operating cash generation and discipline in capital allocation. We remain well positioned to support sustainable business growth. Thank yo u once again for joining us today.
With that, we can open the floor for questions.
Moderator: Thank you very much. The first question is from the line of Girish Choudhary from Avendus Spark. Please go ahead.
Girish Choudhary: Congratulations on the strong presales. I mean, firstly, if you -- obviously, you have had a strong start to the year. So , if you could just give us the presales growth or the booking value you’re targeting for fiscal ’27? And as a follow -up, you mentioned about 8 million square feet of launches for the remaining 9 months. So , if you could give the GDV and also the timelines and the key projects, which we should look forward to?
Jagadish Nangineni: Thank you, Girish. The last quarter, I mean, like end of the financial year, so we have guided for at least 30% growth in the presales. That I think we should be able to continue to achieve. And if all the launches happen within time, probably we can do sl ightly better than that. But as of now,

I think we continue to aim for that in terms of presales. Now coming to the exact timing of these remaining project launches of about 8.2 million square feet, like in the opening comments I have given, those most -- all these about 9 projects, we would be able to do it within the next 9 months.
So most of them would be -- I mean, this quarter would be about 3 projects and which are a couple of projects in Kerala and plotted development in Bangalore and probably a small 0.4 million square feet project in Bangalore. But other than that, the remaining projects would be coming in Q3 and Q4.
Girish Choudhary: Got it. That 's useful. And secondly, what we noticed also collections were relatively modest considering the presales. So , was this primarily a timing issue because a large part of sales came towards the end of quarter? And should we expect a material improvement from this quarter onwards?
Jagadish Nangineni: Yes, that's right. What you mentioned was right. One is the collections from new

sales have come towards the end of the quarter. And hence, I mean, there is more collection that would be coming from these new sales, but part of the collections only have come in this Q1. Second is typically, our milestone billing collections this time were relatively lower because some of the milestones we could not achieve due to labor shortage in -- mainly in April and May.
And hence, the billing, corresponding billing could not happen. And hence, there is a small shortfall there also. Otherwise, in general, things seem to be good in terms of overall cash flow visibility.
Girish Choudhary: Okay. So , we are on target to do the INR2,000 crores, I think, which was guided in the past, for the year?
Jagadish Nangineni: INR2,000 crores of operating cash flow ?
Girish Choudhary: Yes, yes.
Jagadish Nangineni: Yes. I mean that is on an average for the next few years, if you take an aggregate level of what is the marginal cash flow. But we should, as we grow, we should be able to do, we should be able to touch that number.
Girish Choudhary: Yes. Lastly, if I may, on the land payments, we have seen around INR370 crores during the quarter, higher than the normal run rate. So if you could explain, I mean, for fiscal '27 and '28, what are the commitments, and then from a business development point of view, what are you seeing?

Jagadish Nangineni: Yes. I mean, this quarter, in addition to our current -- I mean, normal commitments of the existing land, we have invested in couple of new lands. One small land we have bought in Mumbai, and we have invested in a new opportunity in Greater Noida. So put t ogether, these are the 2 new ones. Otherwise, the rest are towards commitments of the future forthcoming projects that we have already declared.
Moderator: The next question is from the line of Puneet Gulati from HSBC.
Puneet Gulati: My first question is one with respect to your disclosures on the forthcoming project, where you talk about potential sales value of INR295 billion. And versus that, the margin that you talk about in Slide 15 is INR68.3 billion. This is a lot lower than what you had in the previous presentation at close to INR86 billion of margin and a smaller saleable value for forthcoming project. What is the change here?
Jagadish Nangineni: You're right, Puneet. So , the main difference for the new forthcoming majority -- I mean, the mix of the projects, a greater mix is towards joint development. And hence, that 's the marginal cash flow, you would have seen reduction. Second is earlier in this marginal cash flow for forthcoming projects, we had Hoskote and Hoskote as one of the main projects, which had, which was our own land and hence, the marginal cash flow was much higher.
Puneet Gulati: Okay. So , the GDV that you state is basically including the landowner share?
Jagadish Nangineni: Yes. This is the gross value of the all the projects -- of the entire project.
Puneet Gulati: Okay. That 's fine. And secondly, while you talked about potential 2 acquisitions this quarter, one in Mumbai and one -- sorry, the other one I missed out.
Jagadish Nangineni: In Greater Noida.
Puneet Gulati: And have you paid for both of them?
Jagadish Nangineni: Yes.
Puneet Gulati: Okay. So how should one think about full year allocation of capital towards land? What is the run rate one should assume?
Jagadish Nangineni: See, we have done last year. I mean, we would -- from a land payments point of view, we would be roughly similar to land for last year. And going forward, there would be an

incremental from a -- I mean, last year, we did about INR1,160 crores. And this year, we already did about INR370 crores. And we have identified a couple of opportunities where I think we can invest in Bangalore and in NCR. So , if we are able to complete those transactions, then

we might look at closer
towards INR1,500 crores to INR1,600 crores this year.
Puneet Gulati: Okay. That ’s very helpful. And lastly, your 9 project launches, does that also include the balance phase of One World or that’s separate?
Jagadish Nangineni: No, that doesn ’t include balance phases. Like I said, we have taken the entire project of SOBHA One World in the new project launches in Q1.
Moderator: The next question is from the line of Parikshit Kandpal from HDFC Securities.
Parikshit Kandpal: Jagadish, congratulations on a great quarter on presales. S o, my first question is, I mean, the way we were forecasting this quarter, the first half was a washout because of geopolitical issue. So just wanted to understand what led to the strong demand coming back towards the second half of the quarter, so both in Gurugram and Bengaluru.
And also wanted some color on Noida, how the Rivana has done after there were some delays. You said the sales could have got pushed out. So just your sense on the demand, what has just surprised us positively? And where do you think the real estate cycle currently is?
Jagadish Nangineni: Thank you, Parikshit. So , like you have seen in Q1 or, let ’s say, Q1 of this calendar year, right? We had been preparing for these launches for some time. And hence, the time advantage that we had got in terms of preparation is what I believe is what led to a stronger performance in this quarter. So , for any new launches, like you know, it ’s not only dependent on the timing of the launch, but also the extent of preparation for that.
So, in that aspect, we were much better prepared and hence, there is a stronger response is what we can see in Q1. Otherwise, the overall demand scenario seems to be quite stable from what we have seen in terms of the launches and also what we are witnessing post the launches also. It ’s been quite steady. So , we believe that it is a r easonably good demand scenario.
What we would like to see is how the supply is going to come up. Specific to your question related to Rivana, Rivana has also been quite steady. It ’s not a project where it is a much higher -- we have not seen much higher sell -through at the launch. But post that, during the quarter, it has been quite steady in terms of monthly sales and the quarterly sales.

Parikshit Kandpal: My second question is on the INR1,500 crores tentative. I mean, you said that the deals could get close, the INR1,500 crores capex on land may happen this year. So just wanted to breakup of how much will be Bengaluru and how much is the contribution from NCR and MMR on this? And whether is it right to assume that out of INR1,500 crores roughly INR15,000 crores worth of GDV INR12,000 crores to INR13,000 crores GDV addition will happen?
Jagadish Nangineni: Yes. I mean, from a remaining capital allocation, part of that is towards our current commitments for the 20.77 million square feet, that ’s roughly about another INR400 crores. And our past commitments, those are also that ’s about another INR200 crores. So , I mean, those are about INR600 crores plus already we have done about INR370 crores. So , remaining is about INR600 crores. So that INR600-odd crores, we will -- we should look at the current opportunities that we are pursuing. It’s still, I mean, a little early to disclose that, but it ’s at a good valuation and hence, we should be able to -- typically, in any new land buy, we see that the value of the land is between about 15% of the total sale value. So that it would be in the similar range.
Parikshit Kandpal: So, this will be largely in NCR, the INR600 crores, INR700 crores incremental beyond the existing in the past commitments, which you said. So out of the INR600 crores, INR700 crores, where -- how will be the geographical breakup of this?
Jagadish Nangineni: It’s part of it is -- majority is in Bangalore and the

remaining is split largely
between NCR and a little bit portion to Mumbai.
Parikshit Kandpal: Okay. And just a third question on this Hoskote. So how much was the contribution from the SOBHA One World out of the total INR2,000 -odd crores of sales. So how much was the contribution? Because the numbers look little lower than the number that we have. So was there any spillover you ’re going to book in Q2 out of this? Just wanted the total cumulative sales on this and how much has been recognized in Q1?
Jagadish Nangineni: About, you have seen about 45% of the overall sale is from One World sale and the remaining is from both, like Bangalore and NCR have contributed close to 87%.
Parikshit Kandpal: Sorry, I didn ’t hear you how much?
Jagadish Nangineni: Bangalore and NCR together have contributed about 87%.
Parikshit Kandpal: This thing, out of the total INR3,600 crores, 45% comes from your SOBHA One

World .

Jagadish Nangineni: Yes.
Parikshit Kandpal: And is there any pending sales to be recognized because this number then looks a little slightly on the lower side compared to what you have released, it 's about INR1,600 crores. So , was there, I mean, were you able to book the entire sales or there 's a pass -over which will happen in Q2 from this, which you could not realize in the Q1 numbers?
Jagadish Nangineni: Yes. So , like I mentioned, we have released about 3.4 million square feet of the total. And within that, we have done about 40% of the sales.
Parikshit Kandpal: That's about totally INR1,800 -odd. So , about INR200 crores, INR300 crores could be a spillover, which may happen in the Q2 quarter?
Jagadish Nangineni: Yes, Parikshit.
Parikshit Kandpal: So, there was some spillover into Q2, that means the entire...
Jagadish Nangineni: That is a characteristic of any new launch or ongoing operation. So , there would be naturally be some spillovers from that are being put in the previous time period.
Moderator: The next question is from the line of Biplab Debbarma from Emkay Global.
Biplab Debbarma: Congratulations on the great start to FY '27. First question is on the Mumbai and Greater Noida business development you did in this quarter. Could you give us some details like are these outright projects? And how much you paid for these project s? What would be their GDV, when they are expected to be launched?
Jagadish Nangineni: The Mumbai project is about 1.3 acres and we bought the land for about INR180 crores. And the Greater Noida project is a joint development for which we have paid certain dues for the authority and for the landowners. So , both -- so each one -- both put together, the GDV for this would be about INR2,700 crores to INR3,000 crores.
Biplab Debbarma: And they would be launched in this financial year?
Jagadish Nangineni: The Greater Noida one, we are envisaging to launch this financial year. Mumbai one, we would endeavor to do it. But considering the approvals, uncertainty, a clear timeline from -- there is a lot of work to be done there. And hence, although our endeavor i s to launch it this financial

year. So currently, I have not included that in the projection that I have given in terms of 8.2 million square feet for this remaining 9 months.
Biplab Debbarma: And second question is on the margin. I mean, last quarter, you mentioned that margin will see revival from the second half of this financial year. Margin continues to be low. Sir, do you maintain that margin you will see uptick in second half of this fina ncial year? And what kind of margin do you think we 'll see in the second half of financial year, reported margin?
Jagadish Nangineni: Right. Biplab, you 're right. I mean I still expect the margins to be significantly better in the second half means sequentially, it should start looking better. Q2 might be simil

ar or
depending on the number of completions that we can do, Q2 might be similar. But Q3 and Q4 sequentially should become better as we complete some of our high -margin projects and start handing over. So , our expectation is that by Q4, as we currently, we are at about 9.7% EBITDA. So , as we leave the end of Q4, maybe hopefully, we should be able to do closer towards 17% to 20%.
Biplab Debbarma: Okay. That 's great. And my third question is on the remainder of the year, you said 8.2 million square feet launches. That translates into how much of GDV?
Jagadish Nangineni: At the current average of INR15,000 crores, it should be about another INR12,000 crores.
Moderator: The next question is from the line of Fenil Brahmbhatt from Choice Institutional Equities.
Fenil Brahmbhatt: Congratulations for the good set of numbers. I have 2 questions for you. First is on this approved NCDs of INR1,000 crores. So , when we are planning to issue these NCDs in the next quarter or there is any timeline? So , if you can throw some light on that, that would be helpful.
Jagadish Nangineni: Yes. We envisage the usage coming in the next couple of quarters. So , we would do it in tranches as and when we identify the acquisition opportunity or, let 's say, firm up the acquisition opportunity, we would go ahead with the funding of NCD. So , it's not -- need not be at one shot, but as and when it 's required. But at least I would think that we will break it into at least 2 tranches.
Fenil Brahmbhatt: Okay. All right. And I just want to understand the project completion for FY '27, '28. So which projects are at the finishing stage or we are planning to deliver in next 3 quarters or next remaining FY '27? And if possible, you can give some highlights for FY '28 projects as well?

Jagadish Nangineni: So, for FY ’27, like I mentioned, we would endeavor to complete about 6 million to 6.5 million square feet versus what we have done about 5.4 million square feet last year. So , I mean, there is a list of projects that we would complete as per the timeline of the completion. We can provide you that list separately, Fenil, if that ’s okay.
Moderator: The next question is from the line of Pritesh Sheth from Axis Capital.
Pritesh Sheth: Congrats on a great start to the year. Just dwelling some more on launches again. So , second phase of SOBHA Crescent is planned for next year or this year?
Jagadish Nangineni: Pritesh. Crescent Phase 2 will happen during this financial year, most likely in Q3, towards the end of Q3 or beginning of Q4.
Pritesh Sheth: Okay. So , 2 million square feet in NCR, which you said is basically second phase of Crescent and the Noida project, Greater Noida Project and Bangalore will have the Crystal Meadows now converted into those apartment projects also included in current year ’s pipeline?
Jagadish Nangineni: That’s right.
Pritesh Sheth: Okay. Perfect. And just on Mumbai, I can ’t see the new latest addition in our forthcoming or subsequent pipeline or rather there is 1 acre of Mumbai, but I thought that ’s the second part of the Parel project. So , is this included in the current pipeline? Or since we are not sure of the timeline, we don ’t -- we have not included in the forthcoming subsequent land right now?
Jagadish Nangineni: Right. So , the one that you are seeing in the forthcoming pipeline is the second phase of the current project, which is Inizio. And the one that we have just acquired that we have not yet included bas is the timeline once it gets firmed up, we would include it subsequently.
Pritesh Sheth: Sure. Got it. And one last again on launches. I think last time we had a 6 lakh square feet of commercial project in Gurgaon that I don ’t see currently in the pipeline. Has the plans been shelved for that commercial project now? Or has anything changed there?
Jagadish Nangineni: Good observation,

Pritesh. That particular project, it ’s still the endeavor to launch
and develop it. We have, in fact, the entire TDR for it, and we can develop the entire project. But currently, we are looking at an option -- evaluating an option of launching it, but not actually selling it, but retaining for our rental income. So that we are in an evaluation phase. And once that is -- and hence, we have removed it. So , if we decide to do part of the development as a sale model, we ’ll bring it back.

Moderator: The next question is from the line of Shubham Selvadia from Tikri Investments.
Shubham Selvadia: Sir, my question is regarding labor law. Sir, in Karnataka recently in May month, there was a hike of 60% in minimum wages. So , have you evaluated any impact on cost?
Jagadish Nangineni: Yes, there has been, and we are still under the evaluation phase. But largely, our technician force that we have, that is above the minimum wage. However, it would have a little bit of impact on our overall cost. That is yet to be assessed. But I think we are considering -- it should be -- we should be able to absorb it within the budget that we have allocated for the projects.
Moderator: Ladies and gentlemen, that was the last question. I would now like to hand the conference over to the management for closing comments.
Jagadish Nangineni: Thank you, everyone, for participating in today ’s call. I hope we have answered most of the questions that you had. In case of any further queries or more details, you can please reach out to us and wish you the very best. Thank you, and have a good evening.
Moderator: On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.